Ashok Leyland Ltd. (ASHOKLEY)

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May 30, 2023
National Stock Exchange of India Limited
Exchange Plaza,
C-1, Block G
Bandra Kurla Complex
Bandra (E), Mumbai - 400 051

SCRIP CODE: ASHOKLEY BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

SCRIP CODE: 500477

Dear Sir/Madam,

Pursuant to Regulations 30 and 46(2) (oa) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of the Company's Analyst Call held on May 24 , 2023 to discuss the financial results for the quarter and year ended March 31, 2023.

We request you to take the above on record.

Thanking you,

Yours faithfully,
for ASHOK LEYLAND LIMITED

N Ramanathan
Company Secretary

Encl : a/a

"Ashok Leyland Limited

Q4 FY '23 Earnings Conference Call"

May 24 , 202 3

MANAGEMENT : MR. DHEERAJ HINDUJA – EXECUTIVE CHAIRMAN – ASHOK LEYLAND LIMITED

MR. SHENU AGARWAL – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – ASHOK LEYLAND LIMITED

MR. GOPAL MAHADEVAN – WHOLE -TIME DIRECTOR AND CHIEF FINANCIAL OFFICER – ASHOK LEYLAND LIMITED

MR. K M BALAJI – DEPUTY CHIEF FINANCIAL OFFICER – ASHOK LEYLAND LIMITED

MODERATOR : MR. JINESH GANDHI – MOTILAL OSWAL FINANCIAL SERVICES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Ashok Leyland Q4 FY '23 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited.

As a reminder, all participants' line s will be in a listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during a conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Jinesh Gandhi from Motilal Oswal Financial Services Limited. Thank you and over to you.

Jinesh Gandhi : Thank you, R enju. Good afternoon, everyone. On behalf of Motilal Oswal Financial Services, I would like to welcome you all to fourth quarter and FY '23 post results conference call of Ashok Leyland.

Ashok Leyland is represented by Mr. Dheeraj G. Hinduja, Executive Chairman; Mr. Shenu Agarwal, Managing Director a nd CEO; Mr. Gopal Mahadevan, Whole -time Director, and CFO; and Mr. K M Balaji, Deputy CFO.

Would like to thank the management for taking time out for this call. I would now hand over the call to Mr. Hinduja for his opening remarks, post which we will start Q&A. Over to you, Mr. Hinduja.

Dheeraj Hinduja: Thank you. Good afternoon, ladies, and gentlemen. It is a pleasure to have you at the Ashok Leyland Q4 FY '23 Earnings Call . I thank you very much for the interest shown in Ashok Leyland.

At the beginning of the year, we have set out to achieve the following objectives: improve our market share on a pan -India basis, continue to launch industry -leading products, refresh and strengthen our network, grow our non MHCV business, improve operational efficiency and

reduce costs, drive bottom line improvement, generate cash, improve returns, and improve the performance of our subsidiaries.

I'm happy to state that we have been able to check all the boxes and the strategy will continue in the coming year as well. We con tinue to be the most profitable CV company in the country today, and we will continue to pursue leadership on that front along with growth and market share.

Speaking on market share, FY '23 has been a remarkable year as we enhance d MHCV market share across regions and product segments, which was done profitably. At the end of the year, our MHCV market share was at 31.8%, 4.7% higher than the previous year. The AVTR range has been a true differentiator and instrumental in the growth of MHCV business.

We have grown the share in MHCV in MAV, haulage, tractor, and Tipper. While we gained market share in ICV trucks by nearly 5%, we are now focused on expanding the ICV range to enhance our presence further. This is clearly an opportunity for us. We are also very w ell geared to capture the opportunities in CNG when the market opens up again.

As we have shared with you at the beginning of last year, the bus market is fast expanding with COVID lockdowns behind us, we are witnessing growth in all segments of bus market as well. As discussed, we plan to expand the bus portfolio, especially in the I CV range. We will pursue market share growth by filling in product gaps and expanding our network. The focus now is to expand market share in the North and East where we believ e that we can scale up to 30% in the first stage. This will help Ashok Leyland breach the mid -30 market share points. While our international business saw volume growth of 2.5%. You must use this in the perspective as other large players witnessed a declin e of 30% to 40%

in export volumes. FY '24 should see further growth in exports as well.

All non -MHCV businesses, such as aftermarket and power solutions have shown healthy growth. LCV market share was marginally down by 0.7% over FY '22 due to chip shortag es experienced at the first half of the financial year.
Going forward, we will be expanding the LCV network in the non -South region, and this should help for further growth. Research houses have predicted a growth of CV TIV of 8% to 10% in FY '24. We belie ve this is very much possible. Ashok Leyland's aim will be to beat the industry growth.
FY '24 CV demand is likely to surpass the previous peak of FY '19. The growth in TIV will be supported by government infrastructure spending , strong replacement demand and a healthy traction from core industries like steel, cement, and mining. CRISIL expects 88,000 MHCVs and 57,000 LCVs to get replaced in FY '24.
As mentioned, bus sales are set to grow at a faster pace due to sharp increase in mobility post the pandemic. Further growth is possible with enforcement of scrappage policy as well as increasing urbanisation and replacement of the JNNURM bu ses bought in FY '10 - '13.
Tonnag e addition is expected to further improve due to better product mix that is trend of higher growth in MAV and tractor trailer demand.
Factors driving the long -term MHCV sales will be A. Improvement in industrial activity in the country, B. Steady agricultural output , and C. The government's focus on infrastructure.
Commodity prices are expected to soften in FY '24 and this tailwind along with better realization should h elp industry margins to improve further.
Ashok Leyland will continue its market share enhancement, revenue optimization cost reduction and cash flow management and aim fo r significantly better financial outcomes in FY 2024.

Auto Expo held at Delhi in January this year, provided a great opportunity to demonstrate our technological readiness for the future. Ashok Leyland displayed a wide range of alternate fuel products rang ing from CNG and LNG to battery electric, to hydrogen ICE and even fuel cell across LCV, ICV, and MDV platforms. The Electric Vehicle Business House d under Switch is crucial for future -proofing Ashok Leyland.
While we continue to look at external investors, Ashok Leyland plans to invest in Switch directly. The investment may be to the tune of 1,200 crores progressively. Ashok Leyland's balance sheet is strong enough to support this initiative. During FY24, Swit ch plans to launch the E Dost, E-Bada Dos t, followed by the 12 -meter E bus for the Indian market, and then the E -1 bus for the European market. Switch's presence is growing, and I'm happy to share that our products are performing extremely well.
I will now quickly run you through the Q4 and full year performance.
Q4 revenue stood at a record Rs. 11,626 crores, 33% higher than the previous year.
Q4 EBITDA of Rs. 1,276 crores w ere 11% as against 8.9% in Q4 last year.

Q4 PBT before exceptional items has more than doubled to Rs. 1,068 crores as against Rs. 528 crores in Q4 of last year.
The PAT before exceptional items was Rs. 695 crores versus Rs. 431 crores in the previous year.
The company generated cash Rs. 2,280 crores during the quarter, and AL was net cash positive by Rs. 243 crores at the end of FY '23.
For the full year FY '23, revenue stood at Rs. 36,144 crores, which is higher than last year by 67%. This is actually the highest ever revenue reported by Ashok Leyland.

EBITDA is almost tripled and stands at Rs. 2,931 crores. That is 8.1% and up from Rs. 995 crores, which was 4.6% last year.
PAT, profit after tax after exceptional items for the year has gone up 2.5 times and is that Rs. 1,380 crores vers us Rs. 542 crores in FY '22.
Operating working capital is negative at Rs. 232 crores as against negative of Rs. 1,565 crores for last year.
Capital expenditure for the year is at Rs. 502 crores against Rs. 400 crores in the previous year.
Net debt as of 31st March 2023 was negative at Rs. 243 crores as against Rs. 720 crores at the end of FY '22, making Ashok Leyland as cash surplus company. I wanted to share 2 final points with you before I open the floor for questions.
One, we remain very positive and o ptimistic on the future of electric vehicles and Switch is very well positioned compared to many of its global competitors. Two, going by the positive developments in the industry, we believe Ashok Leyland is well poised to deliver double - digit EBITDA marg ins in the current year, and we plan to aim for mid - teen EBITDA targets in the medium term. Thank you.
Moderator: Should I open the floor for questions?
Dheeraj Hinduja: Yes, please do.
Moderator: Thank you. First question comes from Chandramouli Muthia h from Goldman Sachs. Please go ahead.
Chandramouli Muthiah : My first question is on the other expenses line. I think there's been some impressive control quarter -on-quarter. The other expenses have grown 22% Q -o-Q versus top line, which has grown close to 30% Q-o-Q. So if you could share some color on drivers of the expense discipline and what sort of run rate we should consider heading into the next fiscal?

Gopal Mahadevan : See Muthiah, as I have mentioned and as Dheeraj mentioned, we have been having a c onsiderable amount of cost -- I won't say it reduction, but optimization. So we've been actually channelling the overall expenditure into the right things and administrative overhead, typically, which is part of the other expenditure, which is approximatel y about Rs. 600 crores spend, I mean, give, or take some crores.
This is something that we have actually been able to retain it at something like 2015, 2016-17 levels without inflationary impact. So that has been very crucial for us and middle line managem ent. So we did 2, 3 things if you would notice in the current year, what has been special about the company's performance.
EBITDA margin in Q1 was 4.4%. It went to 6.5% in Q2, it went to 8.8% in Q3 and then it was 11 .0% in Q4. So you could see two, three t hings happening. Steady improvement in margins and faster rates of

improvement in margins. This has happen ed because of realization improvements, operating leverage because of higher volumes and that operating leverage has happened because we have been able to rein in the expenses.

But you can do a trend line now going by the last 4 quarters or even for the las t few years because what has happened is we are forecasting about as Chairman mentioned -- I'm sure you're going to hear Shenu also sa y this, that we are expecting the industry to grow this year, I mean all the research agencies have also mentioned that th ere is a 10% to 12% growth. When that happens, what we would want to do is to ensure that we secure operating leverage on that growth and improve the bottom line further.

Chandramouli Muthiah : Got it. That's helpful. My second question is on the prevailing structure for the EV business. So is there a potential for EV bus es to be sold maybe to a third -party leasing company, which can in turn sort of lease them out to the vario

us municipalities and states, so that there is

maybe less capital blockage at the C V OEMs. Is this a business model that can be worked on like the way aircraft leasing work today?

Gopal Mahadevan : Dheeraj, sh all I take it?

Dheeraj Hinduja: Sure, go ahead.

Gopal Mahadevan : No. I would put 2 large mega trends on this. One is EV business is here to stay and grow. And you are going to see a faster acceleration in EV business, which is why, as Chairman mentioned, we are extremely confident about our tapping the potential of EV and we will continue to invest into this business. It's very, very important for us.

The second one is, the EV business is still nascent and business models are evolving in India, which is possibly different from what is happening in the rest of the world. So one of the first things that has happened, which you rightly me ntioned, but it does not happen the way aircraft leasing has happened has been in e -Mobility as a service.

So we would possibly see even at operators buying these vehicles from OEs such as ours, and then having an operating model where they will cater to t he requirements of either intercity transporters or STUs or even within the state / within the cities. I think these operators are not going to go out of business . If the market changes to EV, we are going to swap their IC E buses to EV buses. That's all.

So we need to care as an industry, and we are making ourselves ready as a company, to ensure that we are catering to this segment. The second segment is STU businesses where we will see a mix of both ownership and e -mobility -as-a-service coming in. And the e-mobility service as things go further, will start to mature.

And will become even more profitable as the volumes start to pick up.

Thirdly, there would be private sector ownership, where you have the institutions, the schools, and the private operators, which I talked about. So they would also start procuring this.

Ultimately, the whole trick about EV is that at the moment, the capital cost is higher, but the operating cost is negligible . Once these operators and some of the STUs start to secure funding, they may want to actually take up an ownership model. So we are actually keeping ourselves open for all 3 models.

Moderator: Next question comes from the line of Pramod Kumar from UBS

Securities.
Pramod Kumar : My first question is on the current demand en vironment because the biggest -- what you say, concern what the street has on the CV cycle health as to where exactly we are and whether do we have another couple of years of growth?
Or this is going to be the last year of growth in terms of from a cyclica l perspective. So if you can help us understand how's demand looking from your vantage points, especially in the recent weeks and as you look into the next month. Because there was visible prebuy in the fourth quarter. That is the expectation.
So how is de mand looking on the ground? And how would you look at demand from a cycle perspective and in terms of just extending it beyond FY '24 guidance. If you can just help us understand on that.
Shenu Agarwal : Okay, Pramod, thank you for the question. As Dhe eraj said, we are very optimistic about the industry, not just for this year, but we also think the industry would go for a long -ish positive cycle this time. Even the ground pulse from the customers from large fleet owners indicates that this will be a longish cycle. I mean for this year, like we said, most of the research houses are bagging the industry growth. Overall, industry growth at

8% to 12%. And we also think that industry growth should be in that direction. At least 10% or more. So yes, very optimisti c.
I mean as far as the Q4 prebuying is concerned, that is a fact, some pre - buying happened in March. It may have some impact on April or maybe

May. But after that, we think that the growth would be back. And for the whole year, we are very optimistic.
Pramod Kumar : And Shenu, just extending that question...
Dheeraj Hinduja: If I could just add in over there just a few more points. And firstly, a lot of our business is very much dependent on the economy. And as you know, India is moving at a very fast pace and is expected to become the third if not the fourth largest economy. And in that co ntext, the growth will go hand -in-hand for our business of commercial vehicles, trucks, and buses. Also, one other issue on international operations. I know we've spoken a bout this many times. But I'd like to emphasize that during the course of the last year, our traditional markets of SAARC completely crashed.
And irrespective of that, we were still able to grow slightly because of the expansion we've done in the Middle Ea st and the African market. There is hope that during this financial year, many of the SAARC markets come back as well. So I would say that we are optimistic of international sales improving.
And as you are saying, looking outwards personally, we feel that the cycle for CV has this traditional growth of 3, 4 years. We've only had one good year so far. FY '24 is looking good. We don't see any immediate show blockers, which should indicate otherwise. And we do feel that this growth momentum should continue bey ond FY '24 as well.
Pramod Kumar : Yes. And Dheeraj and Shenu both as in which of the categories where you're seeing strength, which is kind of giving the visibility and I understand the industry is got -- the fleet industry is got heavily formalized. So I think you can engage more with the large fleet owners and understand the on -the-ground situation. If you can just help us understand pockets of strength in terms of the fleet side?

What's working well? And where do you see further upside like
categories li ke buses, for example, if you can make some comment on
that? That would be helpful.
Dheeraj Hinduja: So I would say that for us in this last year, we have -- as I mentioned,
we have grown in every product segment. And the growth definitely
seems to be acro ss the board, although the LCV segment has not grown
as fast as MHCV and even the predictions for this year are in the range
of around 5%, 6%. But barring that, I think we remain quite optimistic
from ICV to MAV, tractors, haulage. They are all showing qui te positive
signals. Shenu, would you like to add something?
And on the buses as well, Shenu, if you'd like to expand that.
Shenu Agarwal : Yes, yes. So like Dheeraj said, I think this overall momentum will
continue in most of the segments. We have done ver y, very wel l in
MAV, tractor trailers and t ippers in the last year as is evident from our
numbers. ICV is, I think, one area where we have a lot of headroom,
both in buses and trucks . So we are preparing ourselves with beefing up
our products, beefing up o ur network on this.
I think in FY '24 and beyond, we would like to put an extra focus on
ICV segment because of just the headroom available there. I think on
the bus side, the growth expectation is actually close to 30% or more
because buses are coming out of a very, very low base after the
pandemic.
So you know we are very, very strong. Ashok

Leyland is very, very
strong in the MDV side of the buses. So we are going to -- we hope to
gain from that momentum, that growth momentum. Even on the ICV
side, as I said, we are putting a lot of more focus now on both trucks and
buses. And we hope to gain substantial market share there as well.
Pramod Kumar : And Dheeraj, you made comments in your opening remark about single
as in margins in the peaks. Can you just help us understand that a bit

more because that's actually quite surprising to hear given how the cost
base has moved for the industry, right?
Becau se percentages trying to push margins higher is like actually quite
ambitious, given how inflation of the environment has been. So can you
just help us understand what's giving you that confidence? What are the
factors which will drive this and whether the modular transition on the
architecture side is also part of that story? If you can just help us, give
more -- get more color on that, sir.
Dheeraj Hinduja: Sure. I think, look, one of the key areas for us that has helped us gain
our market share as well a s the product performance of the AVTR range
in BS VI has been very good. And we have explained this in the past.
The advantage of having this modular program has been that we've been
able to rationalize the lo t of our supply base, which has led to a lot mo re
efficiency as well. And as Gopal was explaining, a lot of internal cost
control has been achieved.
And as we see with the softening of the commodity prices comes in as
well, we do feel the opportunities of achieving double -digit EBITDA
margins and movin g that further into the future should be possible with
the volume growth as well, market share growth, volume growth, we are
going by the performance of the last financial year, quite optimistic in
terms of having identified pockets where further cost redu ction
opportunities exist. And as I said, the product range itself -- the
modularity does help us significantly.
Moderator: Thank you. Next question comes from the line of Mukesh Saraf from
Avendus Spark. Please go ahead.
Mukesh Saraf : Just in continuatio n to the previous couple of questions on pan -industries
Could you give some sense on the current, say, in FY '23, how was the
replacement mix versus, say, n ew fleet addition mix in terms of the
customer profile? And typically, with your experience of the p revious

cycles, how does this mix change as you approach the end of the cycle? Could you give some sense of that?
Gopal Mahadevan : Well, it's an interesting question, but this industry is still a little bit unorganized. But I think there are 2 , 3 things that we have to remember in FY '22 -'23, one of the key things that has happened is there possibly has been increase in primary demand.
The primary demand is coming because for the last 2 to 3 years, which you noticed there has not been any major de mand at all . After FY '19, we thought that FY '20 will be a great year after -- before the launch of BS VI, but it was a flattish year.
After 20 -21, '21 -'22, we're virtually kind of -- there was no real demand. So to answer your question, our internal esti mates tell us that a lot of this has actually come from primary demand. That is why we are also optimistic about at this point in time that we're sitting in the month of May, we are optimistic about the growth in '24. Because of 2, 3 reasons. One, the mix of large fleet operators versus first -time buyers, first -time users , the tilt in FY '22, '23 has been more in favour of large fleet operators. The full first -time use

rs ha ve not come in because of 2 reasons again.
One, they are also waiting for the industr y to mature demand to keep going up. The second one is interest rates have also been high. So we are actually yet to see the full potential of first -time users coming into market. The second thing is replacement demand will start kicking in now because we believe that just as Shenu had mentioned or Dheeraj had mentioned , I think this industry has a bi t of potential because --what is happening is, on one side, there is a lot of regulation coming in on environment , pollution , ESG . The government is pushing fo r clean energy, etc.
On the other side, we are a country where you have vehicles from BS II to BS VI plying. The third aspect of it is that the government itself has

This transcript has been edited for readability and doesn't purport to be the verbatim record of the proceedings.

visibly started the scrappage policy but it is for maybe government - owned vehicles at the initial stage. But what is going to happen is this catch up is going to happen. And in the years to come, possibly it will start in '24, it may go to '25, '26 you are going to see the replacement demand kicking in. And you will see that, that is going to b e one more aspect that will drive the CV demand. What the growth rates are, little difficult to tell. But the other tailwind that may come up is we have seen the peaking of interest rate. And even with the high interest rates in the last year, what has bee n surprising has been the level of demand that has come in .
I mean the la st year the industry has grown at about 40% or so. And this has been, with a certain amount of challenges built into it. This year in macro terms will be relatively easier but with a higher base. But even with this, if we have a 10% to 12%, it's a very good thing for the industry.
Mukesh Saraf : Sure, sure. And secondly, on pricing, could you give some sense on what kind of price hikes we've taken so far. And how is the absorption of that price hike in relation to how the discount is moving ?
Shenu Agarwal : Yes. I think, see, firstly, I would like to say that there is, I think, a big realization in the entire industry. That our industry is going to change in the years to come, right? I mean t here for all the players like Ashok Leyland have to invest in the future. And for that, we cannot just remain

at the levels of EBITDA that we are as an industry. I think that realization is definitely there that we have t o increase our profitability level.
Now in terms of price realization, like Dheeraj explained, I have been in the market myself within a lot of customers and dealers. And definitely, this new modul ar AvTR platform -based products are being accepted very, ve ry well.
I mean, especially in the higher tonnage in the tipper in the tractor trailer and MAV segment, there is a lot of pull because of this new platform.

And on back of this strength, we have been able to have much better price realizations last year. A nd I think we still have headroom there. I mean we will play it by the market, I mean, how the market behaves. But definitely, there is an opportunity there. There's no doubt in that.
Mukesh Saraf : Sure. That was helpful. Any numbers you would like to give on the price hikes taken so far in the month of April and May.
Gopal Mahadevan : In April, we took about a 2% price increase. Just like Shenu mentioned, what is happening unlike in the past, is the retention of the price hike is almost 80% to 90%. So we ar e not increasing the price and increasing the discount. The industry is also not doing it. And you know it in Leyland, we have never been actually wanti

ng to do this as a leading practice.
So for us, we are extremely happy about the outcome , because this h as been a great year for the industry. And why should we sell it at such low margins, there is no necessity for it. For the industry to be sustainable, we need to improve pricing and we are seeing that happening in the current year.
And I would also add one more positive in this. I mean, not to sound overly positive, but these are facts that all of us know. One is pricing retention has been better. The second one is commodity prices seem to be coming off. right? So the industry w as to deal with this intel ligently, it should actually shift its margin base to the next level. That's what should be the outcome of this. Let's hope it happens.
Moderator: Next question comes from the line of Gunjan Prityani from Bank of America. Please go ahead.
Gunjan Prityani: I had two questions. First is eventually a clarification on some of the comments that you've made. 2% price increase in April, does this pertain to the BS VI Phase II RD E transition?

Shenu Agarwal: This is Shenu. Yes, I mean, we have had some impact of OBD II norms, but not a big impact. But this is a general price increase to cover rising cost as well as to increase our margins.
Gunjan Prityani: Okay. So the RD E related cost is fully passed through?
Shenu Agarwal: Yes, it is.
Gunjan Prityani: Okay. And the second clarification was on this commodity pricing cooling off. I just wanted to get an understanding as to how much of the tailwind from commodities we saw in quarter 4. And when you are looking into the next 1 or 2 quarters, are w e seeing there is some pending benefits still to come in because of metal corrections, steel contracts, whatever that you have visibility on?
Gopal Mahadevan: Hey Gunjan, what has happened is last year, the peaking happened in the beginning of the year, wh ere there was a huge increase and all of us are expecting steel prices to go further and further up etc. But then we

found that there w as a confluence of both domestic and international factors which resulted in the pricing cooling off a bit.

But again, in the fourth quarter, the challenge was that coking coal prices started to shoot up. And then the steel prices started to inch up a bit. What is happening is, as you know, in this industry, especially when buying of steel is concerned, there is always a 2 -month quarter lag in the settling of the prices.

So we expect that when we settle the prices, there could be a little bit of pricing done on the Q4 range itself or maybe slightly lower. But after that, we know that China's demand has cooled off again signif icantly. There are other countries like Australia, which are waiting to export out because we are also seeing a domestic glut there.

So we are -- the outlook on the steel prices for the current year is that we would see prices coming off in -- Q2, Q3, Q4 i tself. So if this were to

happen, which is going to be pretty good for us because the industry benefits immensely from steel price reduction.

Gunjan Prityani: Okay. Got it. That's helpful. My second question is on this investment that you've called out on the Switch mobility business, which is Rs. 1,200 crores progressively. And there's about Rs. 200 crores some in ICDs this quarter itself. So just a clarification, does this pertain to Switch ?

And I want a broader understanding of we were looking to raise m oney externally and now we're looking to infuse this capital. This will be done over how long? I mean if you can quantify the period? And

what will these investments go towards, some color around that will help.

Gopal Mahadevan: Well, let me first clarify this. Maybe we should have called it a short - term loan or a loan instead of calling it ICD. This is only for Switch -- okay, for the operations of Switch . There is a lot of integration, by the way, between the operations of Switch and Ashok Leyland in Indi a.

As I told you, one of the most important, you heard Chairman say that you're very extremely bullish about Switch . So it's why are we talking about that, first of all, because Switch is backed by a 75 -year-old experienced MHCV player like Ashok Leyland and one of the world's largest bus manufacturers and with its own network relationships understanding of the product, understanding of the applications, etc .

So this is certainly a benef it that Switch is having and that is how , Switch is actually gaining acceptance very quickly in India. Now the second bit of it is, while we are looking for investors, what we said is while we will continue to look for investors, we would want to ensure th at the business plan of Switch continues and is on track. Because for us, this is not just another company. This is we are trying to address the future of ssAshok Leyland while IC E will continue and continue for a long time.

EV is going to gain more and mo re traction and maybe even H2 ICE for that matter, right, alternative forms this energy. Now when we're doing that, we want to ensure that we are able to fund the operations. So to answer your question, yes, the Rs. 200 crores, which was given earlier, which declared is a loan that is given to Switch India.

Now the investment horizon that we're looking at, which Chairman had mentioned about Rs. 1200 crores will be spread out in tranches, maybe over next 12 months. We will again revisit this. The balance she et of Ashok Leyland is very strong , and we have the ability to fund the

expansion of Switch, and we will continue to do that.
Gunjan Prityani: And this is largely towards -- yes, sure, go ahead...
Dheeraj Hinduja: Yes. I was just going to add in most of th is funding would be needed for completion of the programs of the new products. And I think one of the most significant products that we would be launching, and the first sales will be going into Spain in January is a brand -new development of a European 12 -meter bus.
I think we would be the first electric Indian player to have developed a whole new platform. And we remain quite optimistic because this 12 -meter bus has the potential for not only the European market, U.K., Europe, and the Middle Eastern market s as well. So this year is a very high capex year for Switch predominantly for the new products, the 2 new LCVs, electric Dost, electric Bada Dost. You've got the low floor 12-meter bus and the low floor 9 -meter bus for the Indian market and then the low f loor 12-meter E1 bus for Europe.
Moderator: Next question come s from the line of Kapil Singh from Nomura. Please go ahead.
Kapil Singh: Good afternoon. Congratulations on a good set of results. Could you share your capex and investment plans for FY '2 4? And in what areas they will be going -- overall, your consolidated number?

Shenu Agarwal: Normally as a company w e spen d about Rs. 500 crores to Rs. 600 crores in capex. In FY '24, the amount is a little bit higher. It's going to be roughly Rs. 600 crore s to Rs. 750 crores in capex. Some of it will go towards capacity augmentation and debottlenecking of our supply chain. But that would be not a major amount because w

e have enough capacity right now at least for next 1 or 2 years.
I think most of the capex would be on product development. And as I said, we have earmarked certain areas or certain product segments where we need to beef up our product offerings, including the international markets.
So most of the capex would be there. Also, as you know that in Auto Expo this year, we displayed a vast range of alternate fuel vehicles across the range, ICV, MDV buses, LCV, etc. So that capex has been going on for the last couple of years, and we just w ant to accelerate that further so that we can bring these products in the market in the next 1 or 2 years.
Kapil Singh: And for investments sir?
Gopal Mahadevan: So investments, I think, predominantly will be in Switch, which I think is what is being plann ed. Other than that, I don't see any major investment. I think Hinduja Leyland finance is already well funded. They had Rs. 900-plus crores of qualified institutional placement being done.
So we are not seeing any major investments coming in, maybe a small investment here and there to sustain some of the smaller subsidiaries.
Kapil Singh: So what is your consolidated net auto debt?
Gopal Mahadevan: Consolidated what? Sorry?
Kapil Singh: Net automotive debt, excluding the financing business.

Gopal Mahadevan: Consolidated debt Maybe you have another question while we take that number out.
Kapil Singh: EV I just wanted to check for Switch. We are investing with Rs. 12 billion next year . From when will the revenue start to flow and what

kind of profitability do you expect from this business to start off with? Is it gross profit positive EBITDA positive? Any color you could give there? Anything on the order book that it has so that we can build revenue against these investments?

Gopal Mahadevan: Well, you see, as far as this is as Dheeraj mentioned, we have variants to be launched -- products to be launched in light commercial vehicle 2 variants, and then we have the 9 -meter and 12 -meter l aunches in India as well as in Europe, and these investments are going to take up quite a bit of the portion of the investment that we are planning into Switch . All we can tell you is see the market is evolving.

So in the initial period, one can't expect i t to straight away, become EBITDA positive from year one. But in medium term, this business is profitable just like ICE business. We can possibly have greater color and share that with you in the later part of this year. Because it's a little too early to share numbers with you.

But all we can tell you at the moment is which is not a kind of Switch -- has got volumes already. It is actually doing both direct sale, which is not very significant, but e -mobility -as-a-service. We have supplied to BMTC Bengaluru Metropolitan Transport Corporation, Chandigarh Municipal Corporation than we have started supplies for BEST. We have a couple of private orders also where they are looking at e -mobility -as-a-service.

I'll tell you is that -- and this was -- don't hold me to the date. I don't have it readily, but I think 3, 4 years back, we were one of the first to start the whole e -mobility -as-a-service with the Gujarat, Ahmedabad Bus transport authority, and then followed it with Bihar. And what we can

tell you is that wi th each passing order, we are getting better and better at this, we are actually extremely confident about the performance of the product and more importantly, also about the uptime of these products. The uptime of these vehicles is at 99%. So it's somethi ng th

at we have understood and are able to do very, very efficiently. While we will continue to pursue Switch will continue to pursue and sell direct sales. With the launches of a larger product portfolio, we believe that the traction in the business will start to gain faster. And the market is also evolving because year -on-year now the market has started to grow. So you will have to wait for the growth in the market to happen over the current may be next couple of years. And you will see that the EV busine ss volumes will start to scale up.

Moderator: Next question comes from the line of Pramod Amthe from Incred Capital . Please go ahead.

Pramod Amthe: This is related to your new products and market share ambition. If I have to look at -- you have recently got back your oldest customer and the largest key top operator has come back client, wanted to know, is it more of a reassurance of your new product? Or still the pricing game being played in the marketplace? That's one.

Second is, if I look at your market s hare on overall period you are at like 2 decades high with these exception in LCV . So what are new product launch timelines in the coming quarters and your ambitions on the market share in the short to medium term?

Dheeraj Hinduja: Sorry, I was just clarif ying. Were you referring to the VRL order?

Pramod Amthe: Yes, exactly.

Dheeraj Hinduja: Okay. Yes, please go ahead, Shenu.

Shenu Agarwal: VRL order, we are very, very proud to get the m back and they have been associated with us for many, many, many, many y ears. I think -- I mean,

there are a lot of factors, not just one. I think one is just the relationship itself. And the other is, of course, the products are speaking for themselves in terms of performance and reliability.
And also, I think it has got a lo t to do with the aftersales network also, the kind of service they have been experiencing from Ashok Leyland . I think it's on multiple accounts that we got that order back, and we are really proud of it. What was your second question about?
Pramod Amthe: Second one was related to a short - to medium -term market share ambition because you're already at a two decade high on the overall MHCV market share, if I have to look at near 18%. And how does the new product launch pipeline or timeline is to support thes e invasions?
Shenu Agarwal: Dheeraj has also said in his opening statement -- confident. But our goal is to get to mid -30s in the next few years in the near term, right? So that is what the focus is.
And the reason for that confidence is also very clear. I mean not just the product story but also the big laggards like in our journey were mainly the North and the East markets. But if you have -- if you see our market share in North and East in FY '23, we have had a very significant jump, roughly about 4% to 5%.
While we grew in -- I mean all the zones, but we are really happy about the North and East growth in our market share, which is already like touching 24%, 25% now. In the past, you would see like even in FY '22, we were kind of 20 or below 20. So that is giving us a lot of confidence because the network is shaping up.
We have the right profile of dealers coming up in the right places. We are setting up. We are investing a lot in our service reach as well. And customers have started appreciating that. So that gives us the confidence, not just the product on the product side, on the success of the AvTR

modular platform, but also that we have been able to place the right set of dealers in the markets where we were tradition

ally weaker.
Moderator: Next quest ion comes from the line of Shubam Shukla from Voyager Capital. Please go ahead.
Shubham Shukla: So my first question is about our debt level, like how much is our gross and net debt, like so far? And where do we see this going forward?
Gopal Mahadevan: Yes. I think Balaji will answer that while he's picking out the number, let me tell you that the whole strategy of the gross and net debt has been that we conservatively manage the debt to ensure that long -term debt is funding the long -term plan for the compa ny. And we don't continue -- we don't use this aspect of when the cash is there to prepay the debt and then borrow, etc ., because we would want to see consistent cash flows in the company. So what is happening, the long -term debt is about INR3,200 crores
K. M. Balaji: The long-term debt is at Rs. 2,900 crores.
Gopal Mahadevan: And if you're asking the short -term cash...
K. M. Balaji: Short -term cash is Rs. 3,150 crores.
Shubham Shukla: Okay. And our average cost of fund if you can provide?
Gopal Mahadevan: We'll tell you, I mean, but what we have done, while we can't give you that exact number at the moment. I'll tell you that the treasury team has done a good job in locking some of the debt at fixed rates and the interest rates were low. So some of the debt levels, I'm not saying the overall debt percentage is that. But some of the earlier debt that was taken as the seven quarter, which is extremely low when compared to the current interest rat es.
Shubham Shukla: Okay. And later ones are like quite higher, l ike just like slightly higher than these numbers?

Gopal Mahadevan: It will obviously be gradually high. It won't be very high because we keep borrowing every year . I mean we see, irrespective of the cash that is there we need to manage long -term and short -term separately .
So while there could be some amount of carry, it doesn't matter because what happens is you must remember when in a situation like COVID, right, w hen the entire thing came to a grinding halt, it was this philosophy that actually helped the company. So we were able to not get worried at all about the long -term requirement of the company because that was already funded. What we needed was short -term m oney, which could go either through short -term loan or commercial paper, and we were able to get some of the finest rates .
So going forward, I don't see an issue on the debt profile of the company. Because even on a net basis, even last year, our debt is t oday hardly point. I may be wrong, and the number is 0.2 or 0.25. So there's sufficient headroom for us to borrow if there is a necessity.
But see at the rate that the industry is growing and with better improved margins, I believe that the pressure on the balance sheet for going in for debt will also be much, much lower.
Shubham Shukla: Okay. And on the capex side, like how much capex do we have in this quarter 4 full year?
Gopal Mahadevan: You want the quarter or full year
Shubham Shukla: Quarter 4. Like full year, I'm assuming it was supposed to be Rs. 600 crores for the year. And like so far, Q3...
Balaji K M : Q4 was around Rs. 180 crores.
Shenu Agarwal: Full year capex was close to Rs. 500 crores, not Rs. 600 crores.
Gopal Mahadevan: Not Rs. 600 crores was Rs.500 crores.
Shubham Shukla: Okay.

Gopal Mahadevan: Believe me, that is extremely efficient management. Please understand when a company is delivering what I wanted to share with you is at Rs. 36,000 crores of revenue. And at these levels of volumes,

I think the manufacturing operation and product teams have done a great job in actually reining in the capex of Rs. 500 crores.
That's very, very important to note and be very clear that while we will ensure that we are invested for all future growth . And we are not going to short -change the future for the presence. So we will invest, but we are very, very clear that the whole organization is actually driving towards productivity.
Not only in revenue m aximization, cost efficiency, but even in capex. So the operating teams are actually working and doing how do I better productivity out of this capex, out of the facility. And that is why we're seeing the trick of this Rs. 500 crores I won't use the word t erm trick, but I'd say the outcome of just INR500 crores of capex on a company such as Leyland.
Moderator: Ladies and gentlemen, we have reached the end of question -and-answer session. I would now like to hand the conference over to the management for closing comments.
Dheeraj Hinduja: Thank you for your questions. I think I would just like to emphasize a few areas that I believe that I've heard that are concern, one is the continuing growth of the commercial vehicle cycle and whether beyond FY '24, the market will continue on a stronger note or no t. Our firm belief is, yes. We believe the Indian economy is growing quite strongly.

And in conjunction with that, the commercial vehicle market will continue to grow as well. I also believe there are concerns with regard to Switch and the investors coming in to Switch. I think it's important to note that w hile many companies have started electric vehicle division.

We are one of the few that have successfully executed new products and which are running well. We have a further 2,500 confirmed order book for vehicles to deliver. We are one of the few companies that are operating in multiple geographies from India, SAARC, Europe, U.K. And we're very confident that we can grow this business very robustly for the futu re.

And finally, seeing the performance of the last financial year , we would like to emphasize that we remain very optimistic on our ability to perform equally well in the current year to grow our market share and at the same time, do it on a profitable ba sis with strong EBITDA performance as well.

So thank you very much once again for your interest. Shenu, anything else you would like to add

Shenu Agarwal: That's it Dheraaj. Thank you very much, everyone.

Dheeraj Hinduja: Thank you.

Moderator: Thank you. O n behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2023

`July 31 , 2023

Dear Sir/Madam,
Concall Transcription
Pursuant to Regulations 30 and 46(2) (oa) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of the Company's Analyst Call held on July 2 4, 2023 to discuss the financial results for the quarter ended June 30 , 2023.

Meeting start time - 3.00 p.m. IST
End time – 4.00 p.m. IST

We request you to take the above on record.

Thanking you,

Yours faithfully,
for ASHOK LEYLAND LIMITED

N Ramanathan
Company Secretary

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"Ashok Leyland Limited
Q1 FY '2 4 Earnings Conference Call"
July 24 , 2023

MANAGEMENT : MR. SHENU AGARWAL – MD AND CEO – ASHOK LEYLAND LIMITED
MR. GOPAL MAHADEVAN – WHOLE -TIME DIRECTOR AND C F O – ASHOK LEYLAND LIMITED
MR. K M BALAJI – DEPUTY C FO – ASHOK LEYLAND LIMITED

MODERATOR : MR. JOSEPH GEORGE – IIFL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Ashok Leyland Q1 FY '24 Earnings Conference Call, hosted by IIFL Securities Limited.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask quest ions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Joseph George from IIFL Securities Limited. Thank you, and over to you, sir.
Joseph George: Thank you, Michelle. Hi, good afternoon, everyone. On behalf of IIFL Securities, I welcome you all to the 1Q FY '24 Results Conference Call of Ashok Leyland. From the management team, we have with us Mr. Shenu Agarwal, MD and CEO, Mr. Gopal Mahadevan, Whole -Time Director and CFO, Mr. K.M. Balaji, Deputy CFO.
I will hand over the call to Shenu, sir, for the opening remarks, post which we'll start with the Q&A. Over to you, sir.
Shenu Agarwal: Good afternoon, ladies and gentlemen. It's a pleasure to have you at the Ashok Leyland Q1 FY '24 Earnings Call. I thank you very much for the interest shown in Ashok Leyland.
The domestic MHCV industry witnessed a Y -o-Y growth of about 3% in Q1, backed by a favorable macroeconomic environment and a strong replacement demand. Healthy growth in the end -user industries like cement, steel and infrastructure as well as improvement i n general manufacturing activity and consumption trends continue to stand in favor of demand from fleet operators. Good pick -up in bus demand has also augured well for the industry.
The growth in MHCV segment is slightly muted, owing to the effect of some pre-buying in Q4 of last year, because of implementation of OBD2 norms from April 1, this year.

We expect the growth trajectory to improve going forward. Significant allocation towards capital expenditure in the Union Budget 2023 -24 would continue to prov ide the necessary traction to MHCV demand in the near to medium term.
As far as LCV industry is concerned, the progress of the monsoon and its impact on rural demand remains a key factor to watch for.
Overall, we maintain our earlier guidance of 8% to 10% growth for MHCV and 5% to 6% growth for LCV for the entire fiscal year FY '24.
The commodity prices moved marginally northwards in Q4 of last fiscal. Since we pass on the effect of commodities generally with a lag of a quarter, we had some impact from thi s, which was, to an extent, neutralized with efficient inventory management. It is expected that commodity prices would soften in the coming months.
Ashok Leyland has been able to beat industry growth in Q1 as well in both the MHCV and the addressable LCV segments. On top of that, we have also been able to raise prices consistently, including a price hike in Q1 this year. What is good to see is that the retention of such increases is improving. We are also putting efforts in reducing our costs, both the product cost as well as overheads. All these are visible in our Y -o-Y margin improvement.
The EV business housed under Switch is crucial for future proofing Ashok Leyland. While we will continue to look at external investors, Ashok Leyland, shall, in the mean while, fully support the efforts of Switch in developing world -class products. Switch presence is growing, and I'm happy to share that our electric products are performing

extremely well. We are also preparing for launch of our Switch Electric LCVs in the second h

alf of the year.
During the quarter, Ashok Leyland has launched a Star 6x4 ED PTO Ready Mix Concrete, Ecomet Star 1915, 2820 G45 FES, Ecomet Star

16 ton and 18 ton, 24 feet, 4225 MAV, and 13.5 meter bus with 19.5 ton GVW, thereby expanding our rang e further. I'm extremely confident that with these launches, and the continued network expansion, we will add on to the market share gains achieved in the last few quarters.
Now I will quickly run you through our Q1 performance.
In Q1, our MHCV volumes ha ve grown at 7% on Y -o-Y basis as against the industry growth of 3%, resulting in market share improvement for Ashok Leyland.
Bus TIV volumes grew by 39% and the corresponding growth for Ashok Leyland in Bus segment was at 93%. Bus market share has improve d for Ashok Leyland from 20.2% last year to 28.1% now, that is by 7.9%.
Truck TIV was almost flat in Q1, and AL volumes have grown, resulting in a market share improvement of 0.6% from 31.1% last year to 31.7% in Q1 this year.
This is the sixth consecutive quarter of 30% -plus market share for Ashok Leyland.
Our Q1 LCV volumes have grown by 3% over last year, that is in current year, Q1 was at 14,821 numbers versus previous year Q1 of 14,384 numbers.
IO sales have registered a 12% decline in Q1 Y -o-Y, consequent to the meltdown in many economies around the world. We did 2,222 numbers in Q1 in the current year versus 2,527 numbers in Q1 in the previous year. But relatively speaking, our performance in IO is still better as overall CV exports out of India has declined sharply this quarter.
Good performance in aftermarket sales continued in Q1. Our aftermarket sales at Rs. 617 crores grew by 34% over same period last year, which was at Rs. 459 crores.

Volumes under Power Solutions business have doubl ed in Q1. That is at 8,776 numbers in Q1 this year versus 4,381 numbers in Q1 previous year.
Q1 revenues stood at Rs. 8,189 crores, 13% higher than Q1 of last year at Rs. 7,223 crores.
EBITDA for Q1 was at Rs. 821 crores, which is at 10%, as against Rs. 320 crores at 4.4% in Q1 last year.
Our PAT was up more than 7x at Rs. 576 crores versus Rs. 68 crores in the previous year. You may note that the tax expense for the quarter considers a one -time deferred tax credit of Rs. 172 crores on account of expected transition to lower tax regime.
Operating working capital is at Rs. 1,522 crores as of June '23, primarily supporting the increased activity levels.
Capital expenditure for the quarter is roughly at Rs. 95 crores.
Net debt as of 30, June 2023, was at Rs. 1,464 crores as against a negative of Rs. 243 crores at the end of fiscal year '23.
I now open the floor for questions. Thank you.
Moderator: Thank you very much, sir. We have the first question from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.
Chandramouli Muthiah: My first question is around some of the cyclicality of discounting

in the CV industry. So over the past sort of seven to eight years, I think, there have been maybe a few instances where discounting slowed down a little bit. And we seem to be in the midst of that sort of scenario right now. But there seems to be more confidence that lower discounting in the CV industry can sustain for a longer period of time. So just trying to understand what's giving you that confiden ce? And any color on that would be very helpful.

Shenu Agarwal: Yes. I me

an, it is true that historically, things have happened in a certain way as far as discounts are considered. But we have an opinion that currently, CV industry is poised for a lot of c hange. And I think everybody in our industry understands that everyone needs to invest in this new change, that is coming up on us.

We have heard from our peers as well in various media reports that everybody wants to focus on profitability. Of course, it is very difficult to say how competition would respond as far as discounts are concerned. But generally, the feeling at least right now is that people want to maintain healthier practices and look at value selling, look at generating more profits, so that we can all, as an industry, also invest in the new things that are upon us in the future.

Chandramouli Muthiah: Got it. That's helpful. My second question is on the plan to launch sort of a zero -ton to 2 -ton LCV over time. So I understand this is a pretty large volume category within LCVs, which you're not playing in at this point. So it makes a lot of strategic sense to participate there. If you could give us some idea on what sort of time lines you have in mind to put this product into market? And just yo ur thought process around sort of competitive intensity there, I think the zero -ton to 2 -ton LCV market is more competitive than sort of the 2 -ton to 8 -ton segments. So just any early thoughts there would be super helpful.

Shenu Agarwal: Yes. As we also st ated in our analyst meet, I think last month was that we are seriously considering an option of getting into sub -2-ton segment. As you said, it is a very attractive large sized market. And having now achieved more than 20% market share in a relatively shor t period in 2 -ton to 3.5 -ton gives us confidence that we can be active player in the sub -2-ton as well.

Now of course, right now, it is too early to comment on the time lines, etc. Because this market is a very mature market, and it's entrenched with the c ompetition that has been there for many years. And therefore,

whatever and whenever we want to enter this, would depend on us being able to come up with a very sharp proposition on what kind of product do you want to come up with. Yes. So that will take a few more months. As we said in the Analyst Meet as well, hopefully, during the year sometime, we would be able to tell you more about this.

Moderator: Thank you. The next question is from the line of Kapil Singh from Nomura Group. Please go ahead.

Kapil Si ngh: Congratulations on a strong set of results. Firstly, I wanted to talk about industry growth, because first quarter has been soft. You had guided for same as well due to pre -buy. But what are the signals you are reading from the ground, if you could ta lk about that?

Shenu Agarwal: Yes, Kapil, thank you for the question. I think the momentum , the pulse on the ground is very strong. We don't see any kind of negativity in any of the segments actually. The momentum is going well. I think, the

growth was a l ittle bit muted like, we explained in the last call as well
that there could be some pre -buying in Q4, and therefore, this quarter, it
was expected that the growth would be slightly muted.
We are still happy that we had a marginal growth in the MHCV segmen t,
but especially in the Bus segment, there was tremendous growth in the
market. As I said in my opening comments that we still maintain our
guidance that we gave last time of 8% to 10% growth for MHCV and
5% to 6% roughly for LCV for the entire year. We a re still maintaining
that guidance. And therefore, we think that the momentum would
actually further increase going into quarter 2, quarter 3 and so on.
Kapil Singh: Okay. Great to hear. And second, if you could just

talk about as you look
ahead over the next two to three years, we have talked about market
share, further expansion to around 35%; and margins, we are aspiring to
get to 15%, margin right? So what are the levers that you are seeing for
both that are possible from hereon as we move towards that goal?

Shenu Agarwal: Kapil, there is a lot of opportunity that Ashok Leyland has. As far as
market share is concerned, I mean, we have been talking about the
disparit y in our market shares when we look at geographical market
shares. North and East, although we gained substantially last year, but
still, we are like, 25% range there, although we have improved from
20% to 25% now.
But we definitely want to improve our mar ket share in North and East
to roughly 30% or more. And if we can do that, definitely, we could be
touching close to 35% overall. Even in product segments, we have a
huge opportunity in some of the specific segments. For example, like in
MDV buses, in medi um heavy -duty buses, we have a market share of
50% or more. But in ICV buses, which is about two -thirds of the bus
industry, our market share last year was still like around 15%.
We have substantially improved in Q1 in ICV buses, and we want to
continue to do that . So I mean, we have our play very well understood.
We have our actions deployed in the right place, whether it is product
segments or geographies. And we hope, I mean, just, if we continue to
focus on the fundamentals, whether it is product segmen ts or
establishing the right network or getting our network right in the white
spaces, we have right now, I think, we can move towards that number
of 35% in the next few years.
As far as margins are concerned, I think, in the analyst meet last month,
we sa id in the near term, we want to achieve a double -digit EBITDA.
And in the longer -- in the medium to long run, we want to aim at mid -
teens, which is roughly around 15% EBITDA, right? So I mean, we are
happy that in Q1, we could achieve double -digit EBITDA actually
because a lot of things worked in our favor. But double digit is what is
our focus in the near term right now.
Kapil Singh: Great. Sir, if I could just lastly touch on the EV side as well, we have
seen quite a few orders coming in for -- from the various governments,
but Ashok Leyland so far has already participated very aggressively in

those orders. So what is your outlook now as we look into FY '24, FY
'25?
Shenu Ag arwal: No, Kapil, that's not right. I mean, we have been participating in the
tenders that have been floated by STUs recently, especially the C ESL
two tenders that we participated. Now we are in discussions with all

these STUs, wherever we got an opportuni ty to get into contracts. So yes, I mean, we have a pretty healthy order book that we are going to now focus on executing.

Moderator: Thank you. The next question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani: I have two questions. Firstly, on the margin. Just trying to get a little bit more color. The gross margin expansion of 200 -basis -point despite some cost push, it's quite strong. So I'm just trying to understand what were the levers for improvement here? And more specifically, when I look at the remainder of the year, you've got better operating leverage yet to play out. You've got steel correction tailwind yet to play out.

So if you can just give us some thoughts on how we should be thinking about margins for the remainder of the year? Will we be decisively able to improve where we are in quarter 1?

Gopal

Mahadevan: Yes. Hi, Gunjan, this is Gopal. See, essentially, I know you're looking at Q1 versus Q1. So what has happened last year is there are two thing s that have we have been actually working on. One, of course, if you look at the general industry trend, there has been a softening of steel prices . But even there in Q1, there was a slight amount of steel price increase. But the pace of growth of steel pr ice increases happened from Q1 of last year to Q3, Q4 and then coming off has been helping the industry. But that is the upside.

What have we done at Leyland? At Leyland, what has happened is, when you compare Q1 of last year with Q1 of this year, this is actually baked

in four quarters of price increases. And net price realizations have approximately gone up per quarter, say, by about 1.5%, 2%, and of course, there is a mix impact etc.

The second thing that has happened is, last year, as we have shared wit h you, we had embarked on a huge cost reduction viz., material cost reduction program, which is, we had looked at bulk buying, consolidating vendors, alternative design, changing some of the bells and whistles, which were actually helping to drive performa nce, but at the same time, getting, which was enhancing performance, but also bringing down cost.

All of this resulted in the first quarter itself. First quarter typically is not a great quarter for the industry. But we were saying that, can we hit a 10% m argin in the first quarter? That was the internal question that we had, and we were able to do that.

So three factors: much better revenues than last Q1 of last year where we then ended up with 4.4%. And this quarter, we ended up with a 10% EBITDA, Q1 vers us Q1. Second one is consistent price enhancements that have been able to deliver better net realizations. Third one is cost reductions on the material front, which has resulted in the gross margin expansion.

Gunjan Prithyani: Okay. And so for the remainde r of the year, is there any further cost , I guess, you're talking about the recent initiatives that you have taken, and of course, the modular platform. So is there more to come from those initiatives? Or going into the remainder of the year, it's essentia lly going to be operating leverage and steel correction, which is yet to play out?

Gopal Mahadevan: No, you must understand one thing. One, price increases, for example, if you do it quarter -on-quarter -on-quarter sequentially, they have an impact as we mov e forward. That is step ladder method of actually incremental improvement in the naturalization that will happen .

Similarly, when you do cost reduction, there is a reverse step ladder method, maybe a defending step ladder method, where the costs start to come out quarter -on-quarter. So to be candid with you, in the forthcoming quarters, we are expecting the benefits of the cost reduction initiatives that we have been doing for the past few quarters.
Over and above that is the play that if steel prices were to come up, and I think the general consensus from external reports is that the second half of the year, steel prices are going to be soft. We are already in the second quarter , the first half is almost going to get complete . So after that in the second ha lf, steel prices are going to get soft. So that would actually add on to the profitability for the industry also. So we believe that if the industry were to grow at about 10% to 12%, which is not at all bad, if you look at the 45% or 48% growth that the in dustry has posted last year.
I think riding on that volume base, the industr

y growth, say, even by
10% this year, there is scope for margin expansion. And then after that comes in the operating leverage and the other benefits that you can get.
Gunjan Prith yani: Okay. Got it. That's good to hear. The other question I had was on the Hinduja Leyland Finance. If you can just refresh us on where we are on the time lines, how long it can take for the business to demerge? I know you all raised money, but just figu ring the demerger time lines there?
Gopal Mahadevan: Okay. I'll tell you what is happening is it's not a demerger. Hinduja Leyland Finance is actually going to merge into NXT Digital. So it's a reverse merger that is happening. There's no demerger. I think the time lines , there are some formalities that are to be completed. Our expectation is that it should happen anywhere between Q3 and Q4. No major deviation in the time lines.
Gunjan Prithyani: Okay. And last one from my side will be just the inventory le vel, is there any -- where are we versus the typical inventory levels in the channel?

Gopal Mahadevan: See, I would only say that in this quarter, we have actually brought down inventory levels a little bit because we are very kind of very nimble quarter in this inventory management. So we don't have any significant inventory in the pipe that is with compan y or dealerships. I think, it's a t manageable level. Month -on-month, it keeps oscillating, but from our side, there is no stuffing of the inventory at all.
Moderator: Thank you. The next question is from the line of Pramod Kumar from UBS. Please go ahead.
Pramod Kumar: Congratulations on a great set of number. My first question is on the non-vehicle side. Because looking at the Q -o-Q model mix and the way the volumes have come off, and the ASP looks like your non -vehicle side of the business has done very w ell. So if you can just throw some color on the quantitative aspects there as to how spare, how is defense, how is genset business, and that will be great?
Shenu Agarwal: Thank you, Pramod. So let me just start with the Power Solutions business first. And I want you to just keep this in context that there was supposed to be an emission norm change from July 1 2023 , which actually got postponed now by about 12 months. So because of this announcement of postponement which came very late into the quarter, there was some pre -buying that happened in the quarter, which would impact our Q2 and Q3 volumes as far as the Power Solutions Business is concerned .
Now all of that pre -buying did not happen that we were anticipating, because the announcement came like a week or 10 days in advance that the norms would get postponed. Otherwise, we would have registered even a higher volume in PSB. But just keep that in mind. Although overall, we are doing well. And in the whole year also, we would register

a significant growth in our PSB volumes. But just for a quarter 1
perspective, you have to just keep in mind that some pre -buying has
happened in quarter Q1.

Coming to defense business, yes, last year was not a very good year for defense . And therefore, you are seeing very hig h growth percentages in the defense business.

Now even in the last call, we said that defense pipeline is now building up sharply. We have just announced receipt of Rs. 800 crores order from the Army. And I think the pipeline is building up very robustly. So for FY '24 and even for FY '25, we see very healthy defense volumes to happen. But just see that in context of the last year, which was not very good, right? So the base for itself was not so

good.

On part sales , we are very, very happy and also very co nfident that we have not just registered a very good increase or growth in our parts business, but we also continue to do so. Last year, we did about 30% growth or more than 30% growth in our parts business. And even in this quarter, you have seen that the parts business has grown beyond 30% . This is really not just about the growth itself, but it also, I think, reflects how our network is spreading overall and how our market share is getting more -and-more spread out even in North and East areas. So it's a culmination of all those efforts. But yes, overall, on non -vehicle business, we are very optimistic.

Pramod Kumar: And second question is on the discounting side because the discounting scenario has seen a big change over the last three to four quarters. I f you can, Gopal, if you can just help us understand what used to be the typical discounts, what the industry was seeing on HCVs? And where are we today as in -- just trying to understand how much of this profitability delta has come from discounting reduc tion alone?

Gopal Mahadevan: You see , this quarter also we raised prices by 2%, yes, net. So it depends on the model . When I'm giving a very average number because what happens is that you have certain SKUs and there are North, South, East, West pricing etc., that happens. Definitely, discounting has, in absolute terms between last year and this year itself have come down by

anywhere between 10% to 15% in terms of vehicle . Don't add that stake to the margin.

Because what happens is discounting is one strea m of activity, price realization is another stream, billing is another stream of activity, net price realization is a third stream of activity. So what has happened is quarter -on-quarter, like you mentioned, as I had mentioned, the 10% to 12%, why is it co ming? Because quarter -on-quarter, if you look at four quarters, average, we would have raised prices by 1.5% to 2%, right? So you would have actually had last year maybe about 7% to 8%. And then you have another 2% coming this quarter. So sequentially, it would have had about 10% of price increases that is happening.

So that the industry is also holding, which is good for us because that means that the industry is able to absorb these prices and still deliver a marginally higher growth, which is good.

Pramo d Kumar: And then, Gopal, do you expect this is like, something which you've not seen historically, even forget after the last two, three years were discounting went out of control, and now you're having a great run on pricing. But we never seen this kind of very strong pricing in this

industry for the longest period of time. I don't recollect if you from your
experience or Balaji's experience or even Shenu's, if you've seen this
even, like say, 15 years, 20 years back, I don't recollect at least in the
last 15 year s, 17 years. So I'm just trying to understand what's driving
this price discipline, sir?
Gopal Mahadevan: 2018-19 was a good year, yes. 2017-18, 2018-19, while the discounting
was happening, net price realizations in the BS IV regime were actually
getting better. The margins for the industry was good.
Pramod Kumar: But that was on a lower cost structure as well . The content cost was
much lower than where we are today. The average truck size were also
much smaller. But if you look at the price incre asing velocity because
it's one thing to -- because it ultimately adds up, right? Everything adds

up, and the customer also, there's somewhat of demand sensitivity

at
some particular level, right? I'm just trying to understand from a very
high discounting -led environment where net pricing was actually
collapsing to environment where net pricing is going up sharply. How
is the industry, how is the customer base reacting to this? I'm just trying
to understand how far can we continue to have such run .
Gopal Ma hadevan: Let me put it in perspective and then I'll request Shenu also to add. See,
there are two, three things here. Your point is right . But what has
happened is, unfortunately, the cost of the vehicle went up by
approximately 20% to 22% in Q1 of FY '20. And what happened is the
whole thing had imploded, right? Because it was bang at the start of
COVID.
So there is no demand, and you are launching and you are forced to
launch products for regulatory compliance with a product which was
20% to 25% more. It could be 13%, 14% in some SKUs, but broadly,
I'm saying 20%. So once that happened, the pricing power was virtually
not there in the industry. And the industry always, like you rightly said,
already had the practice of discounting. So then the situation we nt
southwards as further discounting happening for a very limited customer
demand.
Now last year, what has happened is, after '20 -'21 and then we saw in
Q4 of '21 -'22, and maybe second half of '21 -'22 demand coming back.
Last year, there're a lot of pent -up demand, so to speak, started to
happen. Because we must understand India suddenly turned into a high -
growth economy. And you need transportation to fuel this growth . So
then what happened is, whatever demand that had actually not taken
place in the past, suddenly, and the axle load norms also, which had
created capacity of maybe about 160,000 vehicles had also kind of -- the
impact was over.
So the industry , I think the demand suddenly started to ease of last year.
That is why the industry grew by about 4 5% to 48%. When this was

happening, when some of the players decided that no, we don't need to
actually keep discounting to acquire customers, then we saw the price
realizations holding on.
Hopefully, what we are expecting is that the same rationale will c ontinue
as we move forward. Because, frankly, I think customers have to be
acquired from capability and not by discounting. So if this continues,
the industry's breakeven point, I'm not just talking about Leyland's, the
industry's breakeven point will come down quite sharply. Because what

will happen is the same amount of volume or even a slightly lesser amount of volume can give good margins.

So this, along with the commodity prices coming off, operating leverage kicking in and better pricing that has happ ened over the last several, say, six to eight quarters, all of this should see better profitability for the industry. And I mean, in all humility, we have been actually posting better results at least until now. And we have been taking cost out, which we h ave been sharing quite openly with you. We have also shared with you our medium -term target of mid -teens EBITDA. We said this time that let us share what we are doing as a company and what we are aspiring as a management team. So that, the investors unders tand this better .

Moderator: Thank you. The next question is from the line of Arvind Sharma from Citigroup. Please go ahead.

Arvind Sharma: So the first question would be on the AVTR range, the moderator platform. Would it be possible to just help us with the overall contribution of this range to your total volumes? And if you can just comment on the profitability as well? So that'd be the first question.

Gopal Mahadevan: Well, you see, AVTR is a range that factors in the higher tonnage vehicles. We possibl y will not be able to share exactly how much of it.

Because all I can tell you is that, we actually monitor this for the heavy commercial vehicles. We also talk about the intermediate commercial

vehicles, and we look at the margins. To be candid, the team is now working on how do we improve the profitability of the intermediate commercial vehicles even further.

As far as the heavier commercial vehicle is concerned, all I can tell you is that the higher the tonnage of the vehicle, the better is the margin, because the realizations per ton improves . So AVTR range has actually been a big success on three grounds, I would say.

One is product performance. Absolutely, I would say, in certain cases, above industry, there is a clear demand pull on the product from t he industry. This industry is the toughest of all the industries, if you take the two -wheeler, four -wheeler and then you take MHCV trucks, I would say that MHCV trucks has the finest and the most, knowledgeable customers, because this is used for commercia l purposes. So here, the AVTR, I think as a product has had exceptional acceptance by customers. This is one.

The second one is the complexity of production has come off quite a bit, which is why we are able to increase our throughput on production and even though the tonnage of vehicles has gone up and serviceability also goes up.

The third one, as far as AVTR range is concerned, is that the -- we possibly will see the benefits, and we are seeing the benefits of the complexity of production actually coming down in terms of number of parts, the assembly of vehicles, the number of vendors, the inventory that we need to carry. So we're seeing that slowly happening. And as we move forward, these are things that we shared with you in 2020 -'21, and all of that is happening. So AVTR is crucial and an important step for us.

Arvind Sharma: If I could also ask a second question more on the Bus segment. Can you throw some light on the new orders from STUs that you are seeing, how much are -- what's the proportion of el ectric buses to ICE buses? And do you foresee a time when a majority of these new orders would be on the electrical side?

Shenu Agarwal: Yes. So see, the electric thing has just started. I mean, there have been like two large tenders so far. And therefore, as a percentage of the total bus industry, it's still very small. But I think, we are seeing that the market is gradually going to move towards more -and-more of electric. It has not even penetrated the private sector as yet, because of ecosystem challenge s. But yes, I mean, there are several reports in the market that indicate that about 30% to 40% of at least the STU demand can be electric.

While different governments have been proclaiming different things, some are even like we just heard a few days back, that government wants 100% of STU demand to be electric now going forward and achieve that by 2030 or earlier. Yes. I think, we will see the timing can be varying, but definitely, this is going to happen.

Electrification will happen starting from buses and then moving on to the smaller vehicles, the LCV range. And then also even in the trucks in some special specific niche areas . Yes, it is bound to happen. It's just like what would be the inflection point that is to be watched for.

Arvind Sharma: Got it, sir. And is there any proportion that you can share between sales to STUs and the private orders in the Bus segment for Ashok Leyland? Is there any proportion that you can share?

Shenu Agarwal: Sorry, can you ask that again?

Arvind Sharma: Sir, the proportion of volumes from S

TUs and private orders, is there a proportion that you can share?

Shenu Agarwal: Gopal, can you?

Gopal Mahadevan: We didn't discuss much about the Bus in this call, because everybody was discussing on trucks.

Actually, this quarter, we possibly have again gone back to number one in Buses in India. And our product range is much expanded today, and we are still working on t he bus portfolio. The bus portfolio is very important to us.

The second bit of it, I would say, is that the bus portfolio actually is becoming more -and-more profitable. It was when the maximum impact that happened on COVID was on account of buses. So no sc hools, no intercity transport, all institutions were shut, everything was work from home, suddenly, things have started to come in. Even the large software giants are now insisting that you need to work at least three times a week or four times a week and all schools are up and running, colleges are up and running.

So what happens is that, we are seeing that there is a margin improvement. And just to add to what our MD, Shenu, mentioned, you know that the EV bit of it is just starting. Now we are seeing STU is also actually ordering a lot of diesel buses.

To give you an idea, today in this quarter, okay, I'll tell you the TIV, broadly, STU would account for approximately about 7.5% to 8% . The STU has actually grown by about 55%. But out of the total buses, which is you take it as private, STU, ICV passengers, the largest is actually on ICV passengers essentially in school bus segments, which actually accounts for nearly 71%.

So you have about 8% to 9% in STU and the balance is private buses. This ratio will start to actually change when governments are going to order more -and-more of STU. I mean, STUs are going to start ordering. You must remember that the scrappage has also affected the government vehicles and including buses, where they will be a push to re place their existing fleet. Some of which are very old. And also, you will see private passenger transportation going up when intercity starts to grow further.

Moderator: Thank you. The next question is from the line of Pramod Amthe from InCred Capital. Pl ease go ahead.
Pramod Amthe: The first question with regard to the electric trucks. There are some signs of some mining companies or others importing the trucks from abroad. How are you looking at the space, and when you're planning to introduce the produc ts here?
Shenu Agarwal: Hi, Pramod, thank you for the question. As far as the trucks are concerned, we are working on several different applications as far as the electric is concerned. How we want to focus on some of the niche applications where we are wo rking very closely with some of the customers.
I think going forward, within the next few quarters, you would see some kind of activity in that space. These would not be in a true sense, commercial launches, but these would be some kind of large scale, medium scale customer pilots that we intend to do, right . So those discussions are ongoing on the market size as well with customers, understanding their requirements, understanding the local geography, the application, etc. At the same time, with that inform ation coming in now, we are maturing our technology and tweaking it to suit to the market requirement.
Yes. I mean, we are not in a hurry to kind of commercially launch or make a lot of noise about it, but we want to make sure that we focus on maturing the technology in the right way, make it well suited for the applications that are in the market and that are

ready to absorb this kind of technology, working with some very mature large customers who have a lot of interest in these vehicles either because of the TCO compulsions or because of their own environmental goals. So that is our focus area.
Pramod Amthe: And second one is to Gopal. There seems to be a substantial movement in the net debt from a net cash position to a net debt from March to June.

Is it all attributed to working capital? So what is the working capital situation now?
And second with related to the same is, what is the investment into subsidiaries which has gone into June quarter?
Gopal Mahadevan: You're right. I mean, the predominant part of it. See, what happens, there is nothing wrong in this working capital movement. Let me assure you. Because we have possibly over the past several years, we have been talking about negative working capital at the year -end. And then you will see that thi s is a traditional pattern that happens.
In the first quarter, the working capital actually becomes positive. The reason is you know why? Especially the February and March month, there is a lot of demand. And so what happens, your FG inventory, and since w e don't have -- maybe we do offer a little bit of credit now. But otherwise, the collections are also pretty high.
So what happens is on the current asset side, it is actually, it comes down quite low. It comes down quite a bit. And complementing that, you have the vendors, the current liabilities, which goes up. So the net working capital becomes negative, right? And so there is a huge rush of cash that happens in the month of February and March, but which is why we don't keep kind of exemplifying it or tr ying to expand it beyond a point.
In the month of April, May, June, what happens is that the demand is

actually lower than what it is in the fourth quarter. And so the creditors
need to be paid out. When that happens, you see a sudden payment cycle
that comes in. And when that happens, the working capital turns from
negative to positive, which is why approximately Rs. 240crores of net
cash, which was there, has actually become Rs. 1,400 crores.
Shenu Agarwal: Rs. 1, 500 crores.
Gopal Mahadevan: Rs. 1,474 crores of debt. But Among that, we, I think, have also provided
some support in terms of, I think, about Rs. 215 crores, that goes to

Switch. But the main reason is working capital. And this will, again,
start to stabilize. As we go forward, in the second and third quarter,
again, it will pl ateau. And in the fourth quarter, again, we'll gain. But
what happens is year -on-year, we will actually see that the net cash
generation is getting better.
K. M. Balaji: Actually, you would have seen in the last quarter, our working capital
was around two days. And now it has increased more to support the
activity. It has increased to nine days. This is only reflected by way of
movement in the debt also.
Our debt, we were in a surplus cash position, if you recall at the year -
end, Rs. 243 crores. So from th ere now, we have moved to Rs. 1,400
crores, roughly Rs. 1,700 crores of movement have happened. And this
is primarily because of the working capital movement, which has gone
up from minus one day or minus two days to now plus nine days, is 11
days, that is attributing to the change in the debt situation. And it will
keep improving. As you see, now quarter -on-quarter, it will keep
improving. And then finally, we'll end up in the better than what we did
in the last financial year Q4.
Moderator: Thank you. The next question is from the line of Amyn Pi

rani from
JPMorgan. Please go ahead.
Amyn Pirani: My question was actually related to what was just discussed right now.
So just sticking to the cash flows, you mentioned that capex was Rs. 95
crores for the quarte r. What was the investment in Switch in the quarter?
Gopal Mahadevan: I think, the investment in Switch, I think, we did about Rs. 200 crores or
so, not an investment, not in equity. There was no equity investment that
was done. There were some temporary s hort-term loans that were given,
if my memory serves me right.
Amyn Pirani: Okay. But the full year...

This transcript has been edited for readability and doesn't purport to be the verbatim record of the proceedings.

Gopal Mahadevan: Just want to clarify, Amyn, you know, this company as well. Whatever
numbers that Balaji gave in terms of working capital days, that does not
include Switch support. And just to give you a perspective, when we
said that we have already shared with you earl ier itself, I think even
before the investment meets that we had in Mumbai, we had mentioned
that we will support Switch in one way or the other for about Rs. 1,200
crores in the current year. That plan will not change.
So whether we will do it as loan fun ding, whether we'll give it as equity,
whether we'll give it as other instrument, is all we are actually taking a
decision. But Switch business plan will continue because this company
is going to come out with some very good launches, both here and in
UK. And we are looking at two variants of LCV coming out, another
variant of a bus coming out and maybe a European model bus also
coming out.
So we are not going to let this action slow down. So that plan will

continue, and we will continue to support and infuse funds as and when required. But this year, I think the overall estimate, we stand by it, which will be about Rs. 1,200 crores, which we have shared with you already.
Amyn Pirani: Great. And just on the Switch, the electric bus that you mentioned, now at least in India, most of these EV buses are being bought as of now by the STUs and the model in which they are being bought is of a build -operate kind of a model. Now do you have any initial thoughts as to when you launch an EV Bus? Obviously, I'm guessing that over a period of time, there will be a demand from the non -STU category also. So are you gearing -up for or planning to whenever you launch, bidding for these build -operate and transfer kind of projects? Or would you want to focus on the non -STU segme nt for these -- for the EV buses specifically?
Shenu Agarwal: Yes. See, as far as the EV buses for the private sector, which is outright purchase kind of a model is concerned, it will take more time. So we are working with the customers to penetrate into t hat segment or rather to say, let us develop that segment. Now there is no segment right now,

right? But that will take a little bit more time. Because it's not just about the product, it's also about a lot of ecosystem challenges that we have to deal with . So we are working with our customers on some of those challenges to be overcome.
But on the STU, which is like clear and now, the only model right now is the build -operate kind of a model. And you know that Switch has participated in some of these tender s, especially in the last leg of tenders, and we have won some of those tenders as well. So definitely, we are going to try to execute those. And we are in discussions with various STUs to be to be able to do that.
Amyn Pirani: And if I can just squeeze -in one last question on this model. Obviously, the way the financials and the profitability will work on these models is different from how we have l

ooked at the company for all these years.
So how should we think about when you start -- like this will be lo ng term, you will not make the money upfront, you will keep the asset on your books. So maybe not today, maybe later on, whenever you can, it will be helpful for us to understand how should we think of the profitability and the ROCE on this kind of a busin ess? And how does it differ from your existing business?
Gopal Mahadevan: See, Amyn, how you can possibly look at this, as a portfolio. Because we are a commercial vehicle manufacturer. We have a vision. We want to be numbered in the Top 10 in the world. A nd we need to do a lot of actions on multiple fronts, which is we have to expand our LCV portfolio. We need to enhance our market presence in India. We need to grow our exports further. There are defense vehicles that need to be enhanced. So there's a lot of work that's going on. This is one bit.
The second bit is we also need to be a very relevant player in future fuels. We cannot afford not to be there. So what are the future fuels? Of course, there is CNG, LNG, with which we have actually got working variance. Other than what has been introduced in the past, we are working with some of the large organizations in India, which you know

for hydrogen, H2 -ICE. We are also having some collaboration happening on hydrogen fuel cell.
Now coming to EV, that is why we also had a separate company called Switch for EVs. At the moment when Switch is evolving and we need

to pick and choose orders as we move forward . Now that is why we have a company called as OHM, which is not yet kind of operationalized. Because we firs t wanted to do that in Switch.

You will hear more about OHM in the coming months, when we decide to operation it. Today, OHM doesn't have any operations . But when we do that, our view and our strategy would be to house all the e -mobility as a service, the eMaaS, the long -term returns asset -based financing in OHM.

Now if you actually step back and look at it, there is no major difference that you will see at a 30,000 -feet level between a company like HLF and which is a finance company, and OHM. Correct?

Amyn Pirani: Yes.

Gopal Mahadevan: Asset lending, only difference is here, you are doing operating leases. Which means, you manage the vehicle, you run the vehicle, you ensure that the STU or the customer pays for it, and it is a pay per kilometer with assured guarantees etc., and these are slightly longer -term contracts.

We will now, if the country starts to kind of move in this direction, it will happen to akin to what is happening in solar or what happened in solar over the last 10 years, 15 years, 20 years. Long -term contracts, great annuities, payment mechanisms are mature, costs have come down. They have even got better than grid rates. So we may actually see that happening.

At the current juncture, the EV industry is still pretty nascent . So but what we s aid is, no, we need to participate as a bus manufacturer. That

is why we are creating OHM. You will hear more about this in the future, and we would be more than happy to serve customers as a direct sale also. We are readying ourselves for that.

So the market will also start saying, "Hey, why should we go to this? Let me own the asset and let me own to operate it." Where the customer has the heft of financing on that advantage. See customers in this business won't leave any money on the table. If they fi nd that they have got a better arbitrage opportunity, better funding capability, better rates coming from banks, and if

they believe that they can run it more efficiently, they will buy the vehicle of us, like buses are being run today.

Moderator: Thank yo u. The next question is from the line of Chirag from White Pine Investments. Please go ahead.

Chirag : I only had one question on defense. So if you can indicate, what was the revenue from defense or growth Y -o-Y? And more importantly, what kind of products we saw because there are multiple products, which we now have on plate? And also a road map over the next 12 months to 24 months, which product basket is likely to see conversion? If you can help me with that, it would be helpful.

Shenu Agarwal: Yes. So I mean, as you know, that we have developed a wide variety of products now, all within the land mobility scope . But we have a wide variety of products. I mean, there are like normal vehicles like stallion and now we have some armored vehicles and so on and so forth. So yes, I mean, like I said in my opening comments and later even, last year was not a good year, bu t we do expect FY '24 and FY '25 to be very good years. There are a lot of discussions going on with Ministry, with the Army. There are a lot of tenders that are coming up. There are some that we have already won.

So overall, I mean, without disclosing th e specific details of what is
coming up, overall, it seems like we will have a good pipeline on defense
for at least next couple of years, including this year.
Chirag : Okay. Sir, if I can just clarify. So is it water bowser and stallions that are
sold or is there more products, which are coming across like whether
6x6 or...
Shenu Agarwal: It's a variety of products. It's not just one product. It's a variety of
products. So for example, the previous order that we have won is like
the gun -towing vehicle. And also, there is some advanced kind of
development happening on the Stallion, right? So it's like a variety of
things that are coming up.
Chirag : And sir, just one question, Gopal. If you look at the past historical trends
from quarter 1 to quarter 4 margin trajectory, if what you are indicating
plays out on the industry side, we have generally seen 400 bps to 600
bps sequential margin improvement from Q1 to Q4. Whenever industry
volumes every quarter, as it keeps on moving up, margin trajectory for
the indus try tends to move up in this bank. Whatever the start point is.
Except for one year or two years of exceptions where margins were more
or less stable.
If that happens, then this year itself, you will end it quite closer to the
ambition or expiration margin s that you have around 15%. Is this the
right way given the tailwind that you have been highlighting?
Gopal Mahadevan: You see, this is feasible. We can't comment whether it's going to be 15%,
16% or no. Let the year go out. All we can tell you is that, I think, for
probably the first time or maybe once or twice earlier, but we have got
a 10% margin in Q1.
Now I just wanted to share an interesting data point, which we didn't
mention. If you look at Q4 EBITDA, where we had 11% EBITDA being
posted for the qua rter, our revenues were about Rs. 11,626 crores . This

quarter, when we have actually done a 10% double -digit EBITDA, just
1% lower than the sequential quarter, okay, just 1%, the revenues are
actually Rs. 8,100 crores. Which means, it's roughly 30% lower, but the
margins have actually not deleveraged that much at all. And that has
been possible for the reasons of the efforts that the company has taken,
the pricing that the industry has been able to do, the company has been
able to roll ou

t, the cost on the material side that has come off. And we
are also able to rein in our overhead so that you can see the benefits of
it coming.
Company will always attempt to perform better than the industry in all
fronts, whether it is on products, whether it is on market p enetration,
market share, pricing, etc. I think Q4 profitability can be significantly
enhanced from the Q1 levels. What it is, we'll have to wait and watch.
Chirag : No, fair point. It was more of a direct sale than I was trying to understand
because that's ...
Shenu Agarwal: Yes. One thing I think you need to keep in mind that last year, I mean,
if you look at our last six years or seven years, we went through two
migrations on emission norms, the BS III to BS IV and BS IV to BS VI,
right? And that built up our cost significantly.
And then you know that we had this unprecedented inflation for about
six quarters to eight quarters in FY '21 onwards, right? And that
increased our material cost as a percentage of sales tremendously. So we
were like in BS III era, roughly around FY '17, FY '18, we were still
around 69% in material cost as a percentage of sales, which actually
went up to like roughly around 78% by FY '22 in just a span of six years.
So inflation and two migrations on emission norms, right? And I thi nk
what was good about last year, as you know, that industry had a major

tailwind coming out of COVID and coming out of other factors.

So I think, last year was a kind of a typical year where the industry grew 48% in trucks, even in heavy -duty trucks and e ven in LCVs. And on top of that, there was a very strong price realization benefit that also happened . So now just keep in mind that those two things would not follow the same path . The industry, we are not saying industry which is growing, again grow by 4 8% in MHCV, we are saying 8% to 10%, on last year's pace. And also price realizations would not be to such a high extent .

Now most of the effort going forward, although I'm not saying we will not increase the price, we have increased the price in Q1, and w e'll look at other opportunities whenever they come in. But the effort, I think, the focus would be now onwards more on cost reductions than how we can reduce our cost. How we can look at value engineering? Because of these two migration changes, we have a lot of product -- new product, new aggregates that have come into the picture . And there, whenever there is a new aggregate, new design, there is a good opportunity to look at value engineering there, So I mean, those are the things that we are more focus ed on. Last year was a different year. This year would be different factors that would play out.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question for today. I would now like to hand the conference over to the management for clo sing comments. Over to you.

Joseph George: Hello, Shenu, sir. Would you like to make some closing comments?

Shenu Agarwal: Yes. Thank you. So thank you once again, ladies and gentlemen. Q1 has been good for Ashok Leyland in terms of MHCV market share gains and margins. Even on the LCV front, we had a gain in our market share.

Overall, a good run continued in Q1 for Ashok Leyland.

Contribution from defense, LCV, Aftermarket and Power Solutions was also very supportive in the overall performance. Revenue mix was also very favorable. Price recovery and cost savings went as per our plans,

and we are quite satisfied with those. With the robust economic growth outlook as well as the increased outlay on infrastructure,

we expect a good demand situation going forwar d as well.

Softness on commodity cost is expected to continue for the subsequent quarters, which should help with our margins going forward. Given this backdrop, we hope to continue with a good run, both on margins and on market share.

Thank you again for the interest shown in Ashok Leyland.

Moderator: Thank you very much, sir. I would now like to invite Mr. Joseph George for his comments. Over to you.

Joseph George: Thank you, Michelle. Thank you, everyone. I would also like to thank the entire management team of Ashok Leyland for taking out time. I would also like to thank all the participants for joining in. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of IIFL Securities Limited, that concludes this conference. We thank you f or joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2023

November 17 , 2023

Dear Sir/Madam,
Concall Transcription
Pursuant to Regulations 30 and 46(2) (oa) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of the Company's Analyst Call held on November 10 , 2023 to discuss the financial results for the quarter and half -year ended September 30 , 2023.

Meeting start time - 5.30 p.m. IST
End time – 6.25 p.m. IST

We request you to take the above on record.

Thanking you,

Yours faithfully,
for ASHOK LEYLAND LIMITED

N Ramanathan
Company Secretary

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Mumbai - 400 001

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"Ashok Leyland Limited
Q2 FY '24 Post Results Conference Call "
November 10, 202 3

MANAGEMENT : MR. SHENU AGARWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – ASHOK LEYLAND
LIMITED
MR. GOPAL MAHADEVAN – DIRECTOR AND CHIEF
FINANCIAL OFFICER – ASHOK LEYLAND LIMITED
MR. K.M. BALAJI – DEPUTY CHIEF FINANCIAL
OFFICER – ASHOK LEYLAND LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Ashok Leyland Limited Q2 FY '24 Post Results Conference Call hosted by Batlivala & Karani Securities India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this c onference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities. Thank you, and over to you, sir.

Annamalai Jayaraj : Thank you. I welcome all the participants to Ashok Leyland Limited Q2 FY '24 Post Results Conference Call. From Ashok Leyland management, we have with us today, Mr. Shenu Agarwal , Managing Director and CEO; Mr. Gopal Mahade van, Director and CFO; and Mr. K. M. Balaji, Deputy CFO. I'll now hand over the call to Ashok Leyland management for opening remarks to be followed by question -and-answer session. Over to you, sir.

Shenu Agarwal: Good evening, ladies and gentlemen. It gives me immense pleasure to be with y ou today. I also thank you very much for the interest shown in Ashok Leyland. I'm happy to share that Ashok Leyland has crossed the milestone of 75 years on 7th September 2023, and we have celebrated this event with the launch of Switch electric LCVs as we ll as with the flag -off of Ashok Leyland hydrogen fuel cell bus delivered to NTPC. As an icing on the cake, in this landmark year, what gives us more satisfaction is that our performance has touched a historic high in the first half with respect to not onl y revenues but also in terms of EBITDA and profits.

As guided by us in our earlier interactions, domestic MHCV segment so far in the year has witnessed a 10% growth backed by a favorable macroeconomic environment and healthy replacement demand. Continuing growth in the end -user industries like cement, steel, coal, iron ore and container movements as well as improvements in general manufacturing activity and consumption trends remain to act in the favor of demand from fleet operator s and other customers.

Extraordinary bus demand in all categor ies, covering tourists and inter -city, private carriage, state transport undertaking as well as school and staff has also augured well for the industry. The growth trajectory is expected to stay strong going forward. Mining, infrastructure execution, especially roads and improving industrial output will be the demand drivers for MHCV trucks going forward. Replacement of existing fleet of buses, public transport impetus and increasing demand for school and staff transpo rtation will drive demand for buses.

For MHCV segment, we stick to our earlier estimates of 8% to 10% industry growth in full year FY '24. While our addressable LCV industry has seen a 3% growth in H1 as against our year beginning estimate of 4% to 5%, we do think that the situation will improve going forward. We have strong beliefs in medium and long -term prospects of the LCV market, healthy growth in agriculture, consumer durables, dairy and e -commerce, and that of private consumption will drive the LCV d emand in the future.

Though the steel prices went up marginally in the first 2 months of the current fiscal year, prices have softened since then and are expected to continue to remain soft for a few more months. This is being closely monitored by us.

Asho k Leyland, even while maintaining a steady market share of ab

ove 30% in MHCV and close to 20% in LCV segments in which we are in , we have been able to raise prices consistently. We are also putting unprecedented efforts in reducing our costs, both product costs as well as the overheads. All these efforts are visible in our margin improvement.

The EV business housed under Switch is crucial for future proofing Ashok Leyland. While we will continue to look at external investors , Ashok Leyland Board has approve d an equity investment of Rs. 1,200 crores in Optare, which is the holding company for Switch U.K. and

Switch India. We shall be inducting this equity in 1 or more tranches over the next 3 to 6 months. Ashok Leyland balance sheet is strong enough to support our vision on electrification of buses and LCVs under the Switch brand. I'm happy to share that our Switch products are performing extremely well in the market. We have an order book of more than 1,10 0 buses and LOIs for electric LCVs for more than 10,000 units. We are very excited about delivering our first batch of electric light commercial vehicles in Q4 of this fiscal. The development work on E1 bus designed for European market is also progressing well.

During the quarter, Ashok Leyland has launched several new products namely Ecomet 1915 with wider load body, 1922 CNG, N 2825 ED -PTO, Lynx Smart Chassis, 2820 with G45 FES, 13.5meter bus and so on. AL is progressing well on network expansion plans as well. For MHCV, 24 each of authorized service centers and dealers have been added during first half. Now we are at a total of 386 authorized service centers and 471 dealers. We wish to take this number to 1,000 very soon.

Similarly, for LCVs, 8 dealers and 42 authorized service centers have been added in making our LCV touch point count at 670. I am extremely confident that with these launches and the continued focus on network expans ion, they will add on to the market share gains achieved in the last few quarters.

I will now quickly run you through our Q2 performance. I'm happy t o share that Q2 FY '24 continued to be a very good quarter for us. In Q2, our MHCV volumes grew in line wit h industry growth resulting in market share stability for AL. However, sequentially, our market share has grown from 31.2% in Q1 to 31.9% in Q2. In the first half, we have grown our market share from 31.0% last year to 31.6% this year. This is on back of m ore than 5% market share gain in the last fiscal year.

TIV for bus has grown by 46% in the quarter and the corresponding growth for Ashok Leyland was 95%. Bus market share has improved from 28.3% last year to 37.8% now. This is 9.5% increase over market sh are during the same period last year. Truck volumes for TIV has grown by 15% and AL volumes have also grown, resulting in 31.1% market share for Ashok Leyland. This is the sixth consecutive quarter of 31% plus market share for Ashok Leyland in trucks.

Our Q2 LCV volumes are at the same level of last year. It is noteworthy that in H1, while Ashok Leyland volumes have grown by 1%, this is in line with the growth in the industry. IO sales have registered a 4% increase in Q2 Y -o-Y despite continuing meltdown in many economies around the world. We registered exports volume of 2,901 numbers in Q2 current year versus 2,780 numb ers in Q2 in the previous year. Most of our industry peers have registered a sharp decline in their export volume. Good performance in after market sales continued in Q2. Our aftermarket sales at Rs. 655 crores grew by 35% over the same period last year. Volumes under Power Solutions business grew by 15% in Q2 over the same period last year. As I said, AL has recorded an historic high on revenu e, EBITDA and PAT in Q2 and H1 of the current financial year.

You would have taken a not

e of the detailed financial results. So with this, I will open the floor for questions and answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Gunjan Prityani from Bank of America.

Gunjan Prityani: I had a couple of questions. Firstly, on the RM side, can you give us a little bit color as to how did the steel price reflect in the P&L this quar ter and t he comments that they are softening now? So what sort of improvement should we see into the next 2, 3 quarters? And again, similar comments on price. I'm just trying to get the direction on the gross margin over the next 2, 3 quarters.

Shenu Agarw al: Yes, Gunjan, thank you for the question. This is Shenu. Like I said in my opening commentary, there was a slight increase in the commodity prices as we started the year. But since then, it has softened ie., we have seen a softening trend. Now going for ward also, we think that this trend of softening in commodity prices will continue and therefore, it will help us improve our margins further. As far as the price recovery is concerned, we have been able to get better price realization on all our business lines, whether it is MHCV, LCV or any other. And that trend, we also hope should continue going forward.

Gunjan Prityani: Sir, is it possible to get a little bit of quantification as to how much sort of a movement that we saw in the steel or commodity impa ct and discounting into this quarter? Sequentially, Q1 to Q2, how have we seen those sort of metrics changing?

Shenu Agarwal: Yes, Gopal, would you like to answer this question ?

Gopal Mahadevan: Happy Diwali to all of you. See, basically, Gunjan, what has been happening is if you look at our material cost as a percentage to sale, we have seen that in Q2 last year, it was about 78%, and now it's at 73.5%. So what you're seeing is that as a percenta ge to sale, we are really about 4.5% lower. In a ratio like this, of course, predominant part of it is coming in on account of material cost.

But when you look at the improvement in gross margin or over material cost of contributions, right, we will see th at there is an impact on account of the realization also. Steel prices between or sequentially, if you look at it from Q1 to Q2, what we have seen happening is that we did factor in a little bit of increase in Q1, but that is kind of rolled back. The typic al percentage of

steel and steel accounts for may be 40%, 45%, 50%, depending on the vehicle, right? In between Q1 and Q2, the increas e, decrea ses would be about 8% or so.

But the point is, if you look at it sequentially, right, there was a steep increase in steel prices last year in Q1 and Q2. After that, what we have seen is a deceleration of the price I mean, the increase and it came down in Q3, Q4. Q1 of this year had a marginal increase because the settlement of Q4 prices happens in Q1 and then in Q2, again, it has been soft. To give you an idea about what it will be going forward, I think we'll have to wait and watch, but it looks like the pricing in the industry has been improving typically, pricing improves by about 1.5% to 2% per quarter, and we hop e that this trend will c ontinue.

And see, again, these are very general numbers we can share because there is a lot of the actual price increases on each type of variant keeps changing, right? And depending on which market you are and where you're playing, etc . Overall, what we can say is if you look at the results of Ashok Leyland or competition also, all I can tell is that we can share with you is that the general level of profitability of the industry has gone up on account of 3 fac tors: one is very clearly that steel prices have come off.

Seco

nd one, more importantly, price realizations have started to improve, discounts have started to come off, and more importantly, discount, I would say, net realizations have started to improve. And of course, the third one is operating leverage itself. Last year, the industry grew at about 48% or so. This year, we have seen a 10% increase in H1, and that operating leverage benefit is coming in.

In Ashok Leyland, we can't talk about competition, w hich also Shenu kind of alluded to. And I thought I'll give a slightly longish answer because I'm sure other investors will also have the same question. We have embarked upon a never -before like cost production program. So last year, we possibly did about Rs. 600 to Rs. 675 crores of savings. We are looking at new materials, new vendors, consolidating vendors, changing the design, where we could optimize it, but not reduce the performance of th e vehicle, in fact, enhance it.

So there's a huge amount of effo rt that is happening. So we will pursue with that effort in the current year also. So all of this has resulted in the margin. So 11.2% is actually a very good result. I mean we shouldn't be saying it ourselves. But in Q2, if you would look at it, I think w e have achieved 11.2%. And in Q1, when we actually had forecasted that for the full year, we'll be at kind of double -digit EBITDA margin. We started off Q1 itself with a 10% EBITDA. Back to you.

Gunjan Prityani: Okay. Just last one from my side. If you can talk a little bit about the channel inventory because, I mean, we do start seeing that dealers talking about inventory being a bit higher. So is there any comment to be made on demand being relatively softer than we expected and a little bit of channel bu ild-up that has happened in the last couple of months. Any comments around that?

Gopal Mahadevan: I'll give a quick comment and then also hand it over to Shenu. But you see this channel inventory, we don't see it as a major concern because what happens is there is a lot of pull that comes also

from the dealers based on the forecast and then you've got Diwali time, so they want to ensure that they are having adequate stocks. But I think if there is any correction that needs to happen, correction is a very si gnificant word. I would say that if that needs to happen, we can do it. But the basic you want to understand that these are all blips that ke ep happening month -on-month, etc. Some will go h igh, some will go low I have the current year itself, you have seen where

channel inventory has come up very sharply and then it increases.
What we would need to do is to look at the larger picture, which is, is there raw demand for the vehicles and what is it riding on? It is riding on the back of macroeconomic factors, the GDP, India continues to be one of the high -growth GDP. The second one is the spend on infra by the government is actually leading to a lot of demand. That's why you're seeing that the larger vehicles, multi -axle vehicles, tractor trailers and also tipp ers out growing. But I will now request Shenu also to add.
Shenu Agarwal: No. Gopal has already explained that. I think I can just sum it up by saying that there are no concerns really on the channel inventory as of now.
Moderator: The next question is fro m the line of Pramod Kumar from UBS.
Pramod Kumar: Shenu just for clarification, you've been referring to the market share on the MHCV at 30% plus. But if you look at VAHAN, last in last almost 4 months, the market share is stagnating at around 26% on M HCV between August to October sorry, for the last 3 months. So I'm just trying to understand why is there such a big distance between the SIAM wholesale market share in the retail market share? And that too for almost

4 straight months now. So if you can just help us understand what is missing here? That would be my first question, sir.
Shenu Agarwal: Yes. Pramod, it will be difficult to correlate between the wholesale market share that we report based on SIAM data and the VAHAN because VAHAN is not yet countr ywide. There are 3 states and some more districts in some other states that the VAHAN portal does not compile the data with, right? So there will always be a gap. And then you see there is also a reporting gap. Wholesale will happen and the registration wi ll happen subsequently. And therefore, these things they keep on shifting quite a bit, yes? So it will be very difficult to correlate the wholesale and retail data on a month -on-month or a quarter -to-quarter basis.
Pramod Kumar: Fair enough. Second questio n is on the demand trends. If you can just help us understand the product categories in terms of use case, how they're doing. Because what we learned is that Tipper continues to be strong, but Haulage has started to see some weakness. Even fleet owners have started to talk about weakening trends on the both freight demand and freight rates as well. So if you can just help understand what categories outside of buses, of course, which you've talked about, within the trucking segment, what are the segments whi ch are doing well or which are kind of currently driving demand for you?
Shenu Agarwal: So the truck industry has grown in Q2 by 15%. So I think the demand is very strong. I mean, when we speak to the fleet operator s and other customers, we don't hear any negative sentiments around the demand. Actually, most of what we hear is that the demand is going to be strong not

just for the balance of this year, but also going into next year. Now in terms of product s egments, definitely tractor is one segment whic h has outgrown everything else.
While the overall growth in H1 in the industry of trucks or total MHCV is 10%, but the tractor demand has grown by roughly 50%. So there is a large shift and we have been talking about this in our previous calls also, there is a large sh ift from MAV and haulage -type of rigid vehicles to tractor traile r-type of vehicles. So that is one segment, we think we will continue to grow. And Ashok Leyland, of course, in terms of product and in ter ms of even the numbers that we are reporting. Ashok Leyland is very strong. So actually, that is one thing that is helping us quite a lot.
Yes, the other product segment that is growing, what you also, I think, alluded to was on the Tippers. So overall, wh ile MHCV has grown by 10%, Tipper is growing by roughly, let's say, double of the overall MHCV growth, which is about 20%. So these 2 segments stand out, and it is not surprising because like I said in my commentary, the basic movement that is positive movement that is happening in the core sectors of coal, steel, iron ore, etc , or in terms of containerized movement of goods. That is really moving very, very well. And I think that is going to be the trend in future also. So we can expect that tractors and t ippers would continue to grow in the future as well.
Pramod Kumar: And finally, sir, on Switch Mobility. We've the Rs.1200 crores investment, how do you see that in context of what else would or how much more would be needed over the course of the remainde r of the year and also for FY '25? Because as we said, you clearly have a strong order book here. So what could be the kind of investment commitments what Ashok Leyland may have to make here?
And also on the funding environment, given where interest rates are and the entire private equity scenario, is it fair that we should not be pencil ling in any transaction in terms of the equity inflation from outsid

e for this? And it will be incrementally at least in the near medium term, Ashok Leyland, which will be leading those initiatives in terms of investment? Is the understanding right?

Shenu Agarwal: Yes. W e are very keen on getting external investments also but we want to make sure that we have the right strategic partner with us. I mean and we do it at the ri ght valuation. So right now, the focus is to get Switch into a very, very strong mode by developing products, by maturing our technology on both the bus side and the LCV side.

So whenever we get a good offer from an external investor, we'll certainly look at that. But until then, we won't shy from investing on our own from the Ashok Leyland side. The balance sheet of Ashok Leyland is pretty strong right now. So we have no concerns as to whether or not we can fund this growth in Switch for the future.

On inv estment itself, we are putting in Rs. 1,200 crores right now into Switch through Optare. And we think that Switch India going forward on an operating level at least, would be cash

neutral or cash positive. If there is any other investment required in Switc h India, that would be more or less some smaller amounts that would be required for product development, etc .

On the Switch U.K. side, the European markets are still not going that strong or the U.K. market is still not going that strong. some more investm ents may be required into FY '25. It would be hard to quantify that at t his moment of time. But we think that Switch India is more or less self - sufficient if any investment has to be made, that would be for some kind of product development or capex , but Switch U.K. might need some more help going into next year.

Moderator: The next question is from the line of Chandramouli Muthiah from Goldman Sachs.

Chandramouli Muthiah: My first question is just on the pricing comments that you al luded to earlier in the call 1.5% to 2% per quarter sort of price benefit that we've seen in the recent past. Just trying to understand, this quarter, I think starting October, one of our competitors had taken or announced up to a 3% price hike. So just tr ying to see if we see opportunity to sort of follow. And just in terms of net price realization, net of whatever discounting activity has been happening in the recent past, what the price retention could be there?

Shenu Agarwal: Yes. Thank you for that question. So yes, you are right, there was an announcement of a significant price increase by one of our peers for quarter 3. On the ground, we don't see that kind of a price increase happening actually in October, at least. But I t hink what Gopal said, 1% may be for the quarter, especially for quarter 3 is feasible. So that is our goal. And of course, we are in the beginning of the quarter right now, but we will see if we can make it happen.

Chandramouli Muthiah: Got it. That's help ful. Just related to the pricing topic, I had a follow -up. I think the past 6 successive quarters; we have seen Q -o-Q improvement in realization per vehicle. But this quarter, you've seen a slight decline. So just trying to understand what the factors ther e could be? Is it to do with product mix? Or are we passing on some of the commodity benefits that we've been realizing back to customers? Just trying to understand the rationale behind the realization per vehicle...

Shenu Agarwal: Chandramouli, the indust ry, I think, went a bit aggressive in Q1 on price realization. Starting April, we were all hoping that we can probably take about 3% price hike in Q1. So which we could not kind of sustain because, normally, quarter -by-quarter, you can expect like 1% to ma ybe 1.5%. But because of that price hike that we took in quarter 1, which we could not sustain.

So therefore, you would see some balancing out that has happened in Q2. But going forward, the intent, at least for us, is to take at least 1% price hike in eac h of the quarters. Of course, it depends a lot on other factors as well. But that is at least the intent.

Chandramouli Muthiah: Got it. That's helpful. And my last question is just a quick clarification on tax rate. So this quarter, we seem to have had sor t of 35% to 36% tax rate. So just trying to understand how we should think about tax rate for the full year coming up?

Gopal Mahadevan: Yes, I'll take that one Shenu. See, basically what we did in the last quarter was there is this adjustment of deferred t ax that we'll have to do because we plan to, at the moment if things go right, our intention is to go in for a lower tax rate from next year, which means from next year,

you would possibly plan for a n approximately 25% tax rate, which is a n advantage on th e PAT

and EPS.
This year, since we would continue with the 35% tax rate for Q2, Q3, Q4. The adjustment that happened in Q1 was because of the credit that we had to take on deferred tax which was Rs. 172 crores. So that is what we have done. And so that is why we have seen that reduction in the absolute tax rate. I hope that kind of clarifies, yes.
Moderator: The next question is from the line of Siddhartha Bera from Nomura.
Siddhartha Bera: Sir, one clarification on the Switch investment. So we have another subsidiary OHM, which operates the buses. So do you think there will be any further investment required in the OHM entity as well?
Shenu Agarwal: Yes. The OHM is on the E-MaaS side. So investments in equity would really depe nd on the kind of the order pipeline that we are able to generate. But right now, we are well funded in OHM as well because recently we had put an equity of Rs. 300 crores. And you are also aware that OHM had been moved directly under Ashok Leyland. I can' t give you a number right n ow. It really depends on how and what kind of an order pipeline we can build over the next few quarters.
Siddhartha Bera: Got it. And sir, what should be the stand -alone capex we should assume in the stand -alone entity? And secon d is on the Hinduja Leyland Finance, can you give us some numbers on what is book size and what would be any more investment if it will be required by us in the current year?
Shenu Agarwal: Gopal, would you take that, both of those queries ?
Gopal Mahadevan : You are talking in terms of the investment in OHM, right? Because there was a call drop.
Shenu Agarwal: No, no. The capex , the capex and the stand -alone entity.
Gopal Mahadevan: Capex . You see capex , we have been efficient for the first half. We have had a capex of about Rs. 200 crores, approximately Rs. 100 crores each, Rs. 95 crores and Rs. 104 crores . I think we are reasonably ensuring two three things at the same time. We want to ensure that we i nvest in capex incrementally, but ensuring that there is a consistent debottlenecking of facility that happens. At the same time, at Leyland, what is happening is the manufacturing teams are looking at how do you keep revisiting the manufacturing footprint to get greater efficiency, productivity and driving out cost also out of distribution.
So when we are doing these exercises, we are doing it in a very wholesome way. And that's also one of the reasons why we're seeing that the operating costs are coming o ff because we have to continuou sly keep reinventing ourselves.
The manufacturing teams have started initiative, one part, which is called on automation, et c, which is happening through Industry 2.0 and we also see productivity happening there. To answer yo ur question specifically, it would be anywhere , I think it

should be around maybe

about Rs. 600 crores or so for the year. Nothing major. And I think our debt position in the balance sheet, debt equi ty is extremely comfortable .
Siddhartha Bera: Got it. The second question was on the Hinduja Finance. What will be the investment and if you can share the loan book and the details?
Gopal Mahadevan: No, we will not have any investment in Hinduja Leyland Finance. I think Hinduja Leyland Finance is adequately fund ed. Their capital adequacy, I think about 21% or so. So they are growing their loan book handsomely. I don't have the exact number with me, but between Hinduja Leyland Finance and Hinduja Housing Finance, which is another excellent company, I think one of the fastest -growing housing finance companies that we have, I think the overall book is around Rs. 3 6,000 crores.
Moderator: The next question is from the line of Pramod Amthe from InCred Capital.
Pramod Amthe: So this is with regard to the stro ng growth which you have alluded to for tractor trailers. Just curious to know, considering that exports are weak and also the f act that GST is coming up in has already kick started in the last 6 months. So where is this usage of tippers happening per se? Because wh en the GST started, there was a fear that it might be hitting the tractor trailer guys more than anybody else. So I wanted to know the customer behavior, what is it driving?
Shenu Agarwal: No. So the drive behind both tractor trailers and tippers is coming mainly from the positive move ment that we are seeing in the core sectors of coal, steel and iron ore, also from a very positive movement in the containerized movement of the goods. Yes. So that is, I think, wha t is driving it, really.
I mean, this trend i s not new. I mean the same thing we witnessed in the last year, especially in the last half and more so in quarter 4 of last year when we saw the tractor trailers and tippers, I mean, going really well as compared to the rest of the segments.
So as I said, we think that this trend will continue because tractor trailers, they provide much more flexibility to the fleet operator s in carrying different types of goods and different types of

routes. So yes, so that is visible and I think for the future also quite inevitably.
Pramod Amthe: And any first half update on your defense business in terms of order wins or any execution plan for the full year?
Shenu Agarwal: Yes, defense business actually has been one of the highlights of our performance this year. I mean the kind of pipeline that we have on defense actually is at a historic high. We were actually hoping for last 2, 3 years, if not more, to get into a 4 -digit top li ne on defense. I think this year , we have a very strong chance of doing that. Even if we miss ed this, I mean, we would be, I think, very positive at looking at about Rs. 800-odd crores, if not more, right? So this will be a very good year for defense. Even for the future, for next couple of years, the pipeline seems to be strong.
Moderator: The ne xt question is from the line of Mukesh Saraf from Avendus Spark.

Mukesh Saraf: My first question is pertaining to some of this regulatory changes that we're seeing. Like now we have the electronic stability control mandatory and I guess the expectations of how a few more regulations coming in, which can probably lead to the price of the vehicle going up. So first, can you kind of give us a sense of do you expect even such regulatory changes coming in, in the near term? And secondly, how will that kind of im pact your power to pr

ice better?
Shenu Agarwal: Yes. Mukesh, I mean, regulatory changes are not new to our industry. We are actually one of the industries which are, I think, m ore regulated . But we are used to it. Even our customers are used to it. And in a lot of ways, these regulations, although they increase the cost in the price of vehicles, but they are very useful overall at least in the medium term for the industry.
I'm not just saying from a price cost point of view, but I'm also saying from a custo mer point of view because, whether it is safety or whether it is comfort or whether it is something else, these are helping raise the standards of the Indian automotive industry or the Indian fleet industry, which is very much needed also, right?
So we do welcome actually most of these regulations. Even our customers are looking forward to it. Even our customers have matured quite a lot when it comes to actions or initiatives around safety, comfort and others, whether they are coming out of regulations or t hey are just coming out of initiatives from OEMs. So for example, like very soon we are going to introduce kind of first-level ADAS systems in our trucks.
And this is mainly on the basis that there is actually a keenness on the part of the customers to make sure that their drivers and their vehicles are much safe r. So I mean, my answer is like this is good for the industry. This is good for OEMs. This is good for customers. And we should all welcome these changes.
Mukesh Saraf: Right. But you still kind of feel that you can take that 1.5% kind of net realization increase over, say...
Shenu Agarwal: Yes. Gopal had said 1% to 1.5%; he was like giving you a general scenario. I'm not saying that it can happen every quarter. But I mean in the medium to long run, I think that is at least our intent. I mean, sometimes it will happen, sometimes it may not. Like, I mean, sometimes, some extraordinary costs may come in, which may not be able to pass on. Sometimes we may be able to realize better than the cost increase s. But overall, on a medium - to long -term basis and even if you look historically in the last 6 or 8 or 10 quarters, that is kind of what the industry is aiming at.
Mukesh Saraf: Right. Got that. And my second question is looking slightly beyond this year for the industry next year with elections, I mean, State elections as well as the Central elections there, do you think that could have some kind of an impact on, say, government spending on infrastructure, etc. And to your past experience, if at all, coul d you give some sense on if that could have an impact on, say, temporary pause on some growth there, on CVs?
Shenu Agarwal: I think the fundamentally, the way the macroeconomic factors are moving in favor of this CV industry, I think even if there is an im pact of elections or any other geopolitical issues, it would

be temporary in nature. There could be an impact. I'm not denying that there won't be any impact, but the way the market is really moving and the way the sentiment is we are seeing on the ground,

I think the impact, if at all any, it will be temporary in nature.
Mukesh Saraf: Right. Any growth estimate you want to kind of give us for next year for the industry?
Shenu Agarwal: For next year, I think it will be too soon. But as I said, for the curre nt year, for the balance half and for the whole of the current year, we are sticking to our guidance for MHCV between 8% to 10% at the industry level. And on the LCV, at the beginning of the year, we gave an estimate of 4% to 5% on the industry. So far, ou r industry has grown by 2.5%, which is slightly lower than what we had predicted in the beginning of the year. But we think there also, we are seeing some green shoots in terms of

e -commerce demand and in t erms of overall uptick, etc . So we are very hopefu l that even for LCV, we will see a better growth trends in H2 as compared to H1.
Moderator: The next question is from the line of Raghunandhan from Nuvama Institutional Equities.
Raghunandhan: Congratulations, sir, on another set of strong numbers and fest ive season greeting. Sir, firstly, for Q2, can you indicate how was the performance in the non -vehicle revenues, especially if you can highlight how is the performance of defense? Would it be tracking that Rs.200 crores kind of quarterly run rate to Rs.800 crores for the full year?
Shenu Agarwal: Yes, Raghu, firstly thank you for your kind words. Like I already said on the defense side, we think that this year would be a historic year on our defense business performance. The order pipeline is very strong. We are aiming at a 4 -digit revenue this yea r. But even if we missed it, we are very positive about touching about Rs. 800 crores. Maybe Gopal can let you know more in detail what we have done in H1 exactly on defense. But yes, going forward, like I said, not just for this year, but for the next yea r as well, the pipeline is very strong. So we are very optimistic about the defense business.
Gopal Mahadevan: Yes, domestic defense revenue. Normally, we don't actually give breakdowns, but since you specifically asked this for H1 is about Rs. 300 crores. And like Shenu mentioned, there's a lot of revenues that are expected, especially in Q4. So I think we're very positive that the defense revenues are going to be very satisfactory this year. We're going to have very good defense revenue this year. That's our forecast at the moment.
Raghunandhan: Secondly, on the electric side, firstly, touching on the electric LCVs and now that you have more than 10,000 bookings, how are you seeing the customer interactions, acceptance? And how do you see the potential for ramp -up ahead?
Shenu Agarwal: Yes. See, I think we would be the first in the industry to launch electric LCV in the segment where we operate. So I mean, while the LOIs that we have received, these are not booking, by the way, these are Letter of Intent, r ight? So the LOIs we have received encourages us a lot because like we were not really expecting to receive 10,000 or more LOIs for these kind of vehicles. But as we all know, I mean, while we are very positive about the electric LCVs, which would be launc hed in Q4 of the year.

But you know that a lot of other ecosystem challenges are there in terms of adoption, right? So we are not just looking at creating a product or maturing our technology as far as the LCVs are concerned, but we are also trying to par tner with lot many other players, including the governments in creating the right ecosystem because a goo d product, a mature product is one side of the story, but then the ecosystem also has to drive adoption.
But we are very optimistic. We are very encour aged by these more than 10,000 LOIs we have received from many customers. And I think there are several reports in the market on ELCV adoption. And I think we would be pleasantly surprised because I really think it will move faster than anyone is expecting .
Raghunandhan: On the electric structur e side, there is a hope that one of your peers also mentioned that government will include payment security mechanism in the upcoming tender. Are you expecting the same? And if this happens, that should lead to bette r profitability, better working capital cycle for Switch Mobility? And eventually, that should also lead to value unlocking or divestments there?
Shenu Agarwal: Definitely. I mean this has been one of the demands of the industry for a long time because these are long period contract

s, running into 10, 12 years. And one thing that industry was very worried was about the payment security mechanism. Given the financi al state of many of the STUs that we have in the country. So if you would have noticed in the PM eBus Sewa scheme, the government has specifically stated that they would come up with the payment s ecurity mechanism of some sort.
Now those discussions are st ill going on between the industry and the government. But I think

the intent of the government is very clear, that if this is something that is hindering the adoption of electric buses in the country, government is seriously willing to take a look at this. So we are hoping that some more details will come out. But yes, the government has really stated their intent very clearly that they would address this issue.
Raghunandhan: Sir lastly, in terms of the listing of HLF, any time line? When do we expect that to happen?
Gopal Mahadevan: Well, I think we are expecting the management, I had a discussion with them as well, and I think they are expecting this to happen sometime in Q4. Some it's a reverse merger, there are a lot of compliance that are to be done add itionally other than a standard DRHP. But I think there are certain approvals that they've just received very recently. So they are reasonably confident that the listing will happen in Q4. And I also wanted t o just make one correction. I have not told consolidated number, even though I used the term. The total book, both on book and off book for HLFL today is about Rs. 42,000 crores.
Raghunandhan: And how would be the H1 profit, sir, if you have it handy?
Gopal Mahadevan: I'll share that with you separately because we don't give those segments at the moment. So we'll have to wait.
Moderator: The next question is from the line of Nirav from Living Root Analytics.

Nirav: So I just wanted to know the outlook for buses in H2.
Shenu Agarwal: The outlook for buses for H2, you said?
Nirav: Yes.
Shenu Agarwal: Yes. So I see the bus order pipeline itself is strong as far as H2 is concerned. As you would have noticed in many announcements that we have made, we have won some really large tenders from STUs on the diesel bus side. So our order pipeline is so strong that we won't be able to execute even all the orders in H2, right?
And therefore, so me of these will definitely spill into FY '25 first half. So we're assured, both on the industry side and definitely from Ashok Leyland side, since Ashok Leyland is the leader in the buses right now, you will see a marked improvement in our numbers in buses in H2.
Nirav: So if I'm not wrong, the current existing order book for buses was 1,100, right?
Shenu Agarwal: No, no, no. Tha t is for electric buses, that is for Switch . I think your question was more on the diesel buses. So my response was for the diesel buses on the Ashok Leyland side.
Nirav: So what's the order book for diesel bus?
Shenu Agarwal: I'm sorry?
Nirav: What's the order book for diesel bus?
Shenu Agarwal: Order book, we don't give away. But what I can tell you is the order book is very strong and H2 volumes would be significantly better than H1 volumes as far as diesel buses are concerned.
Nirav: So if possible, you could also shed some light on the industry outlook on all 3 segments from a 12-month perspective for FY '25, if possible?
Shenu Agarwal: No. As I said, FY '25 would be too soon. You give us a quarter or something like that in probably around January or Fe bruary, we would come up with the guidance on FY '25.
Nirav: And just try to rephrase my question. So where do you see the CV cycle peaking out since we are already in the middle of it?
Shenu Agarwal: Yes. So as I said, what we are seeing on the grou

nd is a very, very positive sentiment when we are talking to our fleet operator s and other customers. They are of the view that the c ycle is going to continue not just this year, but even into the next year. And that is our view as well. So definitely, we think that there would be a growth trend in FY '25. But as I said, more precise guidance, we'll be able to give you around January or February.
Moderator: As there are no further questions from the participants, I now hand the conference over to the management f or the closing comments.

Shenu Agarwal: Yes. Thank you very much again. The first half has been very good for Ashok Leyland in terms of MHCV market share gains as well as the margins. Overall, good run continued in Q2.
Contribution from Defense, LCV, Aftermarket and Power Solutions was also very supportive in our overall performance. Revenue mix was good. Price recovery and cost savings went as per

our plans and were satisfactory.
With the robust economic growth outlook as well as the increased outlay on infrastructure, we expect a good demand situation going forward as well. Softness in commodity costs and our relentless focus on driving operational efficiency should also help us further going forward.
Given this backdrop, we hope to steadily improve our market share in all the segments and continue with a good margin run as well. Thank you once again for the interest shown in Ashok Leyland.
Moderator: On behalf of B&K Securities, that concludes this conference. Thank you for joining us, and you may no w disconnect your lines.

Call: Feb 2024

Febr uary 9, 202 4

Dear Sir/Madam,
Concall Transcription
Pursuant to Regulations 30 and 46(2) (oa) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of the Company's Analyst Call held on February 6 , 2024 to discuss the financial results for the quarter and nine months ended December 31 , 2023.

Meeting start time - 10.00 a.m. IST
End time – 11.00 a.m. IST

We request you to take the above on record.

Thanking you,

Yours faithfully,
for ASHOK LEYLAND LIMITED

N Ramanathan
Company Secretary

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"Ashok Leyland Limited Q3 & 9M FY24 Earnings
Conference Call "

February 06, 2024

MANAGEMENT : MR. SHENU AGARWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. GOPAL MAHADEVAN – DIRECTOR AND CHIEF
FINANCIAL OFFICER

MR. KIDAMBI MANI BALAJI – DEPUTY CHIEF
FINANCIAL OFFICER
MODERATOR : MR. BASUDEB BANERJEE – ICICI SECURITIES
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY24 Earnings Co nference Call of Ashok Leyland Limited, hosted by ICICI Securities.
As a reminder, all participants ' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistanc e during the conference call, please signal an operator by pressing "*" then "0" on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Basudeb Banerjee from ICICI Securities. Over to you, sir.
Basudeb Banerjee: A very good morning, good afternoon, good evening to all the participants. Thanks to Ashok Leyland 's Management for giving us the opportunity to host the call.
We have with us the Management represented by Mr. Shenu Agarwal – Managing Dir ector and Chief Executive Officer, Mr. Gopal Mahadevan – Director and Chief Financial Officer, and Mr. Balaji – Deputy Chief Financial Officer.
Without wasting any time, I would like to hand it over to MD & CEO sir, Mr. Shenu Agarwal. Over to you, sir.
Shenu Agarwal: Good morning ladies and gentlemen. It gives me immense pleasure to be with you today. I thank you for the interest shown in Ashok Leyland.
I am happy to share that the current year has been a record of all sorts. In the first 9 months of the current financial year, Ashok Leyland has recorded the highest turnover at Rs. 27,100 crores, highest sales volume at 1,38,416 units, highest EBITDA at Rs. 3,014 crores, and the highest PAT at Rs. 1,718 crores.
While at the beginning of the year, we had g iven a guidance of double -digit EBITDA for the whole year, we could achieve a 10% EBITDA margin in the first quarter of the year itself. Since then, we have moved up sequentially, registering an EBITDA of 11.2% in Q2 and 12.0% in Q3. We are moving well in line with our medium -term target of mid -teen EBITDA margins.
The domestic MHCV industry in the first 3 quarters of the current financial year has grown by 9% over the same period last year. H1 growth was at 10% and Q3 relatively had a lower growth at 7%, affected mainly by elections in several large states of the country. Q4 this year may also see a subdued pattern because of the high base effect of last year as well as some impact of union elections.
Overall, for the year, the MHCV industry would still be short of its peak of FY 2018 -19, thereby signaling further room for growth going forward. Industry factors for the medium and long term continue to be favorable. This is backed by a strong macroeconomic environment, healthy replacement demand, good tracti on on infrastructure projects, and improving freight demand.

Higher allocations in the recent interim budget for the core sectors will help drive the momentum in economic activity, thus helping CV industry growth. The bus demand is well set to move closer to the previous high registered in FY12. Replacement of existing fleets of buses, public transport impetus, and increasing demand for school and staff transportation should continue to drive the bus demand.
On the LCV side, our addressable industry has see n a 3% de -growth this year till December 2023. Our volumes have grown by 2%, which has resulted in our market share improvement of 1%. Though the steel prices went up marginally in the first few months of the current financial year, prices have softened si nce then and are expected to continue to remain soft for at least a few more months. This is being closely monitored by us. Our cost reduction efforts are in full

swing looking beyond direct material costs. This is visible in our margin improvement quarter on quarter.
We are following a very strict pricing discipline. While market share is very important to us, we are clear that it will not come at the cost of margins. Therefore, in the short term, one may see a bit of dip here or there depending on competi tion action. Our actions are focused on improving our products and differentiating them to command a better price parity and market share.

During the quarter, Ashok Leyland launched several new models and variants with Ecomet 1915 CNG, Boss 1815, AVTR 3525 RMC, Lynx bus chassis, 10x2 STLA haulage with 25 feet loading span, and 222 Viking Air-Air intercity bus with AC, Stallion Water Bowser for defense business, Dost plus CNG, and many more.

While we have started doing very well now in the North and East zones which have been traditionally our weaker markets, there is certainly ample headroom to grow further. We are progressing well on our network expansion plans, especially in the North and East zones. We have tied up with the TVS Group with whom we enjoy a longstanding partnership in Tamil Nadu and Kerala to represent us in the National Capital Region. We hope to start launching several new outlets in this region within the next few months.

In the first 3 quarters of the year, we have added 37 authorized ser vice centers and 44 dealers for the MHCV business. Now we are at a total of 399 authorized service centers and 491 dealers throughout the country. We wish to take this number to 1,000 in times to come. Similarly, for LCV business, we have added 17 dealers and 53 authorized service centers so far this year, making our LCV touchpoint count at 690. I am extremely confident that with the unique strengths of our current and new products, backed by continuous expansion of our sales network and service reach, we w ill continue to grow our market share in times to come.

The EV business housed under Switch is crucial for future proofing Ashok Leyland. While we will continue to look at external investors, Ashok Leyland board has earlier approved an equity investment of Rs. 1,200 crores in Optare which is the holding company for Switch UK and Switch India. During Q3, AL has invested Rs. 662 crores in the equity capital of Optare PLC. AL shall be inducting the balance equity in more than 1 tranche over the next few months . Ashok

Leyland balance sheet is strong enough to support our vision on electrification of buses and LCVs under the Switch brand. I am happy to share that Switch products are performing extremely well in the market. We are very excited about starting to de liver our first batch of electric LCVs within the next few months.

On the truck side also, we are happy to share that at the recently concluded Bharat Mobility Global Expo at Delhi, we delivered the keys of our first ever electric truck sold commercially. This was model Boss in 14 tonnes GVW category powered by a 200 -kilowatt battery pack. We are also nearing market trials of our fully electric 55 tonne AVTR tractor trailer for long -haul transport. We are proud that within a short span of 1 year from displa y of some of our alternative fuel vehicles in Auto Expo in January 2023, we are now in a position to commercially bring these vehicles in pilot lots to the market. This goes on to demonstrate our acute focus on alternative fuel technologies.

Now, let me qu ickly run you through some numbers on Q3 as well as YTD performance :

It might be pertinent to note that this has been our best Q3 ever. Q3 revenues stood at Rs. 9,273 crores, 3% higher than Q3 of last year, which was at Rs. 9,030 crores. EBITDA for Q3 this year was at Rs. 1,114 crores, at 12% as against Rs. 797 crores at 8.8% in Q

3 last year. EBITDA for
the first 9 months of the year has grown by 82% and is at Rs. 3,014 crores as against Rs. 1,655 crores last year. PAT for Q3 was up more than 1.6x at Rs. 58 0 crores versus Rs. 361 crores in the previous quarter. For the first 9 months, our PAT was up more than 2.73x at Rs. 1,718 crores.

Operating working capital is at Rs. 2,004 crores as of December 2023, primarily supporting the increased activity levels. Se quentially, it has gone up by Rs. 850 crores compared to Rs. 1,138 crores in September 2023. Capital expenditure for the quarter is at Rs. 90 crores. Cumulative CAPEX for the 9 -month period is at Rs. 290 crores.

During Q3, AL has invested Rs. 662 crores in the equity capital of Optare PLC. Net debt as of 31st December 2023 was at Rs. 1,747 crores, higher than the previous quarter by Rs. 608 crores.

For the first 9 months, our overall MHCV volumes have grown almost in line with the industry growth. AL volume growth is at 7% while industry growth is at 9%.

TIV specifically for bus in this period has outperformed all other segments, growing by 38%. The corresponding growth for AL in buses has been 65%, thus considerably gaining bus market share. Cumulatively, o ur LCV volumes have grown by 2% from 48,682 this year against 47,829 last year, while the industry in our addressable market in this period has de -grown by 3%. In Q3, LCV volumes have grown by 3% over last year.

IO sales have registered a 7% YoY increase i n Q3, despite the continuing meltdown in many economies around the world. We registered export volume of 3,128 numbers in Q3 this year versus 2,936 numbers in Q3 last year. Most of our industry peers have registered a sharp decline in their export volume.

Good performance in the aftermarket sales continued in Q3. Our aftermarket sales at Rs. 658 crores grew by 30% over the same period last year. Volumes under Power Solutions business grew by 24% in Q3 over the same period last year, from 5,902 last year to 7,318 units in Q3 this year. As I said, AL has recorded an historic high on revenue, EBITDA, and PAT in both Q3 and in the first 9 months of the current fiscal year.
With this, I will open the floor for Q&A.
Moderator: We will now begin the question & answ er session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. And the first question is from the line of Chandramouli from Goldman Sachs. Please go ahead.
Chandramouli Muthiah: My first question is on the gross margin level achieved this quarter. In spite of selling 5% fewer volumes of vehicles this quarter, it appears that gross margin has expanded almost 130 basis points quarter on quarter. So, just trying to understand what were some of the key drivers that helped yo u achieve that.
Shenu Agarwal: I will answer briefly and then I will hand it over to Gopal as well for more details. As I said in my opening statement, our focus is on profitable growth. We are very -very strict on pricing discipline. We are focusing relentlessly on cost reduction. And I think the softening of commodity prices also helped to some extent. But maybe Gopal can give you a broader view.
Gopal Mahadevan: I think, as Shenu had mentioned, we w ere very clear that we have grown in market share over the last few quarters, if you notice. So, for us, what was important is to ensure that having grown at this level, and I am sure that there is further growth that is going to come based on the product launches, the distribution that we are looking at and Shenu did mention about some of the penetration that we are doing very strategically in the North ern side of the country, we believe that there is enough steam left for us to grow in the market share. B ut having said that, we also wanted

to ensure that we continue to start improving the price realizations because the industry itself has improved its pricing capabilities. One was that. The second one, again, was that consciously, internally, there has bee n a huge amount of effort on taking cost out of the product, looking at VAVE, looking at alternative suppliers, consolidating buyers, and all of this has started to actually yield results. And for us, this journey will continue. Our improvement in pricing as well as continuous improvement in product cost because that is what OEs do typically. And of course, the third bit of it which was helpful was commodity prices. They continued to decline. And hopefully we will see that happening in the fourth quarter as well.
Chandramouli Muthiah: My second question is on the electric bus industry and the sort of announcements we have seen over the past few months from the Government . I think just last month, there was an announcement that about 800,000 diesel buses will be considered for transition to electric powertrain by the central Government . I think before that, there was also the Prime Minister 's eBus Se wa, where the Government has announced almost $7 billion worth of incentives for electrification of 10,000 buses . The interim budget also had some commentary around trying to bolster the payment security mechanism within the electric bus industry. So, just trying to

This transcript has been edited for readability and doesn't purport to be the verbatim record of the proceedings.

understand what you make of some of these comments and any negotiations or discussions you have with the Government on the payment security mechanism and how robust it will likely be going forward.
Shenu Agarwal: Firstly, you are right. There is a lot of positive news about electric buses and the transition from diesel to electric. I think what we have cr eated in Switch is going to really help Ashok Leyland now going forward as this transition happens. We already have some wonderful products, as you know in Switch, and we are developing some more to cater to the entire spectrum of the electric bus market. Yes, announcements are there, big numbers are there for the next 7 to 10 years, which have been announced. So, I think we are seeing execution of that on the ground as well and I am not saying these are just announcements. We had a PM -eBus Sewa tender whic h is going on right now, and Switch is going to participate in that as well. Now, on the payment security mechanism, I think while the Government has already said that it will come out with a payment security mechanism; in fact, in the latest PM -eBus Sewa tender, it has been specifically mentioned in the tender that the Government would come out with this payment security mechanism by a certain date. We are under discussions with the Government as to exactly how this will work. Those details are still being worked out, but we hope that within the next 2 or 3 months, something more specific the Government will be able to say on this.
Chandramouli Muthiah: And lastly, just a housekeeping question. I just want to understand what the net debt balance for the aut o business and the rest of the business is including financing? If you could just split that

out if you have those numbers with you.
Gopal Mahadevan: We just give the consolidated numbers here. I think Shenu had mentioned that. Our net debt is Rs. 1,747 cr ores. But I just wanted to add one more bit here. This is after infusing nearly about Rs. 950 crores, both in Switch and in OHM. If you look at it, the cash flow position of the company from the operating side has been very good. We started the year, I thi nk in the first quarter, we had Rs. 750 crores of debt on the 1st of April if my memory serves me right. And then after that, we have seen Rs. 1,400 crores at the end of Q1. But in Q2 and Q3, after inve

sting
nearly Rs. 950 crores, our debt position is only Rs. 1,747 crores. And I think as we move forward, in the 4th quarter, if things go well, we should actually see the debt position improve.
Moderator: The next question is from the line of Pramod Kumar from UBS. Pl ease go ahead.
Pramod Kumar: Congratulations on good financial performance. Shenu, my question is regarding demand. Because, we have seen a sudden deceleration in demand in MHCV. The industry was optimistic of a high single digit growth. Now, it looks like we are going to be more like low single digit growth for the industry for this year. If you can just help us understand what has led to this sudden demand deceleration at the industry level? And within that, why are we kind of not pursuing market share mo re aggressively? I am not talking about discounting per se, but our market share numbers have gone in a very different way than what we talked about during our Investor Day. I am just trying to understand the market share in the context of the industry bit ; if there is any shift from large B2B fleet owners to the retail market, which is resulting in this

market share. If you can just help us understand the slowdown bit and the market share thinking, sir.
Shenu Agarwal: Let me first talk about the industry i tself. If you see April to December industry, MHCV I am talking about right now, it has grown by roughly 9% which is specifically very much in line with what we had projected in the beginning of the year. January -February -March, I think you are referring t o January industry de -growth a little bit. January -February -March what we were already imagining was that since we are sitting on a very-very high base of last year, the industry growth may not be that much. So, we may see some moderation in industry in Ja nuary -February -March. Now, also, a few months from now, the elections will be announced. Elections normally have some kind of a slowdown effect on the industry. So, I am just saying that January -February -March, because of the high base effect and maybe Apr il, May, and June because of some elections, we might see some moderation in the growth. But all this is not fundamental. This is very temporary in nature. We are very confident that even if there is a moderation of growth in the industry in the next few m onths, it will recover very-very well and it will recover very sharply. The reason we are confident about that is we don 't see any problem with any of the macroeconomic factors that govern our industry. Whichever thing you look at, it is running positive. The overall economic activity is positive. The freight demand is positive. Replacement demand is positive. There are a lot of actions that are kind of happening on scrappage. So, everything that you look at…. and we have not even reached the peak of FY2019 . So, I think overall very confident there might be a certain dip in the growth levels in the near future but overall very confident about the industry as of now.
Now, coming to the market share, it is right that we have said that in the MHCV, we want to move towards 35% in the mid term. And last year, you know that we clocked a 5% growth. In our market share, we moved up from roughly 25 to roughly 30 in MHCV, right? Now, having done that, we do expect that there will be some kind of intense competition rea ction. And at such times, it is very wise of us to kind of hold on to our fort and focus more and more on price discipline. We said in the Investor Meet also that our mantra is profitable growth. And we are not going to sacrifice profits for market share. So, in a quarter or a couple of quarters, you may see all those kinds of actions. But we are very-very focused and confident that market share will not be

won through quarterly tactics. It will be won through our product and service differentiation and str ength. And that is what we are focused on, whether it is through new products or whether it is through network expansion strategy.
Pramod Kumar: Before I move to the next question, just a clarification. When you say 4Q soft, are you implying a decline for the industry?
Shenu Agarwal: I think there could be either a small decline or there could be small moderation in the growth from what we have seen in Q2 and Q3. Let us see how it happens. But definitely the base is very high. Q4, I think last year was more than 120,000 or something around that. That is the only issue. Let us see how it goes. But there could be a small decline or there could be a moderation in the growth levels.

Pramod Kumar: Gopal, this question is for you, sir. On the cost side, what exact ly is driving a deflation in our employee and other expenditure sequentially? Because we generally see that other companies have an uptick even with lower volumes. And how sustainable is that? And the second part is on the investments on the EV side. How s hould one look at investments going forward? Because, the opportunity is huge. So, it will require a lot of investments upfront to prepare the base, right? So, how should one look at the investment cycle, specifically for Switch mobility and also outside o f that in the other subsidiaries as well?
Gopal Mahadevan: As we have shared with you folks earlier itself, while we will continue to pursue investors from outside and which is something that we will welcome, we will continue to invest into the business. W e are doing the initial Rs. 1,200 crores this year. We will come back as to what the status will be for the next year. But there are some very exciting products that are going to get launched. And slowly, we are going to see the cash flows of Switch India actually standing on its own legs. This is the initial product introduction phase. So, there are some investments being made in products. We are going to launch a light commercial vehicle. We have also formed OHM separately because that 's going to be a sep arate e -mobility as a service company. It 's very (Inaudible) 24:17 and leading in the market. And that 's exactly what we are doing. A lot of people are waiting for our light commercial vehicle ELCVs to be launched in Q4 and that will continue. We aren 't too concerned about…. From an analyst perspective or from a financial analyst perspective, you may be looking at how much of cash and how much of investment is required. Let me assure you that, I think, with the profitability of the core business, we are very-very well placed for funding the requirements of Switch if necessary. But I think in the medium term, we will get some good investors whom we can partner with. Money is available. It 's not that. But I think it 's important to get the right kind of inv estors to partner in a long -term business like this.
As far as your other question on employee cost is concerned, I think these are very marginal adjustments. And the trend predominantly will continue. I think we have come down from very high percentage le vels because of the operating leverage kicking into about 5% to 5.5% to 6%. I think as the industry continues to grow and Leyland certainly grow, we would see these percentages to be maintained or come off in the future as well.
Moderator: The next questio n is from the line of Gunjan from Bank of America. Please go ahead.
Gunjan: I had a followup on the margin roadmap again. If you can share with us as to what were the sort of price hikes taken in the quarter, the absorption around those, because I recall l ast quarter, you did mention that the market absorption of tho

se price hikes hasn 't been that great. So, a little bit of color on what was the pricing improvement, how much really came from commodity tailwind, and are there more price hikes which are being taken in quarter 4.
Shenu Agarwal: Gunjan, thank you for the question. First of all, let me clarify that when we made a comment last time or previously that the absorption of the pricing has not been that high, we were referring specifically to Q1 when th e industry had tried to take a 3% price hike which was quite aggressive, but that whole thing could not be absorbed. Yes, but that was like in Q1, mainly April one. As I

said, our focus is profitable growth and we have said this before that we are not goin g to sacrifice margins for the sake of market share. Market share we will always focus on differentiating our products and differentiating our service and our reach to the customer. Now, 3 things, again. One is our price discipline, our intense focus on ho w much we can do better realization. Second is our cost program, actually cost compression optimization program, is actually working really really well. Last year in FY23, the team did a great job and we thought we have probably done our best in cost optim ization. But this year, again, we thought let us just find more opportunities, and to our own surprise, we are actually doing better in cost optimization in FY24 than in FY23, and that is on top of whatever we have done in FY23. I personally believe this i s a very continuous story. Companies like us, especially in the automotive sector, have this huge potential, especially when some technology changes. In our industry and BS6, the technology changed quite a bit with the new emission norms and also moving to the modular platform. So, we have a huge potential to look at cost again. That was the second. And third was, of course, softening of the commodity prices, which as I said, has helped and will continue to help for at least a few more months.
Gunjan: Is it possible to just get a number on what has been the price hike taken in 9 months overall, if

not broken up into quarters? And maybe also get the revenue from the other businesses there, power solutions, is there anything we have seen any meaningful change in those other segments?
Gopal Mahadevan: I think we have shared it. We don 't have that number readily available. We will take it offline, Gunjan. But rest assured that quarter on quarter, Q1 -Q2-Q3 we have actually been raising prices across businesses, both in trucks as well as in light commercial vehicles and of course in all th e other businesses. And also, the other important bit I think what Shenu had also mentioned was that the bus business is doing very well, and we have actually seen the profitability of the bus business scaling up very-very quickly. This has been a confluen ce of factors which has actually resulted on the pricing front. But we don 't have that exact number for the 9 months that you are asking for.
Gunjan: Other segments like spares, power solutions, and defense, anything on the revenue to call out?
Shenu Agarw al: Gunjan, I gave out the numbers in my opening remarks. Maybe after the call, we can give you more specific numbers if you like. But I would just like to mention that we are actually very happy with all the non -auto businesses because we are doing really well this year whether it is spare parts or defense or the power solutions business. I think we will have a record year on all these 3 businesses this year. Actually, the defense business we are gunning to achieve roughly between Rs. 900 crores and Rs. 1, 000 crores of turnover this year, which will be an all time high for us. That is the kind of positive momentum we have been able to generate on the defense si

de.
Even in the power solutions business, already our 9 -month volumes are record volumes. And I think this business will continue to perform like this in quarter 4 as well.
Gunjan: Last question. Any thoughts on scrappage? Anything you are hearing in terms of the Government looking to accelerate this or relook at the incentive levels? And how should we think about this

whole scrappage policy? Maybe not from a near -term perspective, but is there a thought process to revisit the incentives and drive this replacement?
Shenu Agarwal: Yes, definitely Gunjan. There has been a lot of discussion even in the last few months on scrappage . The Government is very-very keen to find ways so that this whole thing can be pushed really well. As you know, Government vehicles now mandatorily have to be replaced after the useful life, but such condition is not enforced for the private vehicles so far. Right now, the Government and industry are looking at various options. First, the Government really wants people like us and other companies to invest in to these facilities – the scrappage and refurbishment facilities – and also, there has been some dialogue going on between SIAM and the Government to see how we can incentivize customers to come forward voluntarily and scrap their vehicles after the end of useful life. And these incentives would be coming both from the Government side as well as from the industry side. A lot of discussions are happening. I think it is moving in the right way. The Government , of course, cannot immediately make it mandatory for obvious reasons. But yes, I think at some point in time if the Government starts enforcing it, it can really happen very-very fast.
Moderator: The next question is from the line of Pramod Amte from In Cred. Please go ahead.
Pramod Amte: Thanks for taking my questions. The first one is with regard to the EV trucks which you have launched. Congrats for that. Can you just specify, we can understand the ICV one, but it 's interesting to see the tractor trailer being launched or being tested. What are operator economics? Why you selected this? How are you planning to develop a supply chain and when we expect it to hit the market?
Shenu Agarwal: We are actually very-very proud of achieving this milestone in our electric truck journey. You know we have lots of bus es on the roads already. Very -very soon, we will have some light commercial vehicles on the road. But what we have delivered in Bharat Mobility Expo is the Boss 14 -tonne electric truck for mid mile transportation and we have actually got more orders and we are going to deliver a few more in the coming months. Also, as I said, we are nearing market trials or the launch of 55 -tonne tractor trailer as well. Right now, our focus is on 2 things. We are not running behind volumes here when it comes to electric tr ucks. Our focus is to make these machines more and more efficient. And the other thing is to bring the TCO down. Roughly at the industry level, I can tell you that the TCO equivalent of diesel is coming in roughly about 5 to 7 years right now on the electr ic trucks. I think if we can bring it down below 5 years, then it will start making much more sense. That is the whole intention. Right now, what we are doing is not really launching it in a massive way, but with very selective customers and selective geog raphies and selective applications, we are doing a lot of customer trials or market trials. There are many customers in the market right now who want to actually get into electric trucks for various reasons. And we are partnering with these customers to se e if we can try these trucks out in the real life, in the real conditions, and then prove the various benefits of the electric
powe

rtrain.

Pramod Amte: And the second related to that is since you started delivering these trucks, will these be part of the standalone entity or will they be part of the Switch?
Shenu Agarwal: Electric trucks would always be part of Ashok Leyland. Switch is focusing only on electric buses and on electric light commercial vehicles.
Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rathi. Please go ahead.
Mumuksh Mandlesha: Congratulations on the solid margins. Sir, just to understand more in terms of demand perspective on the recent slowdown, is it that the demand was weaker in the new demand where the expansion of fleet has slowed down or is it the replacement demand where there is a slow growth we are seeing in the recent months? This is basically to understand if it is a new project slowdown which is impacting the demand or there has been an absorptio n of pent -up demand, hence the things have slowed down?
Shenu Agarwal: I think it ’s a combination of both. Because, last year, there was a huge pent -up demand that was there, especially in the second half of the last year. Of course, that with the volumes growing like this – last year, we had a mammoth growth in the industry – some of that pent -up demand has also diffused now. That is one, of course. And the other thing is that, not right now, but what we are expecting in the next 2 to 3 months is that projects may slow down a little bit because of the code of conduct or other effects of the elections. And therefore, we are saying that the growth may moderate down in the next 3 to 4 or 5 months. So, it will be a combination of both the factors. But right now, it is just the high base effect in this quarter.
Mumuksh Mandlesha: And considering this near -term demand slowness, do you see the path of further improvement in margins to continue led by a better price realization? Or do you see there would be some temporary pause in the price increases?
Shenu Agarwal: That is very hard to say. It depends a lot on the competition action. But what I can say for Ashok Leyland is that we will be very much focused on increasing our margins, not just from the pricing side but also from the cost side. Price discipline is something that we do want to maintain. That will really help. We are finding more and more avenues for how we can increase our price realization, especially with the better network and the better service reach we are creating in the North and East zones and to some extent in the c entral zone. That is also giving us some of the pricing power. We are picking our battles. I am not saying that we are totally aloof as to what is happening in the market, but we are picking our battles very-very wisely. But, as I have said, I will repeat for the third time, we will not sacrifice margins for market share. Market share is a medium - to long -term story for us. We will achieve that as well; not on a quarter -to-quarter basis, but we will achieve it through the strength of our products and our ne twork and service.
Gopal Mahadevan: Just to add here, even in the month of January, we have raised prices. Our NSRs have improved. So, this is completely 2 different tracks that we are looking at. As Shenu mentioned, you will see a traction happening on th e market share. That is independent, i.e., distribution, products, new customers, better way of selling, using digital. That track will continue irrespective of….

This is not a price versus volume war that we are having in the market today. It is very impo rtant to have value selling that ’s happenin

g and that we believe is what is going to be the very stable medium -term strategy.
Shenu Agarwal: And one thing you should keep in mind is that it ’s not just Ashok Leyland, but the entire industry realizes that th e margins of the industry have to come up. I think we have seen statements from other industry peers as well. And the reason I have been saying…. This reason is very-very simple. Our industry is going to go through a huge transition. We have already put el ectric buses on the road. Now we are putting some electric trucks on the road. We are about to launch electric light commercial vehicles. Then we may launch hydrogen powered vehicles in some more time. And all these, they need a lot of investment. They nee d a lot of resources. And therefore, if the industry is going to go through such a transition, we have to generate more cash to be able to help this transition rather than resisting the transition. I think that whole notion is very well understood by our p eers also to some extent. And that also helps in maintaining the overall pricing discipline.
Moderator: The next question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.
Jinesh Gandhi: Sir, congrats on a good set of numbers. Quickly, a question on the pricing in the market. We have seen a quite substantial increase in the cost of trucks, say pre -COVID versus now. Almost 20% increase in cost of trucks. Is that a factor which will also play part on the demand side? As

I have seen in oth er segments, obviously on the B2C side where demand has been materially impacted because of higher cost. Obviously, trucks have different dynamics, but how do you see the dynamics of price versus cost inflation versus demand from a medium -term perspective?

Shenu Agarwal: No, I don 't think so, Jinesh. I think this was like long ago when the cost increases because of the emission norms or other changes. Of late, we didn 't have any major regulations that have an effect on the overall cost of the vehicle. That period is long past us. That was about like 4 years ago when we switched on to BS -VI. That is long. Whatever shock that increase in cost or increase in price created in the market, that is gone. Right now, we are not in a scenario where demand is getting a ffected through the prices.

Jinesh Gandhi: And secondly, with respect to the replacement demand, I remember we had been talking about the average age of the fleet. It is at a decadal or multi -decade high. Have we started to see that demand coming in and th e average age of the fleet started to moderate? And if not, what are the reasons why replacement demand has not been coming back?

Shenu Agarwal: No, the average age won 't get affected that soon. It will take several years for the average age to come down. You are right; the average age is closer to 10 years now, which used to be, I think, about 8 or less than 8 earlier. But it will take many good years of industry growth to be able to bring the average age down back to 8 or lower than 8. That is why I think in the medium term, we are very-very confident about the performance of the industry as a whole because most of the factors are going well. You know the CV industry is very well linked to the overall economic activity or the GDP growth of the country. And the country is doing very well and is

expected to do well going forward as well. A lot of focus the Government has put on infrastructure projects. You can see in the interim budget also, and we expect to see similar focus and similar consistency of the Government approach even in the main budget that will come in July. I think all those factors are pointing to positive confidence.

Jinesh Gandhi: And lastly, if we can talk about the performance of HLFL.

How are they performing probably in 3Q and for the 9 m onths in terms of AUM growth and profitability and NPAs?

Gopal Mahadevan: I think HLFL is doing very well here. If you look at the size of the book now, it is almost Rs. 45,000 crores. I am talking about consolidated numbers. They have had disbursement of nearly Rs. 17,890 crores. And their PAT percentage is 13%. Their NPA isn 't too high. It 's been very well controlled. I think it 's at about 2.6% or 2.8%. And the NIMs have also improved. Overall, I think, HLFL and there is this subsidiary called HHF which i s a 100% subsidiary of HLFL, which is also doing very well. The portfolios are good. And the other bit is that exciting company called as Gro which is equally held between HLFL and Ashok Leyland. And I think that this is the company that is to watch out fo r because this is into solutions and using technology for enabling the whole ecosystem around our customers – and not just customers, our partners. That’s also I think very much on track.

Moderator: The next question is from the line of Raghunandhan NL fro m Nuvama Research. Please go ahead.

Raghunandhan NL: Congratulations on a strong margin performance and recent EV unveilings. A couple of questions. Firstly, when we look at history , say the 30 -year history shows that whenever there is an upcycle, the new peak surpasses the previous peak by at least 10% even in tonnage terms. So, there is still some room to go ahead. How do you expect various categories within MHCVs to perform going ahead versus tractor trailers and ICVs? Which category do you expect to do better?

Shenu Agarwal: Yes, it is true. Like I said also in my opening statement that the previous peak was in FY19 and although we were hoping we will cross that peak this year or get close to it, it seems we will fall short of that. There is still very h igh room for growth left in the industry. As far as segmental growth is concerned, we think there is a lot of steam left in buses even now. You know that we have received a huge number of orders and our peers have also received some orders. That will be ex ecuted over the next 6 to 8 months or 9 months. That will keep the bus industry going really really well. Then the second, I think, would be the tractor trailer segment which has already shown considerable shift from multi axle to tractor trailer because o f many many reasons. This started happening, I think, even in FY22, but FY23 was a great shift towards tractor trailers. And even this year, we are seeing that tractor trailer is leading the growth of the tractor industry. I think the second segment in the trucks would be the tipper. I think with all the infrastructure projects, all the mining projects going on in the country, and there has been some talk about privatization of mines going into at a higher pace, if all that happens, the tipper industry shou ld also look…. It is looking very promising right now. I think those are the 3 stars as far as the segments are concerned – the buses, tractor trailers, and the tippers.

Raghunandhan NL: Thank you for indicating a much better product mix. Sir, my second qu estion; over the medium term, how do you see the powertrain mix shaping up, considering the efforts on EVs and recently also on the hydrogen side, how do you see the EV share increasing for buses and CVs over the medium term? And also, for near -term visibi lity, if you can indicate interest level or order books that the company currently has for LCVs and buses?

Shenu Agarwal: For buses, we have orders of roughly about 1,000 buses as of now and then we are participating in some new tenders this month and next month. That will probably help us bring in more orders. For the LCVs, we have MoU signed with various customers, and that number is roughly 12,000 to 13,000 units. That is where we are on LCV and buses. Of course, on the truck side, we are not yet signing any MoU. As I said, we are being very-very selective for next few months in choosing our customers, our applications, and geographies. And our first intention is to mature the technology and make the trucks very-very efficient, bring the TCO down before w e kind of start running for the numbers.

Raghunandhan NL: And how do you see the medium term panning out in terms of penetration?

Shenu Agarwal: Penetration of EV, Raghu, it is very hard to say. There is so much data floating around in the industry. Some people tend to believe that LCV and buses would cross roughly something between 20% to 40% penetration as soon as 2030 or 2032. But it is very hard to say, Raghu, because it ’s not just us but a lot of ecosystem factors have to be in line. I always say I do n’t get worried about these trends too much. I am more worried about what Ashok Leyland should do. And our focus is to mature the technology, mature the product, make it more efficient, and bring the TCO down. I think if we can do that, we will do our job in pushing this transition and it is very important for Ashok Leyland to participate and lead this transition because we are a challenger. And for a challenger, it is very important that these disruptions happen in the market because if something changes, only then do we have a chance to disrupt the pecking order. We are loving it, we are very focused on it, and hopefully we will have the best product in the market.

Raghunandhan NL: Just continuing with another question on the Switch Mobility side. Now that you are investing Rs. 1,200 crores, there is a good set of orders for buses and LCVs, how do you see the growth shaping up? And as Gopal sir earlier mentioned that the focus will be to make it self -sufficient in future, how do you see those trends shaping up? And, relating to stake sale, any thoughts or any progress there?

Shenu Agarwal: Raghu, it ’s true that more action is happening in Switch India than in the UK or the European markets right now because the growth in the EV adoption in the UK or in Europ e is not to the extent that we had earlier imagined or even the market had imagined. Even we are highly highly focused on Switch India operations right now. And we are very confident that by the end of the next fiscal year or during sometime in the next fi scal year, Switch India should be cash neutral. At least, that is the goal that by the end of next fiscal year, which is the last quarter of the next fiscal year, we should make Switch India cash neutral which is self -sustaining, which is not very far off. Like Gopal said, in the meanwhile, if there is further requirement, then Ashok Leyland ’s balance sheet is very strong to be able to support Switch. But, yes, very focused on Switch

business, very happy actually the way it is shaping up, not just what we a re doing currently but all the R&D and the product development that is happening in Switch right now.

Moderator: The next question is from the line of Mukesh Saraf from Avendus Spark. Please go ahead.

Mukesh Saraf: My first question is on the mix of vehicl es. Like you mentioned, we have seen a significant increase in tractor trailers and probably more 40 -tonner vehicles. We have looked at previous cycles. We have not seen this kind of a steep shift towards these high tonnage vehicles. What exactly has drive n this time around this kind of steep shift? And can this continue a bit longer according to you?

Shenu Agarwal: Mukesh, yes, it ’s true that we haven ’t seen this kind of a steep shift to higher tonnage or even from multi axles to tractor trailers, etc., but we are seeing a lot of things that are happening for the first time in the country. I get asked a lot by the media also about the cyclicity of the t ruck industry. And they say, see, this is how history has behaved. And my answer normally is, it will not be very prudent in our country today to look at history and project the future. A lot of things are changing. The kind of highways, the kind of infras tructure that is getting built in the country, the quadrilateral, the national highways, the state highways, it is a direct effect of that because vehicles can cruise at higher speed, they are more comfortable, drivers can work more hours without getting f atigued out. A lot of things are changing in the sector, both in terms of product technology and in terms of the infrastructure. I think that is the reason. And when these things happen, you always tend to see a hawkish shift kind of demand curve because t here are a few adopters in the early part of it, but when people start seeing the benefits, then more and more people start adopting it. I think this trend will continue. Actually, we will continue to move towards a better product mix, a higher tonnage, an d more tractor trailers because tractor trailers, I think 80% of the market is 55 tonnes. So, more and more volume is shifting to tractor trailers. That is good for the customers, good for the industry.

Mukesh Saraf: The reason I asked the question was we are getting into the 3rd and 4th year of the upcycle and say if there is some kind of a deceleration, would you again see a very quick shift back to say 25 tonne vehicles which can again impact our realizations, margins, discounting trends, etc.? You don't see that in the near future is what you said?

Shenu Agarwal: I don 't think so. If you look at any international market and you look at tractor trailers, their share in the mix is very-very heavy. India tractor trailer has not even reached 20% I think righ t now or maybe just 20%. I think there is like although we are all surprised by the speed of the shift, but I think at the same time we should also be looking at the headroom available.

Mukesh Saraf: And my second question is on defense business. I think l ast quarter you had mentioned targeting Rs. 800 crores this year. And I think in the first half, you were at Rs. 300 crores. Any update on that? Where are we in the 9 months and how are we looking at this year and the next year?

Shenu Agarwal: We are still targeting Rs. 800+ crores. We have actually gained some confidence that we might even touch Rs. 900 crores. I don 't want to project numbers ahead of time, but yes, what I am

trying to say is that the defense business has really worked very-very well for u s. And same is the situation for Power Solutions business. I think we have done more than 22,000 numbers in the first 9 months, and we are gunning for even better numbers to close the year. And third business is spare parts business which we are very keen on because it 's a high -margin business. And there also, we are growing considerably well.

Moderator: The next question is from the line of Mihir Jhaveri from ASK Group. Please go ahead.

Mihir Kumar Jhaveri: Just one question is, on the demand side. Given t hat the biggest competitor has also called out for the first half being weak next year, not only Q4. Anything you want to call out in terms of how much growth you are looking at for next year? And my second question is that has discounting inched up a bit given that Q4 we are seeing that moderation coming in. On discounting – if I missed out, sorry – but is the discounting inched up? Have you seen that in the industry?

Shenu Agarwal: Let me start with the second one because I was not clear about the first o ne. Maybe I will have to ask

you to repeat the first one. But the second one on the discounting, I will not say it has gone up or gone down. These are very tactical situations where people would discount a little bit on something in one quarter and then sh ift to something else in the other quarter. And we don't worry about this too much. As I said, we are very-very focused on maintaining a price discipline on seeing how we can get a better NSR, how we can play on the strengths of our products wherever we ar e strong and improve on our weaknesses. In a nutshell, I would say discounting is there. It hasn 't gone down or gone up substantially. But Ashok Leyland is very-very focused on picking our own battles and focusing on profitable growth.

On the first one, we have not issued a formal forecast as of now. I think we will just wait for a few more weeks before we do that because we are just waiting for some announcements from the Government on elections, etc. and also just see how this quarter 4 pans out a little bit more. But very soon, we will make an announcement on that. But Gopal, I think, has something to add.

Gopal Mahadevan: I think all the questions are based only on market share an d pricing repeatedly. And I don 't blame it because that 's where the whole thing is. What you have to see is the trend that has happened over the years. Now, it is not only for us. We have actually, I think, if I may say so, Ashok Leyland has been reporting best-in-class numbers for CV performance consistently. But, overall if you look at all the players also, they have actually moved their margins up from Q1 to Q2 to Q3. The highest growths have been from Q1, Q2, and Q3 because of the base effect. So, we ar e actually seeing that there is a lot of rationality that is coming in. It is not like we are not anticipating that in the interest. If suppose the markets were to be a little flattish and there is nothing wrong with the market being a little flattish. Som etimes, it has to catch up a breath. You must understand that this industry has grown fantastically over the last 8 quarters. So, there will be a certain amount of catch -up. What we have to look for is the mega trends. You have seen that even in the latest budget; we have had nearly Rs. 11 lakh crores being used for infra. All of that investment, if it is going to come in, will start to have a direct and an indirect benefit on the commercial vehicle industry. You have seen huge growth in buses. We are now t he second

largest road network in the world today. And the Government has got a policy to ensure that the supply chain costs start coming down, which means turnaround times have to improve. If turnaround times improve, then you are going to see more invest ments coming in. There was this question about moving into higher tonnage. That 's happening because post GST and post efficiency of road network, people are seeing that ROIs are coming on larger trucks. That is the trifurcation that has happened on heavies , i.e., intermediate commercial vehicle and light commercial vehicle. If you really ask me, while we don 't want to sound overtly exciting about a statement that we make, I think there is a lot of steam left in transportation, both for haulage and for peopl e. And that is how we are planning the whole thing. Quarter here Quarter there is not what we are looking at. Are we seeing a trajectory of growth? Yes. Are we significantly better than where we were 12 months back? Yes. Are we looking at margin improvemen t? Yes. Are we becoming more pan -India or our presence getting more and more? Are we acquiring customers in new geographies? Have we got strategies and product development in place? Are we demonetizing the company by investments in hydrogen fuel cells, hyd rogen ICE, EVs?

Yes.
So, this thing about a huge cycle coming off and then we are slugfest on price, I think we possibly will not see that happen. That 's what I just wanted to share with you very quickly.
Moderator: Ladies and gentlemen, due to time constr aints, we will take this as the last question. As that was the last question, I would now like to hand the conference over to the management for closing comments.
Shenu Agarwal: Thank you once again. This has been a record quarter and a record year so far, as I said. While we continue to gain ground in MHCV as well as LCV, contributions from defense, aftermarket, and Power Solutions businesses supported the overall performance. Revenue mix was also positive. Price recovery and cost savings went as per our p lans. With the robust economic growth outlook as well as the increased outlay on infrastructure, we expect a good demand situation going forward. Softness in commodity cost and our relentless focus on driving operational efficiency should also help us furt her. Given this backdrop, we hope to steadily improve our margins as well as gain market share penetration in all the segments we operate in. Ladies and gentlemen, thank you once again for the interest shown in Ashok Leyland.
Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Aug 2024

August 2, 2024

Dear Sir/Madam,
Concall Transcription
Pursuant to Regulations 30 and 46(2) (oa) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of the Company's Analyst Call held on July 26 , 2024 to discuss the audited financial results for the quarter ended June 30 , 2024.

Meeting start time - 4.00 p.m. IST
End time – 5.00 p.m. IST

We request you to take the above on record.

Thanking you,

Yours faithfully,
for ASHOK LEYLAND LIMITED

N Ramanathan
Company Secretary

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"Ashok Leyland Limited Q1 FY 25 Earnings
Conference Call"

July 26, 2024

MANAGEMENT : MR. DHEERAJ G. HINDUJA – EXECUTIVE CHAIRMAN ,
ASHOK LEYLAND LIMITED
MR. SHENU AGARWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER , ASHOK LEYLAND
LIMITED
MR. KIDAMBI MANI BALAJI – CHIEF FINANCIAL

OFFICER , ASHOK LEYLAND LIMITED
MODERATOR : MR. KUMAR RAKESH – BNP PARIBAS SECURITIES
INDIA

Moderator : Ladies and gentlemen , good day , and welcome to Ashok Leyland Q1 FY '25 Earnings Conference Call, hosted by BNP Paribas Securities .

As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation con cludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kumar Rakesh from BNP Paribas . Thank you, and o ver to you, sir.

Kumar Rakesh: Thank you, Del. Good evening, everyone. On behalf of BNP Paribas Securities India, it is my pleasure to welcome all of you to the Conference Call to discuss the 1st Quarter results of financial year 2 025 of Ashok Leyland.

To discuss the results, we are joined today by Mr. Dheeraj G . Hinduja – Executive Chairman , Mr. Shenu Agrawal – MD and CEO, Mr. K. M. Balaji – CFO.

I will now hand over the call to Mr. Hinduja for his "Opening Remarks ". Mr. Hinduja, over to you.

Dheeraj G. Hinduja: Thank you. Good afternoon , ladies and gentlemen . Welcome to Ashok Leyland 's Q1 FY '25 Earnings Call .

At the beginning of the year, there was widespread anxiety that the CV industry in Q1 and Q2 of the year might be low, owing to the impact of elections and other factors.

On the contrary, the MHCV industry volumes have grown in the 1st Quarter by 10%. Th e MHCV TIV in Q1 is now very close to the previous peak volume in Q1 FY '19. Ashok Leyland 's MHCV volumes in Q1 also grew in line with the industry growth, resulting in retention of our market share at roughly 31%.

While the LC V industry has remained fla ttish on a year -on-year basis, Ashok Leyland 's volumes have grown more than the industry to register an increase in our LC V market share. Our domestic LCV volumes in Q1 stood at 1 5,345 units, which is 4% higher than the same period last year.

Q1, in fact, has been a record quarter for Ashok Leyland. Our total commercial vehicle volumes in Q1 have hit an all -time high of 43,893 units and are 6% up as compared to the same period last year. Our CV export volumes have also grown by 5% in this quarter .

Our revenues in Q1 have also been ever highest, growing by 5% over last year. Our EBITDA has grown by 11% to reach Rs. 911 crores. Our PBT at Rs. 701 crores is also at the highest so far in Q1 and has grown by 13% over the same period last year. Whethe r it's your CV volumes or revenues or EBITDA margins or PBT, we have achieved all -time high numbers in Q1.

You may like to note that during Q1 of last financial year, we had to restate the deferred tax liability a s per the new tax rate, leading to a one -time reversal of tax liability of Rs. 172 crores. But for this reversal, our PAT for Q1, FY '25 at Rs. 526 crores is also the ever higher.

Our EBITDA margin is at 10.6% in Q1 FY '25, up from 10% in Q1 of the previous year. This reflects our continued focus on better price realization, efficiency in sourcing, and better revenue mix.

Other expenses have gone up due to a one -time expense incurred towards development of Centers of Excellence for battery packs, electric drive units, and software -defined vehicles.

Material costs as a percentage of revenue is now at 72.2%, which is 1.5% lower than Q1 of last fiscal. Steel prices remain softer, and our efforts on cost saving continue with even more vigor .

The growth in defense as well as in spare parts, both of which are higher margin businesses, also contributed to bett

er profitability.

Power Solutions volumes were lower than last year by around 20%, owing to pre -buy that happened in Q1 of last year due to emission change announcements. On a full year basis, we expect th is business also to register healthy growth.

Our net debt as of 3 0th June '24 was at Rs. 1,295 crores. Going forward, we are confident of increasing our market share in both the truck an d bus segment. Our product pipeline is very strong. You would see a host of new product launches from our showcase in this year, which

shall help us beef up our market and price position.
Some of the export markets, which have been subdued for the last t wo years, have started showing early signs of growth. This should help us further in growing our international business volumes.
Our focus on profitability remains. We are clear that we are not going to discount our products to win market share. Our market share wins will come on the back of our products ' superiority and our ability to deliver a delightful after -sales experience to our customers.
The record financial performance of Q1 FY '25 gives us even more strength to move towards our midterm ob jective of achieving mid -teen EBITDA margin.
Switch and OHM are progressing well. We have started delivering our first eLCV , the I eV 4 in the market, and are receiving an excellent customer response. A few days ago, we launched our second offering in the eLCV space named I eV 3. Both of these vehicles are segment first and have the potential to transform the last mile mobility in the cou ntry. O HM, our E-Maas subsidiary, is fully activated and is now managing electric bus operations in Bangalore, Ahmedabad , Bihar, and Chandigarh.

Ashok Leyland 's balance sheet is strong enough to support funds requirements of both Switch and OHM . Ashok Le yland 's strategy is fully aligned with its sustainability commitment, Net Zero by 2048 and Carbon Neutral by 2030, as well as touching 1 million lives through our Road to School and Road to Livelihood programs.
We have made good progress on the battery e lectric vehicle, alternat e fuel vehicles, both in MHCV and LC V segments to push the overall decarbonization agenda and are running several customer pilots with leading industry participants.
In FY '25, Ashok Leyland is pushing ahead on its sustainability journey across operation, product development, dealers, and supply chain partners. Our ESG initiatives have been recognized by international ESG rating agencies as best -in-class at 13.4, which is considered low risk.
We continue to remain optimistic about the C V industry prospects. Most macroeconomic parameters are favorable. Monsoon is likely to be good. The recent budget has provided for a flurry of robust economic measures. All this augurs well for the future of the C V industry.
I now hand it over to the moderator for your questions and answers. Thank you.
Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Chandramouli Muthiah from Gold man Sachs. Please go ahead, sir.
Chandramouli Muthiah: My first question is related to some of the product pipeline commentary that was given by Mr. Hinduja . Just trying to understand, I think this year, I mean last year this time, you mentioned that you are working on a 0-to-2-ton LCV launch. And I think last quarter you also had mentioned that back half of this year, the company expects to launch more LCV products. So just keeping those two comments in mind, just trying to understand how the LCV product launch pipeline looks and then potentially when you think you can en ter the 0-to-2-ton category in LCVs.
Shenu Agarwal: Hi, Chandramouli, thank you for that question. Yes, we have been saying tha

t on LCV business,
we see a very high headroom for growth in future because you all know that we are covering only 50% of the market right now. And our intention is to g row to 80% addressable market in the near future. So , this year we have lined up six launches in the LCV segment. Couple of those have already been launched in Q1 although the impact of those launches is yet to be seen, because they have just recently been launched. We will be launching four more LC V products in the next few quarters within the year.
As far as the sub -2-ton segment is concerned, that is a bit more medium -term project. So , it is not going to be launched this year, but we are finalizing our approach on the sub -2 ton as to what kind of product we would like to launch. So , as and when that is clear, we would come back to you on that.

But other than LC V also, there are a host of product launches that we will do. Specifically on the bus side, as we have been saying that while we are the leader in the overall bus market, our bus market share on the ICV bus side is not as high as we would like it to be. So , we are still kind of u nder 20% on the ICV buses. And therefore , in that segment, both covering the school segment as well as the staff segment, we will be launching some new products this year.

Of course, other than this also, there are some other products that could get laun ched, but yes, as Dheeraj said, we have a very strong pipeline of new products that market would see in the coming quarters.
Chandramouli Muthiah: My second question is just around the age of the fleet of CVs in the market. We have had a lot of news flow over the past five years around potential scrappage policy implementation. During Covid , pace of replacement demand slowed a little bit. So just trying to understand roughly where you see the current age of the fleet versus long -term averages and how you think about replacement demand in the CV industry going forward.
Shenu Agarwal: You know, Chandramouli , as we have all seen that the aging of fleet is at its peak right now. We have never seen such a kind of aging happening in the CV industry. I think the number is close to 10 to 11 years. I think average aging in the industry has always been seven to eight years. Yes, so there is this huge replacement demand potential that is available. Now, how that will unlock of course depends o n a lot of factors, but yes, I would say that in the next two to three years, they should unlock. And therefore , we are very positive, not just for this year 's industry growth , but also for FY '26 and FY '27.
Chandramouli Muthiah: And lastly, just a clarification on the HLFL potential reverse merger into NXTDigital . Just trying to understand, you have spoken in the past about Hinduja Housing Finance and Hinduja Leyland Finance. Just trying to understand in this reverse merger, do we expect the housing finance entity and the Hinduja Leyland Finance entity to be reverse merged? Or is it just Hinduja Leyland Finance that we are looking at sort of reverse merging into NXTDigital ?
Dheeraj G. Hinduja: Well, the housing finance is a 100% su bsidiary of Leyland Finance. And Leyland Finance is the one that I think will reverse merge into NXTDigital. So , from a holding perspective, the new entity will be holding housing finance as well.
Moderator: Thank you. The next question is from the line o f Kapil Singh from Nomura. Please go ahead.
Kapil Singh: I just wanted to ask you r thought on growth rate that you expect or the output that you expect for both MHCV and LC V for this year. Now, some of the headwinds which were there, as you mentioned, are out of the way. So , has the demand environment improved? And also how is the pricing environment? So ,

that was the first question.
Shenu Agarwal: Yes, Kapil, thank you for that question. You know, before the year started, as we all know, most of the research agencies were forecasting a very grim scenario for the CV industry, especially

for H1. And I think it was more coming from the fear of the impact elections would have. A nd also there was some unpredictability about the monsoon at that time.
You know, some of the research agencies even said that the industry might de -grow by 10 % to 15%. But now I think quarter 1, where MHCV has g rown by 10%, has negated that philosophy. I think there is a positive narrative that is building up. I think some of our peers have also come out who were earlier quite conservative about the industry, but now they have come out and they are also saying that there are good prospects of CV industry for the year.
So, if Q1 is good, I think Q2, we are already seeing good momentum on the ground. In any case, I think the general consensus was that H2 would be a positive growth. So , given all this, we are quite optimistic. We think at worst , industry would be flattish, but we can also expect some kind of growth in the overall CV industry as well for the whole year.
As far as pricing is concerned, I think we have been very consistent in our approach on pricing. You know, we are very clear that we are not going to discount our products to win market share. Our market share will have to come on the back of the strength of our products and our ability to provide a good experience to our customers.
So, I think that kind of, again, that kind of a n arrative is building up in the whole industry. I think everyone is realizing that any gain in market share due to any short -term measure is only temporary. So , I think it is helping the whole industry and we would at least like to continue with the same ap proach even in the future.
Dheeraj G. Hinduja: Just adding on to what S henu said on your first question, as you are all aware, Q1 generally is the slower quarter for this sector. And considering that shown growth on the on -ground demand still seems to sho w good signs of growth. It does seem the next three quarters should continue the momentum.
Kapil Singh: That's great to hear. Second, I just wanted to also check on electric vehicles. You mentioned there is a strong response to the new launch. So , if you could elaborate a little bit like what is the viability of electric vehicles in LCVs that you are observing, what type of customers, what are the customers saying on adoption of electric vehicles in LCVs. Also, if you can talk of some roadmap of ap proval under PLI and what is the profitability of electric vehicles at this point of time.
Dheeraj G. Hinduja : In terms of the LC V, we launched the IeV4, it's been close to three months. As you are aware,

throughout the country , there is no clear infrastructure that has been set up. So , at the moment, the sales are happening more on a B2B basis for e -commerce companies and logistic companies and many multinationals who have their own commitment to Net Zero are insisting that even the last mile delivery should be on an electric product.
So, numbers are very small. So far, only one of our peer groups has introduced one product. We have now introduced two. And we do feel that the numbers will start picking up. Of course, what

will help is if in the FAME -III commercial vehicles are included as well, that should add additional momentum to this. But irrespective of that, there is a slow transition happening towards the eLCV segment.
As far as your sec

ond question was …
Shenu Agarwal : Adoption and PLI.
Dheeraj G. Hinduja : Adoption and PLI. Well, AL has been part of the PLI and we are working towards through the investments that they are making. It is a five -year process that we are going through. So , as of date, there is not much further detail that I can provide to you, except that yes, like some of the other OEMs as well, we are very much part of this PLI scheme.
Kapil Singh: Sir, my question was more on product approval under the PLI, the certification, where are we in that process?
Shenu Agarwal : Yes, Kapil, that is not a problem. So , we are meeting all the requirements of the PLI as well as for the FAME -III whenever it is announced. So , that’s the approval process is already under control.
Dheeraj G. Hinduja : I think if you are asking whether in terms of the localization requirements, then yes, we are meeting those.
Kapil Singh: So, we are hoping to get the certification and be eligible for PLI incentives sometime this year.
Shenu Agarwal: No. So , see, FAME -III is something that we would be eligible for right away . As soon as the scheme is announced, we would be participating in the FAME -III scheme. PLI, as you know, is based on a five -year horizon of investments , right? So, that would take, like, that is the more of a medium -term kind of a program, right? But in the short run, definitely we would be ready for FAME -III as and when it is announced.
Kapil Singh: Sir, just one last thing on EVs while we are at it. On electric buses, if you could also share your outlook.
Dheeraj G. Hinduja: So, we are definitely seeing more and more orders coming and during this financial year, Switch has an order book of 560 for Delhi up to March 31st, 300 plus for Bangalore and another 100 for U P. And after April, we have an orde r for another 400 for Delhi as well and we are participating as new products in production we are having in new 9 meter etc. So, we are participating in more tenders as well. So, generally we are seeing more and more states shifting towards electric buses. The speed seems to be much faster than we had originally planned for.
Kapil Singh: That’s great to hear.

Moderator: Thank you. The next question is from the line of Vinay Singh from Morgan Stanley. Please go ahead.
Vinay Singh: Three questions. Firstly, in the opening remark, we talked about one -time expense and other expenditure relating battery pack software. Could you quantify that and is that sitting under the standalone financials?
K M Balaji : Yes, it is sitting in the stan dalone financials, Vinay. Quantification, I think it will be a bit difficult because these are all one -off expense towards advanced engineering, towards setting up of the Center of Excellence for the battery pack, electric drive unit and the software -defined vehicles and these are all of revenue nature.
Vinay Singh: So, in a way, some of the EV investment is sitting under standalone also, right? So, it ’s not entirely going into, not the expenses done by Switch .
K M Balaji : No, no, no. See, y ou should understand these are all related to the truck side. If it is for the bus and for the light commercial vehicles, then it will go to the respective companies. If it is for the truck side, then it will be with the Ashok Leyland .
Shenu Agarwal: Yes, let me just explain this a little bit more. So, so far, our journey on the electri fication of vehicles , whether it is the medium and heavy -duty trucks in Ashok Leyland or it is buses or electric or light commercial vehicles on the Switch side has been mai nly focused on integration of the products and building a good product for the market.

But you are all aware that Ashok Leyland or for that matter, most of the o

ther players are right
now just focusing on integration of the product, which means that we a re relying a lot on our supplier partners on their designs and buying sub -assemblies or components from them to build this product.
Now, since we have a very good range of electric products, both for Ashok Leyland and Switch side, now in the second phase, what we want to do is we want to go deeper into our technology capability. And that is why we are now setting up these three Centers of Excellence , like Dheeraj said, one of these would be on battery pack and modules.
The other wo uld be on the electric drive unit and the third would be on software -defined vehicles.
So, software, EDU and battery pack, these are the three main ingredients of any electric vehicle.
And now we are setting up these Centers of Excellence so we can get dee per capability into the technology behind the electric vehicle.
So, that is basically the intent going forward, like for internal combustion engines, one would kind of invest in the capability of designing engines in -house. So , this is on a similar natur e, what we want to start now for electric vehicles.

Vinay Singh: And the reason we called it one time is because it 's only coming in this quarter and won 't repeat , right? Because this sounds like an operational expense . That 's why you called it out.
Shenu Agarwal : Yes. This is kind of an operational expense. We would be investing more that would be in the nature of CAPEX . So, CAPEX of course would be, if it is for buses and electric light commercial vehicles, that would be under Switch . And if it is for trucks, that would be under Ashok Leyland .
Vinay Singh: Team, s econdly, like last year, in fact, in your opening comment also, you added that defense and spares, high margin businesses, we had a very good FY '24. Could you give a little bit some color on the number for 1st Quarter and the outlook for FY '25 in particular for defense and spares?
K M Balaji : Defense revenues have been quite good in the 1st Quarter of the current financial year, especially the number of defense vehicles which we have sold in this quarter is quite high. It is at a record of, it has crossed 1,000 vehicles , I would put it that way in this quarter compared to 250 vehicles last year, and the revenue has also gone up a ccordingly . Revenue has gone up almost 3 times compared to the same period of last financial year. And o n the spare parts business, the revenue has gone up quite significantly. It has gone up by about 10% overall.
Vinay Singh: In defense last year the numbers had almost doubled. So , this year also you are expecting in th at sense, looking at these numbers a 30 %, 40% kind of a growth at least on annual basis.
Shenu Agarwal : Yes, so our defense as we have been saying in the past, not only that we could double or more than double our defense business last year in FY '24, but our overall pipeline is also very, very strong. And this has been the result of lot of effort on the product side that we have made over the last several years. So , now our intention is to double the defense business again in the next 2 to 2.5 years.
Vinay Singh: And sir, lastly, any number on investments for the year? Like in the last call, we had given a number on CAPEX for FY '25 in the range of 500 to 600 crores. But any view on investment number for FY '25? That 's it from my side.
K M Balaji : Investments, in the past quarter we have not done any major investments. On the CAPEX side, I would say that we have retained our earlier estimates as Shenu had indicated earlier. It could be around 750 crores . On the investment side , In case there is anything, we will let you know.
As of now , there does not seem to be any ma

jor investment . Maybe for the full year, it might
happen, but we do not know the quantum now. It could be around another 500 to 750 crores of the investments in the associate companies , primarily, Switch and OHM . But we will let you know in case if that happens.
Moderator: Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.

Mumuksh Mandlesha: Sir, in the month of July, as per VAHAN we have seen good growth in the MHCV segment.
And in the last quarter, we have seen a good demand from buses also. Just want to understand how do you see the recovery of the cargo segments? And als o, if possible, can you provide some updates on the sub -segment growth like the ILCV and heavy commercial vehicle?

Shenu Agarwal : So, just on the medium and heavy commercial vehicle side, you know, it is true that while the overall industry has grown by 1 0%, the contribution of buses has been the maximum. I think buses have grown by 50% or so. The truck growth has been a little bit muted in quarter one. I think we have witnessed 2% or 3% growth in the overall truck segment.

But that muted growth was mainly because of a downfall in the Tipper segment. And as you know, the Tipper segment really got affected because of the elections, because a lot of projects kind of got stalled and infrastructure pro jects got stalled. Even the new projects were not coming up because of the code of conduct and all that. Yes, but that was a very temporary phenomenon.

So, from July or August onwards, we think even the tipper segment would start improving . Actually, I was in the market, and I met several customers in t he construction and mining segments, some of the la rger operators . And I think there is a very positive pulse on the ground as far as tipper segment is concerned. So, with the tipper segment coming up, the cargo segment also should start growing, we think, maybe August onwards.

Mumuksh Mandlesha: And just on the sub -segment, in the heavy commercial vehicle and how do you see the heavy commercial and the ICV growth, sir?

Shenu Agarwal : Listen, see , tractor and ICV has been growing pretty well . You know, even in quarter 1, tractor has outgrown every other segment. You know, we have seen this trend from multi -axle vehicles, that market, the demand is shifting to tractors . And there are a lot of reasons that we all know behind this. And this has to con tinue . Even if you look at some of the markets outside India, whether it is Europe or any other market in fact, tractor -trailer demand is up to the level of 60 % to 70%. In India only it is still at 20% after having grown so rapidly in the last couple of years. So, tractor trailer demand will definitely continue to increase in the future. Construction and mining, as I said, would also increase and IC V should also increase. I think the only segmen t that could show some kind of a de -growth will be multi -axle products . Because that demand is continuing to shift to tractor -trailer as I just explained.

Mumuksh Mandlesha: So, on the margin side, is there any impact of the commodity prices in this quart er? And in this quarter slightly the gross margin has come down. Is it minimum due to the adverse mix?

K M Balaji : Actually margins, we normally what we do is that we make necessary provisions on the commodity cost based on the trends and the trends are basically the ones which are known from the market and our sourcing head , he recommends . And what happens is that we settle this after a lag of a quarter . We cannot book this amount in the accounts at the time of settlement. So , we take p rovision in the bo oks of account for certain quantum as recommended by our sourcing

head . So, we go in that and that will also be offset by the savings which you get by way of lot of internal cross -functional initiatives covering value engineering, resourcing, turnover disc ounts, commercial negotiations and share of businesses.

So, all these put together, it is a regular ongoing process , which will continuously occur every quarter. And we do provide, depending on the situation, we do provide, and it goes commodity wise covering steel, spring steel, aluminum, then castings, forgings as well as rubber. So , all these are factored .

Mumuksh Mandlesha: Lastly, sir, on the other expenses, as per the annual report, this category line for service and product warranties have seen a notable increase in FY '24. Can you explain the reason for the increase, sir?

K M Balaji : Warranty expense increase in FY '24.

Shenu Agarwal : Warranty expense you mean?

Mumuksh Mandlesha: Yes, service and product warranty line items there, sir, in the part of other expenses.

Shenu Agarwal : So, we had last couple of years, I don 't remember the exact date, but we had extended our warranty period itself . So, I think earlier we were three years or one plus two, maybe .

K M Balaji : Two plus two years .

Shenu Agarwal : Two plus two, and then we extended it to three plus three . So, some of the vehicles are now getting into that third -year category, which earlier we did not have . So, warranty expense has kind of increased a little bit because of the warranty policy. But yes, as you know, the extra cost of a warranty is being kind of nullified through various price increases, etc.

Moderator: Thank you. The next question is from the lin e of Pramod Kumar from U BS. Please go ahead.

Pramod Kumar: This is for Balaji. You talked about the Center for Excellence and the EV related investments. I just want to clarify, would you call it a material expense this quarter because your other expenses have shot up like 17 %, 18%, which is typically very high given that volumes have not been much of a change. So , would you call the expenses provision or expense expense, sorry, as a material number?

K M Balaji: No, no, no, Pramod. These are all the expen diture relating to R&D. R&D materials are also booked under R&D expenditure only, which will form part of other expenditure.

Pramod Kumar: Yes, that 's what I am asking. No, then I say, sorry Balaji, just to clarify, I am saying, is this a meaningful expen se? I use the word material in that context. Is it a immaterial small expense or is it a meaningful expense what you have accounted for this quarter?

K M Balaji: No, it is a meaningful expense. It is a meaningful expense. That's why it is also been stated by our Chairman and in his opening remarks.
Pramod Kumar: And following up on the expense line items, given that the mix has generally been good, your non-vehicle revenues have also done well, defense is high margin , the seque ntial movement in commodity prices or RM2 sales is slightly as in it 's kind of adverse . So, is it fair to assume that you are being conservative here as a management on the provisioning for raw material as you were talking about in answering the previous question? Because key prices have generally started to see some cool off . Even other commodity prices are not hardening. In fact, there is some correction only. So , I am just trying to understand by when do you take a call on the actuals and if any excess provision done, when does it reverse out?
K M Balaji: See, if you look at it sequentially now you get a lot of, as I indicated, we use a lot of leavers i

n
bringing down the costs by way of value engineering and resourcing. In Q4 , we got a lot of turnover discounts and then we got a lot of savings by commercial negotiations which will not be available in this quarter. So , consequently , this adding to the provision as I had answered in one of the earlier queries, all this will make appear as if the material cost is slightly higher compared to the last quarter. Of course, mix also plays a very important role.
Pramod Kumar: And we are still kind of optimistic on having a fuller margin which is reasonably higher than the previous year towards our journey towards the mid-teen margin.
Shenu Agarwal: Yes, definitely I think we should expect that because we think the industry is going to actually do better than even our expectations. So , if that momentum continues in Q2 and then H2 in many cases has always been optimistic. So , we will have that operating leverage. Even on the cost side, you know, we still think we have a lot of he adroom.
So, there is a quite of rigor that is inside Ashok Leyland to attack the cost in several different ways. And on the commodity side also , we are not expecting any hardening really, at least in the next two quarters , yes. So, we think we should be able to do better on the margin front.
And lastly, I would also say that our intention is to kind of get better realization on our products. So, some of these new products which will get launched will also help in our pricing equation in the market.
Pramod Kumar: And Shenu , just on the industry side, you talked about the average life already stretching so much. I just want to understand when you talk to fleet owners and people in the industry, what is kind of holding them back? Because a big part of t his fleet is really aged, has lower tonnage, lower fuel economy. Even it 's kind of difficult in terms of tracking and monitoring movement and fuel usage, everything. So , what is holding them back from replacing at least those seventh and the eighth year tr ucks?
I can understand the BS6 trucks not getting replaced in a hurry because you are extending AMCs, which are like five, six years. So , till that, I don 't think they should kick in. But what about the

earlier trucks, especially the used trucks, which kind of came into the industry post -COVID, which were bought by last fleet owners ? So, what 's the feedback, what do you get or what is holding them back from purchase? Is it like interest rate cycle, where we are, or utilization rates are not that great ? And also, if you can talk about industry wide utilization , where do you see them?
Shenu Agarwal: Yes, Pramod, very good question. So see, we are in touch with, of course, most of the fleet operators in the country. I think there is nothing really holding b ack other than the fact that the prices of commercial vehicles have really jumped in the last three to four years. So that mental shock that happened in like, when we transitioned from BS4 to BS6 is kind of taking time for people to kind of take a decision on replacement of their fleet.
So, the way it happens is, although the retail value is also quite upbeat, the retail demand is also very positive for commercial vehicles. But then still, if somebody has a fleet of BS3 or BS4, and at the price which they bought versus the price they are getting now in the secondary market, and when we compare it with the price of BS6, so that is that difference is, you know, just needs to be absorbed over a period of time.
I think there is nothing else. If you look at t he freight movement, we look at the billion ton

kilometers , we look at the freight demand in absolute sense, or we also when we look at the freight rate s, I think all those parameters are good. I think

as the country progresses, as the economy grows, all this replacement demand will have to happen. We will have to convert into new sales because I mean, some of these products are already into like 12, 13, 14, 15 years, right? I mean, they can 't hold up forever. So , that decisions will have to be taken by mo st of us.

K M Balaji : Just to give a perspective on the volumes as per SIAM sales data for last 15 years , roughly on the M HCV truck side, there are about 37 lakh vehicles which are there on the road. This is from BS VI , BS IV and below. And in this, if you look at the vehicles which have been sold in the last four years, entirely BS VI , that constitutes 10 lakh vehicles and that roughly constitutes 27% of the total fleet size. And the vehicles which are sold between 2017 and 2020, which are BSIV roughly tha t constitutes 8.5 lakh vehicles . That is around 23%. So , which means that BS III and below constitute 50% of the total vehicle population of 37 lakh. And the average age of that between 8 and 15 years, that roughly constitutes 11.2 years. And as Shenu explained, all these vehicles will have to gradually come for replacement in the time to come.

Moderator: Thank you. The next question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani: Most of my questions have been answered. Just quick follow -ups on the Hinduja Le yland Finance . Can you sort of give us an update on the timelines? When do we expect the restructuring to conclude and what are the pending processes? And also , if you can sort of give an update on where things stand from an operational perspective, how should we think about the value of that business?

K M Balaji : From the operations side, I will tell you , Gunjan, the a sset under management for HLF is 40,000 crores and for the HHF Housing Finance division, it is about 11,500 crores. So , both these put together, it is around 51,500 crores. That 's the size. And if you look at the revenue and profit, it is 1,377 crores of revenue with a 10% profit.

Gunjan Prithyani: And net worth if I recall is close to about 6,000 -7,000 crores in the business, right?

K M Balaji : Yes, this is for 1st Quarter .

Shenu Agarwal : These numbers of revenue and profit are for the 1st Quarter just to clarify .

Gunjan Prithyani: And timelines for the restructuring, where are we there on that?

Dheeraj G. Hinduja : They have been going through all the necessary approvals and at the moment, it is indicated that it should happen before the end of March. So , before the end of this financial year is what is the indication given.

Gunjan Prithyani: And just from a business conce ntration perspective, now Leyland vehicles would account for how much percentage of AUM or any color you can say would give on the business diversification on the NBFC?

Dheeraj G. Hinduja : Yes, I mean, the business has now become fairly diversified. It 's operating across all vehicle categories, including used vehicles as well. The Ashok Leyland business today would cater to less than 25%.

Gunjan Prithyani: This is useful. The other two things which I just wanted to get your thoughts on , was the DFC. I think you do call out that this is now close to commissioning in Fiscal ‘2 5 in the annual report. So, just trying to get your thoughts, how should we think about the impact of that in the next two or three years? That 's one. And secondly, so rry, go ahead.

Dheeraj G. Hinduja : No, sorry, go ahead. Go ahead with your question.

Gunjan Prithyani: No, no, it 's okay. That 's another topic. So , maybe we get this pa used.

Shenu Agarwal : Okay, Gunjan, yes. So, DFC, so far it has not really impacted a lot, although we are hearing about it in the news quite ofte

n . Now we h ave ourselves done quite a deep study as to how it will operate and it will impact. I think it is a more medium -term phenomenon because I think DFC is a good concept , but a lot needs to be done around it in terms of looking at the whole logistics ecosystem that needs to be developed around, around DFC.
So, to that extent, I think it will take more time, although it might in the long term it might impact the medium -heavy duty or largely heavy -duty trucks , but it will also give up to the medium -duty and light commercial vehicles. A lot remains to be seen , but we don 't think there will be a major significant impact in the next couple of years.

Gunjan Prithyani: And last question was on defense . I know Vinay asked earlier , but if you can spell out what 's the order book in terms of value, if at all you can share that and also the revenue for last year in terms of, you know, what I see is the vehicle , but if you can share the value of defen se contribution for Fiscal '2 4?

Shenu Agarwal : Gunjan , I am sorry , but we don 't. We have never revealed that number of defense, but we can assure you again that , like I said earlier , that we could double our top line on defense last year in FY '24, actually more than double. And now going forward, based on a very strong pipeline of orders and visibility of orders that can come in, we hope to double that number again in the next two years or so.

Moderator: Thank you. The next question is from the line of Mukesh Saraf from Avend us Spark . Please go ahead.

Mukesh Saraf: My question is on your engines . What I notice is that most of the vehicles come with a 250-horsepower engine and obviously we are seeing a clear shift towards higher tonnage vehicles and also your commentary suggested that we will see more and more shift towards tractor -trailers and larger vehicles. So , how do we place in the future, say we require 350 or 400 horsepower engines, how we place there ? Have we started doing some work towa rds developing those products ? Because we do have one 300 engine , if I am not wrong. So , are we looking at some tie -ups in the future or we kind of can develop these on our own?

Shenu Agarwal : Yes, Mukesh, you know, the capability of Ashok Leyland on the engine side is really very, very strong. You know, we have more than three or four different families of engines. So , it is not that we do not have technology to go beyond 250 horsepower where we are today. Definitely, we have the technology and the capability to produce those engines. So , there are programs running to extend the higher horsepower range in our products through our own engine. So , there is no need of any tie -up as such right now. We can easily go up to, I mean, we can go easily up to 350, but we can go even beyond that whenever the market requires.

But your observation is right , and I think the requirement of the market in some of the segments, which is at 200 or 250 right now, should continue to move u pwards. And I think the next requirement especially in the tractor -trailer segment, would be around 280 or 300 horsepower. But we would be ready with it. We have programs going on . Even within our current engine families, we have the capability to go much beyond where we are today right now.

Mukesh Saraf: Would this require large investments from our side, or this is like an ongoing thing that we have anyway been doing?

Shenu Agarwal : No, there would be some investments required, but nothing of a large nature. Because as I said, you know, we already have a platform, engine platform . We call it internally A6 platform, which is a six cylinder, very modern engine. So , that platform already has capability to go up, go much over 300. 350 also we can g

o easily . So, we are running those programs depending on the need

of the market, but no large, very large investments. Of course, some investment will be there, but nothing of a significant nature.

Mukesh Saraf: And the second one is, on your employee cost this q uarter, it 's been flattish now . The average numbers are being maintained at around this 550 crores that we were even la st year . So, any settlements or anything coming up, which would kind of lead to this going up significantly? Or should we kind of assume it will remain at this ballpark ?

K M Balaji : Mukesh, a ctually, it is the man power contains both the wages for the associates as well as the salaries for the executives. Between Q4 and Q1, that 's not much of movement. See, our increments and our promotions are effective 1st of July. You will see an increase happening in the coming quarter. And the increments given in Q1 will be there for the next one year, till the 1st Quarter of the next financial year. So, we haven 't assumed any of those increases in this 1st Quarter and provisioned accordingly.

Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi: My question pertains to; one is the commodity si de. So, you alluded to the fact that you are not expecting a material increase in commodity prices , but we have provided for some increases in 1Q. So, from the provisioning in 1Q, we should not see a material increase going forward. Is that the correct understanding?

K M Balaji : Jinesh, again, this depends on a case -to-case basis . That is, for each commodity, the stand would vary, and it will also depend on the outlook for the commodity as well as the status of the discussion with the vendors. So, there are a lot of combination of factors involved in it. But as of now, it appears, as Shenu indicated, it appears that we may not go for any provision in the next quarter.

Jinesh Gandhi: And secondly, what kind of price increase s we took in 1Q and in July so far?

K M Balaji : We have not taken any price increase in the 1st Quarter . But in July also, we have not taken anything so far. So far, that's the status.
Jinesh Gandhi: Because your peers have taken price increases in July and April as well. So, how do we think about the price increases in the current environment?
K M Balaji : Jinesh, we can only talk about ourselves and clarify that we have not taken any price increase. Sometimes what happens is we might take a price increase and to that extent , there could also be an increase in the discount resulting in the net sales revenue being same at the same level. So, we will never know that , but I can only clarify from our side that we have not taken any price increases, either in Q1 or in Q2 till now.

Moderator: I think Mr. Jinesh has lost his connection. We will move on to the next question. The next question is from the line of Joseph George from IIFL. Please go ahead.
Joseph George: I have a couple of follow -up questions. One is on the industry, you mentioned that we saw about 10% kind of growth at the TIV level. That obviously was on a low base because last year, we had the negative impact of the pre -buy. So, I wanted to just get a clarification. I thought you also mentioned that you expect the MHCV industry to be flat or see a small growth this year. Is that right?
Dheeraj G. Hinduja: No, on the MHCV industry, what we said is that in the worst case, we might see a flattish year. But going by Q1 and considering Q1 is normally the slowest

of the quarters, we do feel that the growth momentum should continue this year.
Joseph George: And the second follow -up that I had was in response to the question on pricing discipline, you mentioned that you are not looking to gain market share with pricing. But could you also talk about the behavior of your peers ? Because I understand that last quarter, there was some disruption by one of the players by cutting list prices, etc. So, can you just give some color on the pricing discipline by peers?
Shenu Agarwal: Yes, Joseph, we don 't want to comment on the peers, but we are very clear as Dheeraj also said in his opening statement , we are clear that we are not going to cut prices to win market share. We know very well by now tha t these short -term measures don 't last much and don 't give a permanent impact.
So, we are very, very focused on building the strength in our product portfolio and expanding our reach. I mean, there are normally various kinds of announcements in the market. I think some of those are also of a practical nature. So, I would suggest you take a deeper look into those announcements.
Moderator: Thank you. The next question is from the line of Aditya from Sowilo Investments. Please go ahead.
Aditya: My question was, I mean, on part of the D FC that was answered, but what about this mandatory AC which is under a peak in, say, in the future? How do you see that impacting, like, would people preempt the purchases before the norms kick in or what kind of effe ct that is going to have?
And the second question is on, I mean, there have been reports of increasing profitability in the fleet operators and that has helped pricing discipline in the industry. But any, like, adverse effect over there, how do you see t hat affecting volumes as well?
Shenu Agarwal : Yes, Aditya, so on the mandatory air -conditioning for commercial vehicles, I think that is not going to impact much in terms of pre -buy because the cost increase would not be very high. In any case, our guess is, like, about 20% of the trucks getting sold have already AC in them, right?

So, the balance, 70% to 80%, there would be some cost impact, but it would not be of significant nature. And I think there is a clearly good understanding in the customer 's mind also about that. Now, profitability of fleet operators, yes, it is on a rise and we have all seen the data coming out on that front. It is helping pricing discipline and the way the country is g rowing, the way economy is g rowing, you know, the way budget has been with higher allocations on roads, highways, infrastructure, et cetera, I mean, we don 't think that it should in any way affect the profitability of the fleet s even going forward.
Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of the question -and-answer session. I would now like to hand the conference over to the Chairman, Mr. Dheeraj G. Hinduja for closing comments.
Dheeraj G. Hinduja: Thank you so much for your questions and I hope we have been able to provide better clarity. I

would just like to sum up on the basis that there were, I think, quite a lot of questions with regard to how we are seeing the market and I would just emphasize once again, Q1 has been a good surprise for all of us.
We on the ground do see the demand to continue to be quite positive and barring any exceptional things that might happen , I think this year will continue to show us to be a good growth year and even on the products and we are seeing very good growth in the passenger IC V and tractors and we are going to be introducing many products across the range . And I think a lot of questions were asked with regard

to the market share as well.
So, just to clarify that during the course of the last 18 months, we have be en expanding our network and especially in our weaker areas in the North and the East and so the foundation and our network is now coming very close to about a thousand customer touch points for MHCV and with this foundation that has been set, this in itself should allow us to penetrate into areas of the country that we have not been present and increasing our market share and our service along with the product. So, discounting is not an area that we are going to be focusing upon. We do believe that we can gain market share through the areas that just mentioned.
On the cost side, we continue to remain continuously going after wherever cost reductions are possible, value engineering possibilities and the one area that we did not speak much about is on international markets. We are seeing the revival of some of our traditional markets . The Middle East continues to be strong. African markets, we are gaining greater traction, and we are looking at new markets where more products are also going to be entering into many of our existing markets as well. We have delivered on margins over the last few quarters. Our aspiration is to continue the growth both in our sales , our margins and our bottom line as well.
So, that’s how we would like to conclude. Thank you very much for your interest.
Moderator: Thank you. On behalf of Ashok Leyland, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2024

November 15, 2024

Dear Sir/Madam,
Concall Transcription
Pursuant to Regulations 30 and 46(2) (oa) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of the Company's Analyst Call held on November 8 , 2024 to discuss the un-audited financial results for the quarter and half -year ended September 30, 2024.

Meeting start time - 4.30 p.m. IST
End time – 5.30 p.m. IST

We request you to take the above on record.

Thanking you,

Yours faithfully,
for ASHOK LEYLAND LIMITED

N Ramanathan
Company Secretary

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"Ashok Leyland Limited
Q2 FY '25 Results Conference Call "
November 08 , 202 4

MANAGEMENT : MR. DHEERAJ HINDUJA – EXECUTIVE CHAIRMAN – ASHOK LEYLAND LIMITED
MR. SHENU AGARWAL – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – ASHOK LEYLAND LIMITED
MR. K M BALAJI – PRESIDENT FINANCE AND CHIEF FINANCIAL OFFICER – ASHOK LEYLAND LIMITED

MODERATOR : MR. MUKESH SARAF – AVENDUS SPARK

Moderator: Ladies and gentlemen, good day, and welcome to Ashok Leyland Q2 FY '25 Results Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statemen ts are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the pre sentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch - tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mukesh Saraf from Avendus Spark. Please go ahead, sir.

Mukesh Saraf: Thank you, Tan maya. Good evening, everyone. Welcome to the 2Q FY '25 post results conference call of Ashok Leyland. From the management team, we have with us Mr. Dheeraj Hinduja, Executive Chair man; Mr. Shenu Agarwal, Managing Director and CEO; and Mr. K.M. Balaji, CFO. I'll now hand over the call to Mr. Shenu Agarwal for his opening remarks, post which we'll take the Q&A. Over to you, sir.

Shenu Agarwal: Thank you, Mukesh. Good afternoon, ladies and gentlemen. Thank you for joining us tod ay. I am excited to report our C ompany's performance for quarter ended September 2024, which reflects our commitment to sustainable and profitable growth. The MHCV industry started off on a good note this year wi th 10% growth in Q1. However, this momentum was dampened in Q2 by seasonal factors like extreme weather conditions, uneven distribution of rainfall and slow take-off in government capex spending, resulting in 12% drop in MHCV industry volume.

We believe th ese are temporary factors. We remain optimistic about industry prospects for H2 and also for the medium term. While Ashok Leyland's domestic MHCV truck volume was lower by 18%, the MHCV bus volume was higher by 8% Y -o-Y. Overall, domestic MHCV volume was a t 25,685 units vis -a-vis 29,947 units in Q2 of last fiscal.

Sequentially, domestic MHCV truck ’s TIV was higher by 1%, and Ashok Leyland's domestic MHCV truck volume was higher by 2%. Ashok Leyland's Q2 FY '25 MHCV domestic market share grew sequentially t o 31.2% vis -a-vis 30.6% in Q1 of current year. In the bus segment, we continue to maintain leadership position with market share of close to 35%. We remain committed to achieving our medium -term MHCV market share goal of 35%.

LCV domestic volume was at 16,629 units vis -a-vis 16,998 number in Q2 of FY '24. Within our addressable market, while the TIV was lower by 8%, Ashok Leyland volume was lower by 3% Y-o-Y, resulting in an improved market share of 19.8% vis -a-vis 18.9% in the same period last fiscal.

Despite global challenges, our export volume continued to grow in double digits, registering a growth of 14% on Y -o-Y basis and of 42% sequentially. We are intensifying our expansion strategy in our focus markets of SAARC, Middle East, Africa and Asia, aim ed at posting the best performance ever during this fiscal.

Engine volumes were also higher by 17%, and spare parts revenue grew by 13% on Y -o-Y basis. Overall, Ashok Leyland CV volumes were lower by 8% Y -o-Y, in line with industry, but was up 4% sequent ially. Non -CV businesses continued to post healthy growth. While Q2 MHCV industry had a 12% drop Y -o-Y, Ashok Leyland's revenue was lower by 9% at INR8,769 crores. EBITDA was low

er by only 6% at INR1,017 crores. EBITDA margin for Q2 stands at 11.6%, better than 10.6% in Q1 of current year and also better than 11.2% in Q2 of last year. Operating PBT at INR878 crores was almost same as Q2 of last year. Reported PAT at INR770 crores was higher by 37% vis -a-vis INR561 crores in Q2 last year.

The improvement in profitability reflects our continued focus on profitable growth through better price realization, efficiency in sourcing and streamlining of business operations. Material cost as a percentage of revenue was at 71.2 % and 73.5% in Q2 last year and 72.2% in Q1 of current year. This was supported by benign steel prices and our continued focus on material cost savings. Margin improvement was also supported by impressive growth in spare parts, power solutions and international business operations.

Our balance s heet and cash position has grown even stronger in this quarter. Net debt at the end of the quarter was at INR501 crores, much lower than INR1,139 crores at end of Q2 last year and also lower than INR1,295 crores at end of Q1 of current year. Debt equity ra tio at the end of the quarter was 0.05.

Courtesy improvement in our operating performance, cost structure and debt metrics, credit rating agencies like ICRA and CARE have upgraded Ashok Leyland rating from AA to AA+ with a stable outlook, reflecting their expectation of a healthy profile going forward.

Capex for the quarter was INR153 crores and INR307 crores cumulatively for the year. AL has not made any investments in any of the subsidiaries and associated companies during the quarter.

However, investme nts may be required to be made in the second half of the year. Q3 FY '25 financial performance .
Q2 FY '25 financial performance reaffirms our commitment to move forward towards our medium -term objective of achieving mid -teen EBITDA. We are clear that we ar e not going to discount our products to win market share. Our market share wins will come on the back of product superiority, cost leadership, excellence in service delivery and our expanding reach.
Ashok Leyland continues to focus on product and process innovation. We launched new products across segments. We launched our third LCV new product of the year, Bada Dost i5, which has received excellent response from the market. To address white spaces in ICV bus segment, we have launched Oyster ZI AC bus for school and staff applications.
We are also progressing well on development of alternate fuel vehicles. We received a large order of 180 electric trucks in 19 - and 55 -ton categories. We are also progressing well on creating the new centers of excellence fo r EVs.

In pursuit of creating a benchmark in service delivery, we launched our Uptime Solution Centre, providing 24/7 support and delivering both diagnostic and prognostic solutions to technicians, drivers and fleet owners.
Switch and OHM are also doing well. OHM, our E -MaaS subsidiary, has now been fully activated. Recently, it has been awarded an order of 500 buses from Chennai MTC. Switch is active in fulfilling DTC order of 1,200 buses, supplies of which would start later this year. This would be a co mplete, newly developed, low -floor electric bus with very contemporary design and features and is updated with all the recent advancements in technology.
As advised earlier, Switch India is expected to achieve EBITDA breakeven this fiscal. Reverse merger o f Hinduja Leyland Finance with NXTDIGITAL is on track and we are in the process of obtaining the necessary approvals from RBI. This is likely to get concluded before end of Q1 FY '26.
Ashok Leyland made significant progress on its long -term ESG commitments towards carbon - neutral operations by 2030, net zero by 2048 and achievi

ng 1 million child coverage by 2028
under our Road to School program, which was recently awarded the distinguished Changemaker Award from Hindu Businessline.
Ashok Leyland has been ranked number 2 among automotive companies and number 34 among India's most sustainable companies at the recent Businessworld's 6th Sustainability World Conclave.
To sum it up, we have made good progress on all our key medium -term g oals: mid -teen EBITDA, MHCV market share of 35%, growth in non -CV businesses, leadership in alternate fuel vehicles, value unlocking from subsidiaries and moving steadfastly on our long -term ESG commitments.
The pulse on the ground is quite positive. Fest ive season has proved that consumption story is intact. Most macroeconomic parameters are favourable . Private capex is on the rise. We expect government spending to also pick up in H2. We hope to see cuts in interest rates in the near term. With all these, we continue to remain optimistic for the CV industry for H2 and for the medium term. I now hand it over to moderator for Q&A. Thank you.
Moderator: Thank you so much sir. We will now begin the question and answer session. T he first question is from the li ne of Gunjan from Bank of America.
Gunjan: My first question is on industry growth. I mean , while I understand there is an expectation on government capex normalization, but I think the prints recently have continued to disappoint, right? I mean October itself was quite weak when I look at the wholesale that came through. So if you can give us more insights on what is really happening on ground in terms of transporter sentiment?
And also the trend across various segments, because when I look at the vehic le segments, intermediate seems to be doing pretty well, while tractor trailers, tippers are languishing a lot.

So some colour on what's really happening on ground and what is driving the optimism that things will come back in the next few months.
Shenu Ag arwal: Yes Gunjan, thank you for the question. As I said in my opening statement, I would like to just

reemphasize the point that what we have seen in Q2, we believe, is more of a temporary phenomena. When we started the year, we were all saying, and most of the people were saying that H1 would be 15% drop. And eventually, we are at close of H1 now, where we have seen only 2% drop in MHCV industry. Things are moving much better than expected, firstly.
Secondly, I would say that when we look at any of the factors on the ground, like more fundamental factors which are like utilization of fleet rates or anything else, I think those are moving in the right direction. In July and August, I was in the market and especially in the Central and Eastern India, we ha d a situation because of monsoons and other things, the fleet utilization was as low as 60% to 65%.
In some areas, we got to hear that fleet utilization was as low as 30% . So now in October, if you have seen the data, recent data that was published on fle et utilization, it is already up to the level of 95% on an average in the country. In some areas, it is slightly lower still, but I think the trend is very, very positive.
Also, i f you have seen the recent ICRA report, it has projected a growth of 0% to 3 % for the whole year in MHCV trucks. You know what that means, basically, is that the industry in H2 has to grow by about 6% to 10% . So I mean there is a positive narrative building up because I think the acceptance that Q2 was temporary is quite widesprea d right now. And that is what is building optimism for us as well.
Gunjan: Okay. Got it. That was quite useful. And when you say -- when you look at the 0% to 3%, which you mentioned, I mean are we confident that we'll actually end the year a

t a low single -digit
growth -- is that something...?
Shenu Agarwal: Like I mentioned that is ICRA's estimate, right? So I mean what we are thinking is that we definitely see some positive momentum on the ground . And we'll wait to see how it turns into volumes, positive momentum on volumes . But I think at the worst, we are not seeing any degrowth in H2, I would say.
Gunjan: But degrowth for full year or degrowth in H2?
Shenu Agarwal: Degrowth for H2, we are not seeing. So we are seeing at a minimum, H2 should be kind of flattish, if not positive, like what ICRA is saying.
Gunjan: Which would still mean that on full year basis, we'll be negative, right? Because first half...
Shenu Agarwal: H1 has been only 2% negative, right? So we are talking about like 1% or 2% here or t here. And you know that the H2 industry is far more than H1, right? So I mean you can do the math, but we are quite hopeful that H2 would turn out to be good.

Gunjan: Okay. Got it. My second question is on the margins. Clearly, commendable delivery there and consistently for last many quarters now. If you can just share some colour on the gross margin improvement that we've seen in this quarter. What are the key variables driving this in terms of commodities, mix, et cetera? And how should we be thinking a bout this going into the second half? Are there any tailwinds beyond operating leverage that we should keep in mind for second half?
Shenu Agarwal: So Gunjan, I mean we are not doing anything different really. I mean 1.5 years back, we went to the market a nd we told that our goal is sustainable profitable growth. And that is what we have been doing all along. There's nothing different we have done. I mean the levers that we had explained in that analyst meet are the same levers we are addressing, whether it is trying to get more realization out of our products on the back of strengths we are building in the product or it is addressing the various cost opportunities that we have inside, whether in terms of product cost or in terms of any of the overhead costs .
We are also trying to grow our non -MHCV businesses, some of these are really very high - margin businesses like defense, aftermarket and even international operations. So that is the focus. I think the team is very, very focused on what has to be done. An d this is what the Q2 results are also showing. Despite a 9% drop on the top line, which was driven mainly by the industry drop, we have still been able to post a 12% growth in our PAT even if we exclude the exceptional items.
Gunjan: Sir, can you give a q uantum as to how much was the commodity tailwind, metals tailwind per se on a quarter -on-quarter basis and also percentage of non -vehicle business that is high -margin business that you typically call out, some -- how has that moved maybe from last quarter to this quarter?
K. M. Balaji: See, Gunjan. Balaji here. There has been a considerable softening which has happened on the prices of steel flat steel, proprietary steel, all these have gone down by about INR2.5 per kg So all these have got translated to 0.5% margin reduction.
And similarly, on the cost reduction initiatives, just like what we did in last 2 years, as our MD

was indicating, we are not doing anything different. The same levers we have used and the cost reduction exercise is continuous. And it has also continued for the current financial year with a higher target. And all these targets are materializing and we have got additional 0.5% from that. So all these are getting translated to a 1% reduction on the material cost, which you are seeing.

Moderator: The next question is from the line of Chandramouli Muthiah from Goldman Sachs.

Chandramouli Muthiah: My first question is j

ust trying to understand the back half of this year and the base effects from last year. I think in the December quarter, we had 4 to 5 state elections last year. This year, it doesn't seem to be recurring.

Also in the March quarter, which is seasonally stronger, I think last year, there was pre -general election sort of factors, which maybe subdued the base. So just trying t o understand at the current run rate of demand that we are heading into, maybe the seasonally stronger back half, how do

you think about the base effects? And is that supportive for potential outperformance on growth going forward?

Shenu Agarwal: Yes. Chan dramouli, thank you for the question. Yes, I agree, we think that base effect is also going to help the industry in some way. Like you rightly said, December, we had some disruptions in some of the markets because of elections, state elections. And then Ma rch, quarter 4 was not particularly as good. I mean it had a negative growth, substantial negative growth last year in quarter 4. So we are sitting on a kind of a lower base.

Now in comparison to this, if you look at April -October last year, we had a cons iderable growth, right, in the MHCV industries. So things turned around like around November because of the reasons that you have stated. And therefore, this base effect should help going forward.

Chandramouli Muthiah: Got it, that's helpful. My second que stion is just around the mandatory AC cabin norms. So just trying to understand that slightly better across MHCV and LCV, if you could just give us some colour on presently, what is the share of vehicles, the vehicles that you sell that already is air cond itioned on the cabins, LCV and CV? And also, by what time would this potentially become 100%? And if so, what is the kind of ASP delta on non -AC vehicles versus AC vehicles on your fleet?

Shenu Agarwal: Yes, it's not going to be a considerable point as far as the impact is concerned because the additional delta cost that we are looking at is marginal, So it's not going to be anything significant. Yes, it will impact about, I would say, 80% of the new sales because only 10% to 20% depending on the segment of the current sales comes with AC . But since the cost impact is not that high, it should not have any significant impact.

I think as far as I remember, the regulation is becoming effective from June 1st or 2nd week of next year.

Moderator: The next question is from the line of Raghunandhan N. L. from Nuvama Research.

Raghunandhan N. L: Sir, firstly, on the non -vehicle business, power solutions and spares have done well. How do you see the outlook ahead for the non -vehicle business and if you can also talk a bit about the defense outlook?

Shenu Agarwal: Okay. So let me start with defense, and I'll ask Balaji to also pitch in. On the defense side, you know that last year was a damn good year for us. We had more than doubled our top line on defense. And I'm happ y to say, even in H1, we have almost doubled our defense top line. So like we had been saying earlier that we have a very strong pipeline of orders and also our future visibility of orders as far as defense is concerned.

So I think we'll be performing quit e well, not just this year but also in the years ahead on the defense side. On power solutions, although the H1 has not optically posted, we have posted a huge growth. Actually, the volume growth has been slightly negative. But we were expecting that becau se last year, you would recall that in H1, there was a lot of pre -buy because of the emission norms. And therefore, we were expecting kind of a slight de -growth in PSB volumes this year.

But H2 outlook is very, very strong on PSB. And overall, for the yea r, I think we will do very, very well. We have already taken a very aspirational target as far as PSB is concerned and I'm very hopeful that we will be able to deliver on that. On the aftermarket side, we are continuously growing at about 15%. In H1 also, we have grown, I think, by 14% or so. This is a business which has a lot of future potential. And therefore, we will continue to tap that potential as well. Lastly, on the international business, which is also a higher -margin business for us, we have done fairly good despite all the geopolitical challenges in several parts of the world. Although the SAARC market is way down and continues to be down, but we have done really well in our other markets, which are GCC, Africa.

We have also made an entry into S outheast Asia now, like we told you earlier that this would be our next attempt to expand geographically. So overall, we are doing very well on international operations. And I think I can go ahead and tell you that most probably, this year would be our best year ever as far as the international business is concerned.

Raghunandhan N. L: And on the -- just a clarification. On the export side, you had earlier indicated that efforts will remain that the share will continue to increase in the overall revenues. H ow do you see it 2, 3 years down the line?

Shenu Agarwal: See, the intention is to substantially grow our export volume. So in the long term, I would say that our aspiration is to deliver more than 50,000 units of exports volume from the company . So, you can do the math and figure out that at that level exports would be substantial. But definitely, we have to build it up. Exports is not that easy as you are all aware, although we have a lot of strengths because Ashok Leyland was one company that creat ed different home bases in different parts of the world.

For example, like in UAE, we have a factory that is there for many, many years, and that gives us a huge advantage in terms of building a local brand that is valued by the customers and also gives us some preference in doing business in those markets. But yes, we are very focused on hitting this long -term target. We are investing a lot in new development of products as well as we are entering into new markets of our choice. So if we continue to do wel l here on these 2 fronts, I am quite confident that we should be doing well year -on-year on exports.

Raghunandhan N. L: And how do you see the support to electrification from PM E -DRIVE scheme and payment security mechanism? I understand that you have 2,00 0 pending orders in buses and you also indicated 180 orders for electric trucks.

Shenu Agarwal: Yes. Raghu, that's right. I mean optimism on the EV bus side is building every day. The government also is coming up with a lot of positive statements as far as electrification of public transport is concerned. And Switch is very well -positioned along with OHM to be able to participate and lead this whole journey in the country. Our focus in Switch has been to create the best of the products.

And we have for that have been running this company on a very tight leash. The only money that we were really spending was in product development and the entire focus was there. Like I said in my opening statement, we have come up with a completely new product, which is a 12 -

meter ultra -low floor bus, which we will be delivering to Delhi and Bangalore very soon, yes. And so, I mean we are quite happy with the progress actually that Switch and OHM are doing. And we are also positive that Switch, if not in quarter 4 of this yea r, by

quarter 1 or quarter 2 of
next year, should be also EBITDA positive. I'm talking about Switch India. So yes, I mean we have this order book. We are producing. We are ramping up our production of electric buses. We do hope that we will complete this h uge order that we have in the next 12 to 15 months.

Raghunandhan N. L: Great, sir. Good to hear that. And lastly, Balaji, sir, if you can share the tax rate we can work for the year? Yes, I'll fall back in the queue.

Moderator: The next question is from th e line of Amit Hiranandani from SMIFS Limited.

Amit Hiranandani: Congrats, team, for good operational performance in this tough environment. Sir, based on our on-ground checks, the replacement demand is not that significantly growing as per the estimates. So can you please share your findings and views on the same?

Shenu Agarwal: Yes, Amit, thank you for the question. I mean if you are referring to Q2, I would agree with you that there has been a kind of pushback on the replacement demand because of all the se factors that I had earlier mentioned about monsoon and the slow takeoff in the government capex , et cetera. But you know and we have discussed this before that we are at the maximum aging of our current fleet in this country, right?

And this number has passed even, I think, 10 or 10.5 years now. And historically, this number has been close to 7, 7.5. So as soon as I think the environment becomes more positive, which we hope it will starting November, I think you will see a lot of that replacement demand coming back.

Amit Hiranandani: All right. And sir, how was the discounting situation in Q2 vis -a-vis Q1? And sir, would you be

comfortable in sharing the average discount number for Q1 and Q2?
K. M. Balaji : No. Amit, we don't normally look at the discounts and monitor the discounts per se separately. We look at what we call it as the net sales realization, which is after reducing the discounts. So we don't monitor and we don't share the discount number separa tely. But generally speaking, the competition intensity, I would say, is similar to what it has been in the past. I wouldn't say it has grown or it has reduced. And you know we do a lot of CV business, especially on the MHCV side, with large fleet buyers. And therefore, the situation may be different from one deal to another.
But as far as Ashok Leyland is concerned, as we have said in the past as well, we have a certain threshold internally, below which we will never go even if we have to lose a deal. So that philosophy is very, very clear. We are not going to use discounts as a tool to gain market share. Market share has to come through our fundamental strengths that we will develop over time. So focus, clearly, is on profitable growth. It's not on buyin g market share.
Amit Hiranandani: Sir, additionally, have there any -- have you taken any kind of price increases in Q2 and so far in October and November?

K. M. Balaji: See, it is a continuous ongoing process, Amit. Although in a structured way, if you as k me whether we have done it by way of price circular, we have not done that. But if you ask me whether there is an attempt which has been done, we keep attempting by way of reduction of the discounts on every month whereby we increase our average selling price or as we call it net sales realization.
This, we keep doing every month. We look at the opportunities, we look at the geographies, we look at the models. Then we appropriately price and then we try and get the realization. One of the main levers which we have been indicating, which we have indicated about 1.5 years back is also that recovery, higher recovery from the customers, which we keep doing.
Shenu Agarwal: Amit, just to add another element that

we are quite focused on is to look at what kin d of mix we want to sell because we have a very wide product portfolio starting from -- I'm talking about MHCV -- starting from 19 ton and going up to 55 ton. So we keep a very sharp eye on the mix. Of course, some of it depends on how the industry is movi ng. But as far as possible, we try to sell higher -margin products.
Another thing is that whenever we launch or we come up with new products or variants, we try to maximize margins on those because they always come up with some new technology or new feature that supposedly customer values more.
Moderator: The next question is from the line of Pramod Kumar from UBS.
Pramod Kumar: Shenu, first question to you, sir, on the demand. We've been optimistic about demand. But hypothetically, let's assume the demand d oesn't kind of recover that well. Then what is the plan? Because we are currently prioritizing profitable growth. But in the context where industry starts underperforming expectations, so what will be the -- will we continue to prioritize profitability over market share and at the expense of operating leverage?
So I'm just trying to understand this because the margins ae pretty solid, given the industry performance and what your peers have performed in terms of profitability, no doubt about that. But I jus t was wondering how long will we kind of prioritize margins over volume? Because at the end of the day, losing a customer is not a great thing and winning them back is normally not that easy either.
So if you can just help us understand this, how long wil l we kind of continue with the strategy? And if push comes to shove, if volumes don't recover, could there be a rethink? Because that is something which has been in the mind of a lot of investors. And volume is something which is quite important for even investors from -- for the company's growth. So I'm just trying to understand how are you thinking about this from your position, sir?
Shenu Agarwal: Yes. Pramod, just to clarify. I mean while we make that statement, we do realize that we have to participat e in the market. We have to participate in all the deals . And therefore, I said there is a threshold that we have, below which we will not go because it just doesn't make sense to get volume at that kind of pricing or that kind of a margin

So that thresho ld, of course, we do it smartly. I mean it's not like something always fixed. That

threshold also is dynamic. We look at other factors, of course, as to how business is doing, other commodities are doing, other businesses are doing, and then we dynamically kind of look at that threshold.
But my point is not to be taken literally, but saying that directionally, that is the thought, that we are not going to sacrifice margin beyond a point to just gain market share because we have always believed and we have always seen that such market share increases are so temporary in nature.
If you want to buy them, it is like super easy to lose it all over again if you just don't stick to the price. And once you drop the price below a certain level, it is almost impossi ble to raise it back in. So I mean we all know all these things? But the main point is that sticking to some kind of a policy, some kind of a direction I think Ashok Leyland is very, very disciplined on that now.
The second thing I would say is that what we have done over the last few years, not just recently, is also we had looked at lowering our breakeven. So if you just , you have the numbers , compare Ashok Leyland of 5 or 7 years back and you compare it with Ash ok Leyland of today, you will see that the breakeven has really, really been lowered to very low numbers now.
One proof of that is in Q2, you would have

seen that our top line has degrown by 9%, but our
PAT has still grown by 12% even if I exclude all the exceptional items. So this is a proof of the pudding that what we are saying.
So on one side, we want to make us foolproof against any downturns in the market. But on the other side, we are very hopeful that the market has -- still has a lot of steam in it and markets should continue to grow.
Pramod Kumar: Okay. And on that note, Shenu, I think I have to compliment Balaji and the team and yourself for the kind of cost control. I think it's unprecedented the kind of cost controls what we've seen here over the years, actually. And in that sense, is it true for you and the industry also that even in a not -so-great volume scenario, the industry profitability has clearly moved to a higher trajectory?
And also, at the same time, has the volatility or the up cycl e, down cycle, the fluctuations have also kind of moderated reasonably? Is that a fair assessment? Or it's still too early to call, Shenu, for the -- as an industry?
Shenu Agarwal: Yes, that is what we tend to believe. We believe even if there would be dow nturns in future at any given point in time, I think the extent of the fall or the extent of the rise would not be as steep as it has been there historically.
I mean the country is much more better in all different ways now. Country is much more stable.
I mean gone are those days where something would happen globally and India would be just reeling and there are lots of pressures.

So we all understand that. And that phenomena is a direct impact on how CV industry should behave in the future. I mean nothin g can be said with certainty, but at least that is what our assessment is right now.
Pramod Kumar: And sir, final question on LCV as a category. Some of your peers have called out the reasonable recovery what they see in the CV category. So what are you se eing, especially in the last -mile mobility segment? And how are our launch plans there? Because that is one segment where we are underrepresented.
So -- and then there's potential for market share. So if you can just talk more about the LCV categories, wh at's happening on the ground, like what you talked about there MHCV utilization rates and others and also your plans for this particular segment, sir.
Shenu Agarwal: See, Pramod, we don't want to -- we don't like to talk so much about the LCV industry as I think you should ask our peers more about it. And the reason, I'll tell you why. Because see, one thing is that we are addressing only 50% of the LCV market right now. We have already stated many times publicly as well that we want to achieve about 80%, 8 5% participation of the LCV industry. So all these product launches that you see, they are actually a step in that direction.
Of course, this will happen over a few years, not immediately . But not just this year, even in the next few years, you will continue to see a lot of launches from Ashok Leyland in the LCV. The only reason is because we think there is quite a headroom there for us to grow. So that is one.
The other thing is although we are no w number 2 player in 2 to 3.5 -ton category, we are the newest entrant in this LCV business. We started only 11, 12 years ago and now being number 2 is a moment of pride for us.
But also if you look at that 20% market share, actually, we are quite lopsided in our presence.
South, if you see, we have many mark ets, many states, many regions where our market share is as high as 35%, 40% . And if you look at some of the regions in the north or the east or the center,

we still have single digit. Yes, so we are not too much concerned about the market movement .
Althou gh we are very optimistic that this LCV has even a hi

gher potential to grow in future than
MHCV in terms of volume growth because of last mile, because of rural penetration and all that.
But our focus is just to get a better share of this market, both on t he geographical expansion side
and also how we can come up with a more wider and better product portfolio.
Moderator: The next question is from the line of Amyn Pirani from JPMorgan.
Amyn Pirani: Actually, the first question is on the point that you mentio ned about Hinduja Leyland Finance.
You mentioned that you expect it to complete by 1H of FY -- 1Q FY '26. Now I just wanted to
understand if this process has been delayed quite a bit. So is there anything which is delaying
the process specifically? Also, s ince you had tried to do an IPO several years back, but then you
changed your plan, given the kind of market that we've had in terms of new issues being
subscribed, is there a rethink that you can have?
Or now you are sticking to that original plan? And if yes, then what is causing these significant
delays in the process?

Dheeraj Hinduja: If I can answer that, Dheeraj here. The delays have really predominantly been in just the normal
regulatory approvals and nothing more than that. There is no change in the plan. We will go
ahead with this. We have -- we are going by based on the indications that have been given. So
there are regulatory approvals coming from RBI on, of course, the listing as well. But nothing
more than that.
I think we are quite optimistic in terms of the company, its performance. We don't feel that the
true value of the company is captured today in Ashok Leyland. And I think once this does get
listed through the reverse merger route, there will be a better appreciation of the company and
its performance.
Amyn Pirani: That's good to know. So is there any broad update that we can have on a first half basis with
respect to maybe what is the book size? What's the PBT? Is there any asset quality? And you
also mentioned that you haven't invested a ny money in the subsidiary in first half, but some
investments would be required in the second half. So any broad indication as to what that
investment could be for Hinduja Leyland Finance and probably for the other businesses?
Dheeraj Hinduja: Balaji, you have the details with you?
K. M. Balaji: Yes. I have the details and I'll share. The assets under management for Hinduja Leyland Finance
alone is about INR42,000 crores. And the housing finance is around INR12,500 crores. So both
put together, the size is INR54,500 crores. That's the size. And we are talking about the
profitability. Revenue is about INR2,900 crores, INR3,000 crores, and profit is around INR350
crores for H1 FY25 .
Dheeraj Hinduja: Investment in H2.
K. M. Balaji: And regarding the investment s in H2, we might have to invest some towards the share capital of
Hinduja Leyland Finance. We will know as we progress during the financial year depending on
their requirement as well as on the capital adequacy ratio. We may have to fund, but it will not
be very substantial amount. It could be around -- in my estimate, it could be around INR200
crores to INR250 crores equity inclusion , which may happen.
Amyn Pirani: Okay. And any broad number for either Switch or OHM?
Dheeraj Hinduja: You mean in terms of investment?
Amyn Pirani: Yes, in terms of investments in the second half.
K. M. Balaji: Okay. So that number, we are still trying to see how it pans out, but rough estimates would be
about below INR500 crores.
Shenu Agarwal: 350 to 500.
K. M. Balaji: Yes, below 500.
Moderator: The next question is from the line of Pramod Amthe from InCred Equities.

Pramod Amthe: So this is with regard to the EV trucks, which you have launched. Wanted to know what use
cases you are trying to target? And what's the IRR and th e customers looking at per se? First.
And second, if you have to look at it in the medium term, 3 to 5 years, in those subsegments

where you're trying user case, whatever penetrations you are looking from your product?
Shenu Agarwal: Yes. So see, one thing we have to just keep in mind that these are very initial stage for electrification of trucks. So we are also, like many others, we are also exploring all these issues that you have been asking. Of course, the TCO right now of the electric truck is not so favourable as compared to diesel. But in future, we all hope that this will not be the case.
Now as far as the real application is concerned, other data that is important for the customer to understand , I think the whole industry is kind of in the same boat. So it would be difficult to answer that question. I would just say that this is very initial stage, and we are all kind of trying to understand this whole ecosystem of electrification of trucks.
Pram od Amthe: And the second question is with regard to the LCV portfolio expansion. In the last analyst meet, you had talked about a smaller LCV to come through. Any timelines for the same?
Shenu Agarwal: No, no. We don't have any timelines right now. We are still working on the proposal. It's not an easy one, as I have always been saying. We have an established competitor in that space, which have been there for more than 2 decades. And therefore , for us to find the right differentiation and to find the right commercial value proposition for the market is going to take some time.
But we are actively working on it.
Moderator: The next question is from the line of Kumar Rakesh from BNP.
Kumar Rakesh: My first question was on the second half demand outlook, which you spoke about, that you are hopeful that we should see a better growth. But you talked about multiple drivers which you think could play out, but have you started seeing on the ground any of those drivers to start changing?
Because in the first half as the utilization seems to be reasonably okay although the government spending was not there, which you spoke about, and also the cash outflow from the government was restricted. So have you started any movement to happen in any of those fronts between last month to this month?
Shenu Agarwal: Yes, Kumar, like I said, the biggest indicator of the on -ground sentiment or on -ground development is the fleet utilization. If the fleet utilization gets above 85%, 90%, that triggers a lot of people to go for new vehic les. So if you read the October data, it also -- it already indicates that at a country average level, the fleet utilization is quite high, right? So that is the biggest positive that we can see.
Kumar Rakesh: Great. My second question was on the bus segme nt. So that is one segment which has definitely been seeing much stronger growth while other segments have been struggling. So what is driving that growth? Is it STAs upgrading their buses across the state and you see that to continue in the second half or beyond that as well? And we have also gained market share in the bus segment.
So what is helping us to gain market share? What is different that we are doing in the bus now?

Shenu Agarwal: Listen, I mean bus is going to be, I think, more longer story. Yes , there was a lot of pent -up demand in the market and also lot of governments want to provide really better services as far as public transport is concerned. So all that is really going to drive, and many state go

vernments
are now finding ways to raise the right kind of money to be investing in this. So all that is coming together.
And even on the private side after COVID, there is a lot of pent -up demand in both school staff and even in intercity kind of applications. So this bus story is going to be ther e for more time.
Now coming to Ashok Leyland, we have always been considered the best in the buses, MHCV buses, because of our long solid reputation, not just on the side of building good, affordable products, but also the way we can service these.
So of course, that is there. But recently, if you see, we have put out some fantastic models in the market. Last year, we launched a 13.5 -meter bus and we were the first one to do so in the country.
And now we are readying to launch another bus where we'll be th e first one again, which will be a 15 -meter front engine bus competing in the high end of intercity movement. So that would be also something which we are looking forward to, although the launch will not be this year, it will be next year.
And then on the ICV bus side where we have a relatively lower market share, that also we are transforming our entire product portfolio. In some of the products there, we had an issue of performance. And in some other segments, we had an issue on the way the buses were bu ilt in terms of their commercial proposition. So we have been able to address all of that mostly, I would say.
The rest will continue. And therefore, we do expect to actually retain, I would say, market share on the bigger buses, but gain market share on t he smaller buses now going forward.
Moderator: The next question is from the line of Kapil Singh from Nomura.

Kapil Singh: I had a question on Switch. We have an order book of about 2,000. Over what period are we expecting to deliver this? And when you tal k of EBITDA breakeven, what kind of volume levels will the company need to do for that EBITDA breakeven on a quarterly basis or annual basis? Also, does the breakeven include the PLI benefit or it doesn't?

Shenu Agarwal: Yes, Kapil. So this order book of 2 ,000 that we have in hand, we hope that we will be able to complete in about 15 months of time. We are trying for earlier, but I think at the current visibility level, it looks like it will take 15 months or so. So that is one. The other thing is that brea keven that we are trying to establish would actually -- should actually happen at the current level of volumes, yes? With the higher volumes, we will be looking forward to have even a PAT -level breakeven.

And ultimately, our aim is to create self -sufficie nt Switch, Switch India over next 2 to 3 years. So that it does not have to depend or need any external investments. So yes, we are -- like I said, we are reasonably happy with the way Switch is progressing. And financial numbers is one thing, but also wha t is, I think, more important for a medium and long term is the investments we are

making in the product development on Switch. I mean we have heard a lot of good things about Switch buses.

I mean today, also I met somebody from Bombay and they were reall y praising the fit and finish and the overall styling and comfort of the Switch double -decker bus in Mumbai. So that is what makes us happy more than the numbers.

Kapil Singh: And sir the...

Shenu Agarwal: As far as PLI is concerned, we have not taken care -- we have not taken any benefits of PLI scheme in account yet.

Kapil Singh: Okay. So that will be over and above this EBITDA breakeven?

Shenu Agarwal: Yes.

Kapil Singh: Okay. And does Ashok Leyland standalone have any revenues from Switch or it doesn't?

Shenu Agarwal: Revenues from Switch? No, nothing.

Kapil Singh: Okay. All right. The second qu

estion is on OHM. Do you see this as a new revenue stream? And what kind of profitability in a steady state can this business generate? And also in terms of fundin g requirements, what are your thoughts here? Just some broad thoughts here will help.

Shenu Agarwal: Yes, just to clarify on your previous point, we do some work for Switch, because we don't want to kind of duplicate some of the investments we have made , we don’t want to create some of the facilities . So there is some revenue, yes, but very small right now and that is insignificant. It's basically the conversion cost of some of the buses and LCVs that we are building for them.

As far as OHM is concerned, t his is a relatively new company. In last year, we had put in an equity of INR300 crores and basis that, we have a potential to raise, let us say, about INR900 crores to INR1,000 crores of debt in that company. So that makes it about INR1,200 crores to INR1,300 crores in terms of capital available to invest in E -MaaS business.

So right now, we are fine. I mean they have just won an order of 300 buses from Bangalore, which we are in the process of developing and delivering. They have also recently won an ord er of 500 buses from MTC, yes. So right now, I think the capital is enough. I mean if some more capital required, we will put in some more money.

But at the same time, as far as OHM is concerned, we will also look at any external investments when required.

Kapil Singh: Sir, is it a profitable business? Or any colour on ROCEs or margins in steady state for this kind of business that you may have with that?

K. M. Balaji: Kapil, it is too early to talk about the ROCE about this business. That is slowly evolving, and it will take time for us to give you the numbers on the ROCE and the profitability.

Kapil Singh: Understood. Sir, just a last housekeeping question. If you could give overall targets for both capex and investments fo r full year FY '25, that will be great.

K. M. Balaji: Our capex , we would like to stick to that INR750 crores of capex , which we have indicated earlier, INR800 crores max, which we'll be sticking to those numbers. And on the investment side, we have spoken about it. As of now, there's not much of a requirement of investments in associated companies. But in the second half, at the various points of time in this call, we have indicated. One is on the Hinduja Leyland Finance side, we said that we may have to i nvest INR200 crores, INR250 crores. And if need be, we may have to make necessary investments in associate / subsidiaries to the extent of INR500 crores to INR750 crores in the maximum situation.

Moderator: Thank you very much. Due to time constraints, we will take that as the last question. I now hand the conference over to the management for closing comments.

Shenu Agarwal: So thank you, everyone, for joining us on this call. The only thing in the closing comments I would like to say is that we are very, very focused and very disciplined on our path that we had chosen and that we had shared with you about 1.5 years back. And we will put -- we are putting in all the efforts to reach those mid -term goals that we have set for ourselves. Thank you very much fo r supporting Ashok.

Moderator: Thank you very much, sir. On behalf of Avendus Spark, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Shenu Agarwal: Thank you.

Moderator: Thank you.

Call: Feb 2025

February 18, 2025

Dear Sir/Madam,
Concall Transcription
Pursuant to Regulations 30 and 46(2) (oa) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of the Company's Analyst Call held on February 12, 2025 to discuss the un-audited financial results for the quarter and nine months ended December 31 , 2024.

Meeting start time - 5.00 p.m. IST
End time – 6.00 p.m. IST

We request you to take the above on record.

Thanking you,

Yours faithfully,
for ASHOK LEYLAND LIMITED

N Ramanathan
Company Secretary

Encl.: a/a
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Bandra (E), Mumbai - 400 051

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This transcript has been edited for readability and doesn't purport to be the verbatim record of the proceedings .

"Ashok Leyland Limited Q3 FY25 Earnings Conference Call "

February 12, 2025

MANAGEMENT : MR. SHENU AGARWAL - MANAGING DIRECTOR & CEO, ASHOK LEYLAND LIMITED

MR. K. M. BALAJI – PRESIDENT FINANCE & CHIEF
FINANCIAL OFFICER , ASHOK LEYLAND LIMITED
MODERATORS : MR. CHIRAG JAIN - EMKAY GLOBAL FINANCIAL
SERVICES

Moderator : Ladies and gentlemen, good day and welcome to 3Q FY25 Earnings Conference Call of Ashok Leyland Limited hosted by Emkay Global Financial Services.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the confer ence call, please signal an operator by pressing the '*' then '0' on your touchtone phone.
I now hand the conference over to Mr. Chirag Jain from Emkay Global Financial Services. Thank you and over to you , sir.
Chirag Jain: Thank you , Steve. Good evening , everyone. On behalf of Emkay Global, I would like to welcome you all to the 3QF Y25 Post Earnings Conference Call of Ashok Leyland Limited.
Today, from the management team, we have with us Mr. Sh enu Agarwal, Managing Director & CEO, and Mr. K . M. Balaji, Chief Financial Officer.
I will now hand over the call to Mr. Shenu Agarwal for his "Opening Remarks ", post which we will open the floor for Q&A. Over to you, sir.
Shenu Agarwal: Good afternoon, ladies and gentlemen. Thank you for your continued trust in A shok Leyland . I am pleased to report our company's performance for the quarter ended December 24. Our focus has been on profitable and sustainable growth through levers of product premiumization, cost leadership, and expansion of service reach.
In Q3, we h ave continued to consolidate our position in that direction. Our net profit in Q3 FY25 jumped 31% on a YOY basis. Our EBITDA margin improved to 12.8% from 11.6% in Q2 of the current fiscal, and from 12.0% in the same period last year. The MHC V industry, wh ich had slowed down in Q2, gained strength in Q3, led by a pickup in consumption demand during festive season and better flow of government CAPEX in the second half of the quarter. As a result, Q3 FY25, domestic MHCV TIV was seq uentially up by 10%. While on Yo Y basis, the industry was still down 1%. But compared to Q2 YoY degrowth of 12%, this is a major comeback. Q4 industry momentum is good, with January already recording positive industry growth.
Ashok Leyland Q3 FY25 domestic MHCV volume at 26,838 numb ers was lower 1% Yo Y in line with the industry. Domestic MHCV trucks volume was at 22,796 numbers, lower by 2% YoY and MHCV bus volume was at 4,042 numbers, higher 5% Y oY.
Ashok Leyland continues to retain 30% plus market share in domestic MHCV market. Our nine - month ended December 24 market share stood at 30.4%. We remain committed to achieving our MHCV market share goal of 35% in the medium term.

Ashok Leyland , LCV domestic volume in Q3 FY25 was a t 15,415 numbers, lower by 9% Yo Y. In the addressable 2 to 4 ton market, AL market share was 18 .5%. With the launch of Saathi, we are committed to improve our market share to 20% in the short term and 25% in the medium term. Our latest LC V product Saathi, which was recently launched at the Bharat Global Mobility Expo at New Delhi and is our first offering in the entry level mini truck market. Q3 also proved to be a milestone quarter for us as we crossed 1 ,000 MHC V touch points and 800 LC V touch points.
The export volumes registered a growth of 33% in Q3 on a YOY basis. Our export business is driven by our continued focus on export -specific products and our strong local presence in GCC, SAARC , and African markets. For the nine -month period en ded December 24, export volume was 19% higher on a YOY basis. Our export order book for Q4 is also very robust.
Our non -CV businesses also witnessed good growth momentum. Engin

e volume was higher by
3.5% and spare parts revenue was higher by 14% on YOY ba sis.
Ashok Leyland recorded all -time high Q3 revenues of Rs. 9,479 crores vis-à-vis Rs. 9,273 crores in Q3F Y24. EBITDA again was a record for Q3 at Rs. 1,211 crore. EBITDA margin at 12.8% was better than 11.6% in Q2 of current year and also better than 12. 0% in Q3 of last year. Operating PBT at Rs. 994 crore was higher by 10% YOY. The reported PAT at Rs. 762 crores

was higher by 31% Yo Y.
Material cost as a percentage of revenue was at 71.5%, lower than 72.2% in Q3 last year. This was achieved by our contin ued focus on material cost savings.
Our balance sheet and cash position have grown stronger . At the end of last quarter, we were cash positive at Rs. 958 crore. As compared to a net debt of Rs. 1,747 crore at the end of Q3 last year, this is a major posit ive swing in our cash position. CAPEX for the quarter was Rs. 179 crores and cumulative for the year is at Rs. 486 crores.
The reverse merger of Hinduja Leyland Finance with NDL Ventures is on track. As mentioned earlier, this is likely to be concluded by the end of Q1 FY26. Both Hinduja Leyland Finance and Hinduja Housing Finance are growing well with asset s under management at end of December quarter at Rs. 44,400 crores and Rs. 13,400 crores respectively recording year -on-year growth of 26% and 43%.
Switch and OHM , our EV subsidiaries, are progressing as per plan. Switch Mobility unwheeled Switch E iV12, a cutting edge low floor electric bus tailored for the Indian market. At the end of Q3 F Y25, Switch India had an order book of more than 1,800 buses, incl uding exports order of 100 buses from Mauritius. Switch eLCVs are also gaining momentum with monthly run rate now at over 100 numbers. O HM, our eMaaS subsidiary is operating more than 600 buses with fleet availability of 98% plus.

Ashok Leland Board of Di rectors has approved further investments of Rs. 200 crores in Hinduja Leland Finance and of Rs. 500 crores in Optare , the holding company of Switch. This is to support capital adequacy needs of Hinduja Le yland Finance and CAPEX requirements of Switch.
With the electrical bus market in India expected to grow, Switch India is seen rightly positioned to benefit from the opportunity. However, the outlook for the electrical bus market in UK continues to be uncertain. In view of these trends, we are providing due focus to the India market and concurrently evaluating available options for the UK. Europe, however, continues to offer good potential. We are happy that the first few units of the latest E1 buses from Switch, designed specifically for the European ma rket, have been delivered to Spain. We also hope the new E1 bus will capture the GCC market in the future.
At the Auto Expo in January 2025, we had displayed countries' first concept of an electric -port terminal tractor. Also we displayed country's first 1 5 meter bus with air suspension and front engine with industry first capacity of 42 sleeper b eds. At the show Switch displayed a concept electric truck in the 7.5 ton GVW range, again first of its kind in the Indian market. All these products would go in c ommercial production within the next 9 to 12 months.
Ashok Leyland will continue to focus on product and process innovation to meet dynamic customer and market needs and to maintain its technology leadership positions in both ICE and the alternative fuel s pace.
On the customer service side where we are now working on a mission mode to set up world - class infrastructure and processes, we further launched multiple initiatives to enhance our customer experience, transforming our service workshop operations and enhancing our breakdown and at-site support. Many of these improved proce

sses are backed by analytics and
AI-led solutions.
Ashok Leyland made significant progress on its ESG commitments as well. I am proud to share that Ashok Leyland has been ranked numb er one globally in the heavy machinery and trucks category by Sustainalytics. Our ‘road to school ’ and ‘road to livelihood ’ programs continue to grow extending their reach to about 5 lakh students now, with 92,000 students being added this year and targeti ng to add another 100,000 students in FY26. We made significant progress towards RE100, improving from the level of 61% at end of FY24 to 68% now.
Ashok Leyland is making good progress towards all its medium term goals, which are as follows.
a) Achieve mid-teen EBITDA
b) Achieve MHCV market share of 35%
c) Substantial growth in our non -MHCV businesses
d) Leadership in alternate fuel vehicles
e) Value unlocking from subsidiaries

f) Leadership in ESG.

The union budget for FY26 has been encouraging. The focus of the union budget on boosting consumption demand while continuing to push infrastructure buildup is favorable for the growth of core industries. Pickup in consumption demand would be positive for segments of LCV, ICV, and haulage , and healthy growth in core industr ies would drive the momentum for MHCV trucks . We believe that F Y26 would witness growth in all the C V segments, LCV, ICV, and MHCV.

Thank you very much for your patient hearing. I now hand it over to moderator for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press '*' and '1' on their desktop telephone. If you wish to withdraw yourself from the question queue, you may press '*' and '2' . Participants are requested to use handset while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Chandramouli Muthiah from Goldman Sachs . Please go ahead.

Chandramouli Muthiah: Hi, good evening and th ank you for taking my questions. My first question is just around industry growth. So, I think previous quarter, I think the expectation was that on a full year basis, FY25 might be closer to sort of flat volume growth for the CV industry. And for that to happen, I think the fourth quarter potentially will be 4% or 5% volume growth. I think January has started off, as you said, slightly better than that. So, I just want to understand how you are thinking about, is there any upside optionality or downside risk to this flat volume growth for FY25 the way you are seeing it? And how that leads your view into what potential magnitude of growth you would expect in FY26 as things stand?

Shenu Agarwal: Yes, Chandra mouli , thank you for the question. Actually, the way we look at it is Q1, the industry had grown 4 % to 5% and then Q2, it was down roughly 12%. And then Q3 , while it is still slightly negative, but it is a major comeback from where we were at Q2 . Because at the end of Q2, there was a lot of pessimism whether this is the start of a new down cycle. While we maintained our outlook that it was temporary, the Q2 phenomena was mainly because of the slowdown in CAPEX and also because of some erratic rai ns that we had experienced in some parts of the country. So, we were very hopeful that it should come back. And I think Q3 kind of proved that . Like I said, while it was still slightly negative, but then, January is already behind us. January, we have seen a positive growth and February and March are looking better. So, while on YOY, we are still (-1%) on M HCV for the nine-month period, but we think Q4 would be positive. And yes, and if this continues into Q1 and Q2, then even next year could look strong.

Chandra

mouli Muthiah: Got it, that's helpful. My second question is just around, I think this margin upside that we've seen this quarter from CV companies operating in the Indian market. I think the last two quarters,

we had YOY ASP declines, but our ASP a t sort of a console level, this is up 4% YOY this quarter. We've had similar volumes quarter -on-quarter, but margin has been much better quarter -on-quarter. So, just trying to understand what the factors were in delivering some of this margin upside this q uarter ?

K. M. Balaji: Chandram ouli, Thanks for your question. This quarter has witnessed quite a good mix both in the truck side as well as on the bus side. That has only resulted in a higher ASP as you are observing. The mix has been quite good especially with good pick up on the multi -axle vehicles and the tipper segment volumes. So, both these are much better sequentially, that is what is getting reflected. Of course, there has also been an increase in the AS P of the buses side also. Buses side we have g ot good revenue. That has also got reflected in the overall revenue. That is why you are seeing the ASP in this month quite good. On the margin side - actually margins are more driven by the cost reduction measures, which we have been doing for quite some time now. Last two years, we have also shared this in the previous calls , last two years has been quite good. Now we have, we ended up with a good Rs. 650 plus crores of cost reduction each year and this year also we are continuing on the cost reduction measures and on top of all these things the steel price, the commodity price s have been quite good in this quarter. That has also added to a significant portion to the bottom -line. So, you are seeing a confluence of all these benefits g etting reflected in the margin.

Shenu Agarwal: Just to add on to that, while MHCV and LCV volumes were like more flattish or more similar, but our other businesses, which are more profitable businesses like Power Solutions, Defense, spare parts, they had g ood levels of growth in Q3 as well. Especially on the IO side, which is more profitable business, we had a growth of 33% in Q3. And Q2 growth was like 14 % or 15% on YOY. So, I think other engines are also firing well , which are better for ou r margins.

Mode rator: Sorry to interrupt, Mr. Chandra mouli , can you please come back in the queue for further questions?

Chandramouli Muthiah: Sure, thank you.
Moderator: Thank you. The next question is from the line of Binay from Morgan Stanley. Please go ahead.
Binay: Hi, team. Thanks for the opportunity. Just continuing actually on our previous chat, if you look at gross margin versus mix, ideally this quarter we should have had some gross margin expansion when we talked about product mix is better with more trucks, le ss buses, exports were very strong. But our gross margin has actually come down quarter over quarter. And a lot of the margin expansion is coming from o ther expenses being down on a Yo Y basis. So, could you just help us tie this up that why is the gross ma rgin not showing the expansion and is this other expenses YOY declined despite a revenue increase sustainable? Maybe defense has something to do tha t defense has fallen this quarter or something ?

K. M. Balaji: Actually, a portion of the material cost reduction was taken away as we have also witnessed an increase in the prices of rubber. We had to concede a bit of the increase on the rubber side. So, that could have also got reflected on the gross margin . As well as you r observation on other expen s

es YOY, w e have been able to contain the cost in a better way. That's all I can tell you. Especially some of the variable costs like the production overheads, selling overheads, delivery charges, and the administration overheads - all this we have been ab le to contain. We have a better cost monitoring mechanism which helps us to monitor these things in a better way.
Binay: And sir, how has defense done for us this quarter? Like any percentage revenue mix or because the earlier quarter that was weak. So, how has it done this quarter?
K. M. Balaji: Defense revenue has been about Rs. 100 crores this quarter as against Rs. 150 crores in the previous quarter.
Binay: Yes, so that in a way would have hit your gross margin.
K. M. Balaji: Yes.
Binay: And secondly, just in the opening remark, we talked about net cash, and we talked about two investments. So, the net cash is post this Rs. 700 crore investment that we talked about?
Shenu Agarwal: No, this is before the investment.
Binay: Could you repeat that number again for net cash? What is the number you gave?
K. M. Balaji: 958 crores.
Binay: And sir, just lastly on just two trends we are seeing, bus volumes being very strong in the last few years was supporting profitability. They've started to sort of growth has gone in the last 2-3 months. Whereas exports have seen a sort of pretty stellar growth, 33% and in the previous conference call, you had talked about a 50,000 target for exports for the company eventually. So, could you comment a little bit about these two trends that we are seeing, slowing bus growth? I know base is getting tougher , but how do you see that going ahead and at the same time sustainability of this export jump that we've seen? Thanks.
Shenu Agarwal: This growth slowdown in bus demand is a temporary thing - overall, there is a huge pent up demand still available in the market. Whether it is STUs or MDVs or even ICV buses, we still believe that bus is a story which will continue to be favorable . Not just like next year, but probably for at least two years or so. So, this is just a temporary thing because sometimes a confluence of lot of STU orders come in and sometimes, they don't. But Q4, I mean, we have an order book of like 4,000 buses already, which will be not supplied in Q4, but they will be supplied over next six months or eight months or so. But these are like confirmed orders we have in hand. So, nothing to really worry about on the bus. I think we will continue, the market will continue to be good. And you have seen we have already grown to 38% plus market share on

buses. So we will continue to have our leadership posi tion intact also. Your other question was about exports, right?
Binay: Yes.
Shenu Agarwal: So, exports also, in the long run, our target is to achieve 50,000. But in the medium run, we want to achieve a number of 25,000. This year we are hoping that we wil l end up close to 15,000. That is the least we are stretching to achieve right now , although the gap is a little bit on the higher side, but we are still very confident based on the order book that we should be close to that number. So, that would be a ver y good growth when we compare our export volumes of last year of roughly 11,800 numbers or so. So, export journey is actually very good. And like I said before, this is a result of some recent efforts, but more credit I will give to the actions that Leylan d had taken several years ago - when we really solidified our position in some of these

markets by investing into manufacturing assembly facilities, investing into local branch offices, positioning people locally so that we have a better understanding. And that is the reason in some of the markets like UAE or Bangladesh,

Ashok Le yland is like a formidable brand in the CV business. So, as long as we continue to put in more products now, since we have a very strong brand and a strong distribution available in some of these markets, as we continue to put in more and more products, I think you will see our export volumes going up. But just to summarize, 25,000 medium term target, we should be around 15,000 this year, for another 2 years or 3 years you would try to reach that 25,000 .

Binay: Great. Thanks, team . I appreciate the response.

Moderator: Thank you. The next question is from the line of Pramod Kumar from UBS. Please go ahead.

Pramod Kumar: Thanks a lot for the opportunity, and congratulations on excellen t operatio nal metric . So, my first question is regarding the non -vehicle revenue mix as to how should we see it going forward because this quarter you had a defense decline ? I can understand it could be lumpy. But how do you see the near term non -vehicle r evenue piece in terms of especially the kit supplies to defense and other different supplies? Because they kind of come with higher margins. So, how should one look at that particular piece evolving over the next 1 or 2 quarters?

Shenu Agarwal: I think I can just say that defense business will continue to surprise all of us. Our pipeline is really very strong. Although in Q3, we had a major blip because some of the orders got pushed out. But I am not just talking about from the Q4 perspective, I am talking about like next 3 or 4 quarters. You will see a good jump in our defense business.

Pramod Kumar: And if you can just help understand, because everyone's worried about the cyclicality of the business and whether we are in a down cycle, up cycle, we don't know. So, if you can just help us understand at this point of time, how much is the revenue component which is not cyclical, which is basically domestic, basically what the percent of revenue coming from excluding domestic trucks, including intern ational, including buses and everything. If you can just help us

understand, we used to share this historically back in the time. But if you can just help us, where are we there? Because that kind of gives us an idea as to what piece of the business is goi ng to remain resilient. And the rest, of course, it depends on the macro and the recovery and freight rates and all that. So, if you can just help us understand that better, sir ?

K. M. Balaji: Pramod, regarding the CVs, I can tell you that including the LC V the revenue share is about 80%. The rest 20% comes from the spares, engines, exports, defense .

Pramod Kumar : And if I were to include LCV and buses in this side, Balaji, I mean, because they are not that cyclical, and ideally, they should do well, especially with the LCV portfolio expansion, what you are doing. So, anything there which you can share, if you don't mind?

Shenu Agarwal: Normally, purely domestic trucks would be, I think, 55 % to 60%.

Pramod Kumar : 55% to 60 %, so the percentage exposure has kind of come down over the years.

Shenu Agarwal: But within that also, I mean, if you just put it into different segments, I think the ICV industry is not that cyclical as the heavy -duty truck is. So, ICV comprises of about 25% of the overall domestic tr uck. So, you can then do the math and see how it is.

K. M. Balaji: Buses and the LCV constitute about 23% -24%.

Pramod Kumar: Okay, so effectively, a big chunk of the business is not that deep cyclical anymore. And even the cycle, the nature of the cycle has changed. We are not seeing that sharp up move and down move as such. But Shenu , I believe you guys are constructive on CV demand incrementally, so is Volvo Eicher, so is Tata. So, if you ca n just help us unders

tand when you look at 4Q, are you looking at the industry level to for you to grow on a year -on-year a basis, despite the higher base? And from when you look at F Y26, do you expect the volume momentum to be more back -ended? As to when you are doing the business plan ning, how are you looking at the, looking at the F Y26 period? Because there's a lot of concern around whether F Y26 will be a big volume correction again, or very muted, or a small decline for that matter. So, if you can just help us understand how you are navigating the business planning side for F Y26?

Shenu Agarwal: Yes, we don't think we have a very high base actually, because last three years, industry has been more or less within a range , quite flat tish. Of course, F Y23 we saw a big jump, but F Y24 and 25 have been like very similar range. So, we think that, F Y26, at least first half we have good visibility now. We think the market should be positive. Q4, we are already getting some good signals. January was positive. February is definitely lookin g positive. So, we are very hopeful that F Y26 should be a growth year right now. Of course, maybe later sometime we can give you more specific projections on F Y26. I have been saying this on the calls before, that we will all be surprise d the way cyclicity in this market will behave in the future . I mean, being in India, I

don't think it is right to look at cyclicity of the past and project the same thing in the future. India
is going to be very, very different market. If you look at penetration rates in In dia of trucks and

compare those with any other country, China, US, Europe, we are far behind. So, there India wood need many more trucks. The replacement demand has to be strong. I know it has not triggered itself in last couple of years that much, but it has to be kind of strong in the future because we are at the all-time high aging. Most of the customers I meet in the market are very clear . They are realizing more and more that they have to replace the truck at a certain given point in time , because afte r that, it becomes a losing proposition for them , especially with the large fleet owners on contracted freights etc. I think interest rate reduction, general upbeat on the economy, consumption demand - we don't see any reason that anything adverse would happen. We only see an upside. Now how much it will be, we will come back to you in maybe another 30 to 45 days ’ time.

Pramod Kumar: Thanks a lot, Shenu. And just one quick clarification, the price disci pline holds in the industry?

Shenu Agarwal: I am sorry. can you say that again?

Pramod Kumar: The price discipline in terms of discounting, there's no cutthroat competition as such, right? Or we see some improvement or ?

Shenu Agarwal: Actually in January, we have been able to improve both on the pricing and slightly on the mix as well. On the mix side, definitely we have more headroom. Because in the last couple of years, we had lost a bit on the tipper side and on the MAV side because of some internal issues, some gaps in the product s. But now those are behind us. So, I think what we are looking at now is good growth in tippers and multi -axles, which are much more profitable for us than the rest of the segment s.

Pramod Kumar: Great response. Thanks a lo t, Shenu . Wish you guys all the best. Thank you.

Shenu Agarwal: Yes, thanks. Bye.

Moderator: Thank you. The next question is from the line of Kumar Rakesh from B NP Paribas. Please go ahead.

Kumar Rakesh: Hi, good evening and thank you for taking my questio n. My first question was around the budget business which you spoke about that you are quite confident in the coming quarters and yet it should continue to do pretty well given the pipel

ine which you are looking at. Now looking at the budget allocation fro m the government for vehicle procurement for the defense forces, it's lower for next financial year compared to the current financial year. So, do you think that could create a headwind for you or do you have enough visibility on your pipeline that this gr owth could continue to expand?

Shenu Agarwal: Are you talking about the defense side?

Kumar Rakesh: Yes.

Shenu Agarwal: Overall budgetary allocation to defense does not really matter too much for us. Basically, we have been supplying mobility solutions only. We are not into the rest of the areas . On the mobility solution the market just depends on the replacement demand more or less. Now Indian Army and defense forces have a large fleet of our trucks. I think the number is close to 70,000. And many of th ese are now beyond their productive age. And therefore we expect that in the next 3 to 4 years, and this is what we are also hearing from the ministry , that about 10,000 to 12,000 new trucks would be required. So that is what is building our confidence. An d some of these orders are also coming in as we speak. So that is what drives our confidence on the defense business. And even beyond these 3-4 years, the rest of the trucks would again start aging. Right, so this is kind of a cycle which is very beneficial to us.

Kumar Rakesh: Great, thank s. My second question was on the Switch investment which you are making in the quarter. So, last quarter you had spoken about that in second half, you would need about 500 crore of investment, which is what you have already announced. So, it's fair to expect that for now, the investment is done ? And also, you were looking at a bit of break even in the business this year. So, where are we trending on that?

Shenu Agarwal: Yes, you are right. We had said earlier tha t we would probably be making about Rs. 500 crores, so that is what we are doing now. Switch India going forward should be EBITDA positive. Now it can happen Q1 or latest Q2. So, that is quite in sight . It just depends on our ability to fulfill all the orders we have in hand. And the order book is roughly 1,800 plus now that switch has . So, we are quite strong on the order book and the margins are good. So, all these buses would be supplied in I would say the next 12 months to 18 months. So, that is on t he Switch India side, but Switch UK side, the market itself is not doing very well. The government policies and other issues around the EV adoption have not been taken care of. And therefore, EV market is still kind of very, very subdued in UK against our expectations 2-3 years ago. So, we are evaluating the options for Switch UK because there we are making losses. And also, given that the market conditions are not okay , we have to kind of do some rationalization of Switch UK in terms of reducing the losses . Also, there is a debt there in Switch UK which we want to pare down because the market outlook is not very good. We are evaluating various options on Switch UK, but as far as Switch India is concerned, we are very, very positive. Switch India is actually going to be something that will be very value -accretive to Ashok Leyland , that is what we believe at this stage. Although we are not looking at listing it in any near future , I think that part would be still 2 to 3 years away because we would like to expa nd volumes, we would like to expand technology, mature the technology , have a broader product range et c. Overall, we are very happy with the way Switch is moving.

Kumar Rakesh: Great, thanks a lot for that answer.

Moderator: Thank you. The next question is from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh: Good evening sir and congratulations on a very strong performance in a tough quarter. Just one clarification on the previous question. This Rs. 500 crore investment is going in Switch UK or Switch India?

Shenu Agarwal: The way Switch is structured is that we have the holding company which is in UK which is called Opta re and below that we have Switch UK and then we have Switch India. So, of course this investment is going into Optare - a part of that will flow into Switch UK and some part may flow into Switch India for CAPEX needs.

Kapil Singh: Okay, because you seem to say that there is some uncertainty there. So, I was just wondering why we are making this investment right now ?

Shenu Agarwal: Like I explained, we want to pare down the debt. We have some debt in Switch UK, so we want to pare down. We are trying to reduce all the costs there including the interest burden on Switch UK. Also, the rest of the money could flow to Switch India for their CAPEX .

Kapil Singh: I understand. My question is on the financing side, we have seen pretty good performance by Hinduja -Leyland finance with improvement in segmental results as well. So, just want to understand how is the financing situation fo r commercial vehicles and we heard or read about certain problems in financing, either on personal loans, two wheelers. So, just trying to understand, if you could give some perspective on this ?

Shenu Agarwal: There is no significant change on the financing side really, both on MHC V and LC V side. There's nothing to really worry about. We don't see anything, any major shift on the financing side.

Kapil Singh: Okay, and the second question is on LC Vs. I think you mentioned close to achieving 20% marke t share in the near term. Is that on the overall LC V where currently we are at about 11%, so if you could just talk us through how you are thinking about gaining market share or what are the salient points of the new product that we have launched?

Shenu Ag arwal: Right now we are still looking at 2 to 4 ton as far as market share is concerned. So, in the shorter term we want to achieve 20% and then in the medium term we want to achieve 25% but that is within the 2 to 4 ton market. Now coming to the rest of t he market where we are not participating as of now as I have been telling that we participate only in about 50% of the overall LCV market. Our goal is to cover about 80% of that market. So, SAATHI is the first attempt where we are, although we have positio ned technically at 2.2, position ing this as a premium product in the entry level pickup truck market. Right, so that is the first attempt, but you will see many more launches and many more products that will be coming in the future, which will take us from this 50% coverage to about 80% coverage. So, that roadmap is very clear. Many of these projects are under progress . So, as time progresses, you will see some of those launches happening.

Kapil Singh: Okay, thanks and wish you all the best.

Moderator: Thank you. The next question is from the line of Amit Hiranandani from Phil lipCapital. Please go ahead.

Amit Hiranandani: Thanks for the opportunity and congrats to the team for good operational performance. Sir, my first question is basically the quick commerce segment is emerging very fast. So, do you see a

positive or a negative impact on any of our segments?
Shenu Agarwal: No, it will only mean positive developments on the last mile mobility and somewhat to the medium mile also. So, I think ICV and LC V segment should get benefited with all this positive news on Q -

commerce.
Amit Hiranandani: Right. Then my second question is on the what will be the growth drivers and the company strategy especially on the LCV side and continuing with that where do you se e the product gaps and largely in which segment and would you like to share any launch pipeline for the next 2 to 3 years please ?
Shenu Agarwal : Yes, as I just explained, we have two mission objectives on LC V. One is that right now we are at 50% of the market coverage. We want to expand that to 80% coverage. Now, of course, that will take us about 3 to 4 years to go there because of the gestation period in developing new products. But that roadmap, that product roadmap internally in Ashok Le yland is very clear. Saathi was actually the first major change where we are trying to address that sub 2 -ton markets. Although technically speaking, we have placed the product at 2.2 ton, which is at the border of sub 2 -ton. But we wanted to start with address ing the customers who are upgrading from sub 2 - ton to 2 -3.5 ton. So, we have strategically positioned ourselves there. Now in future, we will go both downwards, like more towards more entry le vel and a nd also we will go upwards. Right now, we are at 2 to 3.5, but we see that there is a huge potential in products between 3.5 to 5 ton and also in 6 to 7.5 ton, right. So, all those plans are in place. Like I said, S aathi is the first launch. Within the next 2 or 3 years, you will see some major launches from Ashok Leyland in the LC V segment.
Amit Hiranandani: Lastly, as per your assessment, how much presently is the impact of DFC on the CV industry?
Shenu Agarwal : There would be some impact like we spoke last time also, but it would take a long, long time and the impact would be like gradual . As there are a lot of challenges in setting up DFCs, in making the right proposition for the customers , then there are a lot of challenges - like you need to go from point A to B but once you reach B , how do you go forward? So all these things will take a lot of time to really kind of create an impact. So I think this will be small and this will be a little bit in more long -term.
Amit Hiranandani: Great sir, all the best. Thank you so much.
Moderator: The next question is from the line of Mukesh Saraf from Avendus Spark . Please go ahead.

Mukesh Saraf: Good evening and thank you for the opportunity. My first question is on the tipper segment. When I look at your volumes in 3Q, sequentially tipper seems to have grown significantly. So, is this, can you, could you kind of comment more on this? Is this more just a seasonality or are you seeing some significant revival in the space?
Shenu Agarwal : Not exactly. What has happened like I explained earlier, if you look at our last four or five or six quarters of tipper volumes, you will see that we had substantially degrown in our tipper segment . And there were some specific issues, some specific gaps that got developed in our tipper range, which we have now addressed since last 3 months or so. So, now onwards, you will see that our tipper volumes will continue to grow. And thankfully, this is a segment where the margins are much better than the rest of the segments. So, that is also margin -accretive to us. You will see that continuous growth in our volumes, I mean, disproportionate growth in our volumes in tipper.
Mukesh Saraf: Okay, so we can expect you to kind of gain back some of that market share loss in this ?
Shenu Agarwal : Yes. Roughly we were close to 29 %-30% about two years back. Now we are at 23% or so . So, we have this 7% headr oom on market share in tippers.
Mukesh Saraf: Well, got it . And I think, secondly, you alluded something on pricing, but could you give, say, some more details? What

w as the net price realization increase in 3Q, ex off discounts etc.?
K. M. Balaji : Can you repeat your question, Mukesh.
Mukesh Saraf : In third quarter, what would have been your net realization increase sir? Pricing, net discounts..
K. M. Balaji : It has almost been flat . We tried to increase the prices , in one month we succeeded , but subsequent two months we could not succeed . But overall if you look at we would have remained flat as far as the trucks and buses are concerned .
Mukesh Saraf: Alright. Thanks for it, I will get back in the queue.
Moderator: Thank you. The next question is from the line of Joseph George from IIFL. Please go ahead. Mr. Joseph, your line has been unmuted. Plea se go ahead with your question.
Joseph George: Yes, I have two questions. Can you hear me now?
K. M. Balaji : Yes, Joseph.
Joseph George: Yes, so I have two questions. One is in relation to what you are hearing on the ground from fleet operators. Are there any cases of NPAs going up? And secondly, when you look at fleet

utilization rates and freight rates, what are you seeing on the ground?
K. M. Balaji : If you look at the operating economics of the freight operators, it has been good. They are able to increase the freight rates. We are only witnessing a gradual increase in the freight rates. And

we all know that fuel rates continue to be constant. And wit h now possible passing on of this quarter percent rate cut, EMIs are going to become lower. So, this augurs well for the transporters from the profitability point of view. And the utilization levels are also quite healthy. We are seeing this in terms of th e volumes in the last 2, 3 years - it continues to be around the same level of 350 ,000 to 370,000 vehicles. So, all this augur well, for the entire demand outlook, both on the utilization side, as well as on the profitability side.
Joseph George: Alright, okay. And the second question that I had was in relation to Optare . So, right now you said that things are challenging. Can you let us know what is the annual catch -burn that you are seeing in Optare ?
K. M. Balaji : It's very difficult to quantify because v olumes keep fluctuating there.
Joseph George: Okay, but the last 2 -3 years you have seen a lot of fluctuations in your revenue numbers, but is it right to assume that the last 2 -3 years it has never been FCF positive as such?
K. M. Balaji : You are talking about Optare per se or you are talking about...?
Joseph George: I am talking about Optare PLC, the UK operation.
K. M. Balaji : Optare PLC, it depends on the volume in UK . Sometimes volumes come, sometimes they don't. In case if volumes are there, then we a re able to get good margins . In case if volumes are not there it becomes tough . See , what has happened in the last year there has been a good increase in volume s of diesel vehicles , it has grown by more than 100%. When you look at the growth percentage, it will look very good, 100, 120%. But if you look at the numbers, it will still be small. It will be around 300 vehicles to 500 vehicles. The market itself is like that. And on the electric vehicle side, there has be en a drop of 30% on the total volume. So, the volume itself is less than 1000 there.
Shenu Agarwal : Actually, lack of consistency is the real problem. We have a factory there in UK as you know , but sometimes the factory is idle and sometimes it is more than full. So, that is the issue. And then also while this company was conceived to be a n electric company, last few months we have been producing diesel buses only because the electric demand is just about nothing. Right, so I mean, these are the situations we are trying to tackle as to how to event ually deal with this situation.
Joseph Ge

orge: Understood, thank you.
Moderator: The next question is from the line of Jinesh Gandhi from Ambit Capital . Please go ahead.
K. M. Balaji: Jinesh, w e are not able to hear you, Jinesh.
Moderator: Yes sir, Jinesh got disconnected. We will move on to the next question. It's from the line of Abhishek, an individual investor. Please go ahead.

Abhishek: The margin of 13 %, are they sustainable?
K. M. Balaji : Margin is dependent on various aspects. It depends on, as we discussed earlier in the call, on the mix of the overall business with more contribution, more revenue coming from the non -CV side, especially the spar e parts, defense and power solution business, as well as the mix within the business like within trucks higher volume, higher revenue share from the higher tonnage segments like the multi -axle vehicles, tractor trailers, tippers - if all this happen, then this kind of margin is sustainable.
Shenu Agarwal: And just to add Abhishek what Balaji just said, we have been actively working on lowering our breakeven volume . Because we know that we are in a cyclical industry and therefore we should be ready for a bad cycle also. And I am very happy to say that our breakeven volume, monthly breakeven volume, has reduced to more than half in the last couple of years. Now that gives us a lot of confidence that we would be able t o sustain a good financial performance, even in bad cycles. Of course, if the cycle is good, then definitely 13% is sustainable.
Abhishek: Okay, thank you.
Moderator: The next question is from the line of Sanket from Ashika Stock Broking. Please go ahead.
Sanket: Thank you for the opportunity, sir and congratulations on good set of numbers. Sir income from operations from subsidiaries is somewhere around Rs. 938 crores. So, can you give us a segregation on which subsidiary is contributi ng the major section over here?
K. M. Balaji: Income from ?

Sanket: Subsidiaries.
K. M. Balaji: If you are looking at a consolidated number, we will give you later. We don't have that number readily with us.
Sanket: Okay, so can you provide us like what is the revenue share of Switch under consolidated?
K. M. Balaji: Revenue share of Switch will be …one minute.
Shenu Agarwal: Better to get back to. We don't have the table right no w, but we will get back to you.
Sanket: No problem, sir. So, my second question is, so government is planning to mandate AC cabins in commercial vehicles starting from October this year. So, do you look in any pre-sales happening in Q1 of FY26?
Shenu Agarwal: I am sorry, you will have to repeat the question. We coul dn't get it.
Sanket : Sir, I mean government is going to mandate AC cabins in commercial vehicles.

Shenu Agarwal: Yes, so AC cabins are coming into effect from 8th of June, I think . So, first week of June. And the cost delta because of this new regulation is marginal. So, it is not something that will influence the market. That is what is our opinion.
Sanket: Okay, sir. Thank you, sir. That's all for my sir.
Moderator: Thank you. Ladies a nd gentlemen, this will be our last question. It's from the line of Jay Kale from Elara Capital. Please go ahead.
Jay Kale: Yes, thanks for taking my question. So, my question is on the replacement demand. I mean, we have mentioned that the average age of the holding period of the vehicle has moved up and hence eventually the replacement demand should kick in. But what we also hear is that because of the price increases that we saw over the last three, four years because of emission norms etc.,

the
tenure o f the loans of the CVs have also moved up to cover for that price increase. And hence, structurally, there is an increase in the average holding period. And hence, the replacement demand may not be as fast as what we are expecting. Has that played out in t he last one or two years? And how do you see that impacting the replacement demand going forward?
Shenu Agarwal: Yes, it has played out , you are right, Jay, that the cost has gone up and because of that the tenure of the loans have gone up.
Jay Kale: Okay, understood. And so, in the last one, one and a half year, how would you have seen the replacement growth versus I mean, have you seen acceleration of replacement growth and the first time buyer growth probably has softened o r how have you seen that t rend?
Shenu Agarwal: Yes, definitely two trends we are seeing, although they are not like they are quite gradual. But two trends is that we are seeing a shift from Individual to fleets. That is one and the other is replacement demand is also becoming a better contributor to the overall demand.
Jay Kale: Understood. Great. Thanks, and all the best. That is all from my side.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today's Conference Call . I now hand the conference over to the management for the closing comments.
Shenu Agarwal: No, thank you very much and thank you for your continued interest. We are well positioned on our journey, our midterm goals, which is around EBITDA, market share etc. So, we are very, very focused on that and we assure you that we will do our best to continue on this path. Thank you very much.
K. M. Balaji: Thank you.
Moderator: On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

May 28, 2025

Dear Sir/Madam,
Concall Transcription
Pursuant to Regulations 30 and 46(2) (oa) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of the Company’s Analyst Call held on May 23, 2025 to discuss the audited financial results for the quarter and year ended March 31, 2025.

Meeting start time - 6.30 p.m. IST
End time – 7.30 p.m. IST

We request you to take the above on record.

Thanking you,

Yours faithfully,
for ASHOK LEYLAND LIMITED

N Ramanathan
Company Secretary

Encl.: a/a

National Stock Exchange of India Limited
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Bandra (E), Mumbai - 400 051

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“Ashok Leyland Limited
Q4 FY '25 Earnings Conference Call ”
May 23 , 202 5

MANAGEMENT : MR. DHEERAJ HINDUJA – EXECUTIVE CHAIRMAN – ASHOK LEYLAND LIMITED
MR. SHENU AGARWAL – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – ASHOK LEYLAND LIMITED
MR. K.M. BALAJI – PRESIDENT , FINANCE AND CHIEF FINANCIAL OFFICER – ASHOK LEYLAND LIMITED

MODERATOR : MR. RISHI VORA – KOTAK SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Ashok Leyland Limited Q4 FY '25 Earnings Conference Call hosted by Kotak Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.
Now I hand the conference over to Mr. Rishi Vora from Kotak Securities. Thank you, and over to you Mr. Vora.
Rishi Vora: Thank you. Good evening, and we welcome you all to the Q4 and FY '25 Earnings Conference Call of Ashok Leyland. Today, we have with us Mr. Dheeraj Hinduja, Executive Ch airman; Mr. Shenu Agarwal, Managi ng Director and CEO; and Mr. K. M. Balaji, President, Finance and CFO from Ashok Leyland.
I would like to inform you all that the call is being recorded and the audio call and the transcript will be avai lable at the company's website. I would now like to invite Mr. Dheeraj Hinduja for his opening remarks. Over to you, Mr. Hinduja.
Dheeraj Hinduja: Thank you. Good evening ladies and gentlemen. It gives me immense pleasure to share our company's performance for the quar ter ended March 2025. This has been truly a remarkable year with the company's achieving historic highs in revenue profit and profitability. We remain committed to our journey of profitable and sustainable growth through levers of product premiumization, c ost leadership and expansion of service reach.
In Q4, we further consolidated our position in that direction. Our net profit in Q4 FY '25 jumped 38% year -on-year. Our EBITDA margin for the quarter at 1 5% is the highes t ever quarterly EBITDA margin.
Coming to domestic MHCV, industry volume was almost in line with our expectation at the beginning of the year. During the year, however, it was tricky in terms of how the industry volumes played out against estimates. In Q1, while the industry experts pred icted degrowth, industry volumes went up. In Q2, when everybody turned bullish, industry volumes fell more than 10%. In Q3 the fall decelerated before full throttle up move in Q4. In Q4, domestic MHCV TIV was up 27% sequentially and 4% year -on-year. For FY '25 industry volume was at same level as previous year, and this was remarkable turnaround and augurs well for FY '26.
Ashok Leyland Q4 FY '25 domestic MHCV volume at 36,053 numbers was higher 4% year -on-year, in line with the industry. Domestic MHCV tru ck volume was at 29,089 numbers, higher 4% year -on-year and MHCV bus volume was at 6,964 numbers. For the year ended March '25, domestic MHCV volume was at 114,789, lower 1% year -on-year, with trucks at 93,540 lower by 5% and buses at 21,249, higher by 18% .
Ashok Leyland continues to retain 30% plus market share in domestic MHCV market. For the year ended March '25, our market share stood at 30.9%.

Ashok Leyland LCV domestic volume in Q4 FY '25 was 17,660 numbers, lower 2% year -on-year. For the year ended March '25, volume was 65,049 . In the a ddressable 2–4-ton market , for FY 25 AL market share was at 18.6%, lower than 19.3% in the previous year. Full benefit s of the new product launches are sinking in, and we are further intensifying our product innovatio n to improve our market share to 20% in the short term and 25% in the medium term. In Q4, we had launched SAATHI, our foray towards sub -2-ton segment, along with 5 other s expanding market coverage in terms of both loads car

rying capacity and alternate fuel powertrain.
We continue to expand our domestic network. We added 108 MHCV touch points and 106 LCV touch points during the year, with most of the additions in North and East. As of March '25, Ashok Leyland network has 1,889 touch points Pan-India.
Expor t volumes registered a growth of 52% in Q4 on a year -on-year basis. For the year ended March 25, exports volume at 15,255 numbers was higher by 29% against 11,853 numbers in the previous year.
Our non-CV businesses also witnessed good growth momentum. On Q4, engine volume was higher by 9% and domestic spare parts revenue was higher by 15% on a year -on-year basis. For the year ended March '25, engine volume was higher by 2% and spare parts revenue w as higher by 14%. Engine business growth was low single digits due to higher base effect created by CPCB norms prebuy in FY '24.
Defense revenue for the year was at same level as previous year. Order book for FY '26 is healthy.
Coming to financials. Asho k Leyland recorded all -time high Q4 and full year revenue, EBITDA,

EBITDA margin and profit after tax. For Q4 FY '25, revenue was at INR11,907 crores, higher by 6% year -on-year. EBITDA was at INR1,791 cror es, higher by 13% year -on-year. EBITDA margin for t he quarter was at 15%. Operating PBT was at INR1,671 crores, higher by 14% year -on-year. Reported PAT at INR1,246 crores was higher by 38% year -on-year.

For the year ended March '25, revenue was at INR38,753 crores vis -a-vis INR38,367 crores for the previ ous year. EBITDA was at INR4,931 crores, higher by 7%, and PAT was at INR3,303 crores, higher by 26%. EBITDA margin was at 12.7% vis -a-vis 12% for the full year '24.

Material cost as a percentage of revenue was at 70.6%, lowest in last 8 quarters. For the period ending March '25, the ratio was 71.3% vis -a-vis 72.8% in FY '24. This was achieved by our continued focus on material cost savings and supported by softer commodity costs during first 3 quarters of the year. We expect commodity headwinds from safeg uard duties on steel and impact of emerging global tariff dynamics.

Our balance sheet and cash position have grown stronger. At the end of the quarter, we were cash positive at INR4,242 crores against a net debt of INR89 crores at the end of the previous year. Capex for Q4 FY '25 was INR300 crores and investments in group companies was approximately INR200 crores. Cumulatively, for the year, capex was INR954 crores and investments approximately INR200 crores. Capex and investments together was lower at INR1,149 crores vis -a-vis INR2,060 crores in FY '24.

Key initiatives targeting customer experience and transforming service operations have started yielding results. In domestic MHCV, Ashok Leyland ranking has improved to number 1 in dealer satisfaction inde x and number 2 in customer satisfaction index and sales satisfaction index. Leveraging digital platforms, these initiatives will help us in our objective of product premiumization.

Ashok Leyland continue to focus on product and process innovation to meet dynamic customer and market needs and to maintain its technology leadership position in both ICE and alternative fuel space.

During the year, we launched several products across segments and powertrains. Key highlights for the year were 6 new products, in cluding SAATHI and Leo in the LCV segment. iVAC, Intelligent Vehicle Acceleration Control, for improved economy and MHCV truck segment, cost-competitive fully -built Oyster CNG and Oyster V max in the bus segment, and 55 -ton and 19-ton battery electric vehi cle trucks.

We are working on several new products, some of them like EV terminal tractor and 15 -meter AC coach, were showcased in the Auto Expo 2025 and would be ready for commer

cial
production in current year.

We have made significant progress on the center of excellence focused on EVs. For the coming AC regulation, all our products in the affected segments are ready. Another highlight of FY '25 was inauguration of our bus manufacturing plant at Vijayawada. This, along with the new plant under construc tion at Lucknow would augment our bus body building capacity to deliver quality fully -built solutions to our customers.

Switch and OHM, our EV subsidiaries are progressing as per plan. Switch India business is doing exceedingly well. In Q4, Switch India m ade ou tright sales of 287 buses and 300 eLCVs, resulting in double -digit EBITDA of 12%. For year ended March '25, Switch India was EBITDA positive at 6%. At the end of the year, Switch India has an order book of 1,800 number. In FY '25, Switch Mobility lau nched Switch E1 designed for Europe and GCPs, and Switch EiV12 low-floor electric bus tailored for the Indian market.

OHM, our E -MaaS subsidiary, is operating more than 650 buses, with fleet availability of 98% plus. OHM is targeting to add 1,700 buses to operation fleet during FY '26. Part of these additions will be from the current order book of Switch India and remaining from the fresh win. OHM has all projects under execution at healthy double -digit IRR.

You are a ware that the Board of Switch U K has given their approval to commence the consultation process with its employees which could potentially lead to cessation of manufacturing and assembly facilities in the Sherburn, UK facility. The consultation is progressing as per plan.

Ashok Leyland made s ignificant progress on its ESG commitment. Ashok Leyland was ranked #1 globally in the heavy machinery and truck category by Sustainalytics. Our DJSI ESG rating has significantly improved by 144% in the last 2 years, and we are placed among the top 5%.

Our Road to School and Road to Livelihood programs continue to grow, extending their reach to about 5 lakh students now, with 92,000 students added this year, and targeting to add another 100,000 students in FY '26. We made significant progress towards RE100 , improving from the level of 61% at end of FY '24, to 69% now.

For the year ahead, there's a lot of optimization on the ground and all key indicators are indicating growth. These utilizations are holding up. Freight rates and operator profitability are stable. Inflation is moderating, monsoon predictions are above average, and core sector growth estimates are upbeat. We are cautiously optimistic on supply chain benefits of global tariff dynamics accruing to our economic activity.

Continued government pus h on infrastructure projects augurs well for MHCV truck, particularly tippers. We believe that FY '26 would witness growth in all CV segments including LCV, ICV and MHCV goods and passenger.

I would also like to clarify one more aspect. In the previous ca ll, there was a question on pledg e of shares by the promoter company. I'd like to put this in perspective. There need not be any concern with reference to pledging of promoter shareholding in Ashok Leyland Limited. Every business / industrial house does treasury function, which, as you are all aware, includes leveraging its assets as well.

For the time being, as a short -term measure in a growing economy as part of the treasury function, the promoter company has pledged some portion of its shareholding in the company. Voting rights of the pledged shares continue to be with the promoter company.

As you may be aware that many promoter companies do pledge their holdings directly or indirectly through their holding company structure. We have never divested our shareholding in the company.

I would like to confirm that :

The financial positio

n of the promoter company is robust and healthy.

Promoter company has sev eral other assets as well, apart from shares of Ashok Leyland Limited.

Pledge is purely a treasury function and as a short -term measure.

Promoter company has always subscribed to all capital calls made by the company.

And the promoter company has always provided full support and will continue to provide all support to the company.

Thank you for your continued trust in Ashok Leyland. We will continue to march steadfastly towards the medium -term goals shared with all of you - achieve mid -teen EBITDA, achi eve MHCV market share of 35%, substantial growth in our noncore, non -MHCV businesses, leadership in alternative fuel vehicles, value unlocking from subsidiaries and leadership in ESG.

I now hand it back to the moderator for any Q&A. Thank you.

Moderator: Thank you very much. We will now begin with the question and answer session. The first question is from the line of Chandramouli Muthiah from Goldman Sachs.

Chandramouli Muthiah: My first question is just around the industry outlook that you touched upon towards the end of the prepared remarks. Some of your peers have indicated that there could be single -digit volume growth in FY '2 6 for the CV industry at large.

I'm just trying to get your understanding on what you would expect for the MHCV segment, the bus segment as well as the LCV segment, just given that this year we've got AC cabin norms, you did mention steel, safeguard duties upfront, and also maybe lack of clarity around broader government capex . So just keeping all those factors in mind, I just want to understand what magnitude of growth you would expect for each of these CV segments ?

Shenu Agarwal: Yes. Thank you for the question. More or less, we are in agreement with the estimates given by the peers. We also believe that this year could be a positive year for the CV industry. Last year was not so bad. But this year, we are seeing that a lot of macroeconomic factors should help move the industry in a posi tive direction.

We know that government capex , which had slowed down last year, is now back in shape. We do believe it will continue to expand from here onwards. We do know that monsoon estimates are pretty strong, so that should also help. We also unders tand that the core sector growth estimates are also positive .

And finally, we know that there is a pent -up demand that is available both in the truck and the bus segments, especially with the high ag eing of the fleet. So , I think that if the macroeconomic factors act in the right direction, we should see a positive momentum in the industry.

Now Q4 has been positive at 4% of the growth in the MHCV segment. And that gives us a good signal of the times to come. Now Q1, specifically last year, has grown by 10 %, as Dheeraj also said, in the MHCV segment. And therefore, we may not see that much growth in Q1.
But starting with Q2, because Q2 last year had a negative growth , large negative growth of 12% to 15% in MHCV, therefore, the growth in Q2 should be substantial. But like I said, overall, for FY '26, we are pretty optimistic.
Chandramouli Muthiah: That's helpful. And just as a follow -up to this question, if you could just giv e us some color on each of these segments, buses, trucks, LCVs, if you could give us your pecking order in terms of where you think there is more growth momentum available and where it might be relatively low?
Shenu Agarwal: Yes. I think a few of the segme nts should do better than the rest. The number one is buses. As I said, we still think there is a pent -up demand, although last year , last few years, buses have grown substantially. But still there is a lot of demand that will come out. This is both

for ST U
and private. When we talk to various STUs, they are very gung -ho on their buying capacities or buying potential for FY '26. And same is the case with private. So buses definitely will stand out. I think, closely, it will be followed by the tractor traile r segment. We know that there is a

lot of shift happening towards 55 -ton tractor trailers. So that the segment should also continue to do well.
One segment which hasn't done that well last year was tippers . But with all the core sector activities gaining momentum, especially mining and construction, we think tipper segment should pose some positive surprise this year.
So, I think those are the two or three segments which should do better than others. But I mean, even on LCV , ICV trucks or MAVs, we don't s ee any headwinds right now.
Chandramouli Muthiah: Got it. That's helpful. My second question is just around the safeguard duties on steel that you had also called out in the prepared remarks, also the AC cabin norms which can potentially com e through in Oc tober this year.
If you could just split out what is the rough cost inflation that, at this stage, you're expecting from both of these factors, and what that might mean for your medium -term margin goals in terms of timeframe and so on?
Shenu Agarwal: Yes. Quarter 1 seems to be a little bit challenging in terms of the commodity costs. AC is coming up as a regulation. The impact on the price could be anywhere between 0.5% to 2%, depending on the model. We don't think it will be a major problem in passing on thes e prices with immediate effect.
So we will, of course, we will navigate, and we will see how the market reacts to this. But I think most of the customers, at least what we know, are actually looking forward to this change. So drivers are mor e and more demanding AC trucks.
And even the operators are thinking that, to drive retention of the drivers, they need to provide them this extra feature or the extra comfort . So there is a lot of acceptance in the market overall on the AC mandate. And we do no t see any resistance from the customer side in paying for this.
So that is on the AC side.
But on the steel side, yes, there are pressures. I mean since government has introduced the safeguard duty on steel, there would be some upward trend in the steel c osts, which are already staring at us. Quarter 1, our expectation is that steel prices might go up by INR3 to INR5 per kg .
Quarter 2 also, a little bit more inflation we can see in the steel.
But since this measure is on a temporary basis, government had announced it to last only 200 days, so we are expecting that even before that 200 days are over, we will see the neutralization.
So at best, we would say 3 to 4, maybe max, 5 months of impact because of this.
However, some other commodities are actually m oving in the favorable direction, for example, rubber. Rubber had increased by 7% or so last year, but now rubber is coming down. Similarly, some other commodities are coming down.
So I think net impact wouldn't be very dramatic. In any case, we are , I mean, the industry and Ashok Leyland both are trying to see how much we can improve on realization to negate this.

But yes, it is a challenge for quarter 1. I would say quarter 2, things should stabilize. And quarter

3 onwards, I think this should be neutral ized.
Moderator: Next question is from the line of Kapil Singh from Nomura.
Kapil Singh: Yes. So I was just saying congratulations on a very strong performance once again for this quarter and the year. I wanted to understand, firstly

, on the cost levers that you are looking at
over the next 1 to 2 years, you've talked about some cost pressures, but we have as a company and as the industry done quite well in the face of a lot of cost pressures through the last 4 or 5 years. So you talked about realizations , but if you could talk about some other areas where there can be cost reduction or potential margin dri vers over the next 2 to 3 years?
Shenu Agarwal: Kapil, firstly, thank you for the compliments. We are indeed quite happy with the results, especially qu arter 4 has been really good. Overall year also we have been able to move our margins up , EBITDA margins up. And we are sitting on a very strong cash position at the end of the year, which means that we can invest more and more into the future growth of th e company.
But just coming to your specific questions about the levers available for us to improve our margins and market share growth, we had a very consistent strategy over the last couple of years. So I would like to set it out again just for everybody 's benefit.
So firstly, our aim is to add more and more value into our products. You can call it premiumization of our product portfolio. But the idea is basically to provide more value to the customers and have the ability to charge more for it. So that is one. We are doing a lot of work on the products at variant level, at the model level, segment level, to see how we can provide more value to the product. So that price realization benefit, definitely we are targeting in the next couple of years.
The se cond is you are aware that we are the cost leader, which means that our cost per vehicle on an average basis is lower than that of the peers. And this is a great strength we think Ashok Leyland has, and we do not want to lose on this strength. And therefor e, efforts on cost optimization, whether it is material cost or any other cost, would continue to happen.
Last 3 years actually had a great success story because we continuously saved hundreds of crores of cost in our P&L, and that will continue. Even for FY '26, we have taken a very ambitious target on cost savings, and it will start happening from Q1 itself. So it will help us navigate this little bit of a challenge that we are seeing on the steel.
And the third lever is on the aftersales side, like Dhe eraj also mentioned that we started a new project a few months back. And the aim of that project is to deliver best -in-class service to our customers. Now this particular aspect is very important, especially in the CV industry. I would say as important as giving a superior product because this is a rev enue -generating product . So if the product is out of service for 8 hours, some customer is directly losing that 8 hours of revenue. So our intention is, through this project, is to how to reduce that downtime of the product. Even for scheduled maintenance, how can we run it, how can we do it much faster. So the levers are common.

I mean we are not doing anything new. But the cumulative effect of the advantages we are deriving out of these three levers are showing in our financial results. And we hope to continue to do the same in future as well.
Kapil Singh: Sure, sir. Sir, the second question is on capex and investments. If you could let us know what is the target for FY '26? And in what areas will you be looking to invest? And on electric in particular, we have not seen, for the buses, the kind of orders that at one point we were hoping for. So just if you could talk about the landscape there because it seems like most of the ord ers are coming for diesel b uses?
K.M. Balaji: On the capital expenditure side, in FY '25 where we ended up with around INR950 crores, and we actually have plans to end at a

round the same level in the next financial year also. We'll be
doing around INR1,000 crores. Essentially, these , the capital expenditure will be aimed towards developing the capability as well as towards getting into more on t he new technologies. We'll be more focusing on the alternate fuel and newer technologies, all these things, including the critical components of this electric vehicle covering t he battery, motor, et c. We have also started, if you recall, the eV centres of excellence towards these critical components in an electric vehicle. So our focus , and our capital expenditure will be more incurred towards this.
And on your question on the investment in the subsidiaries, essentially, we will try and support the funding requirements of Switch India. Switch India may not have significant funding requirement as we understand at this given point of time. Their requirement would be anywhere

about INR100 crores to INR200 crores. OHM might require additional funding of INR300 crores to INR400 crores. So what we anticipate at this point of time would be that we would invest about INR500 crores to INR750 crores. That 's the visibility we have as of now. So we'll get better clarity as we progress and also, I mean, as we look at the demand for the funds from these companies. We may also get a funding requirement from the Hinduja Leyland Finance. And if we get these kind of requirements, then we will support given our cash situation.

Shenu Agarwal: Just to add a little bit more color to this. I mean you would have noticed our cash position is significantly better now at the end of FY '25 as compared to the previous year. F Y '24, we had a net debt of about INR89 crores. But now in FY '25, we are sitting on cash surplus of INR4,000 - plus crores.

So, in a way that signals that we can invest much more actually in the future growth of the company . Like I said, future growth would come from mainly two levers. One is how we can add more value to the products and the other is how we can make our service operations much more effective and efficient.

So now we can afford to be more liberal as far as capex is concerned. We will look at more areas where we can invest in, in terms of upgrading our products and technologies, and make them more superior and relevant to the market. And therefore, while Balaji said INR1,000 crores, but you know that we have ca sh to be able to spend more in the capex as long as it makes a good business case . So that's definitely a positive.

Also in the investment in subsidiaries, I would just like to mention that Switch India, in particular, we had told you earlier that our tar get is to make it EBITDA positive in FY '25, which we have now achieved. In fact, the quarter 4 has been really good for Switch India where they have achieved a double -digit EBITDA margin.

Now we want to continue on this trajectory, and our next goal will be for Switch India to make PAT positive. Now PAT positive means that they will start generating some cash to be able to be self -sufficient in future, so as to meet their own requirements on capex , etc. And therefore, over a medium -term horizon, we don't see that Switch India will require too much cash.

On the Switch UK side, we had already told you that we have taken a kind of decision to restructure that company, moving the manufa cturing operations out of the U K. Now this doesn't mean that we are exitin g the market. We definitely will continue to serve the market. But we are just taking production o ut to more efficient locations.

So that would also help us reduce or nullify that GBP 2 million to GBP 3 million of loss we were making there, pounds of loss we were making on a monthly basis in UK, right? So I think investment requiremen

ts in future, of course, temporarily, some companies may need some investments, but in future, all these companies are moving in the right direction.

Even for HLF, it is a ve ry self -sufficient company. The only reason we invested in the past was just the company was growing at a rapid pace, especially the housing finance business also, and just to meet the capital adequacy requirements of RBI, we had to inject some small capit al.

But yes, I mean, like I said, in terms of investments, it shouldn't put a lot of drag on us in future. And in terms of capex , since we have a very strong cash position, we should be able to invest in the growth.

Kapil Singh: Sure, sir. And on the EV buses landscape, if you coul d comment on that as well?

Shenu Agarwal: EV buses landscape, Kapil, generally, I think the country has a very positive outlook. I mean every day, you hear announcements from the government that they want to introduce or induct 14,000, 15,000 buses into the fleet, electric buses. Of course, it took some time because the government was coming up with this whole channel as to how they will assimilate the demand of various state STUs and bring it on a common platform where they c an tender out these buses. And then they were also looking at establishing a payment security mechanism for these GCC contracts. But I think more on that, all of that is in place . So, we should see a very healthy growth in electric bus adoption in the countr y. On the STU side to begin with, but later over next few years, it should trickle down into private sector also.

But yes, Switch is very well positioned. I believe we have the best-in-class product and technology. We have really invested a lot in making sure our products are superior, electric buses specifically. And therefore, in all respects, we are ready to take on higher and higher market share in electric buses in future.

Kapil Singh: Best wishes for next financial year.

Moderator: Next question is f rom the line of Raghu Nandhan from Nuvama Research .
Raghu Nandhan : On strong margin show. Congrats to Shenu sir and Balaji sir. Sir, firstly, good to see you're expecting a positive outlook in FY '26. How do you think the current up cycle is different from the previous up cycles? How do you see the performance over the next 1 or 2 years? And one concern is that I think Western DFC will be operational in second half of the year, how do you see the impact on competition from railways?
Shenu Agarwal: Yes, Ragh u, thank you. It's always good to speak to you. On the cycle, I mean, last couple of years, we have been saying that we don't think we should look at the history and project the future. India is on a very different trajectory. We all know that India is goi ng to be a major economy growing at a rapid pace as compared to other economies.
And therefore, India will require a lot of freight to be moved, a lot of people to be moved. And therefore, we shouldn't say that in future, we'll have the same trends as we had in the past. However, even if the market goes down in a particular year, we don't think the drop would be as dramatic as we have seen in the past. So one is that.
The other is that, I think over the last 4 or 5 years, we have prepared the company's bu siness model in a way that we have really reduced our dependence on the MHCV, wh ich is more cyclical in nature.
Now although you don't have the numbers, but if you just do some calculations, you can figure out that our EBITDA breakeven can be reached even at a very, very low volume per month of MHCVs. So which means that the contribution margins we are generating from non -MHCV businesses is so high now that we can take care of most of the fixed cost of the company.
Now this is a very good

situation to be in, and I think it should give good confidence to you guys and also to the shareholders that the company has been able to shift its business model, so it has made itself pretty much immune to the cycle.
So having said that, FY '26, we are optimistic. It's too early to predict about FY '27. But largely, I would say that these cycles in the future would be very different. There is always a chance that a year could be a bad , a particular year could be a bad year. But like I said, it wouldn't be as dramatic as before. At least that is what our forecast or prediction.
As far as the DFC is concerned, it will impact. I wouldn't say it will not impact at all. But I think there is such a huge fundamental potential available in the CV industry for future, that the o verall freight demand is going to be so much, if the economy continues to do well at 6% to 8% CAGR, etc. CV industry should continue to grow. We know about the ag eing of the fleet. It is running at 9, 9.5, 10 years, which historically has been 7, 7.5 years . So we know that there is a fundamental capacity that is required to be rebuilt in the CV industry. Now it is just waiting for the right triggers.
And FY '26 is pointing to all those triggers. I mean whether it is interest rate or core sector demand or monsoon, or government capex , they're all pointing in the right direction, So we are quite hopeful of the CV industry cycle.

K.M. Balaji: Just to add on to what Shenu has said , last 3 years, if you will look at the numbers which w e have posted, on the domestic MHCV side, we have done about 114,000 to 116,000 vehicles. But if you look at the margin, we have moved from 8% to 12% to 12.7% now. So that's the proof that we have built a model which is resilient to the cyclicality of this trucking industry. The non - truck business have been doing very well, and the commodity costs have been quite conducive. The recovery has been quite good in a few years. So all these engines have fired and they have helped us to maintain and improve on the margins from FY '23 levels.
Shenu Agarwal: Yes. Raghu, I mean this is the point I think many of the people are missing. The CV industry or the CV sector is not the same now as it was in the past . We have a very, very different looking P&L., when you divid e it into segments and you divide it into various forms. I mean we are not that much susceptible.
I'm not just saying at Ashok Leyland, but even as an industry, because others have also done quite well in this regard. But our P&Ls of CV sectors are very d ifferent now. So we should not be that much concerned that it is a cyclical industry, and therefore, if a bad cycle comes, our EBITDAs will drop to lower levels or i t will become red and all that.
So like I explained, we have really worked on correcting this business model. And now very much we are immune to kind of these cycles. There would be, of course, some impact of a bad cycle, but it wouldn't be as much.

Raghu Nandhan : One clarification, given that the focus has been to increase the share of noncyc lical portion in revenues, which is also supporting the profitability as Balaji, sir, highlighted, would noncyclical portion be roughly about 50% of revenue? And relating to that, one of your high -growth noncyclical portion has been the exports. If you can talk a bit about which regions are expected to do well for FY '26.

Shenu Agarwal: Yes. Your number is quite right. It's in that range of 50% or so. But let me just give you a little bit more commentary on noncyclical or non -MHCV businesses. I think, numbe r one, I would like to talk about is exports. We are very happy with the way our exports is going. Last year, we had a 29% growth in the volumes.

And we have

actually been able to increase our margins substantially while growing at 29%. So that direction is right. And as I have said before, this is not just the result of the efforts of the last few years, but also the way we have set up our international business is very different . I mean, we have taken an approach that wherever we will go, whichever marke t we will go, we will use that as our own home base. We'll treat it the same way as we treat India as a market, which means we will act local, which means we will open up our assembly o r manufacturing facility there. We'll source components from there. We' ll do local value addition. We'll hire local people. We'll have our own offices. We'll have our own people interacting with those customers. I mean it's a long -term strategy, which is really working well for Ashok Leyland and is showing up in the numbers n ow. But we wi ll continue with this strategy.

And you would agree that it is very difficult for someone to copy this strategy over a short period of time. So I think on exports, we'll continue to grow, not just in the home markets we have right

now, which is GCC, SAARC and Africa. But we want to open up another home market for us, which is ASEAN . We have made some smaller moves there.

We have distribution partnerships in Ma laysia and Philippines already. We are actively looking for partners in Indonesia an d Thailand, which are much bigger markets and markets which are very relevant for products like ours. And also, at some point in time, we will look at having a local facility there also to locally assemble our products.

So there is a lot of action going o n, on the product side also in making sure that our brand is moving in the right direction in this market. This month, we are actually inaugurating , having a big inauguration in South Africa to launch various products there. So exports is moving in the right direction.

But it's not just exports, also engines , defense or aftermarket, I mean, parts, all of them are doing very well. And all these are higher -margin businesses than the MHCV business or the LCV business. Defense, in particular, we are very, very confident of. I can actually tell you with a lot of surety that we are destined to double this business in the next 2 to 3 years. Parts also is growing very, very healthy. I mean last year, we had close to 15% growth.

So yes, we are put ting a lot of focus on the noncyclical revenues. Not that it means that MHCV, we are diluting our focus on. MHCV will continue to be our bread and butter and our core. So yes, but this is helping, exports, the Power Solutions, defense , parts are helping a lot.

Raghu Nandhan : And wishing that the export share keeps increasing for us. Just a last question on HLF as well. Can you talk about the book size and growth and the current network of the company? And any timeline for the reverse merger and listing?

K.M . Balaji: Yes. Regarding your question on this AUM, it has increased to INR61,700 crores. That's a consolidated number, roughly INR62,000 crores. That's a 25% year -on-year growth. Standalone AUM is about INR48,000 crores. And Hinduja Housing Finance is abo ut INR14,000 crores, which has grown by about 31%. Stand -alone has grown by about 24%. And the combined growth is about 25%.

Revenue from operations consolidated is about INR6,281 crores from INR4,700 crores last year, a 35% increase. Profit after tax has also gone up by about 21%. The asset quality is quite good, with the GNPA at 3.5% and NNPA at 2.1%. All these are much lower than the last year's levels.

Raghu Nandhan : And just the net worth, sir?

K.M. Balaji: Net worth, I don't have it.

Shenu Agarwal: We'll get back to you on that, Raghu. But I think I just want to add that

we have always said,

and most of you will agree, that our share price of Ashok Leyland actually does not fully reflect, I will say, the value that we have in our subsidiaries. So whet her it is HLF or Housing Finance, which is doing really well, or even other companies there.

So we would take those actions to unlock this value at the right time. We had spoken to you about the listing of HLF, although we are delayed, we had earlier indi cated we'll do it around Q1 of FY '26, but we are delayed. We are st ill waiting for some approvals. Some of them have come, but one or two important ones are still pending. But we are expecting these will come sooner than later. And once we have all the ap provals, it wouldn't take more than 1 or 2 quarters to list the company. But we are focusing on unlocking the value of various subsidiaries, so it should start reflecting in our share value.

Moderator: Next question is from Amyn Pirani from JPMorgan Chase .

Amyn Pirani: My first question was actually on your margin expansion that you've been able to achieve over the last 2 years. So like even Balaji , was mentioning, over the last 2 years, specifically, if I look at your raw material, on an absolute basis, your raw material per vehicle, p er unit has actually come down.

So is there any specific measures that you have taken to reduce that? Or is it just a function of mix? Because obviously, other expenses have moved up because of lack of operating leverage. But in raw material, you seem to have actually brought it down on an absolute basis also? So if you can highlight something there, that will be reall y helpful.

Shenu Agarwal: Yes. This is basically a result of our last 3 years of efforts to reduce the cost. But you should also keep one thing in perspective that in 2020, when we shifted from BS IV to BS VI, our overall material cost base expanded heavil y, for the in dustry, not just for us .

And whenever you come up with new technologies that pushes your cost up so much, you also create an opportunity to relook at those costs and bring them down. It's just a basic engineering principle, how engineering works. Because whenever you come up with a new technology, you want to make it safer, you wa nt to make it first time right.

And therefore, in that process, you build up, sometimes, you build up more costs than required. But over a period of time, when you are relooking at that cost and when you are looking at the performance of those products in real -world situation, and you are analyzing those load conditions or data that is available, then you know there are opportunities to reduce the cost. So basically , that is what is driving the industry -level cost reduction.

Now specific to Ashok Leyland, I mean, we are taking it really seriously. We are using all kinds of levers, whether it is working closely with the suppliers to look at alternatives of building t hat product or whether it is t ear-down analysis, looking at other products in the market and comparing ourselves with those and try ing to see where we can reduce.

And it is not limited to just material costs. We are looking at even other variable or even fixed costs to see wherever we can remove the waste. So yes, industry overall has moved in the right direction. And I think we have done probably slightly better than what industry has done in terms of cost savings.

Amyn Pirani: Okay. That's helpful. And s econdly, this year, we've also seen a very sharp reduction in working capital. So again, if you can shed some light, is there some temporary one -offs which are helping

us? Or is this the new normal for working capital? Because from a slight positive workin g capital days, we've gone to a significantl y negative working capital days? So some help there would be helpful?

K.M. Balaji: Amyn, actually, what has happened is in this financial year, we could do a very sharp reduction on our finished goods inventory. Earlier years, it used to be about 8,000, 9,000 vehicles at the year-end. But now this year, we have really brought it down below 7,000 vehicles. This has significantly added to our overall working capital reduction.

Similarly, the production inventory is also low. And we have also brought down our credit substantially over the years with reference to the medium and heavy commercial vehicles truck business, we are slowly moving towards our original sit uation of cash and carry route.

We have brought our cr edit down now to almost a very negligible level, less than 1,000 vehicles are on credit at a month -end, where we get the money also collected in the first week of the next month. So all these have substantially improved our working capital as well as the c ash situation during the year.

Shenu Agarwal: So just to add a little bit on that, Amyn. I think creating a financial discipline on the front -end side, on the sales side, has been one of our focus areas. So that is what has resulted in lower receivables an d also that has resulted in lower inventory.

Also, now, we are still in the middle of this, but we are shifting entirely to a new process where the inventory is not built based on the forecast that we receive from the field. But there is a very different pull-based replenishment model that we are applying . So you have seen some reduction in inventory. But going forward, you will see that inventory would reduce further.
On the payable side, there has been no movement. It is just a timing issue because quar ter 4 is slightly much better and, therefore, especially when you don't give any credit to the dealer, then you have these large payables that are at the end of March. So some of it is timing. But yes, last March to this March is a significant swing, mainl y because of receivables and inventory.
Amyn Pirani: And if I can just squeeze in one more question. Given the significant movement in net cash position, your interest plus other income line is still not showing that significant improvement. Should we see that into next year, like the other income plus the interest cost becoming significantly favorable?
Shenu Agarwal: Definitely, you will see that.
K.M. Balaji: Year -on-year other income is at around the same level, INR250 crores . And similarly, on the finan ce cost, it is much lower. It has come down by about 15%. It is reflective of this better working capital position.
Moderator: Next question is from the line of Vipul Agrawal from HSBC.

Vipul Agrawal: So you talked about average age of vehicle to be around 10 years. So given the steep price hike in last 5 years, would it be fair to assume it to be a new normal? And if not, like then what would be the triggers for the pent -up demand to reflect in the numbers?
Shenu Agarwal: Very hard to give you a number there. But I mean, we do believe that at some point in time, this has to come to a level of around 8, or 8.5 . So, although the previous norms were more closer to 7.5 or so, so there would be some increase in the life overall just because of technology impr oveme nt, reliability improvement, et c. But we still think there is a gap in what it is today and what it should be .
So it should reflect at some point in time. I mean there are other factors also that play a role in triggering this pent -up demand. And lik e I said, FY '26, those factors are looking positive. So let's

say, I mean, although right now we are projecting kind of a single -digit growth in FY '26, but we may have some surprise in store.
Vipul Agrawal: The second question is on the defense business. Like how is it shaping up? Can you talk a bit on the product pipeline which might be introduced maybe on the next couple of years? And what would be the order book for the defense business, if I missed it earlier?
Shenu Agarwal: Yes. Order book is very st rong. We wouldn't like to place a number there, but you can rest assured that the order pipeline is strong. Pipeline, meaning the orders which we have in hand or the orders where we have visibility, that we will win. So it's at an all -time high. We are alr eady above INR1,000 crores in top line on the defense.
We are extremely confident based on the order pipeline, that we would be doubling this in the next 2 to 3 years, the top line. Also, we are looking, I think we told you last time also, we are looking at how we can expand our defense portfolio so that even outside mobility, how we can play this huge momentum that the country has towards localization of defense equipment , defense supplies .
So we are looking at those levers. However, those would be long -term. You know defense has a very long gestation period. So that would like play out over 5 years or so. But even in the near term, with the current vehicles or the current portfolio we have, we are very confident about defense growth.
Vipul Agrawal: Under stood. Just last question, if I can squeeze in, in terms of discount. Do you see that absolute discount per truck are largely stable, but increasing indirectly in terms of including tenure of AMC, like going up from 3 years to 5 years, and to -- for the la rge operators, it goes up to like 7, 8 years as well.
So how do you see that, like in long term, how would we see AMC supporting the spare parts revenue or it will have a negative impact on growth of spare parts revenue? How should we look at it from spar e parts revenue growth perspective?
K.M. Balaji: Actually, we have stopped tracking the discounts, and we are more tracking the net sales revenue. Actually, we are not concerned about the discount in the market. And what we are more

worried is the net sales realization. This is what we are tracking. And you will see that movement moving across favorably across the quarters.
And what is your next question? AMC, we see good possibility there, and we see good margins for us also there. But I mean, it is t oo early to comment on that. Market will have to mature a bit.
Moderator: Next question is from Pramod Amthe from InCred Equities .
Pramod Amthe: So congrats on the EV bus momentum, which you have been able to achieve and the turnaround in Switch Mobility. Wanted to get your thoughts in terms of EV trucks also you have started delivering, how has been the product performance on key parameters, one. And second, what are the clients feedback and what are the improvements you're planning there for the financial year '26, '27?
Shenu Agarwal: EV trucks, the penetration is still under 1%. But we are very proud to say that in terms of just volume, although it is limited, Ashok Leyland has the highest volume there. I'm not talking about the LCVs right now. I'm talkin g about medium and heavy -duty.
I think we have the widest range also available in medium and heavy -duty trucks because you are aware that we launched our Boss EV truck which is 14 to 19 -ton GVW last year. And then recently, we also launched our 55 -ton tra ctor trailer EV. We also showcased India's first port terminal tractor, which is 100% EV in the Auto Expo. We are preparing ourselves to launch it commercially within next 1 year or so.
So, I think we are ahead of the cur

ve here as far as EVs are concerne d. Of course, there is new competition also emerging. Especially some players from China are bringing some equipment, some vehicles from China, either fully-built or SKDs, et c. But I mean, based on our current experience, we can say that our technology and product maturity is far better than some of the other EV trucks available in the market.
So we will continue to work on this. We'll continue to mature the technology further. We'll also participate in the ecosystem level with the government or other part ners to make sure that this ecosystem development also happens. But you can't , I think it's hard to expect a kind of dramatic growth on the EV truck medium - and heavy -duty side.
Now the LCV story is different, because LCV adoption, you would know that mos t of the projections are saying that it will touch about 20% penetration by 2030 or 2032. And you know that Switch ha s already launched products in the LCV segment, electric LCV segment. They are doing really well.
Of course, the market is limited, especi ally government withdrew the PME drive incentives on LCV. So market will take some time to kind of gain more traction. But we are there in terms of products, etc. When it comes to hydrogen, very proudly we say, although the number is small, but very proudl y we say that we have the largest fleet of hy drogen ICE trucks in the world.

We have a customer partner with whom we are running this pilot. LNG, we have been slightly delayed to the market, but we are catching up. And this year, you will see some launches in the LNG segment also.
Pramod Amthe: Sure. And the second question is with regard to defense, considering that we still have a substantial hardware exposure versus the recent offers have been more electronics in that sense. Any medium -term thoug ht process how you want to drive this business through JVs or some technology partners to capture the incremental relationship benefit in the defense portfolio?
Shenu Agarwal: Yes. Firstly, I think there is, like you said, there is a very clear shift as to how defense is playing out. It's moving more and more towards electronics and other stuff. But see, it is not going to have an impact on the mobili ty where we play a role .
Everything has to be moved, irrespective of whether it is a sensor -based equipment , a radar - based equipment or it is a gun or something else. So it won't have an effect on mobility, which is our current area or current domain.
Now like I said, in future, we are looking to expand beyond mobility. We are still working on that strategic r oad map. And as soon as that is finalized, we'll definitely come back to you and share with you about our ambition on defense beyond mobility.
Moderator: Thank you very much. Ladies and gentlemen, we will take that as a last question. I now hand the confer ence over to the management for closing comments.
Dheeraj Hinduja: Ladies and gentlemen, thank you for all your questions. I hope you've got the clarification. I would just like to close by saying we do see the new financial year to bring growth in all the vehicle categories and we are ready in respect of the growth that's happening across the segments with our new products, and especially with the electric vehicles, you will see many new buses

being launched by Switch.
We also are expecting very good grow th in our international operations. We had one of our best years last year , last financial year, and we will definitely be improving upon that. And we also believe that defense, as Shenu mentioned, will see very good growth coming through. Our strategy for Switch is proving to be in the right direction, and we do see Switch India as turning positive in this current financial yea

r.
And although there has been this slight delay in the listing of Hinduja Leyland Finance it continues to grow well in all parameters and all financial parameters and also its subsidiary, Hinduja Housing Finance, is now the fourth largest affordable housing finance company and also delivering good numbers . Although HLF and HHF do not really figure as we see it showing a true v alue in Ashok Leyland shares today, but it will through t he listing process unlock this.
And we thank you for your continued interest in the company.
Moderator: Thank you very much. On behalf of Kotak Securities Limited, that concludes this conference.
Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2025

August 21 , 2025

Dear Sir/Madam,
Concall Transcription
Pursuant to Regulations 30 and 46(2) (oa) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of the Company’s Analyst Call held on August 14 , 2025 to discuss the un-audited financial results for the quarter ended June 30 , 2025 .

Meeting start time - 6.00 p.m. IST
End time – 7.00 p.m. IST

We request you to take the above on record.

Thanking you,

Yours faithfully,
for ASHOK LEYLAND LIMITED

N Ramanathan
Company Secretary

Encl.: a/a

National Stock Exchange of India Limited
Exchange Plaza,
C-1, Block G
Bandra Kurla Complex
Bandra (E), Mumbai - 400 051

SCRIP CODE: ASHOKLEY BSE Limited
Phiroze Jeejeebhoy Towers
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SCRIP CODE: 500477

This transcript has been edited for readability and doesn't purport to be the verbatim record of the proceedings .

“Ashok Leyland Q1 FY'26 Earnings Conference Call ”

August 14, 2025

MANAGEMENT : MR. SHENU AGARWAL - MANAGING DIRECTOR & CEO , ASHOK LEYLAND
MR. K. M. BALAJI – CFO, ASHOK LEYLAND
MODERATOR : MR. NISHIT JALAN – AXIS CAPITAL

Moderator : Ladies and gentlemen, good day and welcome to Ashok Leyland Q1 FY '26 earnings conference call hosted by Axis Capital.
As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Nishit Jalan from Axis Capital. Over to you, sir.
Nishit Jalan: Thank you. Good evening, everyone. Welcome to Q1 FY '26 post -results conference call of Ashok Ley land. We are pleased to host the Senior Management Team of the Company today.
We have with us Mr. S henu Agarwal – Managing Director and CEO ; Mr. K.M. Balaji – CFO, and also the Investor Relations Team .
I will now hand over the call to the Management Team for the opening remarks, post which we can have the Q&A. Over to you, S henu.
Shenu Agarwal: Thank you, Nishit. Good evening, ladies and gentlemen. Thank you for joining in and for your trust in Ashok Leyland as always.
I am pleased to share that we have ha d yet another quarter of remarkable performance with highest ever Q1 revenue, EBITDA and PAT. Our net profit in Q1 FY '26 was at Rs. 594 crore, higher 13% on YOY basis. Revenue was at Rs. 8 ,725 crore, higher by 1.5%and EBITDA at Rs. 970 crore, higher by 6.4 %. EBITDA margin was at 11.1%, higher by 50 basis points over Q1 of last year. Our cash position net of debt continues to be positive at end of Q1 at roughly Rs. 800 crores. At end of the same period last year, our net debt was Rs.1200 crores, reflecting a swing of approximately Rs. 2000 crore on YOY basis.
Our MHCV market share, excluding defence and EVs, in Q1 this year improved to 31.1%, vis -à-vis 29.8% during the same period last year. The 0 to 7.5 LCV Vahan market share also improved to 12.9% during Q1 , which is 120 basis points improvement on YOY basis. Our focus on product premiumization , cost leadership and service excellence are helping us deliver improved profitability while growing our market share. This corroborates well with our strategic impera tives of profitable and sustainable growth. While the domestic MHCV industry volume in Q1 declined by 2%, this was on a high base of last year, wherein Q1 last year the industry volumes had grown by approximately 10%. Despite decline in the industry volume , Ashok Leyland domestic MHCV volume excluding defence, grew by 2% to be at 25,641 units for Q1 this fiscal year. Ashok Le yland domestic LCV volume was at 15,566 units, higher by 1.4% YOY. LCV Vahan sales was at 15,436 units, higher 8% YOY.

Our exports volume was at 3,011 units, higher by 29% on YOY basis. Our home markets outside India, Wales, GCC, Africa and SAARC are doing well despite all the geopolitical uncertainties. Ashok Le yland products are gaining increasing acceptance in these markets with ou r approach of developing strong local presence and building products suiting the local requirements. Our non-CV businesses are also growing as per the plan. Our aftermarket revenues were higher 8% YOY and revenue from power solutions business was higher by 28.5%. Our defence order book and tender win pipeline is stronger than ever, basis which we are confident to post a double -digit revenue growth in FY '26.
Material cost as a percentage of revenue for Q1 was at 70.6% at the same level as Q4 FY '25 and 1.6% l ower than same period last year. This was a major achievement given the material cost p

ressures created by steel safeguard duty and tariff volatilities. This was achieved by our continued focus on material and other cost savings along with better price rea lisation and a healthier model mix. As mandated , we introduced ACs across our product lines in Q1. The migration was smooth and the entire operations and supply chain was fully aligned in the transition. To offset potential impact on mileage from the AC in troduction, we introduced Ashok Leyland's new IVAC system which is Intelligent Vehicle Acceleration Control System in many of our products to improve fuel efficiency.
We are preparing to launch a slew of new products in the balance of the year in both MHCV and LCV segments. These include our foray into 280, 320 and 360 horsepower tippers, tractor trailers and multi -axle vehicles with industry -best peak power and torque, heavy -duty aggregates and a host of other premium features. We are also preparing to lau nch our first offering in the LNG segment later this year with multiple models catering to different applications. On the anvil are also our upgraded 13.5 -metre bus and an entirely new 15 -metre bus with a very unique value

proposition. We shall also be unv eiling a bi -fuel product in the LCV range to cater to the demand in the large metros. Many upgraded products for our international markets are also slated for launch this year.

Our e -trucks both on BOSS and AVTR platform are gaining traction and proving their technical superiority as we continue to gain more customer orders. We hope that these products will further help us improve our market share across all the product segments in times to come. We are continuously augmenting our fully built capacity to cater to the growing demand. Our new plant in Andhra Pradesh inaugurated in Q4 of last fiscal is in the ramp -up stage and will reach a capacity of 200 units per month by end of the year. Our newest and most modern bus plant at Lucknow which is under constr uction will be operational from Q3 FY '26. We are also looking at enhancing capacity at our bus plants at Alwar and Trichy.

We continue to expand our domestic network. We added 23 MHCV touchpoints and 13 LCV touchpoints during the quarter with most of the a dditions in north and central part of the country. With these additions, total touchpoints for MHCV are now at 1,073 and for LCV at 851.By end of the year, we hope to cross 2,000 touchpoints for both the product segments combined.

Internationally as well, we are expanding our network in all our four home markets with SAARC, Africa, GCC and ASEAN. One of our key initiatives towards premiumization of our products is to achieve global standards on customer experience by transforming our service operations. This initiative has already started yielding initial results. Ashok Le yland ranking has improved to number one in dealer satisfaction index and number two in custome r and sales satisfaction index.

Switch India is going from strength to strength. While last ye ar, Switch India turned EBITDA positive, we are happy to share that in Q1, the company has achieved PBT breakeven as well. As indicated earlier, our goal is to achieve PAT positive status for Switch India in FY '26. The current order book for Switch India s tands at 1,500 plus buses. Regarding Switch UK, the redundancy process is in progress which is likely to get concluded by early Q3 FY '26. This will lead to complete cessation of manufacturing and assembly facilities in the Sherborne UK facility. The production of e -buses for UK and European markets is being moved to our other global production facilities.

OHM, o ur E-MaaS subsidiary is operating more than 850 buses with fleet availability of 98% plus. During the quarter, O HM added more than 200 buses t o the o

perating fleet and is progressing well on its target of operating 2,500 plus buses within the next 12 months. All the GCC projects under execution are at healthy double -digit IRR.O HM is working diligently on the 10,000 plus PM E-DRIVE tenders to fur ther add to their growing fleet.

Hinduja Leyland Finance and Hinduja Housing Finance continue to do well. HLF standalone AUM was at Rs.50,430 crores and HHF AUM was at Rs. 14,265 crores both registering 25% YOY growth. Total income for the finance subsidia ries was at Rs.1855 crores and the book value at the end of the quarter was at Rs. 7,222 crores. On a consolidated basis, the N NPA has come down to a healthy 1.63%. Very recently, HLF also received the final clearance from RBI to initiate a merger process with NXT Digital paving the way for its listing. We are making continuous progress on our ESG commitments as well. We have now signed four franchisee partners for AL HARIT , our platform for RVSFs, registered vehicle scrappage facilities. In our commitment towards RE100, we have achieved 81% RE status as against 69% at end of FY '25 with our TN plants, Tamil Nadu plants now at 95%.

Our Road to School and Road to Livelihood programs continue to grow, extending their reach to about 5 lakh students now. As part of RTS, capacity building sessions and career counseling were delivered to more than 11,000 students in the last quarter. More than 200 women from 15 villages were enrolled into Road to Livelihood program.

Looking back at the quarter, we believe we have mo ved well on our strategic goal of delivering profitable growth. Given the high base of Q1 FY '25, we feel satisfied delivering record revenue, EBITDA and PAT in Q1 of this year. We are optimistic about the growth prospects in both MHCV and LCV given the low base of Q2 last year where especially the MHCV market was

down. The fleet utilizations are holding up and freight rates and operator profitability are moving northwards. So far, we have remained largely immune from tariffs and other geopolitical uncertain ties. We believe the uncertainties pertaining to commodities, especially steel, would

also settle down in the coming quarters.
RBI interest rate cuts have not yet fully transmitted to the ground but are likely to happen soon. The government CAPEX spend als o has been higher and is expected to further improve. On back of these and basis our upcoming new product launches across different segments, we remain optimistic of volume and margin uptrend for Ashok Le yland in the second half of the year.
Thank you once again for your continued trust in Ashok Leyland . I now hand it over to moderator for Q&A.
Moderator: Thank you very much sir. We will now begin the question and answer session. First question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.
Gunjan Prithyani: Hi, thanks for taking my question. Firstly, on the margin side, can you give us some color on what were the key variables? We did see commodity pressures in this quarter. There was this mandatory AC cabin regulation as we ll despite that we have somehow managed to keep the gross margin stable. So, if you could give us what were the drivers to it and how should we sort of think going forward? Are there more commodity pressures to bear in mind in the next couple of quarters?
Shenu Agarwal: I will give you a short answer , then I will ask maybe Balaji can give you a more detailed one. But like Gunjan, we told you last time, while we were all worried about AC introduction, whether we will be able to pass on the cost to the market . But to our surprise, actually there is a huge amount of traction that we have seen in our customer base to adopt air conditioning. A lot of customers actually asked us even befo

re the implementation date if we can provide them AC vehicles. So, I think th ere is a kind of mindset shift happening in the customer base also and we are very happy that we could pass on the complete cost impact of AC. And beyond that, we were also able to improve our pricing and to some extent our model mix as well because the mu lti-axle vehicles which are the higher margin vehicles for us, they really improved on volume in quarter one. So, yes, I mean overall it was a good period. Commodity, we had a certain pressure especially on the steel side emanating from the safeguard duty. But I think that is also coming down right now. So, when we look at the spot price in the market in July, it is actually moving south now, steel prices. So, we will see how it goes in quarter two. But we think steel should also settle down to favorable le vels.
K. M. Balaji: Even on the overhead side, you would have noticed our other expenses , we have reasonably controlled compared to the last quarter where it was around Rs. 1050, Rs. 1060 crores. You would have seen in absolute terms the fixed costs have c ome down. So, in terms of lower

revenue, the percentage looks a bit higher. But in terms of absolute amount, it has come down. As Shenu indicated, it is a combination of better mix, price recovery, commodity cost controls, as well as the overhead controls. All these have helped us. On top of it, the rest of the businesses like the spare parts has r egistered a good 8% growth year -on-year. The power solution business has registered a growth of about 28.5% compared to the same period last year in terms of revenue. Export numbers, volumes have gone up. It has crossed 3,000 vehicles in the current quarter compared to the same period last year. It is up by about 29%. So, all these non -CV businesses have really contributed to the bottomline.
Gunjan Prithyani: Okay, got it. My second question is on Hinduja Leyland Finance and congratulations. I think this was long, long due. Now, what is the process forward? How soon do we see the conclusion of this restructuring that we were pursuing? Along with that, if you can also sort of comment on what is happening to the financing landscape for CVs because when I go through a lot of lender or NBFC commentary through this results season, it has indicated that there are some asset quality issues cropping up on the CV side. So, is that something that you are also seeing either in Hinduja Leyland Finance book or otherwise from your customer segment? So, just these two.
K. M. Balaji: Yes, we have a very long -run process. Initially, the shareholders of both the companies, they will have to meet and then you will have to fix the swap ratios with the shares and then you will have to go to the company law board, the NCLT. You have a long list of processes which needs to be complied with and it will take a minimum of 2, 3 quarters in m y guess, but I don't want to hazard a guess because whatever time it takes, it takes.
Gunjan Prithyani: Okay. And on the financing side?
Shenu Agarwal : Yes, Gunjan, on the financing side, we have been hearing in the news about some distress on the CV side, but upon deeper checking, we think this is normally the phenomena at end of Q1, beginning of Q2, as soon as the monsoon start appearing . So, I mean, definitely the fleet utilization goes down substantially and therefore every year this is what it is, but we have internally checked with HLF and they don't see any red flags right now.
Gunjan Prithyani : Okay, got it. Thank you so much. I will join back the queue.

Moderator: Thank you. Next question is from the line of Kapil Singh from Nomura . Please go ahead.
Kapil Singh: Yes, good evening, sir. Congratulations on a resilient performance and also the de

aler
satisfaction rankings. That's quite important. My question is on the demand, M HCV demand itself. You know, you've talked about a lot of positive variables we have seen, like the freight rates and operator profitability, but it's somehow not translated into demand and also replacement demand potential, which you have previously discussed. So, just what is your assessment of this situation? Like, what is holdi ng back that replacement demand to come back? And what is your outlook for the full year demand for both domestic as well as international?

Shenu Agarwal: Yes, Kapil, thank you for that question. Let me just comment on the domestic first. Definitely, you k now, we are all expecting that this huge ag eing of the fleet that we are seeing kind of more of a flattish industry for the last couple of years or maybe three years. I mean, this doesn't gel very well, especially given that macro factors, macroeconomic fa ctors are quite okay. So, I mean, the only reason we can say what is holding it is that the CAPEX on the ground has to really be a little bit more higher. Last year we were in a situation when the CAPEX was not as good as we were expecting. Now, it has started to turning out well and now the interest rates are also getting better. So, at some point in time, it should open up, but it's hard to say when it will be. Like I said, Q2 had a low base, so maybe Q2 could start, could be a trigger for a better cyc le. July already we have seen that the MHCV market has grown by about 5%. So, all the factors are pointing towards something better, some better demand. So, let's see when that happens.
Kapil Singh: Any outlook, sir, for the full year for domestic?
Shenu A garwal: Full year outlook remains the same, which is mid -single digit growth for MHCV and slightly higher than that for LCV, but still mid -single.
Kapil Singh: And on the international side?
Shenu Agarwal: For international side, we are seeing a very good growth. I mean, from all the markets, actually, Bangladesh or SAARC and Africa have been a little bit short against our plan for Q1, but those were temporary reasons. But I think SAARC and Africa would also bounce back. In Q1, we had a 60% plus growth in G CC. We are actually running out of capacity in our UAE plan t now. So, I think GCC is doing very well and will continue to do well, both UAE and Saudi. So, 29% growth in Q1 we have achieved and we do hope that we will continue the momentum in the balance pa rt of the year.
Kapil Singh: Thanks, sir. One question I also had on O HM, we have put in some capital, I think around Rs. 300 crores over there. So, what is the total investment plan that we have for this entity? Since we're talking about number of buses t hat will cross, I think 2,500 in the next 12 months. So, how much capital requirement is there for these 2,500 buses, if you could help us understand that? And is there a plan to monetize this investment or make the balance sheet lighter?
Shenu Agarwal: Yes. So, we are looking at some of those options. But just to clarify, O HM has 800 buses right now, which are on their balance sheet. They will induct another, I would say, maybe 700 more by March of the year. The rest of the 1,000 buses that they would have would be actually on the Switch balance sheet, but O HM would be operating those. Because these are the tenders that Switch had won prior to O HM's existence. But O HM is actually running those because O HM is an eMaaS company. However, coming to the funding part of it, previously, we had invested Rs. 300 crores. Now, we are investing 300 more. And this will be sufficient to take care of O HM's buses, O HM's operations up to March of 26. And beyond that, we are very open at looking at some other options of fundr a

ising also. But we'll let you know in maybe a few months from now.

Kapil Singh: Okay. Thank you, sir. And best wishes.
Moderator: Thank you. Next question is from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.
Chandramouli Muthiah: Hi. Good evening and thank you for taking my questions. My first question is just around the upcoming capacity that you discussed in the prepared remarks. So, you mentioned that you expect mid -single -digit demand growth volumes through the course of the ye ar. Interest rates have been getting cut. So, I just want to understand sort of in the context of that, how you think about volume growth in the medium term? And what is the current capacity utilization? What is the current plan in percentage terms in addi ng capacity over that timeframe?

Shenu Agarwal: Yes. Thank you, Chandramouli. So, on the capacity front, our overall capacity is fine for I think next two to three years.We don't need to really look at the capacity expansion. However, in certain areas, we are expanding capacity, for example, the fully built bus capacity. Now, what has happened in the last two to three years that the whole bus demand is now shifting more and more towards fully built buses. Earlier, people used to buy chassis from us and then they would go to external bodybuilders and get the body made. I think that was more efficient at those times and, you know, there was also this tax advantage because the bus body had 18% tax while the chassis would have 28%. But I think customers are now realizing that that is very cumbersome for them. It takes a lot of time and then they don't get a final product with one manufacturer behind it. So, I think this whole shift is coming, even not just private, but also STUs are now more and more interested i n buying from the OEM, the whole bus. So, while we were still expanding the capacity, when we started the Lucknow plant and then we started to revive the AP plant, but this shift has caught us by a little bit of surprise. And now we are seriously consideri ng enhancing the capacity of fully built buses even more. We have capacity of about 950 buses per month right now and we want to go to 1650 buses a month, including Lucknow. So, we are putting those efforts in to increase that capacity. But otherwise, over all, whether it is LCV or trucks, ICV or heavy duty, capacity -wise, we are fine. Overall capacity utilization is still at around 70% or so.

Chandramouli Muthiah: Got it. That's helpful. Second question is just around one of your competitors, there has been a proposed acquisition of a European trucking company. So, I think with Iveco in the past, you have disclosed that they have been technology partners to you in prior years. Just want to understand if control of that entity changes, if there is anything to disclose in terms of technology sourcing and alternates that you have to think about?

Shenu Agarwal: No. It's true that we had a partnership with Iveco, but that was several decades ago. I mean, many years ago. And right now, there is no relationship, exi sting relationship for the last many years of any kind, whether it's technology or product platform sharing or any other kind. So, this recent news would not impact us in that manner.

Chandramouli Muthiah: Got it. That's helpful. Thank you very much and al l the best.

Moderator: Thank you. Next question is from the line of Pramod Kumar from UBS Securities. Please proceed.

Pramod Kumar: Yes, thanks a lot for the opportunity. So, my first question is just a general reminder to us on the financials of the econo m

ics of Hinduja Leyland Finance and Hinduja Housing Finance for the Ashok Leyland shareholders as to what is the carrying value you have and what are the latest financials you have there in terms of PAT performance and anything you can help on credit cost and asset quality parameters?

K. M. Balaji: Prior to this investment of Rs. 200 crore in Q4 of last financial year, our holding position was about Rs. 60. Now, it has gone slightly up at around Rs. 64 per share and that is our holding value.

Pramod Kumar: And Balaji, anything on the latest quarterly financials in terms of credit costs because there's been concern about asset quality on the C V financing side. So, anything across there?

K. M. Balaji: No, Shenu has already covered this. Their asset under manag ement on the Leyland..

Pramod Kumar: Yes, AUM is Rs. 50,000 crores. The PAT number, anything on the ROAs or...

K. M. Balaji: Rs. 160 crores and their Net NPA is about 1.63% and their capital adequacy ratio is about 18.2% and AL shareholding is at 61.12%.

Pramod Kumar: And as a part of the process, will you be offloading any equity in that entity or will you continue to be holdin g your stake at the same level?

K. M. Balaji: We'll have to see, I mean, how the swap ratio and all is going to pan out etc. And I will also take this opportunity to just respond to this Gunjan’s question. Actually, I was going through the steps and the series of processes that are involved in it, actually, board approval, then appointment of value rs, then the swap ratio, then intima tion to RBI and the stock exchanges about the swap ratio, then notice to ROC, then meeting of shareholders on direction of NCLT, then filing of scheme with NCLT, approval by SEBI and RBI, holding of extraordinary general meeting and then filing of schemes with NCLT and approval of schemes by NCLT, all these are there. So, there is a series of steps which are involved in it and it is going to take more than 3 quarters.

Shenu Agarwal: Yes, two to three quarters at the minimum.

Pramod Kumar: Okay. Fair enough. Thanks for that Balaji. And second question is related to the margin and the volume linkage. Because you did talk about in the opening remarks that you continue to see

uptrend in the profitability of the company as well. And I'm just looking at the fact t hat last year was a record year for you with 12.8% kind of EBITDA margin. So, Shenu, how should we look at margin in context of the volume assumptions you make and the fact that even last couple of years we've been, industry has been hopeful that the volum es will see uptake, but we have not seen that. So, just in case the volumes were not to see uplift, what would be the implication for your margin trajectory on a Y OY basis? If you can just share your thoughts there.
K. M. Balaji: Pramod, there are a lot of aspects you need to look at the margin. Margins are not simply relatable to the volumes per se. There are many other factors which are involved in it, like the mix of the revenues. The more we do on the non -CV business, the more will be the margins. And e ven within trucks, you have various segments. In trucks, if we do more on the higher tonnage vehicles, the more will be the margins. On the buses side again, so it all depends on various factors, including the business mix, including the segment mix within the businesses. Then, of course, you have the commodity cost involved in it, the cost control measures which we are initiating, the recovery o r the passing on of the price increases to the customers. So, all these are involved in it and it is very complex and it is very difficult to say what will be the margin outlook on a full year basis now, Pramod.
Shenu Agarwal: Directionally, we can tell you that we have, at

least for the last three years, we do not sacrifice
margins for the sake of market share. Mark et share, we are very clear, has to not come through short -term measures. It has to come through the premiumization of the product, which gives us the ability to charge better value, better price. It will have to come through our service excellence, which we have started as a very large mission in January -February of this year. It is an 18 -month project. We are 6 -7 months into it, but we really want to create a best -in-class, globally benchmarked service experience at our workshops. And, of course, running the company very frugally on a tight leash as far as costs are concerned, whether it is material cost or any other cost. So, I think those are our three levers, other than focusing and expanding our non-CV business, which is a non -CV, non -domestic business , which is also a very high -margin business for us. So, we are very, very focused on these three or four aspects, Pramod. And, of course, the numbers will tell the story later, but like I said, this year we are coming up with this high horsepower range. We are going to position it at a very premium price because we think that the product would command that price. The product has that kind of a capability to command the price. We will be having the most powered, highest powered, highest torque, the most heav y-duty aggregates. So, in some of the sectors, customers, we think, would lap onto these products. And, yes, so that's a journey towards margin improvement and market share improvement.
K. M. Balaji: Our overall aspiration would be to beat the last year ma rgins by a handsome margin.
Pramod Kumar: Okay, that's good to hear, Balaji. Thanks, Shenu . And last one, do you think at this point of time, at Euro V stage 2 norms and safety norms and every norm being thrown into the Indian C V market in the last 5 -10 ye ars, is there a significant technology arbitrage between, say, European markets or other Western markets and Indian markets, where an alliance or acquisition could be

a significant factor? Or what are your thoughts on that, Shenu and Balaji, as in what do you think on that? Because historically, there was always a worry that as India migrates and goes through the technology uplift on emission and safety and cabin safety, everything, the foreign players will have a bigger play, but we've not seen that materi alized in terms of either market share or margins. So, what are your thoughts on the journey from here on?
Shenu Agarwal : Yes, I think it's a long way out, you know. I mean, it's like, you know, I would say 15 to 20 years out from now, maybe. I mean, but b asically, the difference is not so much in the technology. I think the big difference is in the sizing itself, right? Because like these trucks in Europe or America, they run at 100 -120 kilometers per hour of cruising speed. In India, the maximum speed on our highways is 80. And therefore, the cruising speed would be anywhere between 45 to 55. So, that is the main difference because then you need much more bigger engines, much more, if the engine is bigger, then you need much, much more heavy duty aggregate s. And then you build all that cost. But you can, I mean, it makes sense for Europe to build that cost because their trucks can do much, much more trips, much more tonnage kilometer in a year because of that high cruising speed, right? But India, I don't t hink would be like that , I mean, at least in next 10 to 15 years because India would need a lot of time to upgrade its infrastructure to the levels of Europe and America.
Pramod Kumar: Good. Thanks a lot and wish all the best. Thank you.
Moderator: Thank y ou. Next question is from the line of Raghunandhan NL from Nuvama Res

earch. Please
proceed.
Raghunandhan NL: Thank you, Shenu and Balaji, sir. Good to see continuing margin performance. My first question, in Q1 for the cargo and the CV industry, there was a fall of 4% YOY . But within that the share of about 25 ton trucks has reduced a little bit. How do you see the mix for remaining part of the year? Do you continue to see a trend where intermediate and medium commercial vehicles do better compared to heavy commercial vehicle? Or do you think the above 25 ton segment can do better in the remaining part?
Shenu Agarwal: Raghu, thank you for that question. We definitely think the heavy duty truck will do much better after monsoon stop, becau se we are seeing a lot of offshoots in the heavy duty segment, whether it is in the mining sector or construction or even like car carriers or other things. So, we are actually more optimistic this year in the second half, I mean, after August -September, a bout heavy duty than for the ICV sector. ICV, of course, performs better in like first quarter up to July. I mean, in the first half of the year, ICV always is slightly better than MHCV, than heavy duty. But second half, we think tippers will do very well. We think trailers will do very well. And we also think that multi -axles will also do well.
K. M. Balaji: Even in the first quarter, our multi -axle vehicle growth has been quite good. It is much better than the industry growth, Raghu.

Raghunandhan NL: Got it, sir. And that is also one of the reasons which has positively impacted your mix in Q1.
K. M. Balaji: That is right.
Raghunandhan NL: On the defense side, you indicated that full year growth can be in double digits. Any color you can indicate about how large is your order book or what is the expectations in terms of how much is the potential going forward?
Shenu Agarwal: Yes, Raghu. So, we are actually very bullish on the defense for this year and also for the next year. And the reason is that while Q1 l ast year, we had an aberration. We had a large order that we had shipped out in Q1 last year. And therefore, Q1 this year is optically looking not so good. But we have a very, very strong order pipeline. We have about Rs. 1,000 crore plus of orders in hand . And we also have one tender, which is the value of which is Rs. 2,000 crore plus of which we are awaiting the orders. And orders would come very soon because tenders have already been won by us. So, we have a very strong pipeline. I think going forward, actually, orders are not going to be a concern for us for at least next year, year and a half, because now we have to just execute these and get these orders out as soon as we can. So, we are pushing some capacity there. There was a question on capacity earlier, so I had answered about fully built buses. But defense also, it doesn't require a mammoth CAPEX . It just requires a little bit of a tweak here and there. But defense capacity, we are also increasing on a month -to-month basis.
Raghunandhan NL: Thanks for that, sir. And can you clarify, Q1, how much was the decline in defense revenue?
Shenu Agarwal: Quite a bit, actually. I think from 400 to 150, roughly. Rs. 400 crores to roughly 150. We can give you the exact number s later. But it will catch up. We will catch up because last year, there was a huge order of a particular vehicle that we had shipped out in Q1.
K. M. Balaji: Yes, 120 versus 400. Shenu is right.
Raghunandhan NL: Got it, sir. Thank you. On OHM , you indicat ed that the company is operating at healthy double -digit IRR. I just wanted to understand, would the operations be covered under the payment security mechanism for existing and the new additions?
Shenu Agarwal: Not the existing, but everything that will co me from this new PM E-

DRIVE tender of 10,900 buses, that would be under the payment security mechanism. But existing orders are mainly from Tamil Nadu and Bangalore, which have been very, very good paymasters. So not overly concerned about the existing bus es. Any new orders which will come will be covered under PSM.
Raghunandhan NL: Thank you, sir. Just a last question. Can you share how much is the plan for investments in FY'26, given that you have done some funding for OHM and also whether there will be a ny incremental funding on the HLFL?

K. M. Balaji: Incremental funding on HLFL, we will not be doing anything this year. But if any of the other subsidiaries require any funding, then we might give them funding. Like, take for example, this Switch India is doing really well and they have become profitable now. So they might require some temporary funding to meet their working capital requirements. Since the cost of the buses are quite high, so manufacturing them and keeping them as to use could take time to take delivery

of these vehicles. So quite a bit of money will get invested and locked up in the working capital.
So they might require temporary funds, which we might give. But other than that, we don't see
any major investments in Q2 or Q3. We will decide it in the Q4.
Shenu Agarwal: Nothing significant other than this O HM 300. I mean, even if some of the subsidies, they need
temporary funding, we might not do it through equity route. We may do it through some other
route.
Raghunandhan NL: Got it, sir. Thank you. Thank you so much and all the best.
Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to
hand the conference over to the management for the closing comments.
Shenu Agarwal: Thank you very much. As I said, for your trust in Ashok Leyland , we would continue to improve
on our volume as well as margin in the times to come especially the second half, we hope would
be better. Q2, as I said last year, the MHCV industry was way down. So therefore, Q2 cou ld also
be better than Q1. But as I said, we are very focused on our strategic strengths to build our
strategic strengths, which we will continue to do. Thank you once again.
Moderator: Thank you, sir. On behalf of Axis Capital, that concludes this confere nce. Thank you all for
joining us and you may now disconnect your lines.

Call: Nov 2025

November 19, 2025

Dear Sir/Madam,
Concall Transcription
Pursuant to Regulations 30 and 46(2) (oa) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of the Company's Analyst Call held on November 12 , 2025 to discuss the un-audited financial results for the quarter and ha lf-year ended September 30, 2025 .

Meeting start time - 4.45 p.m. IST
End time – 5.55 p.m. IST

We request you to take the above on record.

Thanking you,

Yours faithfully,
for ASHOK LEYLAND LIMITED

N Ramanathan
Company Secretary

Encl.: a/a

National Stock Exchange of India Limited
Exchange Plaza,
C-1, Block G
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Bandra (E), Mumbai - 400 051

SCRIP CODE: ASHOKLEY BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

SCRIP CODE: 500477

"Ashok Leyland Limited Q2 FY '26 Earnings
Conference Call"

November 12 , 2025

MANAGEMENT : MR. SHENU AGARWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER , ASHOK LEYLAND
LIMITED

MR. K. M. BALAJI – PRESIDENT AND CHIEF
FINANCIAL OFFICER , ASHOK LEYLAND LIMITED
MODERATOR : MR. KUMAR RAKESH – BNP PARIBAS SECURITIES
INDIA PRIVATE LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Ashok Leyland Limited Q2 FY '26 Earning Conference Call hosted by BNP Paribas Securities India Private Limited.
As a reminder, all the participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Kumar Rakesh. Over to you, sir.
Kumar Rakesh : Thank you , and apologies for the delayed start. Good evening, everyone. On behalf of BNP Paribas Securities India, it is my pleasure to welcome all of you to the conference call to discuss the 2nd Quarter results of financial year 2 026 of Ashok Leyland.
To discuss the results , we are joined today by Mr. She nu Agarwal - MD and CEO ; Mr. K. M. Balaji - President and CFO, and the Investor Relations team.
I will now hand over the call to Mr. S henu Agarwal for his opening remarks. Mr. Agarwal, over to you.
Shenu Agarwal : Thank you for joining in and for your trust in Ashok Leyland, as always.
Q2 proved to be an eventful quarter for us. MHCV trucks smoothly transitioned to the AC mandate, signifying growing acceptance towards safety and comfort in the Indian trucking industry. GST 2.0 added cheer to the festive season on two accounts , the rate rationalization from 28% to 18% brought down the cost of owning new trucks and buses, while GST rate reduction in several other categories of goods is expected to increase the overall freight demand.
In the 2nd Quarter , Ashok Leyland also took a milestone decision to foray into the battery manufacturing business, giving shape to its long -term strategic plans. The domestic MHCV industry grew 4% in Q2. The LCV industry offtake in 2 -4 ton category grew by 13%. We believe these are signs of better times for the CV industry. The industry momentum has further built up in October, with MHCV and LCV 2 -4 ton industry growing Y-o-Y by 7% and 15% respectively.
Ashok Leyland 's domestic MHCV truck volume for Q2 was at 21,647 units and MHCV bus volume at 4,660 units. In H1, Ashok Leyland's domestic MHCV market share was at 31%, with a gain of 50 basis points over H1 of last year. This is without defense and EVs.
The LCV domestic volume for Q2 was at 17, 697 units, higher by 6.4% on Y -o-Y basis. LCV Vahan market share at the end of H1 stood at 13.2%, higher by 0.9% on Y-o-Y basis. Our exports volume for Q2 at 4,784 units were higher by 45% Y-o-Y. For H1 FY ' 26, export volume was higher by 38%. It was satisfying to see growth across all our home markets outside India, with GCC, Africa and SAARC corroborating Ashok Leyland's approach of developing strong local presence and building products suiting the local requirements.

Our non -CV businesses also grew as per plan. The aftermarket revenues for Q2 were higher 11% Y-o-Y. Revenue from power solutions business was higher by 14% Y-o-Y. Revenue from defense business was higher by 25% Y-o-Y. Defense order book and tender wind pi peline remains quite strong. Material cost as a percentage of revenue for Q2 was at 71.2% at the same level as same quarter last year. This was a major achievement given the tariff volatilities and adoption of ACs in MHCV trucks. Our cost savings efforts c ontinue with the same rigor while we are also pushing for better price realizations.
Coming to financials :
The revenue for Q2 was at Rs. 9,588 crores,

higher by 9.3% on Y-o-Y basis. EBITDA was at Q2 record level at Rs. 1,162 crores, higher by 14.2% Y-o-Y. Q2 PBT was also at record levels at Rs. 1,043 crores. PAT for Q2 was at Rs. 771 crores. EBITDA margin for the quarter was at 12.1%, higher by 50 basis points against Q2 of last year.
CAPEX for the quarter was Rs. 417 crores and cumulatively Rs. 658 crores for H1. There were no investments in subsidiaries in the first half of the year.

Our cash position net of debt continues to be positive at the end of Q2 at roughly Rs. 1,000 crores, reflecting a positive swing of roughly Rs. 1,500 crores on Y-o-Y basis. W e have been able to keep our operating capital very lean and have brought it down by almost 50% on Y-o-Y basis. Due to continued improvement in company's fiscal performance and better outlook for the ongoing years, the Board of Ashok Le yland has recommende d an interim dividend of INR 1 per share.

Our product development pipeline is stronger than ever. Our non -diesel portfolio is continuously expanding, with two models of light electric trucks, three models of MHCV electric trucks and several models and vari ants of electric buses already available commercially. We have also forayed into other greener technologies such as CNG, LNG and even hydrogen. Within the diesel range, we are preparing to soon launch a completely new range of heavy -duty trucks with power ratings of 320 and 360 horsepower. These new trucks are built with next -level of heavy -duty aggregates, delivering unmatched reliability. These products would be fitted with our most modern 6-cylinder engines, delivering highest peak torque in the respecti ve segments, enabling our customer 's best -in-class turnaround time and therefore more earnings per month.

We are also working on improving the throughput of our R&D resources, which will help us reduce the time to market and respond quickly to the changing market and regulatory requirements. We are continuously augmenting our fully -built bus capacity to cater to the growing demand of fully -built buses. Our newest and most modern bus plant at Lucknow shall be inaugurated soon. After complete ramp -up of our A P and Lucknow plants, we shall reach bus body -building capacity of 20,000 numbers -plus per year from that of roughly 12,000 numbers at present. We also continue to expand our domestic network. We added 27 M HCV points and 26 LCV touchpoints during the quart er, with most of the additions happening in northeast and

the central areas. With these additions, total touchpoints are about to touch the milestone number of 2,000, that is 1,100 for M HCV and 876 for LCV. Internationally as well, we are expanding our network in all our four home markets wit h SAARC, Africa, GCC and ASEAN.

Coming to our subsidiaries :

Switch India continues to do well. For H1 FY '26, Switch India sold close to 600 buses and 600 e-LCVs. I am very happy to share that for H1, Switch India was both EBITDA as well as PAT positive. Order book for the buses at the end of H1 FY '26 stood at 1,650 units. Switch India is progressing well on its target of becoming free cash flow positive by FY '27.

OHM, our eMaaS subsidiary is now operating more than 1,100 electric buses with fleet availability of 98% plus. During the quarter, O HM added more than 250 buses to the operating fleet and is progressing well on its target of operating 2,500 plus bus es within the next 12 months. All the GCC projects under execution are at healthy double digit IRR. O HM is working diligently on the 10,000 plus PME drive tender to further add to the growing fleet.

Coming to our financing subsidiary :

Hinduja Leyland Finan ce, standalone AUM, was at Rs. 52,635 crores, higher by 26% on Y-o-Y basis. Hinduja Housing F

inance AUM was at Rs. 14,903 crores, higher 20% Y-o-Y. Total PAT for the finance subsidiaries for Q2 was at Rs. 196 crores and the book value at the end of the quarter was at Rs. 7,418 crores. On a consolidated basis, the NNPA was at a healthy 1.59%. Like we advised earlier, HLF has received the final clearance from RBI to initiate a merger process with N XT Digital, paving the way for its listing. The listing proces s is progressing as per plan.

We remain steadfastly focused on our ESG commitments. We have now signe d four franchisee partners for AL HARIT , our platform for RVS F or Registered Vehicle Scrappage Facilities. In our commitment towards RE100, we have progressed really well. We have achieved 84% RE status, again 69% at end of FY '25, with our Tamil Nadu plants operating now close to 98% RE. Our Road to School and Road to Livelihood programs also continue to grow, extending their reach to about 5.7 lakh students now.

In summary :

We believe we have had a reasonably good Q2 and H1, hopefully meeting or surpassing your expectations. Incidentally, in this quarter, our share price also touched its ever -highest mark in the third week of September. We will continue to make our best efforts to progress on our strategic goal of delivering profitable growth and reach mid -teen EBITDA in the mid -term. For the second half of the curre nt fiscal, we remain optimistic about the growth prospects of the CV industry for both MHCV and LCV segments. The LCV segment has already picked up on the back of GST rate cuts. We believe MHCV industry would also remain buoyant in H2, led by growth in bro ad-based consumption and increase in infrastructure activity. On back of these and basis our upcoming new and differentiated product launches across different segments, we remain confident of posting decent volumes and margin uptrend for Ashok L eyland in the second half of the year.

Thank you once again for your continued trust in Ashok Le yland . I now hand it over to the moderator for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question comes from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh : Good evening , sir and congratulations on a very good performance. My first question is just on your full year outlook for MHCVs and LCVs. What kind of growth are you expecting for the full year or second half i f you can give a range that would be helpful ? And at the time of GST cut, there were certain concerns that input credit may not be available to fleet operators who were organized. So is there a change in demand pattern you are obs erving be tween retail and fleet i f you could giv e some color over there as well?

Shenu Agarwal : Thank you, Kapil for the question. You and I both have looked at the upt ick in the demand that has happened after GST 2.0 implementation. I would say it is very optimist ic. September itself was good but October kind of painted the indication for the future as well. The MHCV industry grew by about 7% in October and LCV was 15%. This was in the lines of our expectation also. We did believe that LCV will grow more than MHCV. But w e remain optimistic about H2. I think we should wait for another month or so to really figure out how the whole year will pan out. But d efinitely , we will say H2 will be much better than H1 in terms of absolute industry volume and also in terms of the growth rates that we have seen. On the GST side , Kapil, it is true that there was some kind of apprehension in the organized large fleet operators. But that is I think a smaller part of the whole dynamics. I think there are three ways to look at it. One is that the price itself, the price of the trucks is going down by 10

%, has gotten down by 10%. This will really help everyone to have a better TC O out of the truck. The second is, this GST 2.0 is of course across various categories of goods and has really res ulted into a consumption boost and there is no reason that this consumption boost should not long for a longer time and t herefore, this should result in higher freight demand. To me personally, higher fr eight demand is a bigger factor than the price cut or the GST cut for the truck itself. Because when there is demand, people would be coming out to replace their older fleets or buying new trucks. Therefore, that is really seen in the sentiment on the grou nd that people are now seriously considering replacing their older fleets because of the 10% reduction in the price and also the boost in the demand. The issue of the input credit of course is there. We cannot deny it. But I think if the freight demand overall continues to be better and if there is a price cut which is there already at 10%, I think those two factors will be larger than the input tax factor.

Kapil Singh : Sure, sir. And what would be the average age of the truck that also if you could articul ate? And then the second question was on the drivers for margin expansion from here on. If you could just

talk about whether we should expect, will it be more gross margin led or operating leverage led? How to think about discounting? That would be the sec ond question.

K. M. Balaji : On the margin side, I would say that we continue, Kapil, with all the initiatives which we have been doing earlier on the price recovery side as well as on the material cost, the commodity cost movement as well as on all the material cost reduction initiatives. So all this will continue and you can expect them to continue as they were continuing in the past. So you can expect the same kind of savings to come in. And one more important thing which you should look at will be the growth which is there in the non -truck segment. The revenue growth has been quite good. You would have seen the growth on the export side has been quite phenomenal. We have registered 45% growth for the Q2 and about 30% for the first half of the current f inancial year. Similarly, the spare parts continue to grow for the third consecutive year after 25% plus growth in the last 2 financial years each year. Similarly, the defence, we have a very good scope for the improvement. And power solution business has also grown by about more than 12%. So all these are actually auguring well for us. The overall revenue mix is good and we hope that this continues. And we also see that the truck demand is also going up. From October we see that there has been a good growt h as Shenu indicated , it is about 7% growth which has come and you can work out the math, Kapil. If we continue to get this 7% growth for the next 5 months, what

would be the impact on the overall TIV as well as for Ashok Leyland . You can do the math and see.
Kapil Singh : Sure, sir. Just the average age of the truck, if you could give?
Shenu Agarwal : Average age of the fleet is around 10 years right now, between 9.5 -10.5 years. But of course, that is one way to look at it. But the other way to look at it is that there are huge number of BS - 4, BS -3 trucks still available in the fleet. And the thing is that the BS -6 trucks or the latest trucks are much more efficient. They have much better mileage. They have much better capability of power and torque resulting in higher TAT (Turnaround Time) . So it makes absolute sense for the customers to replace the older trucks, the BS -2, BS -3, BS -4 trucks with the latest trucks. And we have all been wondering that while the age has exceeded almost 10 years, while it used to be 7.5-8 yea

rs, why not this huge trend is seen in the industry that people are coming forward and replacing the trucks. And maybe that GST 2.0 as well as some other activities in H2, like infrastructure activities, better government CAPEX , etc., may star t opening up that demand. So the sentiment is very positive on the ground. People are looking forward to these kinds of things. Let us just see how the rest of the year pans out.
Kapil Singh : Thank you, sir. Best wishes.
Shenu Agarwal : Thanks, Kapil.
Moderator : Thank you. The next question comes from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani : Hi, team. Thanks for taking my questions. My first question is just clarifications on the prior questions. You spoke ab out a lot of these non -truck revenues, right? Can you just give us a little bit sense on how big they are as a percentage of revenues now? Particularly looking at spares, defense, engine, exports, and separately LCV as well , a bit more color on the mix of the revenues, if you can share ?
K. M. Balaji : Now, roughly 50% of the revenue comes from the non -truck businesses. With buses, about 13% ; light commercial vehicles, about 12% ; spares, about 10% and exports, about 7 %-8%.
Gunjan Prithyani : Got it. And is it fair to assume that these are accretive to the margins in terms of mix?
K. M. Balaji : Certainly. The margins from these businesses are higher than the domestic truck margins.
Gunjan Prithyani : Just to be clear, what was this perc entage of revenue mix maybe , let us say, a year back? I am just trying to understand the evolution. How big has this become relative to last year or maybe over the last couple of years?
K. M. Balaji : It was about 55 %-58% about a couple of years ago. Now it has moved to 50% (domestic trucks revenue) .
Shenu Agarwal : And G unjan, like Balaji said, these are margin accretive. So some of these businesses have much higher margin than what we earn on the trucks. And therefore, one thing I think which has happened with Ashok L eyland is that o ur break -even volume we have been able to reduce drastically. Break -even volume when considered in terms of the units we have to sell for MHCV trucks. It used to be about 6 ,000-7,000 units a month. And now it has dropped to, I would say, more or less close r to 1,000 -1,200 units a month. And that is a big change that has happened within Ashok Le yland , obviously, because of two or three different factors. Because of the reduction in the fixed cost overall in line with the revenue , also promotion of these non -CV or non-heavy -duty truck businesses, e tc. But that puts us in a very good position. A lot of us worry about the cyclicity in the truck industry, especially the heavy -duty trucks. And now we have positioned the company in a way that even if there is a sli ght drop in the truck market, we should be quite fine with our profitability.
K. M. Balaji : Just to answer your question, Gunjan. FY '22, the share of domestic truck business was 60%.
Gunjan Prithyani : That is down to 50% now, right?
K. M. Balaji : 51% now.
Gunjan Prithyani : My second question is on the LCV business. You did speak about a pretty significant change post-GST there. Can you give us some color on what sort of growth are we looking at? There were a couple of product launches that we have been tal king about. And also, can you cover a bit around the capacity? Do we have enough capacity to sort of ramp up volumes in this segment?

Shenu Agarwal : Yes, Gunjan. As far as the capacity is concerned, our current

capacity is close to 80,000 units on
the light commercial vehicles. But we have already laid out a plan to increase this capacity to 110,000 -120,000 units without much of an investment. So mainly these are process changes and some small investments here or there, but largely leading through proce ss changes and efficiency changes. But no more floor area expansion, no more new buildings, etc. So I think in that way, we can achieve that in a matter of 6-9 months. So that is also good. And as soon as we think that we are getting closer to 80, we will trigger this expansion and we will get 100 or 110, depending on what size of market and volumes we are looking at. Also on the market side, it was expected that LCV will be the biggest gainer among all the segments of trucks and buses from this GST rationa lization , largely because this is a retail market with either single owner operator or smaller fleets, and they get directly benefited from this. They do not have even the issue of the input credits, etc. So we are very hopeful that something like this sho uld continue in the future as well. And this is largely a depiction of the boost in the consumption and therefore more demand for freight in the last mile. So we are quite hopeful. And as far as our volumes are concerned, we will definitely try to beat the market growth. And some of our products that we had launched recently, like SAATHI , they are doing really, really well. We think there is much more potential in those products and we will be continuing to exploit that potential in the coming months.

Gunja n Prithyani : Got it. I will join back with you. Thank you so much.

Shenu Agarwal : Thank you, Gunjan.

Moderator : Thank you. The next question comes from the line of Chandra mouli from Goldman Sachs. Please go ahead.

Chandramouli : Hi. Good evening and thank you for taking my questions. My first question is just around the post-GST trend of LCV potentially growing faster than MHCV. I just want to understand what percentage of your LCV sales now is coming from the recently launched Saathi product. And also, in terms of pipeline, I think we have been working towards launching a sub -2-ton LCV. I just want to understand if you are able to share any color on potential timing of that launch, how you are looking at that?

Shenu Agarwal : Yes, Chandra, thank you for thos e questions. As far as SAATHI is concerned, SAATHI , like I said, is really doing well. Actually, it is doing beyond our expectations. We were hoping that it will reach 1,000 units a month within 5 or 6 months of launch. But it has crossed that number quite significantly. Our average LCV sales is roughly in the 2-4 ton categor y is roughly 6,000 units. And already about 22 %-25% sales is Saathi now. And therefore, we are very hopeful . Another important poi nt is that we were a little bit concerned that it may cannibalize some of those sales, which has not happened , right. So cannibalization is there, but to a very low number, like a single digit number, a low single digit number. So basically, SAATHI has bee n able to address a white space for us. That is what the data is telling us. And I think we have very smartly positioned it. Although we cannot call it theoretically a sub -2-ton product, but it is actually playing in that market. And that a lot of sub -2-ton customers who had purchased their vehicles

earlier, 5 years, 10 years ago. They are now looking to replace the vehicle. And since the market demand and other dynamics have changed, they want to upgrade that vehicle. They want more loading capacity, loadi ng space. They want better power and torque. They want more comforts, more safety, etc. , and that is what SAATHI offers. That is how SAATHI is positioned

to take
care of the, not the entry -level sub -2-ton customers, but the customers who are replacing thei r vehicles now, providing them a very good spot at the premium end of the sub -2-ton. So I think the strategy is working quite well. Now, whether we would like to expand SAATHI range to bring it down to specific sub -2-ton, which means like a 1-ton payload o r something like that, that is still under consideration. But SAATHI is doing its job. That is what we believe as far as the sub -2-ton market is concerned, because there is hardly any cannibalization with those Dost and Bada Dost .

Chandramouli : Got it. That is helpful. Second question is just around, I t hink, accounting in the quarter looks like other expenses control has been pretty strong. We have had pretty good Q-o-Q revenue growth, but other expenses have actually come down. Just want to understand what the drivers were there. And also on the other income, looks like there is a pickup in other income this quarter. Just want to understand if that is the new sustainable rate or if there is any one-off there ?

K. M. Balaji : Actually, Chandramouli, you are right. I will take this opportunity in this question to just communicate that - my request will be for all of you look at the profit before exceptional items and tax, not post the exceptional items and tax. If you look at before exceptional items and tax , it is about 23 % higher. Last year, we had the benefit of this investment valuation done, and one of the companies where we have invested and we got about Rs. 117 crores of gain there, which has got accounted. And in the current year, we had to provide fo r one of the long pending litigations towards, which I will not be able to name the details or give the details. So we have provided. So if you compare year-on-year, it will be Rs. 157 crore of a drop. So don't compare the PAT, because PAT is at the same l evel, but you have this Rs. 157 crore of negative variance, which is there. But you should factor that also in. And your observation on this other expenditure going up is quite correct. We have exercised control on all areas of expenses. And all the expens es, I would say that the production, sales and administration overheads, we have been having a tighter control on that, which is visible now. And your observation and your question on this other income, why it is higher . In the current financial year, we have fair valued investments of Switch India and one of the other subsid iary companies, which has resulted in about Rs. 50 crore s of an income. Other than that, there are no one -offs in this other income.

Chandramouli : All right, that is helpful. And just lastly, I think some of the senior financiers have been suggesting that after the GST cuts, they have not seen as much impact on their ticket sizes of loads. I think they have suggested that maybe the discount rates in the CV industry might have come down. And then that might be one of the reasons. So could that mean that there might be some positive margin potential in the near term for the CV industry in general? And just as we are talking about pricing, I wanted to understand related to that, the AC cabi n related cost hike, is there potential to pass some of those cost hikes on to customers now that demand looks to be slowly picking up versus the first half?

K. M. Balaji : In fact, your question on this AC cost hike, in fact, we have passed it on to the cu stomer s. That is why the margins are holding out, Chandr u. We have passed it on to the customers. Otherwise, your margins will drop.

Shenu Agarwal : And maybe, Chandr a, I will just point out to one more thing that we are actually very hopeful of, both in terms of our ability to garner better

market share and also look at better margins as
well which is all these new products that we have been working on for the last couple of years. They all are going to be in the market in Q3 and Q4 timeframe. So just to mention a couple of those, one on the truck side is this new product range that we have developed with our own in - house engine, which now brings our ability to up the power and torque from right now 250 horsepower to go up to 320 and 360 horsepower. Now, t hese are very unique and differentiating products because the peak torque that this engine or this vehicle will be offering is going to be at least 20 %-30% better than the average of the market or even the best of the market, I would say. And therefore, th is will create a very unique proposition for us in the market, especially in the segments where customers are looking either for a higher tax or for some other difficult segments where the loads are higher or the terrain is tougher, like in mines, etc. Bec ause there, the key factor is not necessarily mileage, but the key factor is turnaround time, which is based on the fact that how fast the truck can go with a particular load in a bad terrain. So I think we are very hopeful and these products would definit ely be positioned on a premium side. I would say these will command the best prices in the market. That is how we are positioning them. And therefore, that will also help us gain some margins, not maybe immediately, but I would say within the next 2-3 quarters, we will see some margin accretion happening from these new products also. Similarly, on the bus side, we are launching a new bus, 13.5 meter with 6 cylinder 4 valve engine, which is in high demand right now. And also we are launching a very unique product called a 15 meter bus, which has the highest sleeper capacity. So I think the kind of products that we have lined up for Q3 and Q4 will not just help us in garnering better market share, but also help us on the margins also. And it also goes in line with our premiumization theory that we have been trying to establish within Ashok Leyland for the last few months now.

Chandramouli : Thank you very much and all the best.

Shenu Agarwal : Thank you.

Moderator : Thank you. The next question comes from the line of Pramod Kumar from UB S Securities . Please go ahead.

Pramod Kumar : Yes, thanks. So this is Pramod from UBS. And congratulations on a strong operational performance. I couldn't but notice the fact that your EBITDA for this quarter is higher than the whole of FY '22 with just 40% of the volume. So I think indeed a great job, especially on the cost side. I wanted some clarification on Chandru’s q uestion on discounting po st-GST. So was the response that you are seeing discounting trends getting better post -GST cut or the status quo remains on discounting?

K. M. Balaji : I think Pramod, it is too early to say. Most of the orders that we had been fulfilling in October were ac tually frozen or dealt with prior to the GST effect. So those deals were in works from that time because these do take about a month or more to finalize , right. But theoretically you are right, and we are also hoping that the discounting trend should be be tter because there is a 10% reduction in the price and 10% is not small, right a nd therefore, it should happen. But finally, it depends on various other factors. It is not just a price issue, r ight. It is also the manner in which the deals are done in the market. There ar e limited players in every deal, r ight. So it is very easy for customers to play one against the other, etc. So let us just see. But ye s, theoretically, it should help.

Pramod Kumar : And can I get some understanding on your return ratios? B ecause the wa

y you are keeping a lid on the cost control, cost side and the way your margins are ramping up. And you talked about you significantly improve your operational performance. So if you can just talk about how are the financial metrics looking of the first half of this year in terms of ROCE and ROE numbers and where are we on the cash levels?

K. M. Balaji : Thank you for asking this question. ROCE, Return on Capital Employed, we are at about 34% last year and return on equity is about 32.5%. These are all published numbers. And for the first half of the current financial year, we will be tied low because 40% happens in the first half and 60% happens in the second half. And on the cash side, the surplus, the cash surplus situation, this, in fact, Shenu did mention it in his opening remarks. We continue with Rs. 1,000 crore s of favorable cash situation throughout the year. And when you compare it to the same period last year, we were at about Rs. 500 crore s of debt. Now , we are at Rs. 1,000 crore s of cash. So there is a Rs. 1,500 crore s of advantage ous situation. So, we continue to have this net cash position. I think if we manage this quarter with the same kind of cash position , and in 4th quarter, we expect good demand and good cash addition to the existing cash situation.

Shenu Agarwal : And from operating business also, you see our operating working capital. We have been able to reduce a lot of it in the last one year timeframe. Loo k at the receivables in particular , I think there is a Rs. 500 crore reduction in receivables only in the last 1 year from September 24 to September 25. So we are running several projects on better cash management, cost management. And we believe there is still a lot of potential left even in inventory ratios, inventory turnover , receivables, there is a lot more juice that is left.

Pramod Kumar : No, good to hear that. And continuing on the margin side, any thoughts on the commodity basket? We have seen some movement on the precious metal side, aluminum. But when you look at your commodity basket, how do you see that playing out in the near term? I had one las t question on the promoter pledge. But ye s, I will come to that a fter this question and response?

Shenu Agarwal : On the commodity side , we think Q3 will be better than Q2. We are already having those indications that we will have some advantage in Q3 o ver Q2. How much we will see because that gets determined during the third or the second week of December. But we are seeing trends that Q3 will be better as far as commodity costs are concerned than Q2. So we will have some

margin uptake from there as well in Q3 at least. Now, it is hard to say how Q4 will respond, will be in terms of commodity prices. But we don't see a major reason to get concerned even for Q4 right now.

Pramod Kumar : And any update on the promoter pledge? Because we did talk about not letti ng it go higher even after the IndusInd Bank development. So any update there?

Shenu Agarwal : We don't have the exact numbers right now. But what we can tell you is what we have been telling you , whenever we talk to the promoters, we find them fully committed to Ashok Le yland . So that should not be a concern at all. I think they are trying to reduce the pledge shares. Some reduction has already happened, I think in the recent past, but they are committed to reduce it further. So that is what we know. Other than that, we don't have any further information about this.

Pramod Kumar : No issue, sir. Thanks a lot and wish you all the best. Thank you.

Shenu Agarwal : Thank you.

Moderator : Thank you. The next question comes from the line of Amit Hiranandani fro m Phil lip Capital. Please go ahead.

Amit Hiranandani : Yes, thank

s for the opportunity. Sir, it has been noticed that since last 15 -16 quarters, the EBITDA margin on Y-o-Y basis has been continuously, consistently improving. So that is a commendable job for the management. So my first question is basically, anything to read into the working capital, which seems to have increased resulting to negative OCR?

K. M. Balaji : No, actually, working capital, we have been working on consistently. As Shenu did mention about the reduction, which has happened while answering for the previous question. We have been working on three aspects on the working capital - One is the receivables , the second one is on the inventory a nd the third one is, of course, payables. Payables , we don't have much of option left. On the inventory and the receivables, we have worked. And on the receivable side, certainly, we have worked and we have reduced about Rs. 500 crores on the receivables alone when you compare it to the same period last year. On the inventory, again, we will not be able to bring it down at the year opening level because we would require to maintain a minimum level of inventory during the year to meet the increase in the demand. As this was also explained by Shenu earlier, that October month volume has been quite robust. There has been an increase, 7%. So to meet these kinds of increases, we need to have the inventory levels at the required levels. So we may have to maintain. But all this, we are closely monitoring and we a re performing much better if you look at the same period last year.

Shenu Agarwal : Amit, just to add to this, since we are in a seasonal kind of a market, our numbers in the quarters, in different quarters vary quite a bit. So it is better to compare opera ting working capital with the same point in time last year rather than year beginning.

Amit Hiranandani : Noted, sir. S ir, the second question is within small commercial vehicles. So Ashok Leyland , how much presence we have and do you see any product gaps, especially in the 2 -5 ton segment and any plans for the launches here?

Shenu Agarwal : No, actually, 2 -4 ton is a major part of the segment, which is more than 50% of the overall market. But within this 2 -4 ton, we don't think we have any gaps. I could thin k of only one gap, which is like the absence of a bi -fuel product. But so far, some of the parts of the country, especially the NCR region and some parts of Mumbai and even Gujarat, they have shifted to bi -fuel. And bi -fuel is becoming very popular, which is a combination of either CNG and petrol or CNG and diesel. Diesel is a backup. Now, we didn't have that product in the portfolio, but I am happy to report that within the next 1 or 2 quarters, we will be launching that product as well. Actually, the prod uct is ready completely, but we are just testing it to make sure that all boxes are ticked before we launch the product. But in 2 to 5 ton, we are sufficiently covered.

Amit Hiranandani : Just a follow -up on this small commercial vehicle , like w hat is the p resence we have across the North -East and West -South region and what are the plans for the network expansion here?

Shenu Agarwal : Listen, we have really expanded. We are very focused on expansion of network. We know that we have to do a much better job as far as network presence is concerned in North, East and Central. But we are very happy with the pr ogress we have made. J ust giving you some ballpark numbers, like M HCV, our network presence two years ago, like end of FY '24, we were at 800 touchpoints. And now we are roughly close to 1100 touchpoints now. Similarly, in LC V, we are at roughly 900 touchpoints and we used to be at 600 touchpoints. Also, in LC V, we have appointed 2300 plus ALTTs, which we c

all Ashok Leyland Trained Technician, which are third -
party technician, but getting to our products with our branding and stuff like that. So I think on network, we have really put a lot of effort and a lot of focus. And it is not just in the quantity, but we are also improving the quality of the network in a lot many different ways. I have spoken to you about Project Dhruv, which is one of our flagship projects. And what we are trying to do in that project is to benchmark our service processes with the global best. Even the car industry, we are benchmarking th at how we can improve our customer experience, how we can improve our turnaround time in workshops, how we can improve the first time right repairs, how we can strengthen our mechanics with the right information using tools such as AI and analytics, how we can digitize the whole service operations in our 1000 workshops. So this project I think is going to, although it is going to take some more time, maybe 12 -18 months to fully embrace all the improvements. But I think it is going to be a game changer for u s in future.

Amit Hiranandani : Right. S ir, lastly, one last question, basically, if you can throw some idea on industry's truck utilization level, and how do you see it trending in the H2? Also, if you can throw some light on the present Ashok L eyland's inventory and price increases any, if you have taken any in Q2?

Shenu Agarwal : Price increase in Q2 was not there, there was no specific price increase action. But of course , we have a theory of trying to gather better NSR, either through mix or through reduction in discounts. And that has happened to some extent, and that effort will continue in the future. At

the right time, we will take a look whether we can increase the pr ice also. That may not happen in Q3, but we will see if we can do it in Q4 or in Q1 of next year. But yes, we are very focused on improving the NSR through mix as well. Now, you know that we had lost some market share in Tipper where our margins are really very high. This is one of the segments where we command the highest margins in percentage and absolute sense. And Tipper, we had lost some market share. And since we are launching the 320 , 360 HP Tippers, we do hope that we will make a big comeback in the Tipper segment with improved market share. And therefore, that would also help us in the margin mix.
Amit Hiranandani : Just on the indust ries truck utilizat ion level, if you have any idea?
Shenu Agarwal : The truck utilization is not bad , in the times of m onsoon use, you know that it dips about 10 percentage points or sometimes even more in some areas. But right now, we will say that it is very stable. And if the demand continues , like it has shown in October or the lat ter half of September, then we think t he utilization will continue to improve during the year.
Amit Hiranandani : All the best. Thank you so much.
Shenu Agarwal : Thank you, Amit .
Moderator : Thank you. The next question comes from the line of Raghu nandan from Nu vama Research. Please go ahead.
Raghunandan : Congratulations, sir, on strong numbers. Firstly, on exports, you indicated growth in GCC, SAARC, and Africa , how do you see the growth now on a full year basis a nd share of exports has come to 7 %-8% of revenue in Q2. How do you see this share increasing over the next 2 -3 years?
Shenu Agarwal : Yes, Raghu, on the export side, you remember I think about 3 years ago, our volume used to be 8,000. And when we had the Investor Day, we said this is one of the focus area and our mid - term target is going to be 25,000 units. So I think we have progressed very well. I think since FY '22. And last year, our volume was 15,000 plus in exports and this year, we are targe

ting
about 18,000 units in the exports. This year , Balaji told you that we have grown m ore than 35% + so far in H1. And therefore, to achieve 18,000 units over a base of 15 -15.5 should be achievable. Now, of course, the next couple of years or maybe 3 years, we would definitely like to touch that 25,000 mark as well. Exports, as you are aware , the margins are fantastic and therefore, it also helps us in the margin equation.
Raghunandan : Good to hear that, sir. On the CAPEX side, first half was Rs. 658 crores and there were no investments in first half. How do you see the full year number for C APEX and investment and also a little bit color on the areas of utilization of CAPEX?

K. M. Balaji : Raghu, thanks for your question. CAPEX, as we have guided earlier, it could be between Rs. 800 and Rs. 1,000 crores. That could be the thing. You can expect around Rs. 1,000 crores of CAPEX which is getting incurred. This year, as we had already indicated, we are pursuing our CAPEX expenditure plan relating to the center of excellence which we have established as well as Shenu spoke about the hi gher horsepower engine nodes development. So we are incurring CAPEX towards all these things and one more thing which I should register here is that we have also gone ahead and purchased a piece of land which is next to our corporate office building. It is about five grounds where we would construct a corporate office, another building of our own. So all these put together got reflected in that 658 and you can expect about Rs. 1,000 crores of CAPEX getting incurred in the current financial year. And on the investment side , it depends on the requirement of the associates and the group companies. We see some requirement coming in for our group company covering home and the Hinduja Leyland Financ e, if they require capital. You would have seen the growth in the AUM of Hinduja Leyland Finance. So there is plenty of business opportunity and their business opportunities are restricted with the availability of the cash, availability of the money and the Tier-1 capital is also pretty low where RBI has been insisting o n the requirement of more investment in Hinduja Leyland Finance. So, depending on the requirement, we will invest. But I don't foresee anything beyond Rs. 500 crores at this point of time.
Raghunandan : Thank you, sir. And just on the Hinduja Finance, any t imeline for listi ng? That is my last question ?
K. M. Balaji : Timeline, we said in the earlier conference call that it could take a minimum of the Q1 of the next financial year. That will be the minimum time limit which will be required.
Raghunandan : Thank you, sir. Wishing you all the best.

K. M. Balaji : Thank you.
Moderator : Thank you. The next question comes from the line of Pramod from In cred Capital. Please go ahead.
Pramod : Thanks for the opportunity. Wanted to know for Hinduja Leyland Finance, what is the mix of small truck operators and the large truck operators in the disbursement AUM ?
K. M. Balaji : Actually, the commercial vehicle finance is only, I would say, a decent portion in their overall finance portfolio. They finance other areas also. They h ave a housing arm also, Hinduja Housing Finance, which does the funding of about Rs. 16,000 crores. And they also do the funding on the other areas, heavy earth equipments, two-wheeler s and to a certain extent on the three - wheeler also. So their entire por tfolio is not fully CV. They are into other businesses also.

Pramod : The reason to ask you is also how are you seeing the behavior in the small

truck guys? Do you
see their profitability improving and hence the loan servicing is much superior in the recent weeks, months? Any color on that?
K. M. Balaji : We don't see any kind of spurt in the delinquency or the provisioning in this Hinduja Leyland Finance as well as in the Hinduja Housing Finance. Their GNPA and NNPA are at, I would say, at very reasonable le vels.
Pramod : And the second one is with regard to Switch, what new products we need to look forward to in the second half or FY '27 to sustain this momentum?
Shenu Agarwal : Yes. So on the Switch side, we have been working on 2 or 3 new products, which are very critical for us to expand the business. One was a 9 meter. So 9 meter was coming in two different formats. One is the standard floor, the other one is the low floor. We are very close to launching those products now in the mar ket. There is a lot of quantity of 9 meter available through the PME drive tender also, where we will be bidding on 14th of November. And hopefully, if we win some of those tenders, this 9 meter will really add up to our expansion plans in Switch. Also, we are working on 1 or 2 nodes in the trucks, in the light commercial vehicle trucks. So that should happen ideally in FY '27. We are also working on a smaller bus, smaller than 9 meter, which should also happen in FY '27 or early FY '28. Also, we are now sh ifting the production of our E1 bus, which is the European and UK bus, electric bus to RAK. I think we spoke about this last time also, because the UK facility was, the cost structure was very high and it was very unviable to produce buses in UK. And there fore, we have now decided to shift the production to RAK. So I think these are the 4 or 5 new products that we are looking forward. That should help us increase the sales volume and the topline at Switch.
Pramod : Thanks a lot.
Moderator : Thank you. The nex t question comes from the line of Basude b Banerjee from CLSA. Please go ahead.
Basudeb Banerjee : Yes, thanks. So congrats for a decent set of numbers. A few questions. One, sir, the exports moving from 12,000 -18,000 and then in next 2-3 years ’ outlook towa rds 25,000. That is fabulous. So you said the GCC and African markets driving, but what suddenly picked up this fiscal that growth was almost 35% in first half, which is a humongous percentage terms. And those developments going ahead to reach 25,000 in ne xt 3 years, then the growth will also taper down. So if you can explain us the parts of what changed this year to drive such a growth and also higher margin businesses ?
Shenu Agarwal : Yes, Basu, let me first clarify that while we have achieved 35% in H1, we are still saying that we will achieve , our target is to achieve 20% CAGR for next 3 years , right. So there will be some periods where we will do more than 20. Maybe there are some periods , we will do slightly less than 20. But our target is to grow 20% per year so that we can reach that 25,000 number

from last year's 15,000. So I think there are two things working in our favor here. One is that GCC , we are present there for last 20 years as well as in S AARC. And we have established these as our home mark ets. So we have investments in local production. We have investments in local supply chain. We have very strong partners for distribution and service. And this is all playing to our advantage now. The other part is that we are developing products specifica lly tuned to these markets more and more. We are doing so. The base product is still our Indian product, but we are making a lot of changes to make these products suitable for the local market. So we even have like a small R&D center, for example, in RAK, which is continuously in touch with the local pe

ople and the local customers to see what kind of requ irements are forthcoming. So, I would say it is the product's suitability to the market, our long -time presence, the trust that customers impose on us. And the third would be our acute focus to grow exports.

Basudeb Banerjee : Sure, sir. That is great. Second, sir, if you can quantify the initial speech you said, which was EBITDA and PAT positive in first half, if we can quantify that ?

Shenu Agarwal : Basu, w e don't normally reveal those numbers. Let the company grow to a sizable volume on the topline, and then we will start sharing those. But the target, next level target is to make it free cash flow positive by FY '27.

Basudeb Banerjee : That is great. The thi rd question is somewhat in continuation with the question asked earlier. So now with confidence of fleet owners, sentiment improving, freight rates moving in the right direction, and GST cut reducing capital cost, freight demand sentiment improving. So und er that background, what is the discounting situation now, and what is the potential reduction further, which would give us some visibility of margin accretion quantification?

Shenu Agarwal : Yes, I think Pramod from U BS also asked this question. And what we had responded for that question was that it is too early. Theoretically speaking, discounting should come down because there is a huge reduction in the price related to GST. But we will have to see how the market behaves, how the customers are behaving. But if the trends of demand continues to be what we have seen in October which is much better growth than what we have seen in September, I think there will be then opportunities to see how we can increase the prices also at some point in time or reduce t he discounts.

Basudeb Banerjee : That is great. And if I can chip in with the last question, like one of the key market leaders now acquiring a global CV maker, which will also give them access to manufacture higher gross vehicle weight commercial vehicles. In India, typically on the higher end of HCV, we are limited to 45 -48 ton gross vehicle weight models, whereas the tonnage moves up, fixed cost per ton for fleet owner reduces. So do we see the need to go beyond 50 GVW ton trucks down the line? Or do you see a market in India evolving in that segment?

Shenu Agarwal : Yes, Basu, unfortunately, the GVW is not our choice. It is limited by regulation. The maximum we can go to is 55 and that is for tractor trailer only. And for the rest of the segments, we can g o only up to 48. Ye s, so that is by regulation, we cannot improve. But what we can do is definitely

improve the turnaround time, improve the average speed since the highways are much better now. If a truck was running at 40 km per hour average, we can see if it can run at 50 km per hour average. And therefore, the utilization of the truck or the revenues it generates on a monthly basis or a quarterly annual basis would be much better. So that requires higher power and torque. And definitely , now we have in Ashok Ley land, I can tell you that we have our technology and product roadmaps very well laid out for the next 10 -15 years as to what we are going to do for each segment in terms of not just performance or aggregates or chassis, but also in terms of safety , comfort and a host of other things. So we can tell you with confidence that we have been a technology leader and we would like to maintain that position of being a technology leader in the CV space.

Basudeb Banerjee : Great, sir. All the best. Thanks.

Shenu Agarwal : Thank you.

Moderator : Thank you. We take that as the last question for today's conference. I would now like to hand the conference over to management for closing comments.

Shenu Agar

wal : No, I just wanted to thank you once again. Thank you for your trust in Ashok Ley land. I know you have huge expectations from us as we continue to deliver, b ut our management is very focused. I think our mantra is, of course, profitable growth. But within that profitable growth, we are working on making sure that we are a very lean company. We stay a very lean company. So there is acute focus on every penny of cost that we manage. Also, we are on a premiumization route, which means that we would continuously bring in products that are more differentiated, that are at the higher end of the value chain, and therefore we can command better and better prices. And definitely on the third side, I would say that we will continue to be focused on cash as well. We really want to generate a lot of cash to be able to invest i n the future. But thank you again for your time and thank you for joining us today.

Moderator : Thank you . This brings the conference to an end. On behalf of BNP Paribas Securities India Private Limited , we thank you all for joining us. You may now disconne ct your lines. Thank you.

Call: Feb 2026

February 17, 2026

Dear Sir/Madam,
Concall Transcription
Pursuant to Regulations 30 and 46(2) (oa) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of the Company's Analyst Call held on February 11, 2026 to discuss the un-audited financial results for the quarter and nine months ended December 31 , 2025 .

Meeting start time - 5.15 p.m. IST
End time – 6.15 p.m. IST

We request you to take the above on record.

Thanking you,

Yours faithfully,
for ASHOK LEYLAND LIMITED

N Ramanathan
Company Secretary

Encl.: a/a

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Page 1 of 18

"Ashok Leyland Limited
Q3 FY '26 Earnings Conference Call "
February 11, 2026

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LIMITED

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MODERATOR : MR. RONAK MEHTA – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Ashok Leyland Q3 FY '26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questio ns after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Ronak Mehta from ICICI Securities Limited. Thank you, and over to you, Mr. Ronak.

Ronak Mehta: Thank you. Good evening, everyone. On behalf of ICICI Securities, I welcome you all to Q3 FY '26 Earnings Conference Call of Ashok Leyland Limited. We have with us today Mr. Shenu Agarwal, Managing Director and CEO; Mr. K. M. Balaji, President, Finance and CFO; and Investor Relations team. I will now hand over the call to the management team for their opening remarks. Over to you, sir.

Shenu Agarwal: Good evening, ladies and gentlemen. Thank you for joining in and for your trust in Ashok Leyland as always. Q3 was a remarkable quarter for Ashok Leyland delivering superlative financial performance, setting new benchmarks in manufacturing operations and p ushing boundaries in product innovation.

Ashok Leyland achieved its highest ever quarter 3 volumes, revenue, EBITDA, EBITDA margin, profit before tax and profit after tax. Ashok Leyland recently inaugurated one of the most modern electric vehicle manufact uring plant built from ground 0 in just 14 months. Again, Ashok Leyland recently launched HIPPO tractor and TAURUS tipper range with industry best power and torque and many other performance and reliability updates.

The GST reset provided the much -needed trigger for fresh CV replacement cycle to kick in. GST rate rationalization not only lowered the prices of CV significantly but also created a major fillip in consumption and therefore, in freight demand. It elevated sentiments of both retail and bulk buyers, resulting in strong volume growth in the last 3 months consecutively.

In Q3, the domestic MHCV truck industry volume grew 24%, with overall MHCV industry growing by 21%. The LCV industry volume grew by 23%. The m omentum has continued in January '26, which augurs well for a strong FY '26 finish.

Ashok Leyland domestic MHCV volume growth for the quarter was at 23.4% Y -o-Y and was better than the industry growth. On YTD 9 -month period as well, Ashok Leyland growth a t 9.8% Y-o-Y was better than the industry growth, thus resulting in market share gains. The MHCV domestic market share on YTD basis was 30.9%, a gain of 60 basis points Y -o-Y. This is without defense and EVs for buses.

Domestic MHCV truck volume for Q3 wa s at 27,615 units, and MHCV bus volume was at 5,314 units. Ashok Leyland domestic LCV volume for quarter 3 was at 20,518 units, higher by 30% year-on-year, beating industry growth. LCV VAHAN market share for Q3 was at 12.1%, with a

gain of 70 basis points Y-o-Y. For the 9 -month period, domestic LCV market share stood at 12.7% with a gain of 40 basis points Y -o-Y.

Our exports volume for Q3 at 4,965 units was higher by 20% Y -o-Y. For 9 -month period, exports volume was higher by 30%. The growth was broad -based with double -digit volume growth across all our home markets outside India, which are GCC, Africa and SAARC.

Our non -CV businesses also grew as per plan. Aftermarket revenues for Q3 was higher 10% year-on-year. Revenue from Power Solutions business was h igher b

y 45% year -on-year, and
revenue from defense business was higher by 84% year -on-year. Defense order book and tender win pipeline remains strong.

We are steadfastly working on product innovation for differentiation and premiumization. Ashok

Leyland recently launched the new range of heavy -duty trucks, HIPPO tractors and TAURUS tippers with industry -best power and torque.
These products with superior powertrain of 320 HP and 360 HP and heavy -duty driveline aggregates will deliver industry -best uptime TAT and TCO. In the multi -axle vehicle category also, we launched new trucks with improved powertrain of 280 horsepower, along with superior aggregates for better TAT and productivity.
In the LCV segment, we launched new 4.1-ton Bada Dost with industry be st payload capacity. We also launched a new 100 KMPH Bada Dost or Phoenix for our IO markets, and we extended load span options up to 10 feet 7 inches, thus expanding our product coverage in the LCV segment. Shortly, we will enter the growing bi -fuel segme nt as well.
Our product pipeline remains strong with launch of many more new products planned in the next 6 months. We continue to leverage our strong non -diesel portfolio, 2 models of light electric trucks, 3 nodes of MHCV electric trucks and several mod els and variants of electric buses are already available commercially. We are also ready with products on other greener technologies, such as CNG, LNG and even hydrogen.
With the inauguration of the new Lucknow plant and continued ramp -up of our other bus plants, we shall soon reach bus body building capacity of 20,000 numbers per year. For strengthening our service reach, we added 75 MHCV touch points and 77 LCV touch points during the 9 - month period with 45% of the MHCV touch point additions in the North and Northeast. At the end of Q3 FY '26, Ashok Leyland network has a total of 2,041 touch points: 1,126 for MHCV; and 915 for LCV.
In international markets, we expanded our network to 4 new territories. Quite recently, Ashok Leyland signed an MOU with PT Pindad of Indonesia, a state -owned entity in the defense sector for joint development of electric buses and defense vehicles for the Indonesian market. With distributor partners already lined up in Malaysia and Philippines, we are in the process of establi shing ASEAN as our fourth home market outside India.
Now coming to financials, Ashok Leyland achieved all -time high quarter 3 revenue, EBITDA, EBITDA margin, PBT and PAT. Revenue for Q3 was at INR11,534 crores, higher by 21.7% on

a year -on-year basis. EBI TDA was at INR1,535 crores, higher by 26.7% year -on-year. EBITDA margin for the quarter was at 13.3%, higher by 50 basis points against Q3 of last year. PBT before exceptional items was at INR1,373 crores higher 38% on a year -on-year basis. PAT before exce ptional item for Q3 was at INR1,105 crores, higher by 45% year -on-year.
During the quarter, on account of the new Labo ur Code , there was a onetime charge of INR308 crores. Material cost as a percentage of revenue for Q3 was 72.2% higher by 70 basis points Y - o-Y and 100 basis points sequentially. This gross margin compression was on account of product mix and some escalations in nonferrous commodities with PGM, co pper and aluminium .
Cost saving efforts continue with the same rigor while we are pushing for improvement in price realizations for recovering commodity cost increase. Capex for the quarter was at INR186 crores and cumulatively INR844 crores for the 9 -month period.
Investments in subsidiaries in Q3 and for the 9 -month period was INR16 crores. Our cash position, net of debt has got stronger. We had net cash of INR2,619 crores at the end of the quarter, an increase of more than INR1,660 cro

res on a year -on-year basis.
Coming to our subsidiaries, Switch India continues to do well. For 9 -month period, Switch India sold 850 buses and about 1,200 ELCVs with positive EBITDA and positive PAT. Current order book stands at 1,350 units. Recently, Switch delivered ove r 240 buses for deployment in the national capital. Switch has now also started exports with the first batch of vehicles supplied to Mauritius and one order of 45 buses obtained from Bhutan. Switch India is progressing well on its target of becoming free c ash flow positive by FY '27.
OHM , our E -MaaS subsidiary is now operating more than 1,400 electric buses, adding more than 300 buses to the operating fleet in Q3. All the GCC projects under execution by OHM are at healthy double -digit IRR. Hinduja Leyland Finance stand -alone AUM was at INR56,470 crores, higher 18% Y -o-Y and Hinduja Housing Finance AUM was at INR15,454 crores, higher 16% Y -o-Y.
Total PAT for the finance subsidiaries for quarter 3 was at INR220 crores. Reverse merger of HLF with NDL Ventures had some initial delays, but now with all the necessary approvals in place, the process is being followed for a final closure.
We remain focused on our ESG commitments. Our Dow Jones Sustainability Indexes ESG score has improved significantly and we are now in global top 2% of the IEQ, which is industrial engineering and electrical equipment companies. In our commitment towards RE100, we

achieved 80% RE status against 69% in FY '25 with our Tamil Nadu plants now at 94%. Our road to school and road to live lihood programs continue to grow, extending their reach to about 6.1 lakh students now.

In summary, we believe we have progressed reasonably well in the 9 -month period on all our focus areas, which are MSCV and LCV market share, growth of non -CV and IO bu sinesses, product innovation, service reach, profitability and sustainability. We believe that current environment is extremely conducive to CV volume growth with favourable macros, pro -growth at FY '27 Union Budget, just concluded India -EU FTA and resolut ion of the India U.S. trade

tariff deadlock. On the back of these, we remain confident of posting good volume growth in the coming quarters. Thank you once again for your continued trust in Ashok Leyland. I now hand it over to the moderator for Q&A.

Moderator: The first question is from the line of Gunjan Prithyani from Bank of America.

Gunjan Prithyani: My first question is on the industry growth outlook. I think you did sound pretty confident and positive on the growth outlook. Can you just share more insights on how should we think about the sustainable growth getting into fiscal '27? I mean , I'm sure there is an element of bunching up that's happening post GST ?

And maybe just a little bit more elaboration on the point that you made that we are s eeing replacement demand come through to the industry, both from small as well as the bulk buyers. Is it that we're starting to see the larger set of truck operators also come back to the market after the GST, this whole clarity has settled in as to which rate they will go forward with? Maybe some thoughts around that ?

Shenu Agarwal: Yes, Gunjan, thank you very much for the question. When GST was announced, the first movers in the industry was actually the retail buyers, not the bulk buyers. As you rightly said, bulk buyers have a little bit of a more complex equation to understand because of the GST reduction. And therefore, in November and December, largely, we saw the growth coming from retail buyers more than bulk buyers.

Now in January, we have seen th at even many bulk buyers are now coming forward and they are not just buying for their current needs, but also, they are even projectin

g their purchasing for the next many quarters, like 3 or 4 quarters. So we think that, that sentiment is very strong righ t now. People are seeing the value. We are seeing that freight demand is going up.

So it's not just about the lowering of the prices because of the tax cut. It's also because of the growth in the consumption economy and more freight demand. We are also act ually seeing a slight increase in the freight rates also. It's a very kind of a unique situation when both the demand and the rates are going up in the market, which is building up quite a positive sentiment.

Even initially, we were a little bit apprehens ive whether the bulk buyers would move forward because of all the complications relating to the ITCs and the cash flows, etcetera . But now in January, we are much more optimistic about the future prospects, having seen the bulk buyers also moving out and a ctually projecting their demand for next many months now.

So we are, at this point in time, very confident that this could be a start of a new replacement cycle in the CV industry. We had always been talking about the aging fleet and how the average age h as gone up from 7, 7.5 to 10, 10.5. And we were just hoping and waiting for a trigger that could provide the replacement cycle to kick in. And we do think this could be the trigger.

Gunjan Prithyani: Okay. So that's actually quite encouraging to hear. Maybe just like a quick follow -up on that. Given that we didn't really see a sharp volatility in the cycle this time around. I mean, on the way down also, it wasn't like a steep down. And hence, the question that how do we think about the growth for the ne xt year or 2 years?

Should we sort of also assume the up cycle will be modest, at least the recent numbers don't say that it's modest. So I'm just trying to get a sense that is this a number that we extrapolate or we temper down going into a fiscal '27 gi ven the down cycle wasn't that steep?

Shenu Agarwal: Yes, Gunjan, you have to just consider this in two different ways. I mean, one is like this year also, we are saying specifically for the automotive industry that it's a year of two halves. April to Octo ber first 7 months and the balance 5. Right now, next year, also, we have to just keep in mind that April to October, which was a low base from last year, we should see really phenomenal growth, although I don't have numbers to give you right now, exactly, maybe that we can come up with during the end of the fiscal.

But in the second half, which is basically November, December, last 5 months, there would be a high base also, right? So overall, we still believe that the industry is going to stay strong next year. Balaji, you have something to add?

K. M. Balaji: Yes. Actually, Gunjan, when you are talking about the past thing, no, I mean, though it appeared to be stable, still there was a huge movement which was happening between truck and bus. Truck, we all know there was a shortfall. There was a lullness for 2, 3 years. It was about 3,20,000.

And in last year, it came down to 3,13,000. There was a fall, but it was more than compensated by the surge in the volume on the bus side. Bus side went up and it compe nsated for fall in trucks volume . There was increase on one side and decrease on another side. So, w e didn't realize the fluctuation.

Gunjan Prithyani: Got it. And Balaji, since I have you, on the commodity side, can you just sort of share what was the hea dwind we saw in this quarter? How do we think about the metal inflation that we're seeing, particularly on the precious metal side? I mean, what was the impact in quarter 3? What do we see in quarter 4? And what sort of pricing action we have taken to sort of mitigate that?

K. M. Balaji: Yes. Act

ually, Q3, we saw an increase in PGM copper and aluminium . This Shenu touched upon in his opening remarks. We saw that although steel price was benign and there was not much of a movement on the steel price, but all these contributed to a sizable increase. Adding to this was the change in the mix.

For us, we all know the truck revenue went from about 50% to 55% overall. This also added to this drop in the gross profit. You would have seen the ASP going up. But these factors contributed to the drop in the gross profit.

We'll come back to the material cost side. So we see this kind of trend, I mean, is happening. And we have started taking -- increasing the recovery from the customer not by way of like an increase in the price by way of increasing in the price circular, etcetera . But by way of reduction in the disco unts which we have started doing -- and we would like to see how -- wait and see as to how this is going to unfold in the coming 2 months. We have been successful in getting some price increase in Jan.

Gunjan Prithyani: Can you quantify the commodity impac t, what reflected in Q3 and maybe if any calculations you have for quarter 4?

K. M. Balaji: It was roughly 50 basis points, Gunjan. In the Q3, we suffered 50 basis points because of this increase. And we are trying to recover it from the customer by way of increasing the prices by about 60 , more than 60 basis points, including the margins.

Gunjan Prithyani: Okay. Thank you for that.

Shenu Agarwal: Yes, there is, just to add to that, there is a little bit of a challenge that we are facing. We have been facin g for the last 3 months or so. Even like Balaji said, the mix is also a little bit unfavourable in quarter 3. And largely because of, like I said, the initial momentum from the industry after GST was from the retail side.

And you know there are more retail participation in the ICV and the LCV side of the industry than in the heavy -duty side, right? And therefore, when those -- that growth started appearing, the ICV really went up as a contribution to the overall sales, not just for us but for the industry as well.

And now since in January, we are saying even the bulk buyers, the heavy -duty truck buyers, the tipper MAV, tractor trailer segment is also coming up with the bulk buyers, then this trend should get neutralized is what we are hoping in the next few months. But yes, these are the 2 challenges the industry is facing.

Just on the price hike also, there was a general notion that since GST has really led to strong growth in the industry momentum. This may not be the right time to increase the prices, ri ght? But that I would say is kind of temporary because if commodity pressure continues to build up, then industry would go or should go for a price hike, like a more bigger price hike in future.

Moderator: The next question is from the line of Pramod Kumar from UBS Securities.

Pramod Kumar: Congrats on good set of number. My question is on the profitability side. I mean, we understand the volumes are expected to be good, but commodity prices is also surging. And you are, for example, the next quarter bas is, the team, which is already a kind of long -term margin guidance, what you gave ?

So how should one think about the margins in this particular period. It could be a bit of a disruption because of commodity, which ideally normalize, but how should one look at margins

while building in mid -single -digit growth for the industry? If you can just help us understand
that bit, it will be very useful ?
Shenu Agarwal: Yes. Like I said, there are three elements of it. I mean, at a margin level , profitability level. One is the price, the other is mix and the third is commodity, right? And of course, the fou

rth element
is what we can do internally to further strengthen our efforts on the cost savings.
So all these four will play. Pricing, I already said that there was a no tion that we should not increase the prices so soon after the announcement of the GST cuts. And therefore, most of the

players, I think, even in the larger automotive industry avoided any significant price hikes. But this does not mean that ability to take a better price is not there.
I think with the rise in demand and the rise in freight rates and on the back of the new products that we have just launched, I think there is a lot of scope of getting better prices from the customer. So I would say it is a temporary concern, but it is nothing fundamental in nature.
The second is, like I said, mix. So initially, in November, December, there was a huge surge in the ICV contribution in the overall truck industry. I mean, it reached close to like 30%, if I reme mber correctly and it always used to be like 22% to 24%. So there is a big shift there. And I've already explained the reason of it. This is also nothing which is fundamental in nature.
It's not like something has happened in the last 3 months that ICV wou ld be at 30% going forward. Going forward, it has to come down to 23%, 24%. Now whether it takes 1 month or 2 months, 3 months, hard to say. It really depends on the mix of the retail and the bulk and at times that happens. But it shouldn't take that long to get back to a favourable mix.
And the third is commodity. I mean commodity is not so much in our control. But like I said, there are possibilities to hedge it off with better price increases in the future. And also, we are I mean, definitely strengthening our own efforts to get to higher cost savings, not just material cost, but all other costs and whenever you launch a new set of products, the opportunity to save cost, once again, a new opportunity emerges because whenever you design something for the first time, you sometimes tend to overdesign it.
And with some experience in the field, then you have another opportunity of value engineering, etcetera . So we are looking at all of those things, and we will t ry to see how we manage this temporary situation in a better way.
Pramod Kumar: Second set of question is for Balaji. First is on the steel side, how are the contracts normally kind of structured? The duration and the pricing? And also the second bit is on the staff costs, we see sequentially the staff cost came down, which normally shouldn't be the case given the production has gone higher and there's generally inflation in salaries. So if you can just throw some light on these two points, Balaji ? Thank yo u.
K. M. Balaji: Your first question -- I didn't get your first question.
Shenu Agarwal: Steel contracts...
K. M. Balaji: Steel contracts , actually , they are all half yearly contracts which is done. And what happens is that whenever the markets -- the spot rate changes and the market changes, then either the purchaser or the seller, they approach the other party for the reduction or the increase as the case maybe. So these are all half -yearly contracts.
And on the staff cost side, I think we had to tone dow n our variable performance pay with reference to the overall full year targets and achievements. That's why, I mean, there is no one -off involved in it, but we had to do this in line with the overall full year targets for the company.

Pramod Kumar: Can you quantify that, if you don't mind?
K. M. Balaji: Quantification will be - there will be approximately INR20

crores, which would have got
reduced.
Pramod Kumar: Okay. But so the 4Q should normalize to revert back to our normalized run rate -- but that's n ot a big number?
K. M. Balaji: I need to confirm that there is no one -off involved in it. Again, for everybody's benefit, I would like to tell you to confirm that there is no one -off except for this wage code amount of INR308 crores in that.

Pramod Kumar: And the component of that, which pertains to 3Q has already been accounted for 3Q results. There would be a normal bump up in your 3Q because of wage code as well, right?
K. M. Balaji: Yes. Yes.
Moderator: The next question is from the line of Mukesh Saraf from Avendus Spark.
Mukesh Saraf: My first question is, again, on the outlook and the CV cycle. What we have seen so far is we've kind of seen a growth in the ICVs and the slightly lower tonnage vehicles, but not so much in the high -tonnage vehicles ?
Typi cally, at the start of the cycle, probably we see a higher growth in the larger tonnage vehicles, but we haven't seen it so far. So if you could kind of help us understand this in terms of beginning of the up cycle, but the mix isn't kind of still seeing t hat improvement, it'll kind of help?
Shenu Agarwal: Yes. Mukesh, like I just explained. November and December, we saw a higher offtake from the retail segment. But in January now, we are seeing much better traction coming from bulk -buying also. And normall y, bulk buying is more towards bulk, more toward the heavy -duty and the retail buying is little bit more skewed towards the low end or middle segments, right?
So this should -- like I said, this should correct itself. And other than -- I mean, just the GST effect, I think the kind of momentum we are seeing on the infrastructure side, construction side, is also going to play quite a lot in the next few months until the monsoon arrive s.
And that will definitely give a lot of f lip to the heavy -duty segments o f tippers and multi -axles.
So we are not overly worried. I really think it is a temporary effect, just mainly from November, December, partially in January, and it should subside because like I said, there is no fundamental change in the market dynamics wh ether it is ICV or heavy duty. So it is just the instant reaction comes -- came faster from the retail segment than the bulk buyers.
K. M. Balaji: And I also need to correct your impression, Mukesh. Even the MAV segment has registered a growth for Q3 compared to the same period last year, there has been a growth of 34%. It's not only ICV which has grown, even the higher tonnage segment side like the tipper and the MAVs, it has grown .

Shenu Agarwal : Muk esh, especially MAV growing also tells you that because MAV is also a very high content or a high contribution of the retail segment that clarifies a point that wherever the retail segment was higher those two segments, they generally kind of showed early jump, not to say that rest of the segments would not follow.
Mukesh Saraf: Got it. Got it. And secondly, slightly on a longer term, you're seeing the notification is out that next year, we'll have the ADAS equipment kind of getting mandatory in trucks, bus es and in general, we're seeing over the years a lot more regulations coming into place, be it emissions, be it driver comfort or obviously road safety. I mean, do you see this kind of leading to increase in the price of vehicles, say, over the next 3, 4 y ears?
And how is the logistics industry, transporters in general how have they evolved? Are they kind of in the situation to pay more for the vehicles? How do you see this? And how are we prepared for this more and more regulations to kind of come?
Shenu A garwal: Yes. Mukesh, so I mean we have -- I me

an some of us who follow the CV industry for a long time, have a lot of ideas about how this industry operates. But I think if you recall, the last big regulation that was there was on the air conditioning of t he truck, right?
And we were all quite worried that whether industry will be able to absorb this cost or there will be a reduction in the growth levels, etcetera . But I mean, the industry has so -- so much welcome this whole idea that the industry itself, we believe, has changed a lot actually in the last few years.
People, because of the shortage of the driver, because of other factors, people are giving a lot more importance on things like comfort, safety, and things like this. And AC was a brilliant example of this, and I do think that even with ADAS, which is largely safety -oriented regulation, you would see that people will see value in it. When the accidents can be reduced, when the collisions can be avoided, when there would be lesser fatalities, lesser damage to the goods that they are carrying.
So it takes a little bit of time, some time in adopting to these new technologies or practices. But I think the whole industry dynamics have really changed in our country. People are putting lot more value, I mean, mileage, reliability, etcetera , is important and will continue to be important, right? But comfort and safety and other things are also playing a big role.
K. M. Balaji: And quarter -on-quarter also, Mukesh. Quarter -on-quarter also, there has bee n a good growth on

the tipper segment. Sequentially, between Q2 and Q3, there has been a huge growth on the tippers. And similarly, there has been a huge growth on multi -axle vehicle and ICVs in parallel. And similarly, the growth in haulage and tractor ha s been quite uniform.

So if you look at sequentially, that is how all these have contributed to a good surge on the margin. Of course, that is partially offset by this commodity cost movements , which has resulted in a 50, 60 basis point improvement sequent ially in the margin.

Moderator: The next question is from the line of Raghunandhan N.L. from Nuvama Research.

Raghunandhan N. L.: Congratulations on strong results. Sir, firstly, on the fleet age, it was at a historical high of 10 years given that there is better freight availability, better infrastructure spending and there is a very big advantage of using the newer trucks due to be tter uptime and remote diagnostics. How do you see this age -- blended age moving over the next 2, 3 years? Do you think it would come down and replacement demand will be a big factor in sustaining the cycle?

Shenu Agarwal: Yes. Thank you, Raghu, first of all, for your kind words. And yes, I mean, you are right. I mean, there is only one way this whole ag eing can move, which is to go back to the normal, because, I mean, 10 -year, 10.5 year is really not sustainable for our industry. And therefore, if GST and other macroeconomic factors are going to or have triggered , already triggered a replacement cycle, I think we'll have very good times in the future for this industry.

Also, I think other than this, also, there is a lot of consideration going on. Especial ly for some of the metro cities, etcetera , from the government to look at scrapping once again because pollution has really become a big problem for the whole country, specifically for the larger cities. And so some of these policies, I think if they come in, then they can provide really additional triggers to our market.

I mean, I don't know, but I mean for this age to go back down to even 8 years from 10.5 right now. would take a few years, right? So until then, there is actually a potential demand in the market that we can see. Now how it will dovetail into numbers is, of course,

we have to watch.

Raghunandhan N. L.: Can you also speak about your efforts and potential that you see in the non -South markets, how you can further gain market share? How you can replicate the success which you have had historically in the South market?

Shenu Agarwal: Actually, Raghu, I mean, thanks for asking that because that has been one of our big focus areas. And we have done substantially well. I mean, in terms of increasing our penetration in North East and Center. Our , I mean until about 3 or 4 years ago, I remember our market share in North used to be like 15% and now we are having more than 25% with an average market share of 31% overall India.

So we are now - I mean, no longer of that regional company or a zonal company. We are actually now a national brand in that respect. I think o ther than East where we have to do a little bit of more work, I think we are - we have become very strong in West, Center and North .

And I mean, there is still some headroom. I agree with you. There is still some headroom because 25% is probably not what we want. And we are addressing those challenges. For example, now we have tied up with the TVS Group for our distribution in the NCR area. Now they are coming up with 13 outlets which will give us a huge representation.

And TVS is known for their excellent after-sales surveys, their professionalism in dealerships. They have been our partner in South for 5 or 6 decades. So that relationship is there, that understanding of the market is there, the reputation of the name is there.

So I think by taking such st eps I would say that we should be equally strong or at least we should have a 30% market share in the zones where we were at some point in time like 15%, 18%. And that should happen very soon. Most of the actions we have taken already, a few actions are le ft, which will be completed in the next few quarters.

Raghunandhan N. L.: Thank you very much, sir. Lastly on Hinduja Leyland...

Moderator: Sorry to interrupt. Mr. Raghu, may we request you return to the question queue for a follow -up question ?

Raghunandha n N. L.: Sure. Thank you so much.

Moderator: The next question is from the line of Kapil Singh from Nomura.

Kapil Singh: Congratulations on the strong performance. Very tight cost control visible there. My first

question is on capacities. How are you placed on capacities for MHCVs and LCVs? Do you need to trigger capex to enhance capacities now there is a potential for up cy cle and both -- you can mention both from Ashok Leyland capacity and also from a vendor capacity point of view, how are things placed? Will you be able to service demand? Or is there some supply challenge that is coming up?
Shenu Agarwal: Yes, Kapil, excel lent question actually in the circumstances because you guys and we were both surprised by this very, very strong momentum that has shaped up in the last 3 months. But at this point in time, we do not have an overall constraint on the capacity side.
Even with a strong positive forecast, if we undertake or assume for the next year FY '27, we should be more or less be fine in terms of the overall capacity in any which segment that we operate in. There would be some challenges in some smaller niche areas.
For example, there could be a challenge with one particular machining setup or there could be a challenge with one particular supplier where we may have to -- where the supplier may have to invest or we may have to invest in another set of tooling or we may have to ask supplier to set up another shop for us. So those kind of things would be there.
The capex requirement would not be humongous there, but it would be bits and pieces like we have been doing in the past. There may be one or two areas whic

h where we may have to invest,
let us say, INR50 crores to INR100 crores kind of amount, but those would be limited to only one or two areas. So I think like we have been telling you that we don't see any major investment in capacity expansion in the next 2 to 3 years.
Kapil Singh: Can you tell us what is your capacity in MHCV and LCVs currently?
K. M. Balaji: Kapil, we'll not be able to disclose the capacities, Kapil.

Kapil Singh: Okay. And just an update on the...
Moderator: Sorry to interrupt. Mr. Kapil, may we request you to return to the question queue for a follow - up question. The next question is from the line of Amyn Pirani from JPMorgan.
Amyn Pirani: Most of the questions have been answered, but there was a news today regarding OHM. And I don't know if you can comment on news flow as of now. But just for our understanding, since the news flow talks about some kind of a valuation. Can you give us a sense as to what are the kind of investments that OHM may require but what you have already thought about?
And what are the -- like some financial metrics, if you can share like revenue or PAT for the business? And what kind of investments you have already thought about, which may be required in the next couple of years?
Shenu Agarwal: Yes. Thank you for that quest ion. I mean we are very focused on building this whole business model around E -MaaS, not just for buses, but also for trucks at some point in time. And we think our whole industry is going to shift to newer business models in the future. And therefore, we have really created this entity to take care of those opportunities.
As far as the investment is concerned, we have already invested INR300 crores in OHM. We have also earmarked another INR300 crores for OHM as and when needed. And like we have, I think, told you before, beyond this INR600 crores, we will be open at looking at other fundraising options.
So, that is where we are. And we have -- like we have been maintaining that some of these GCC contracts that are being won by some of the players in the m arket are really not viable. And we have our certain minimum thresholds as far as the GCC contracts are concerned.
And if we find that we can play a role in contributing to this kind of industry with certain minimum threshold margins, we do go and get the se contracts. But otherwise, we don't, right? So it really depends on how this opportunity will emerge for us. But like I said, as far as investment is concerned, INR600 crores, we have earmarked, of which INR300 crores we have already put in. And beyond t hat, we will look at certain fundraising from external sources.
K. M. Balaji: And for the year to date, that is till Q3 , Shenu has already covered this in his opening statement. Our investment is at INR16 crores, INR16 crores only. And when we look at the requirement of the group companies, including OHM and the other group companies like the Hinduja Leyland Finance and Hinduja Housing Finance, and then we may decide on the capital requirement -- capital infusion in those companies.
Similarly, we will also look at the possibility of repayment of some of the loans which have been acquired by the Optare outside India. So we'll also look at that. So it all depends on the requirement as well as the cash situation. And you would have also noted the cash position as of 31st December, which is at INR2,600 crores positive.
Moderator: The next question is from the line of Chandramouli Muthiah from Goldman Sachs.

Chandramouli Muthiah: My first question is just around the non -t

ruck business mix. So I think over the past 3 to 6
months, you've seen a meaningful pickup in the truck business, which has added to profitability and growth for the broader business. But just trying to understand, you did mention in the prepared remarks that you have won some defense orders. So in this faster growth period for trucks, I just want to understand if you think the non -truck business components can also grow equally as fast and maintain that mix in the way you sort of plan for your margins over the next 12 months?

K. M. Balaji: It is ha ppening, Chandramouli. First of all, thanks for your question. It is happening. So if you look at the truck portion of the overall revenue, when you compare it to the same period last year, it is around 55%. Current year, also 55% last year, 55%. But if yo u look at the proportion of the businesses like IO, which was around 6%, now it has grown to 8%.

So I mean, it is happening. These kind of shift is happening in select pockets . That's why you are seeing the margin going up when you compare it to the same quarter of the last year, from 12.8% to 13.3%, it is all because of the efficient management of the mix also - the business -wise revenue mix also.

Shenu Agarwal: Yes. Like I said, even with the strong growth in the truck segment, our Power Solutions busine ss was 45% up in Q3 Y -o-Y. And our defense business is 84% up Y -o-Y, right? So I think -- I mean while I agree that truck is going through a strong momentum, but the other businesses are even stronger right now.

K. M. Balaji: Exactly, Shenu, from 1% defens e share of revenue has gone to 1.5%. And Power Solutions business, the share has gone from 3% to 3.6%.

Chandramouli Muthiah: Got it. That's very helpful. My second question is just around the dedicated rail freight corridor -- Northwest corridor extension to Jawaharlal Nehru Port. So I think that was earlier planned to be sort of a March quarter event. Now it looks like it's getting pushed out. So I just want to understand, you mentioned that this could be a year of two halves where April to October is very favourable base and strong momentum post GST, and we'll have to see maybe what happens after that. So the latest on the dedicated rail freight corridor or from the way you are observing it, is this likely to happen in CY '26 on the JNPT extension?

And how do you think about that event? And what are the potential options available to Ashok in terms of offsetting whatever impact that would be from that?

Shenu Agarwal: See, the deadline for the completion of the last leg of 100 kilometers of this Western dedicated freight corridor has been extended multiple times. And we would wait for the actual commencement of the operations. However, this WDFC is operational by about 95% it is complete and has been operational for more than a year.

With respect to its impact on this TIV, we have said this earlier also that DFC do not address the full connectivity, in the sense that the last mile connectivity it is not there . Though it could have some impact on the specific segments , may be on the tractor trailer volumes post the commencement of the full operations , there will be positive impact on the volumes of ICVs and the LCVs required for the last mile connectivity. Having said that, we expect the impact to be

very, very minimal. Even on the tractor trailer side, it will be very minimal over the next 2 to 3 years.

Moderator: The next question is from the line of Pramod Amthe from InCred.

Pramod Amthe: We want to check your product profile, considering the start of a new up cycle as you are indicating . Do you need to take into account the -- any product gaps you want to address or the type of demand, which is coming up, you nee

d to advance new product launches as compared
to our earlier plan?

Shenu Agarwal: Yes, we are taking some actions. I mean, irrespective of the current situation, we are taking some actions as to how we can increase the agility of our new product development process. We are actually working on -- we have actually institutionalized digita l tool now to track daily activities, etcetera , which actually creates a lot of collaboration within the company on new product development activities which we think will bring a lot of transparency, a lot of visibility, a lot of ownership and a lot of pri ority also in terms of which projects we want to speed up and which

projects we may want to kind of pause on or run at a slower speed.
So those actions are in place. But like I said, our product -- overall product development pipeline is very, very strong. You would see like a big launch we have done now with HIPPO and TAURUS. And also, we have come up with this 4.1 ton, BADA DOST with a best -in-class payload, you will see many such launches happening in the future, even in this calendar year.
And al so, our overall product road map is quite clear, product and technology road map. So what we want to do, how do we want to address our white spaces in the LCV segment, how do we want to increase our LCV coverage to 50% from 50% to 80%. So those are already being -- all those actions are already being undertaken.
Pramod Amthe: Thanks for that answer. And the second one is with regard to subsidiary investments. There seems to be pretty low compared to your own guidance or historical trends. What is -- are the subsidiaries performing better and hence, the ask rate is low? Or you feel last quarter you need to finish out things?
K. M. Balaji: No, no. Actually, Pramod, the subsidiaries are doing fine. I mean many of the subsidiaries are doing fine, and you know th at we have also got out of this assembly facility from the Switch UK last year, which was the main cash guzzler. So the rest of the companies are all doing fine. And if they require capital infusion , we'll do it as and when it is required.
As I indicated to you, there could be some requirement of the capital on OHM, which Shenu touched upon, INR300 crores plus another INR300 crores, we have not yet released. We look for the requirement and then we'll release. In our expectation, we may release about INR100 crores, INR150 crores on OHM front.
And on the requirement for this Hinduja Leyland Finance as well as this Hinduja Housing finance, we will appropriately decide depending on the requirement because those businesses are also growing significantly. You wo uld have noticed the AUM growth significantly around 20% or so. So we would like to invest there also.

And of course, the third one, as I told you, there are certain unfinished loans which are there outside India, where we would like to finish off those l oans also, especially relating to the Switch UK. We'll do that also, which we disclosed in the earlier conference call. So that is all we'll do Pramod. No surprises.
Shenu Agarwal: There are no surprises. We have already earmarked this money for the reason s that Balaji just described. So they will happen on -- in the right time when needed. But I would say most of the subsidiaries are doing well. I don't foresee any huge investments or significant investments for loss funding now, having dealt with Switch U K already. So yes, mostly whatever funding happens other than that Switch UK loan would be for the growth of these subsidiaries.
Pramod Amthe: Sure. Thanks and all the best.
K. M. Balaji: The Switch UK loan, we carry and we can pay in a bullet installment after 3 years that is in FY '29 we can repay, but we would also looking at a

plan of repaying it in installments also in two or three installment s also.
Moderator: The next question is from the line of Rishi Vora from Kotak Securities.
Rishi Vora: Congratulations on good set of numbers. If I just look at the previous up cycles, right, '15, '16, '22 to '23 over -- least at that time, the tonnage growth had outpaced the volume growth for the industry. A nd if I look at third quarter of FY '26, again, it's too little data. But at least it seems like the tonnage growth has actually underperformed the volume growth ?
So this time around, do you expect that the up cycle would be a little different from what we had seen at least in terms of quality of growth? Or do you expect it to kind of converge and then the tonnage growth outpaces over the coming quarters?
Shenu Agarwal: No. So Rishi, I mean it's a very nice question. But listen, this tonnage growth would co ntinue to happen at a regular pace. But that pace would not be very, very strong, right? But you should keep one thing in mind , because it has not happened so far , doesn't mean that it will not happen in the future.
That lower and middle level segments would also have a long term -- very solid long -term potential because of the last mile delivery because of the e -commerce, etcetera , those really have a long -term potential. So I think tonnage will keep going up and dow n as the various sectors perform. But the key fact that we are looking at is right now is this replacement cycle.
Is this fresh replacement cycle that has kicked in? Or is this just a short -term fillip from the GST. Now 3 months have already gone. February also, we are seeing very strong momentum on the ground, right? I mean, in terms of leads and inquiries and the cases that are locked in with the banks and NBFCs, etcetera . So now it seems like after 3.5, 4 months, it seems it is something that is going to sustain for a longer period.

Rishi Vora: Understood. And my second question is just on this average age, right, which is roughly about 10 years. Now with better quality of roads, better quality of vehicles, is it necessary that the

average age of the vehi cles need to come down? Or this is like a new norm, 9 to 10 years for the industry where the fleet operators are okay with this kind of age?

Shenu Agarwal: Again, great question. I mean average is always sometimes and most of the times can be very misleadi ng. I think what we should look at is how many vehicles we have now as compared to in the past, that are more than 15 years that are more than 12 years. Also, we should look at how many vehicles we have now, which are still on BS II, BS III, BS IV regime. That is a better data point to look at to see whether this is sustainable or not.

So when you look into those details, and I think Balaji has shared those numbers with you in the past also. If you want those numbers, we have those ready, we can share thes e with you separately. But when you look at those numbers, you will -- I think you will realize that this has to change.

Moderator: The next question is from the line of Prashant Kothari from Pictet.

Prashant Kothari: Just one question for me on the financ ing business. I see from segmental results that the profits are down Y -o-Y basis. Can you comment on what is happening there, please?

K. M. Balaji: Pardon. We are not able to clearly hear you, Prashant.

Prashant Kothari: Is it any better?

K. M. Balaji: Yes. Now it is better.

Prashant Kothari: Okay. I just wanted to understand on the financing business, I see that the segmental results, the profits are down on a year -on-year basis. Can you just explain what is happening there, please?

K. M. Balaji: As such...

Shenu Agarwal: Just give us a minute, he's just picki

ng up some data.

K. M. Balaji: Actually, it has gone up, Prashant. When you look at the quarter , same quarter, third quarter versus third quarter of last year, the profits have gone up. HLFL standalone , it has gone up from about INR107 crores, 108 crores to INR130 crores.

Prashant Kothari: I'm sorry, I'm looking at segmental results, financial services. Last year same quarter was INR231 crores and this year...

K. M. Balaji: I will clarify that; I mean which segment you're looking at. I will take that question separately and then I'll clarify it to you. But as such, there has only been an increase in HLFL standalone .

Prashant Kothari: All right. And do you disclose that somewhere else? Or is it just in with your MIS?

K. M. Balaji: No, no, it is the part of the financial s. I will just take your question. I mean, where from you have taken that number, I will understand. Then I will respond to that.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question for the day. I now hand the conference over to the management for closing comments.

Shenu Agarwal: Thank you. Thank you, ladies and gentlemen, once again for your time, for this call and also your trust in Ashok Leyl and. We are, as an industry, going through a lot of positive momentum, although we are also trying to navigate some challenges. So -- but we hope that we will have a good quarter and a good year to close with. Thank you very much.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2026

June 4, 2026

Dear Sir/Madam,

Sub: Concall Transcription

Pursuant to Regulations 30 and 46(2)(oa)(ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of the Company's Analyst Call held on May 28, 2026 to discuss the audited financial results for the quarter and year ended March 31, 2026.

- Meeting start time - 4.00 p.m. IST
- End time – 5.00 p.m. IST

We request you to take the above on record.

Thanking you,

Yours faithfully,
for ASHOK LEYLAND LIMITED

N Ramanathan
Company Secretary

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"Ashok Leyland Limited
Q4 FY '26 Earnings Conference Call"
May 28, 2026

MANAGEMENT : MR. SHENU AGARWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – ASHOK LEYLAND
LIMITED
M R. K.M. BALAJI – PRESIDENT FINANCE AND CHIEF
FINANCIAL OFFICER – ASHOK LEYLAND LIMITED

MODERATOR : MR. MUKESH SARAF – AVENDUS SPARK

Ashok Leyland Limited
May 28, 2026

This transcript has been edited for readability and doesn't purport to be the verbatim record of the proceedings.

Moderator: Ladies and gentlemen, good day, and welcome to Ashok Leyland's Q4 FY '26 Earnings

Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mukesh Saraf. Thank you, and over to you, sir.

Mukesh Saraf: Thank you. Good evening, everyone. Mukesh Saraf here from Avendus Spark. Appreciate everybody logging in this 4Q FY '26 Earnings Call of Ashok Leyland Limited. From the management team, I'm pleased to host Mr. Shenu Agarwal, Managing Director and CEO; Mr. K.M. Balaji, President Finance and CFO; along with the Investor Relations team. I now hand over the call to Mr. Agarwal for his opening remarks, post which we'll begin the Q&A. Over to you, sir.

Shenu Agarwal: Good afternoon, everyone, and thank you for your trust in Ashok Leyland, as always. I am pleased to report that FY '26 has been a truly milestone year for our company. We achieved all-time high CV volume, revenue, profit and cash surplus, marking the best annual performance in Ashok Leyland's history. Building on FY '25 record results, we have delivered another year of broad-based growth across all our core businesses, demonstrating the resilience of our operations and the trust that our customers place in us. Basis standout performance of FY '26, the Board of Directors have recommended a second interim dividend of INR2.50 per share.

Q4 FY '26 provided a strong finish to the year with a solid performance that reflects the strength of demand in the CV industry and our disciplined execution. Domestic vehicles volume growth led by GST 2.0 rate rationalization gained further momentum during the quarter. Q4 domestic MHCV industry volume was higher 21.5% Y-o-Y. And for full year, it was higher 12% Y-o-Y. Ashok Leyland domestic MHCV volume grew in line with industry with market share of a healthy 30.8% for the year.

Ashok Leyland domestic MHCV trucks volume for FY '26 was 105,905 units with market share of 30.2% and MHCV bus volume was 20,840 units with a market share of 34.1%. Ashok Leyland continued its leadership position in MHCV buses.

Ashok Leyland domestic LCV volume for Q4 was at 21,801 units, higher 23% Y-o-Y, growth better than that of industry. LCV VAHAN market share for Q4 was 12.8% with a gain of 90 basis points on Y-o-Y basis. For full year, LCV volume was 74,322 units, higher 12% Y-o-Y and full year LCV VAHAN market share stood at 12.7%, higher 80 basis points Y-o-Y. This is the highest ever annual volume recorded in LCV. Our export volumes for full year reached a historic high of 18,082 units, delivering a robust growth of 18.5% over the previous year's 15,255 units. For the quarter, volume at units, 5,322 units was marginally lower Y-o-Y, primarily due to international logistics issues faced in March.

Overall, CV volumes scaled a new all-time high of 220,437 units, surpassing the previous peak of 197,366 units achieved in FY '19. This includes defense vehicles. Our non-CV businesses also demonstrated remarkable growth Domestic aftermarket revenue for the quarter was up 11.2% Y-o-Y and higher 9.5% for the full year. FY '26 revenue from Power Solutions business

was higher by 16.4% Y-o-Y. Revenues from defense business, including revenue from our defense subsidiary, ALDS was higher 20% Y-o-Y. Defense order book and tender win pip

eline

remains ever strong. Coming to financial performance, Ashok Leyland achieved all-time high quarter 4 revenue, EBITDA and operating PBT.

Revenue for Q4 was at INR14,161 crores, higher by 19% Y-o-Y. EBITDA was at INR2,066 crores, higher by 15.3% Y-o-Y. FY '26 revenue was at INR44,007 crores, higher by 13.6%. EBITDA for the quarter was at INR2,066 crores and EBITDA margin was at 14.6%. With full year EBITDA margin at 13%, we have now truly entered the teen bracket. This is an improvement of 30 basis points from last year. Q4 PBT before exceptional items was at INR1,909 crores, higher 14% Y-o-Y. PAT, excluding exceptional items, was at INR1,405 crores, higher 13% Y-o-Y. Full year PBT before exceptional items was INR5,163 crores, higher 22% Y-o-Y and PAT, excluding exceptional items, I repeat, excluding exceptional items, was at INR3,914 crores. May note that during Q3 of FY '26 on account of the new labor code, there was a onetime charge of INR308 crores.

Material cost as a percentage of revenue for Q4 was 71.4%, higher by 80 basis points on Y-o-Y basis. For full year, the ratio was at 71.4% again, 10 basis points higher than last year. Despite commodity headwinds, we could maintain and even improve our gross margins. This was made possible through better price realizations, rigorous cost-saving efforts and continued focus on improving product and business mix.

Capex for the quarter was at INR203 crores and cumulatively at INR1,050 crores for the year.

Most of the capital expenditure has been deployed towards new products, including future technology development, alternate powertrain technologies and electric vehicles. Investments in subsidiaries in Q4 was INR371 crores, primarily towards repayment of loans in the off-tier books. Investments for full year was at INR387 crores. Our cash position net of debt has got even stronger.

We had net cash of INR5,899 crores at the end of the year, an increase of more than INR1,650 crores Y-o-Y.

We are resolutely pursuing the path of premiumization, working diligently on delighting our customers with superior products and services and maintaining operational discipline. The highlight of the year was our launch of HIPPO tractors and TAURUS tippers with industry's best power and torque delivering best-in-class TCO. In MAV category, we launched new trucks with improved powertrain of 280 HV. In LCV segment, we launched new 4.1 tone Bada Dost with industry best payload. We also launched our most advanced LCV product, Phoenix for the export markets.

Our product pipeline remains strong with substantial portion of our capex being allocated in creating new product capabilities. For strengthening our service delivery, we added more than 100 touch points each in our MHCV and LCV businesses.

More than 45% of our touch point additions have been in the North and the Northeast regions. At the end of FY '26, Ashok Leyland network has a total of 2,104 touch points, 1,159 for MHCV

and 945 for LCV. In international markets, we expanded our network to 4 new countries in the previous year. A particularly noteworthy achievement in FY '26 was our progress in electric mobility and alternative propulsion vehicles, areas that are critical to our future growth. During Q4 FY '26, we announced groundbreaking for a greenfield battery pack manufacturing facility at Pillaipakkam near Chennai, intended to support our electric mobility programs.

Our EV subsidiary, Switch Mobility India delivered a standout performance, attaining net profitability in FY '26, a major milestone in our electrification journey. During the year, Switch India achieved market leadership position in electric buses as well as in 2 to 4 ton electric LCV market. Switch significantly scaled up deliveries of electric buses an

d light vehicles during the
year with 1,530 buses, higher 238% Y-o-Y and 1,600 electric LCVs, higher 56% Y-o-Y.

Order book at the end of the year for Switch India stood at 1,600 units. OHM Mobility, our E-MaaS subsidiary, improved operational fleet to over 1,400 e-buses now. Hinduja Leyland Finance, our vehicle financing subsidiary delivered robust growth in FY '26 with its AUM expanding by 24 years year-on-year to approximately INR59,000 crores.

HLF's strong performance not only contributed to our consolidated results, but also enabled vehicle sales through continued financing support to our customers. HLF's PAT at INR491 crores was higher 20% Y-o-Y. Hinduja Housing Finance, or HHF, similarly saw its AUM grow by 15% Y-o-Y to approximately INR16,000 crores on back of steady demand. HHF PAT at INR387 crores was higher 4% Y-o-Y. Both HLF and HHF maintained healthy asset quality with consolidated net NPAs at 1.4% approximately, delivering solid profitability alongside prudent risk management augurs well for the future growth of both the financial companies. Reverse merger of HLF with NBL Ventures is progressing as per plan and should get consummated within this or the next quarter.

We remain focused on our ESG commitments. Our Road to School and Road to Livelihood program continues to grow, extending their reach to about 6.3 lakh students now. Our Dow Jones Sustainability Index ESG score has improved significantly, and we are now in global top 2% of the industrial engineering and electrical equipment companies. In our commitment towards RE100, we have achieved a 77% RE status against 69% in FY '25 with our Tamil Nadu plants now at 91% RE100.

In summary, FY '26 was an outstanding year for Ashok Leyland as we executed our strategy effectively and delivered record results while planting seeds for future growth. Looking forward, we are entering the new fiscal year with cautious optimism. Demand drivers for commercial vehicles remain positive overall. However, we are mindful of the macroeconomic headwinds such as global economic uncertainties, commodity price volatility and diesel price increases. However, our foundations remain strong.

We will keep innovating attuned to our customers' need with intense operational discipline and heightened focus on prudent fiscal management. Ashok Leyland is well positioned to navigate the road ahead and continue creating long-term value for our stakeholders. Thank you once again for your continued trust on us. Now I hand it over back to the moderator.

Moderator: Thank you very much. The first question is from the line of Kapil Singh from Nomura.

Kapil Singh: Congratulations on a strong performance. My first question is on demand itself. Recently, we have seen fuel price hikes. So just wanted to check what are the demand signals you are observing? Has there been any change? And for FY '27 as a whole, is there any outlook you would like to give on the growth for MHCVs? Similarly, on export also, if you can share the outlook?

Shenu Agarwal: Yes. Thank you, Kapil. It's a very relevant question, and we do hear a lot of noise in the media about several things. But I just wanted to clarify what our outlook or our view about the market is. Of course, you know that since October, the market has grown very strongly on both MHCV side and the LCV side.

And the reason was basically one, the effect of the GST rationalization, which reduced the prices by about 10%. And the other reason was also that this GST rationalization acted as a trigger for replacement of the aged fleets. And we know that the aging of the fleet is at its all-time high.

Now having said that, Q3 and Q4 had very strong growth and April also was very positive.

In May, we are not seeing any significant slowdown, both on the MHCV and LCV side.

However, there is kind of sentiment attached to the diesel oil prices that is there in the market, which is affecting the current logistics operations also in many routes and in many areas. However, I think the resilience of the demand based on GST and on the replacement factor is acting very, very strongly. And it is protecting the minimum baseline on the CV demand right now. Of course, we have to watch how the diesel oil price situation in terms of availability and in terms of the price hikes, how these pan out.

So to that extent, we have to have a kind of a wait-and-watch approach. But I can tell you for sure that when we are talking to our customers and the big fleet owners, and I was traveling in the Eastern region last week or a couple of weeks back. I think that basic base level demand resilience is very, very strong.

On the export side, the situation is very similar. At least in our home markets of GCC, Africa and SAARC, although the oil prices have gone up quite significantly. But we are not seeing any significant slowdown in the demand on the retail level. Now of course, export volumes may get still affected because of the international logistics situation. Like even in March and also in April, while there was demand, we could not ship out the quantities according to the demand because of logistics issue.

So exports might drop, I would say, in Q1, although things are now coming back to normalcy as we speak. The situation in our factory in RAK, also we had to drop the production there because of local challenges. So we had some effect in March and also in April. But now we are trying to bring it back to 100% capacity utilization. It may take a few more weeks to do that. But overall, the demand scenario is not very concerning.

Kapil Singh: Okay. That's good to hear. Sir, second question was on margins. The gross margins have seen an improvement this quarter. You alluded to it. So if you could just elaborate how much was the price hike we took? And what was the commodity cost pressure that was felt during the quarter?

And also the outlook for next quarter, like if you have taken any price hikes and how much commodity pressure should we expect in the coming 1Q FY '27.

K. M. Balaji: Thanks for the question, Kapil. Actually, we have taken a price increase of about 1% effective January. And we could continue to recover that 1% for the entire quarter, okay? That was the recovery part. On the cost side, there has been some increases which have happened on the cost, but we have been successful enough to get the savings on account of this value engineering and e-sourcing and the commercial negotiations, etcetera, which is much higher than the kind of commodity increase which we witnessed in Q4, but that is where we have sort of managed the commodity cost increases through the value engineering and e-sourcing savings. That has really helped us on the gross margin front.

Kapil Singh: Okay. And for 1Q, what is the outlook on both pricing and cost?

K. M. Balaji: See, pricing, we have taken a price increase of about 1%, 1.5%, but we'll have to wait and see whether we'll be able to sustain the kind of price increase for the full quarter. And on the commodity cost side, there has been an increase. There has been a significant increase, which has happened on the commodity cost side, predominantly steel. So there it is going to be a

challenge which we'll be facing as far as Q1 is concerned.
Kapil Singh: Sir, any number you can share like what's the range of commodity pressures we are facing?
K. M. Balaji: It's too early to give a range or a number, Kapil.
Moderator: The next question is from the line of Mumuksh Mandlesha, from Anand Rathi Institutional Equities.
Mumuksh Mandlesha: Congrats on a good

set of numbers. Firstly, just on the demand side, post GST, we see good demand from the small transporters. I just want to check how that has changed in recent times with the price hikes we've seen in the vehicle and also the diesel and disruption, what is happening in the market, sir?
Shenu Agarwal: Yes. Thank you for the question. I mean as far as the impact of the GST was concerned, you are aware that it had a slightly different level of impact -- of course, positive impact on various segments of the CV industry. The LCVs, the smaller vehicles were the ones that had the most positive impact, followed by the intermediate commercial vehicles or ICVs and then the heavy-duty trucks. Within the heavy-duty trucks, I think tipper demand has been more stronger than the rest because of various infrastructure activities also helping the demand.
Now this also indicates that the demand push was better or stronger on the retail side. And also the fact is that the fleet owners were still kind of making their best in terms of calculating the real impact of GST because of input tax credit issues, et cetera.
So the fleet owner demand started surging from December onwards. while the first 2 months, it was largely on the retail side. So basically, that is the scenario. And as I said in response to the previous question, we think this is a fundamental factor that will play out even in the long run,

that is for next several quarters. Now the price increase, there was no price increase actually taken between October and March.
But from April 1, we have taken a price increase, like Balaji said, between 1% and 1.5%, depending on various categories of products. But I mean, if you compare that 1% or 1.5% with a 10% advantage that GST created, it is not -- it is not a significant price increase. And in any case, taking 1%, 1.5% over 6 months of period is a very normal phenomenon in the CV or the larger automotive industry.
So I think let us not be too concerned about the price increase and its impact that has happened. However, the situation on the ground is a little bit challenging for truck operators. And mainly the reason is availability of diesel, not throughout the country, but in certain pockets, there are facing some problems with the availability of diesel. And some of the pumps have even rationed it. When we speak to the government, the government says there is no shortfall of supply.
So some people indicate that probably this is because of the hoarding, et cetera, or a general fear in the minds of the people as to whether diesel supply will actually get impacted. But the situation is quite manageable.
I mean, like I said, last month, I was in Eastern zone, and I met several fleet operators there. So I think they have clearly laid out their plans for the next 12 to 18 months in terms of how much fleet they will add into and what kind of fleet replacement they will do. And they are all sticking right now, they are all sticking to those plans.
Mumuksh Mandlesha: Got it, sir. And just if you can share how would be the mix of retail or the small transporter versus fleet institutional buyers, sir?
Shenu Agarwal: See, generally, at the industry level, retail would be about 55% to 60%, and the rest of it will be fleet. I'm talking about heavy-duty trucks mainly. But when you look at ICV and LCVs, the retail quantum is much -- retail proportion is much higher. But for heavy-duty trucks, it ranges between 55% to 60% right now and the rest is fleet.
Mumuksh Mandlesha: Sir, just on the financial side, this quarter, the operating income has seen a rise to INR86 crores versus INR56 crores. Any reason for that increase? And lastly, what are plans for FY '27 capex and investment?
K. M. Balaji: On the other income, the sundry income side

, there is no specific reason except that we had some returns which we have got on account of the investment of the surplus funds. So that is the reason for the increase in the sundry income. And on the capital expenditure side, last year, we incurred about INR1,000 crores. So next year also, the plan would be to incur about INR750 crores to INR1,000 crores on the capital expenditure side. And on the investments, we will decide based on the requirement of the subsidiaries.
Even in the previous calls, I've stated, many of you wanted to know how much we'll invest before this year-end. I indicated to you at that time itself that we will go based on the requirement of

the funds by the subsidiary.

And we have actually repaid about GBP30 million out of the GBP80 million loan, which was there with the Optare plc with the Switch U.K. company. This I had indicated, and we have not disbursed any other funds to any other subsidiary company during the quarter. And we will do that based on the requirement. And we have plans, as indicated to you earlier, some of the subsidiary companies like Hinduja Leyland Finance, and its subsidiary Hinduja Housing Finance as well as OHM, these would require funds.
Of course, Switch, you would have noticed, Switch is in a very comfortable position now. They have made profits. They have moved for the first time. They have reported a profit after tax of about INR100 crores -- INR100-plus crores, so they are all in a comfortable position. But for the subsidiaries in need, we will step in and then we will provide the funds. And that will absolutely be on the need basis, and it will be very difficult for me to put a number now and then give you the details on that.
Moderator: The next question is from the line of Binay Singh from Morgan Stanley.
Binay Singh: In the opening remarks, you shared the net cash number. I missed that. Could you repeat that again?
Shenu Agarwal: That is INR5,899 crores.
Binay Singh: The December net cash was INR2,600 crores. So that's quite a good jump between December to March outside of...
Shenu Agarwal: That's very typical of the automotive industry, especially CV.
Binay Singh: This is the working capital changes that came through for you?
Shenu Agarwal: Yes, because CV demand in Q4 is very high. So we have to purchase a lot of raw material for that. And the payables of those raw material at the peak level is -- comes into April and May, right? So I think it is better to compare it with last year because that phenomena is there for Q4. At the end of last year, like I said, it was INR1,650 crores lesser than what is at the end of this year. So that is the real gain in the cash. Not okay to look at Q3 versus Q4 to that extent.
Binay Singh: And second thing, could you share us what was the FY '26 numbers for spares, defense and exports?
K. M. Balaji: Defense and exports, you want the revenue numbers?
Binay Singh: Yes. If you could just -- basically a non-truck item revenue number.
K. M. Balaji: For Q4, you want?
Binay Singh: For FY '26 only, you can share.
K. M. Balaji: For FY '26, spare would be around INR3,800 crores. Power Solutions business would be around INR1,400 crores. And exports, it has crossed INR3,000 crores, which is at INR3,200 crores.

Binay Singh: Any number on defense and stand-alone, how much...
Shenu Agarwal: Defense is INR800 crores in the books up here, but overall defense business is at INR1,200 crores, including our subsidiaries, defense business.
Binay Singh: Right. And lastly, just next year for subsidiaries from the -- like we've seen turnaround this year, but how to loo

k at subsidiary performance next year?
K. M. Balaji: Subsidiaries, actually, they are doing well, especially Hinduja Leyland Finance and Hinduja Housing Finance, they are growing at a 15% to 20% basis year-on-year. While on one side, it is good to note that the growth is quite good and just continues, but on the other side, they would also require funds at times because I mean, the Tier 1 capital sometimes is low compared to the peers in the same industry.
So that is also, in a way, requiring us to invest in Hinduja Housing as well as Hinduja Leyland Finance. And on Switch, it is growing very well. You would have seen the numbers. The numbers have gone several times, especially on the buses side as well as on the light commercial vehicle side also, we have sold about 1,600 ELCVs. The growing is quite good now. And for the first time, I mean, as per our plan, as indicated earlier in our earlier conference calls, the company has touched profit figure, PAT is about INR100-plus crores.
And they have quite a good and a strong order book position also, about 1,600 vehicles order book position they have from various state transport undertaking as well as on the private requirement side. So I mean, overall, it is good. And on the OHM side, as indicated earlier, they

might require some funds because they will have to buy the vehicles and then they will have to run it for the STUs, so they might require some funds wherein Ashok Leyland might have to chip in with some investments in OHM.

Similarly, as I indicated to you, we may also have to invest some funds in Hinduja Leyland Finance as well as in Hinduja Housing Finance. So these will be the 2 companies that would require some funds towards their growth plans.

Binay Singh: And team, earlier in September, we had talked about the CALB partnership, right, on the battery ecosystem. Any update on that? Is that -- I assume it's not a part of the investment that you are talking about, right?

Shenu Agarwal: No. The battery business is currently housed within Ashok Leyland only. So it's not housed in a separate subsidiary yet. So all those investments would be part of our own capex, that number Balaji has given you. And as far as the business itself is concerned, it is moving on track.

We have already planned -- we have already done the groundbreaking ceremony of setting up this battery pack manufacturing facility at Pillaipakkam, which is not very far from Chennai. We should be able to start construction work within the next 8 to 10 weeks, I would suppose. And the target for the start of production would be Q2 of next year.

Binay Singh: And on the cell manufacturing...

Shenu Agarwal: No, we are starting with pack first. It is a phased approach that we are adopting. So we are starting with pack for captive consumption and also for energy storage systems. In the second phase, we will expand the pack capacity to get into non-captive demand also on the automotive side. And then in the third phase, we will look at cell manufacturing.

So it is a phased approach that we are following because one thing is manufacturing, but also the other thing is the penetration of electric vehicle in India. So we'll have to just dovetail our own manufacturing investments with the demand scenarios that will emerge in the country.

Binay Singh: Right. And lastly, just any thoughts on PLI? When do we expect that on the electric side?

Shenu Agarwal: PLI, we are still trying to match up to those thresholds as per the government scheme. So there are some investment proposals that are coming up. I think we should be able to provide you a better update on that hopefully in 4 to 5 months from now.

Moderator: The next question is from the line of Pramod Kumar from UBS Securities.

Pramod Kumar: Sir, before I go into the business question, first a clarification, can you just share the 4Q non-vehicle revenue bit, Balaji, like how you shared the spares and the exports and the defense bit for the full year? Can you share for 4Q? And how has it grown on a year-on-year basis?

K. M. Balaji: 4Q spares is INR1,060 crores for the spares. Last year number was INR950 crores. Engines, INR425 crores, last year at same level. Exports, INR1,100 crores. Last year was INR825 crores. Defense, INR275 crores, last year was INR170 crores.

Pramod Kumar: The non-vehicle revenue, do you expect the momentum to continue in 1Q because we do have a bit of a problem on the commodity and even on the demand side. So I'm just trying to see will this -- will we get the benefit what we got in 4Q in the subsequent quarters from non-vehicle revenue or there could be some moderation there as well or seasonality rather?

K. M. Balaji: As of now, it appears that the demand continues to be there for the non-vehicle side. So we don't see any dip happening on the non-vehicle revenue side, Pramod.

Pramod Kumar: Yes, that's good to hear Balaji. And Shenu sir, a question to you. It's understandable given the macro and the situation, what you explained. We've all been working with mid-single digit to high single-digit industry growth for next year for fiscal '27. And this is even with the second half base kind of coming in, which is quite daunting.

But now given the current scenario, if you can just help what will be the conservative or if you can give us a range of growth which you expect, assuming that the situation doesn't resolve or the commodity escalation doesn't reverse out soon and which could be the bottom case for -- in terms of a number for the industry.

And that will be really helpful, sir, because we are all trying to kind of work with this uncertainty, but you are definitely got a much better picture on demand on the ground pulps and everything. So if you can just help us understand there as to what could be the range of outcomes here on the growth front?

Shenu Agarwal: Pramod, listen, I would have loved to give you an estimate, but I wouldn't hazard a guess here because I'm really shooting in the dark. But I can tell you 2 things, and then you can make your own judgments around it. One thing is, like I said, the base level demand in CV industry, we have seen has been very, very resilient even after the outbreak of the war, even after the increase in the diesel prices.

And this I'm suggesting not just because of the numbers of April and May so far, but I'm also suggesting this based on several conversations we had with the customers. Like I said, most of the customers had made very ambitious plans on the replacement of fleet and addition of the fleets after GST. Around December, January, they had created those plans.

And the customers that are fully loyal to us, of course, they do share their plans with us so that we can work together and fulfill their expansions. And as far as -- I mean, until about last week, I can say, and this is after the price hikes on the diesel, people are not changing their plans right now.

So while there is a bit of a challenge on the ground, and it is limited to some areas, not the entire country, like I said, in terms of uptime, in terms of that they have to deliver mainly because of the diesel shortages in some pockets. But most of the fleet owners are sticking to their plans for the year in terms of expansion of the fleet. So that is kind of a very good signal as far as the demand is concerned overall on the next 2 to 3 or 4 quarters basis.

Now what we need to see is like how much of inflation we see on the oil, on the diesel side. So far, they have increased it about INR7, which I said is like very manageable fo

r the fleet owners.

And I think the general view is that even if it goes to around INR10 to INR15, they would be able to manage by passing on most part of it to the suppliers and bearing a little bit of compression there. So I think that is the situation. It will be very difficult to say -- to put a number on it, like how much Q1 will grow or how much Q2 will grow. But I am quite optimistic that at least Q1 is concerned, this industry level CV performance would be better than last year Q1.

Pramod Kumar: Yes. But we can see that in April itself, sir. But okay, let me put it this way. On a full year basis, do you envisage a scenario where you could actually see no growth at the industry level -- is that a possibility compared to last year?

Shenu Agarwal: Pramod, the way I see it is like this. Let us assume that there will be some setback in the demand in quarter 1, quarter 2 or so. Now my feeling is that even if there is a setback, this demand is not going to go away permanently. It is going to convert into a pent-up demand. And the reason I say that because fundamentally, the situation is very strong on the ground.

The sentiment is very strong. People have huge expansion plans. The aging of the fleet is at its highest. The rate cut has really improved the economics and the TCO of the fleet, right? So when the fundamentals are strong, even if there is a temporary dip because of a certain macroeconomic factor, don't you think that will end up becoming a pent-up demand for the industry. And even if there is a dip in Q2, it should come back in Q3 or Q4. I mean that is my view. You may have -- I mean, people may have other views, but that is like my view talking to a lot of people in the industry.

Pramod Kumar: Fair enough, sir. Last question to Balaji, sir, on margins. I think it's a tough hand what you have here. So -- and you've got a very solid base for the last few years in terms of execution on margins, kudos to you and the team. But now given this scenario and the high base, how should one look at the margins on the near term?

Because even if the war stops tomorrow, I don't think the commodity prices are easing back in a hurry. So in the near term, Balaji, if you can help us understand margins given all the inflation and demand potentially being a bit soft and with limits of pricing capabilities. So if you can just help us understand the margin outlook for the near to medium term for the next 2 to 3 quarters, please?

K. M. Balaji: See, there are various pockets where we can work out on the cost. See, there are -- you can broadly divide the entire cost into 2. One is controllable, the other one is not controllable. The noncontrollable costs are the ones that are predominantly this commodity costs where you don't have any control. But on the other side, we also have -- just like what we did in Q4 of last financial year, we have control on the savings, the value engineering, e-sourcing, the commercial negotiations, the turnover discounts from the suppliers, et cetera, where we can work and then we can try and reduce and negate.

But this also, I can tell you that we can do it only up to a certain extent. If the commodity cost grows exorbitantly high, then it becomes an issue. But we are confident that we can effectively reduce the costs, which are in our control. Actually, we have started now forming the cross-functional teams essentially to understand and look at each of the operating expense, accounting

head-wise individually and then work on the possibility of the reduction. We have started this process, and you'll see the benefit of this coming inside in the subsequent quarters.
Pramod Kumar: And Balaji, just to quantify -- so for the under recovery, sir, right now, as of 1Q, where are we on the under recover

y on commodity? How much is under recovery?
K. M. Balaji: Q4, we could recover more than the cost increases. But in Q1, we'll have to see -- I mean, we'll have to wait and see because there is a combination. There's also a price increase which we have taken. And there's also a cost increase which has happened. And the balance we'll have to recover by way of the operating expense reduction as well as the value engineering and e-sourcing. Right now, the gap seems to be somewhat manageable, but we'll have to wait and see.
Shenu Agarwal: But Pramod, I mean, the situation on the commodity side is definitely challenging. I mean you guys also have those data points, what is happening in the steel on aluminum, copper, rubber, et cetera. Yes. So I mean, we are just hoping that some of it we can neutralize through price increases, which has already happened. Now the question is whether we can sustain them those price increases for the whole quarter.
And the second is, like Balaji said, we have initiated a whole lot of cost control measures inside the company. Of course, we do not want to dilute any programs which have a future positive impact on the company because like I explained, even if there is a dip in the market, we do hope that it will convert into a pent-up demand, which will start showing back up again in the later half of the year.

So we do not want to sacrifice on that view or that demand which might come up later. But anything which is discretionary, anything that can be pushed out, anything that is not really adding a huge value over the next few quarters, each and every bit of cost we are looking at, and we are trying to restrain -- put some restraints on those costs. So I mean, I know you want a particular number, but it is very difficult. There is definitely an impact on the margins from the commodity side. But let us see how much of it we can neutralize through price increases and cost controls.
Moderator: The next question is from the line of Amyn Pirani from JP Morgan.
Amyn Pirani: My first question is actually regarding the quarter. In 4Q this time, we did not see the sign of operating leverage on the staff and other costs that we normally see in every fourth quarter as volume goes up. So is there anything that is a one-off or anything that we should keep in mind when you are looking at the financials for this quarter?
K. M. Balaji: I mean your observation is quite right. I mean we could not get much of leverage as we got in the first 3 quarters of the last financial year, that is FY '26. And this quarter, actually, we had to also -- in line with the performance, we also had to make some provision towards the performance-related bonuses for the executives. So this we wanted to provide after reaching the threshold limits.
So this we did only in the fourth quarter. So that's why you see that happening. And on top of it, I did speak about the commodity cost increases. Though effectively, we contained. But in the earlier 3 quarters, we didn't experience this kind of a surge on the commodity cost.
So that has, in a way, that has also indirectly impacted, though quarter-on-quarter, there has been 80 basis points improvement on the gross profit, but this has not really helped us on the operating leverage side. Your observation is right.
Amyn Pirani: Sure. And just as a follow-up, I mean, obviously, we've talked at length about the commodity pressures and what the company can do. But given that there is a general inflation and there are challenges on employee costs wages, diesel availability, gas availability. Is there something that we need to keep in mind in your other expenses for next year? Do we need to keep something in mind whether this could be a year of extraordinary inflation or it will be a norm

al year and
the only challenge is the raw material line, which we need to monitor?
K. M. Balaji: We will also get challenges on the operating cost side also, especially there are a few expenses like this transportation expense, which we incur towards the movement of the chassis from the plant to the selling point. There are certain expenses which are going to go up, which are entirely dependent on this fuel price.
Similarly, there is also a lot of conversion, which happens even on the raw material side where we pay the conversion cost. And finally, we'll also have to look at how this exchange is going to behave. Rupee, if it is going to weaken further, then that could also add up to the cost. So these could be the possible costs which can get inside the other expenditure.

Amyn Pirani: Okay. Okay. That's good. And just lastly, if I can ask you. The last 2, 3 years, you have been very judicious in taking price hikes. I think the industry in general has not tried to do a price war. Given the inflationary scenario and the uncertainty, is the industry still continuing to be judicious and disciplined or just some thoughts on that?
Shenu Agarwal: I think the current situation should add to that discipline. I mean, like I said, definitely, there would be a challenge on the commodity cost side. So industry, to the extent possible, should use their judgment to see how much of it can be passed on to the market without affecting the demand, but generally speaking, yes, we are hoping that the industry should look at taking multiple price hikes during the year.
Moderator: The next question is from the line of Raghunandhan from Nuvama Research.
Raghunandhan NL: Congratulations, sir, on a strong FY '26. And a couple of questions. Firstly, within the MHCV, how do you see the demand for various subcategories, which segments could outperform and underperform the overall market?
Shenu Agarwal: Yes, Raghu, thank you for the question. Like I said, so far, what we have seen as an impact of GST is more on the side of the ICV. ICV demand has grown more than the heavy-duty truck demand, and that has created some kind of a mix pressure on us, like heavy-duty trucks are more margin accretive. However, we do believe that, that initial enthusiasm on the ICV side will start to moderate and the demand momentum on the heavy-duty truck side should start coming across now. I mean with this, we have seen since February itself, I mean, heavy-duty trucks has gone through a good momentum since February, although first 3 months, larger fleet owners, they took time to adjust to the new system, especially the tax system.
This year, we are thinking that the tipper segment and the multi-axle segment would be the fastest-growing segments, followed by a segment which we call trip trailer, which is part of the tractor trailer because trip trailers are generally used in the mines. So anything that is to connect with the mines or infrastructure projects or construction projects, I think they would show tremendous promise this year.
While the tractor trailer and in some routes of long haul, which is non-steel, non-cement, non-iron may little bit moderate. So that is our view right now. So a little bit moderation in ICV and moderation when I say it's not respect to last year, I say it with respect to last 6 months. So ICV and tractor long haul might moderate, but anything related to mine would show tremendous promise is our view currently.
Raghunandhan NL: And also if you can speak on LCV and defense, how do you see the outlook? And specifically on defense, how big is the pending order book? And after a 20% growth in FY '26, how do you see the prospects for FY '27?
Shenu Agarwal: Yes, Raghu, like I explained, I mean, we had a fabulous FY '26 in defense, more

than 20%
growth. Revenues increased to INR1,200 crores plus, including that of the subsidiary. But also the fact is that our order pipeline on defense is strongest ever. So it is already above INR1,500 crores, which are the orders in our hand, which are due for execution and supply. And we also

hope to receive many orders during the year also, right? So on defense, we are very sure that it's not just this year, but at least for the next 2 to 3 years, we will show very strong growth.
Raghunandhan NL: And how do you see the outlook for LCV.
Moderator: Mr. Raghunandhan, we request to the question queue for a follow-up question. The next question is from the line of Vipul Agrawal from HSBC.
Vipul Agrawal: Just one question on the market share side. So recently, you have launched a new series of trucks. But at the same time, we have seen market share is largely stable or I would say, slightly declined in the last 3 to 4 years. So how do you see the new portfolio launch helping in recovering or gaining some market share in future? And do we still have some white spaces in our portfolio, which can be plugged in future to gain some more market share?
Shenu Agarwal: Vipul, thank you, first of all. But maybe I'll ask our Investor Relations team to get in touch with you to clarify that we haven't lost market share in the last 3, 4 years, but we have tremendously gained actually on the MHCV side. I mean, looking at FY '22 as a base. So '23, '24, '25, '26, 4-year data, if you look, there is a substantial increase in the MHCV market share. However, that we can discuss later.
But right now, let me just tell you that we are very, very confident of the new product launches.

And I'm not just saying because these are any -- this is any other launch. I'm saying because we have put in a lot of effort into these launches. One of the reasons we lost some market share in some limited segments was also that we were a little bit kind of delayed in coming to the market with these higher horsepower tractor and tippers.
Now since we have these in our fold, and undoubtedly, I can tell you that these are the best in the industry right now in terms of power, torque and mileage, reliability, et cetera. So we would definitely see a positive impact in our market share or market penetration. Now having said that, we have just started shipping these products as far as last year is concerned, we have started shipping in February and March. And there are only a few hundred units that we have shipped out until 31st March.
So you cannot see the impact in last year, but you will definitely see this impact starting quarter 2. In quarter 1 also, the dispatches would not be to the full extent of the demand and because there is a certain lead time in ramping up the production of new products. But you will see that impact definitely in especially 2 segments. One would be the tipper segment and the other would be a tractor trailer segment.
Moderator: The next question is from the line of Sridhar Kalyani from Antique Stock Broking Limited.
Sridhar Kalyani: Just one follow-up question that I wanted to understand. Defense you mentioned that around INR1,500 crores order book we have. So this is like execution or anything on fleet annual revenue, if you could help us understand like INR1,500 crores we'll be executing in the current year or it is split into 2 to 3 years?

Shenu Agarwal: So the way it happens is that different orders have different supply schedules, right? So none of the orders in Army or MOD -- most of the orders cannot be fulfilled in just 1 year, right? So they have a longer supply schedule ranging between 1 to 3 years. So the order book will not all be delivered in this year. However, as I said, there would be many new orders we'll receive during the year, which will also help us building the top line for the current year. So -- but one thing I can tell you that we have been delivering 20% growth in defense business over the last few years. And at least that trend we hope to continue with.
Sridhar Kalyani: That is very helpful, sir. And just as you explained to us that, there might be some moderation over the next few months. How do you look at the ICV and LCV space? Do you see some moderation over there also in the coming quarters?
Shenu Agarwal: Yes. When I just want to clarify that when I want -- when I'm saying about moderation, I'm not comparing it with last year. I still believe our volumes will be higher than last year. But moderation, when I'm saying, I'm referring to Q4 essentially because Q4, you know the industry went kind of berserk. All that GST effect started playing in all the segments, right?
So that is what my view is because LCV demand, I think, was up like 20%, 25% at an industry level in Q4. So when I say moderation, I mean moderation from those levels. So some moderation would be seen in LCV and ICV and some pickup in demand, relative demand as from Q4 should be seen in the heavy-duty trucks. That is how we view it. And actually, this will be helpful in terms of the mix as well because heavy-duty trucks is much more richer in terms of mix.
Sridhar Kalyani: Got it. Just one thing, in terms of geography, where do we see good substantial demand coming in from? Like it's geography specific, if you can just help us understand which regions are expected to do well compared to last year?
Shenu Agarwal: I think it would be quite broad-based. But if I were to pick on 1 or 2 specifically, I would say any -- all the sectors related to mining and infrastructure would see the strongest demand this year. So mining -- most of the mining is happening around Maharashtra, Orissa, Chhattisgarh, Jharkhand, West Bengal, etcetera. So that part of the country, I think, will be strong because of mining. And also the other factor would be infrastructure and construction projects.
Now these are quite broad-based, but you can, I mean, figure out where the money is coming, which products -- which projects are running right now or which new projects are coming. So that is why -- that is how we also plot our demand on the area-specific basis.
Moderator: Ladies and gentlemen, we take that as the last question of today. And now I would like to hand the conference over to the management for closing comments.
Shenu Agarwal: Thank you once again for your continued trust in us. We know there is a lot of noise in the market around various macroeconomic factors. But I just want to once again tell you that the way we see the demand in CV industry, we think that there is a lot of resilience in the baseline demand.

Now how much we will grow with respect to Q4 and Q3 and how much we will grow with respect to last year is something which remains to be seen. But I think the sentiment is very positive, especially on the fleet owner side, they still have very ambitious plans to add fleets or replace fleets.

The material cost situation is challenging. But like Balaji explained earlier in the call, we are looking at all avenues to see how we can neutralize it through price increases and also through cost savings. With that, I would like to close the call. Thank you very much once again for joining us.

Moderator: Thank you. On behalf of Spark Institutional Equities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.